WELCOME TO CERTIFICATE IN INTERNATIONAL FINANCIAL REPORTING (CertIFR)

Your Notes

CONTENTS

MODULE 1: THE NATURE AND OPERATIONS OF THE INTERNATIONAL ACCOUNTING STANDARDS BOARDS

Your Notes

CHAPTER 1: CONCEPTUAL FRAMEWORK

Your Notes

CONCEPTUAL FRAMEWORK

Introduction

The importance of a conceptual framework

- A conceptual framework is a set of theoretical principles and concepts that underlie the preparation and presentation of financial statements.
- If no conceptual framework existed, then accounting standards would be produced on a haphazard basis as particular issues and circumstances arose. These accounting standards might be inconsistent with one another, or perhaps even contradictory.
- A strong conceptual framework means that there are principles in place from which all future accounting standards draw. It also acts as a reference point for the preparers of financial statements if no accounting standard governs a particular transaction (although this will be extremely rare).

Your Notes

CONCEPTUAL FRAMEWORK

Introduction

Purpose

- To assist the **IASB** to develop IFRS Accounting Standards based on consistent concepts
- To assist **preparers** in developing consistent accounting policies when no Standard applies or a Standard allows a choice
- To assist **all parties** to understand and interpret the Standards

Your Notes

OVERVIEW

What will you learn?

Conceptual Framework

Your Notes

I. THE OBJECTIVE OF GENERAL-PURPOSE FINANCIAL REPORTING

1. The objective of general purpose financial reporting

The ***Conceptual Framework*** states that the purpose of financial reporting is to provide information to current and potential investors, lenders and other creditors that will enable them to make decisions about providing economic resources to an entity.

1. If investors, lenders and creditors are going to make these decisions then they require information that will help them assess the:
   - An entity's potential future cash flows, and
   - Management's stewardship of the entity's economic resource
2. To assess an entity's future cash flows, users need information about:
   - Economic resources of the entity e.g. assets
   - Economic claims against the entity e.g. liabilities and equity
   - Changes in economic resources and claims e.g. income and expenses

Your Notes

I. THE OBJECTIVE OF GENERAL-PURPOSE FINANCIAL REPORTING

2. Going concern assumption

KEY POINT

The going concern assumption underlies the preparation of financial statements

01 Going concern assumes that the entity will continue in operation for the foreseeable future. This basis is presumed to apply unless users of financial statements are told otherwise (in the notes to the FS).

02 Therefore, there is neither the intention nor the need to enter liquidation or cease trading.

03 If the going concern is in doubt, a capital reconstruction may be necessary.

Note:
Conceptual Framework 2010: Going Concern and Accrual Basis
However, Following Conceptual Framework 2018 has only Going Concern

Your Notes

II. THE QUALITATIVE CHARACTERISTICS OF USEFUL FINANCIAL INFORMATION

1. Fundamental qualitative characteristics

Relevance

Relevant information is capable of making a difference in the decisions made by users. Financial information is capable of making a difference in decisions if it has predictive value, confirmatory value or both.

Materiality

Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements.

Faithful Representation

A faithful representation reflects substance rather than legal form and is:
- Complete – all information necessary for understanding.
- Neutral – without bias, supported by the exercise of prudence.
- Free from error – processes and descriptions are without error. This does not mean perfectly accurate in all respects.

Your Notes

II. THE QUALITATIVE CHARACTERISTICS OF USEFUL FINANCIAL INFORMATION

2. Enhancing qualitative characteristics

In addition to the two fundamental qualitative characteristics, there are **four** enhancing qualitative characteristics of useful financial information:

Comparability: Investors should be able to compare an entity's financial information year-on-year and on entity's financial information with another

Timeliness: Older information is less useful

Verifiability: Knowledgeable users should be able to agree that a particular depiction of a transaction offers a faithful representation

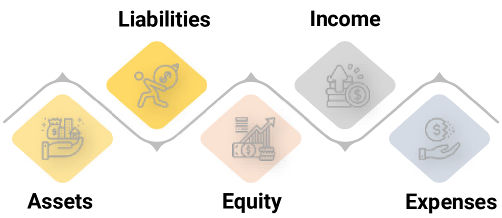
Understandability: Information should be presented as clearly and concisely as possible

Your Notes

III. FINANCIAL STATEMENTS AND REPORTING ENTITY

1. Financial statements

The Conceptual Framework notes that financial statements are a particular type of financial report. The purpose of financial statements is to provide information to users about an entity's:



This information is provided in:

- A statement of financial position
- Statement of financial performance
- Other statements, such as statements of cash flows and notes

Your Notes

III. FINANCIAL STATEMENTS AND REPORTING ENTITY

2. The reporting entity

01 A reporting entity is one that prepares financial statements (either through choice or as a result of legal requirements)

02 Financial statements produced for two or entities that are not parent/subsidiaries are called 'combined financial statements'. It can be difficult in these circumstances to determine the boundary of the reporting entity

03
- Financial statements produced for a reporting entity that comprises a parent company and its subsidiaries are called 'consolidated financial statements'. These financial statements show the parent and its subsidiaries as a single economic entity.
- This information is important for investors in the parent because their economic returns are dependent on distributions from the subsidiary to the parent.

Your Notes

IV. THE ELEMENTS OF FINANCIAL STATEMENTS

1. The elements of financial statements

The elements are building blocks of financial statements:

- Statements of financial position report assets, liabilities and equity
- Statements of financial performance report income and expenses

Economic resource	**Asset**	A present economic resource controlled by an entity as a result of a past event
Economic claim	**Liability**	A present obligation of the entity to transfer an economic resource as a result of a past event
	Equity	The residual interest in the net assets of an entity
Changes in economic resources and claims as a result of financial performance	**Income**	Increases in assets or decreases in liabilities that result in an increase in equity (excluding contributions from equity holders)
	Expenses	Decreases in assets or increases in liabilities that result in decreases in equity (excluding distributions to equity holders)
Other changes in economic resources and claims		Contributions form, and distributions to, equity holders. Exchanges of assets and liabilities that do not increase or decrease equity.

V. RECOGNITION AND DERECOGNITION

1. Recognition

Recognition – the process of capturing for inclusion in the statement of financial position or statement of financial performance an item that meets the definition of an element

Recognition involves
- The depiction of the item in words and by a monetary amount
- The inclusion of that amount in one or more totals in that statement

Only items that meet the definition of an element may be recognised. However, not all items that do meet these definitions are recognised

KEY POINT

Inappropriate recognition can never be rectified by disclosure of the accounting policies used nor by notes or explanatory material.

Your Notes

V. RECOGNITION AND DERECOGNITION

2. Recognition Criteria

Items are only recognised in the financial statements if they **meet** the definition of one of the elements. However, **not all items** meeting these definitions are recognised.

Elements are recognized if recognized provide users with financial information.

Recognised must provide
- **Relevant information.**
- **A faithful representation** of the asset or liability, and resulting income, expenses or equity movements.

01 Recognition might **not** provide relevant information if there is **uncertainty** over the existence of the element or if there is a **low probability** of an inflow or outflow of economic resources.

02 Recognition of an element might not provide a faithful representation if there is a very **high degree of measurement uncertainty**.

03 If an asset or liability is **not** recognised, **disclosures may be required** to ensure users fully understand the reporting entity's economic transactions and the implications that these may have on future earnings and future cash flows.

Your Notes

V. RECOGNITION AND DERECOGNITION

2. Recognition Criteria

Example 1 (Question)

Bottle operates in the publishing industry. The Bottle brand is highly respected and, as a result, the books published by Bottle receive extensive coverage both online and in national and international press. The brand is internally generated and, in accordance with IAS 38 Intangible Assets, is not recognised in Bottle's financial statements.

Required:

Discuss the extent to which the accounting treatment of the Bottle brand is consistent with the Conceptual Framework

Your Notes

V. RECOGNITION AND DERECOGNITION

2. Recognition Criteria

Example 1 (Answer)

- The brand is **an economic resource** controlled by Bottle. It has the **potential to bring economic benefits** because of the exposure that Bottle-branded books receive.
- Despite meeting the definition of an element, the brand is **not** recognised in the financial statements. However, the Conceptual Framework states that elements should **only be recognised** if they provide **relevant information** or **a faithful representation** of the asset or liability. If there is a high degree of measurement uncertainty then recognition may not provide a faithful representation.
- The cost of an internally generated brand cannot be reliably measured. This is because the costs of setting up and developing the brand **cannot be separated from the operating costs** of the business. The fair value of a brand is also very **difficult to determine** because the brands are unique.
- Thus, it would seem that the accounting treatment of the brand, per IAS 38 Intangible Assets, is consistent with the Conceptual Framework

Your Notes

V. RECOGNITION AND DERECOGNITION

3. Derecognition

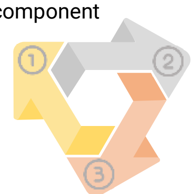
Derecognition is the **removal** of some or all of an asset or liability from the statement of financial position. This normally occurs when the entity:

1. Loses control of the asset, or
2. Has no present obligation for liability

Accounting for derecognition should faithfully represent the changes in an entity's net assets, as well as any assets or liabilities retained.

This is achieved by:

Derecognising any transferred, expired or consumed component



Recognising a gain or loss on the above

Recognising any retained component

Your Notes

V. RECOGNITION AND DERECOGNITION

3. Derecognition

Example

An entity sells a building for $2 million and retains the right to buy it back for $3 million in five year's time. At the date of sale, the building had a fair value of $7 million. Property prices are expected to rise.

The entity does **not derecognise** the building from its statement of financial position. The entity has **not lost control over the building** because its ability to buy the building back for substantially less than fair value enables it to benefit from future price rises.

The cash received would be recognized as **a loan liability.**

Your Notes

Your Notes

VI. MEASUREMENT

1. Historical cost and Current value

The Conceptual Framework refers to two main measurement bases: **historical cost** and **current value**

Historical cost

Based on the transaction price when an asset was acquired/created or a liability was incurred. This measurement basis does not generally reflect changes in values

Current value

Reflect changes in value. The Conceptual framework refers to three current value measurements:

Fair value	The price received to sell an asset or paid to transfer a liability
Value in use/ Fulfilment value	Value in use is the present value of cash flows expected to be derived from the use of an asset and its ultimate disposal. Fulfilment value is the present value of resources transferred to fulfil a liability.
Current cost	The cost of an equivalent asset/consideration that would be received for an equivalent liability, at the measurement date.

Your Notes

VI. MEASUREMENT

2. Selection of a Measurement Basis

Management should refer to the fundamental qualitative characteristics of **relevance and faithful representation** when selecting a measurement basis. Enhancing characteristics should also be considered

Relevance of information is affected by:

1. **How the asset/liability contributes to future cash flows**
   Historical cost or current cost is likely to provide relevant information for assets (e.g. PPE) which indirectly contribute to future cash flows when used in combination with other assets
2. **The characteristics of the asset or liability** (and related income/expense), e.g. if the value of an asset is subject to market fluctuations then fair value may be more relevant than historical cost

VI. MEASUREMENT

2. Selection of a Measurement Basis

Faithful representation is affected by:

1. **Measurement inconsistency**
Using different measurement bases for related assets and liabilities can result in measurement inconsistency (accounting mismatch). More useful information may be provided by selecting the same measurement basis for related assets and liabilities.

2. **Measurement uncertainty** arises when a measure must be estimated and cannot be determined by observing prices in an active market, high levels of measurement uncertainty may result in information that is not as faithful representation.

Your Notes

VI. MEASUREMENT

2. Selection of a Measurement Basis

Example 2 (Question)

Africant is about to hold its annual general meeting with shareholders and the directors wish to prepare for any potential questions which may be raised at the meeting. There have been discussions in the media over the fact that the most relevant measurement method should be selected for each category of assets and liabilities. This 'mixed measurement approach' is used by many entities when preparing financial statements. There have also been comments in the media about the impact that measurement uncertainty and price volatility can have on the quality of financial information.

Required:
Discuss the impact which the above matters may have on the analysis of financial statements by investors in Africant

Your Notes

VI. MEASUREMENT

2. Selection of a Measurement Basis

Example 2 (Answer)

- Some investors might argue in favour of a single measurement basis for all recognised assets and liabilities as the resulting totals and subtotals can have little meaning if different measurement methods are used.
- Similarly, profit or loss may lack relevance if it reflects a combination of flows based on historical cost and value changes for items measured on a current value basis
- However, the majority of investors would tend to favour a mixed measurement approach, whereby the most relevant measurement method is selected for each category of assets and liability. This approach is consistent with how investors analyse financial statements
- The problems of mixed measurement are outweighed by the greater relevance achieved if the most relevant measurement basis is used for each of the assets and liabilities.
- Most accounting measures of assets and liabilities are uncertain and require estimation. While some measures of historical cost are straightforward as it is the amount paid or received, there are many occasions when the measurement of cost can be uncertain – particularly recoverable cost, for which impairment and depreciation estimates are required.

Your Notes

VI. MEASUREMENT

2. Selection of a Measurement Basis

Example 2 (Answer)

- High measurement uncertainty might reduce the quality of information available to investors. High price volatility may make analysing an investment in that entity more challenging. If a relevant measure of an asset or liability is volatile, this should not be hidden from investors
- To conceal its volatility would decrease the usefulness of the financial statements. Of course, such volatile gains and losses do need to be clearly presented and disclosed, because their predictive value may differ from that provided by other components of performance.

Your Notes

VII. PRESENTATION AND DISCLOSURE

1. As Communication Tools

Effective communication in financial statements makes information more **relevant**, contributes to a **faithful representation** of a financial position and performance and enhances the **understandability** and **comparability** of information

Effective presentation and disclosure require:

A focus on presentation and disclosure objectives and principles: achieving a balance between flexibility to provide relevant information that faithfully represents a transaction and achieving comparability

Aggregation of items that are included in the same classification: achieving a balance between summarizing a large volume of detail and concealing detail

Classification based on shared characteristics: grouping similar items, separating dissimilar items and, in general, not offsetting assets and liabilities

Your Notes

VII. PRESENTATION AND DISCLOSURE

2. Profit or loss and other comprehensive income

The statement of profit or loss is the **primary source** of information about an entity's performance. As such, income and expenses should normally be recognized in this statement

When developing or revising standards, the Board notes that it might **require** an income or expense to be presented in other comprehensive income if it results from remeasuring an item to current value and if this means that:

- Profit or loss provides more relevant information
- A more faithful representation is provided of an entity's performance

Income and expenditures included in other comprehensive income should be **reclassified** to profit or loss when doing so results in profit or loss providing more relevant information.

However, the Board may decide the reclassification is **not appropriate** if there is **no clear** basis for identifying the amount or timing of the reclassification.

Your Notes

Your Notes

VII. PRESENTATION AND DISCLOSURE

2. Profit or loss and other comprehensive income

Example 3 (Question)

Cryptocurrencies are digital currencies that operate independently of a central bank. Some businesses now accept cryptocurrencies in place of traditional currencies.

The market price of cryptocurrency is highly volatile. Investors can earn large returns by buying cryptocurrency on an exchange when the quoted price is low selling on an exchange when the quoted price is low and selling on an exchange when the quoted price rises.

Cryptocurrencies have proved problematic with regards to financial reporting because they do not seem to fall within the scope of an issued IFRS or IAS Standard. As such, preparers of financial statements must use the Conceptual Framework to devise an accounting treatment that provides useful information to financial statement users.

Required:
Using the Conceptual Framework, discuss how an entity might account for an investment in cryptocurrency that it holds to trade.

Your Notes

VII. PRESENTATION AND DISCLOSURE

2. Profit or loss and other comprehensive income

Example 3 (Answer)

- The definition of an asset in the Conceptual Framework is an economic resource controlled by an entity from a past event. Cryptocurrency meets this definition because it can be **traded or used to buy goods** and therefore has the **potential to produce economic benefits.**
- Items should be recognised in the financial statements if they **meet** the definition of an element and if **recognition** provides relevant information and a faithful representation of the underlying item. If cryptocurrency is traded then information about such investments will help users when assessing an entity's future cash flows. As such, recognition is appropriate.
- The historical cost of cryptocurrency may differ significantly from its current value. As such, the shareholders are likely to be interested in the current value of the investment because the eventual sale will have a significant impact on future net cash flows.
- Moreover, under historical cost, information about value changes is **not** normally reported until disposal. Therefore it would seem that a measurement based on current value – such as fair value – will provide relevant and timely information to shareholders

VII. PRESENTATION AND DISCLOSURE

2. Profit or loss and other comprehensive income

Example 3 (Answer)

- Whilst the value of cryptocurrency is highly volatile, that value is likely to be extracted from a short-term sale. As such, it would seem that reporting gains and losses in profit or loss would provide the most relevant information about economic performance in the period.
- In conclusion, by applying the Conceptual Framework, an appropriate accounting treatment for an investment in cryptocurrency would be to **remeasure** the investment to fair value at the reporting date and to present the resulting income or expense in the statement of profit or loss.

Your Notes

VIII. CONCEPTS OF CAPITAL AND CAPITAL MAINTENANCE

1. Concepts of capital and capital maintenance

There are two concepts relating to capital:

- **Financial concept** of capital where capital refers to the net assets or equity of an entity
- **Physical concept** of the capital where capital is regarded as the productive capacity of the entity, for example, units of output per day

A financial concept of capital is adopted by most entities.

There are **two** concepts of capital maintenance:

01 Financial capital maintenance

A profit is earned if the financial (money) amount of the net assets at the end of the period exceeds the net assets at the beginning of the period, excluding distributions to/contributions from holders of equity claims during the period.

02 Physical capital maintenance

A profit is made if the physical productive capacity (or operating capability) of the entity at the end of the period exceeds the physical productive capacity at the beginning of the period (excluding any distributions to/contributions from holders of equity claims during the period).

Your Notes

Chapter 1 Quiz

Question 1:

How does the *Conceptual Framework* define an asset?

A. A present economic resource, which is right that has the potential to produce economic benefits, owned by an entity as a result of past events.

B. A present economic resource over which an entity has legal rights. An economic resource is a right that has the potential to produce economic benefits.

C. A present economic resource controlled by an entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.

D. A present economic resource to which an entity has a future commitment as a result of past events. An economic resource is a right that has the potential to produce economic benefits.

Your Notes

Chapter 1 Quiz

Question 2:

The Conceptual Framework identifies four enhancing qualitative characteristics of financial information

Which ONE of the following is NOT an enhancing qualitative characteristic?

A. Verifiability

B. Timeliness

C. Consistency

D. Understandability

Question 3:

The definition of an asset includes which of the following terms:

1. Control
2. Future economic benefits
3. Ownership
4. Past transaction

A. All of the above

B. 1, 2 and 4

C. 2, 3 and 4

D. 1, 2 and 3

Chapter 1 Quiz

Question 4:

Faithful representation means that financial information represents the substance of transactions rather than their legal form.

Which of the following demonstrates a situation where the accounting treatment differs from the legal form of the transaction to ensure faithful representation

A. An asset is depreciated on the straight-line basis

B. The costs of a patent are capitalised

C. An asset is leased and capitalised by the entity that uses the asset

D. An allowance is made for doubtful debts

Your Notes

Chapter 1 Quiz

Answer

Question 1:

The correct answer is C.

A present economic resource controlled by an entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.

Question 2:

The correct answer is C.

Consistency is an important part of **the qualitative comparability characteristic**, but it is not the same thing. Comparability of financial statements is aided by the consistency of policies and methods used, either between companies within the same industry or the same company, between different years.

Your Notes

Chapter 1 Quiz

Answer

Question 3:

The correct answer is B: 1, 2 and 4

According to the International Financial Reporting Standards (IFRS) framework, an asset is a resource controlled by an entity as a result of past events and from which future economic benefits are expected to flow to the entity. Here's how the terms relate to this definition:

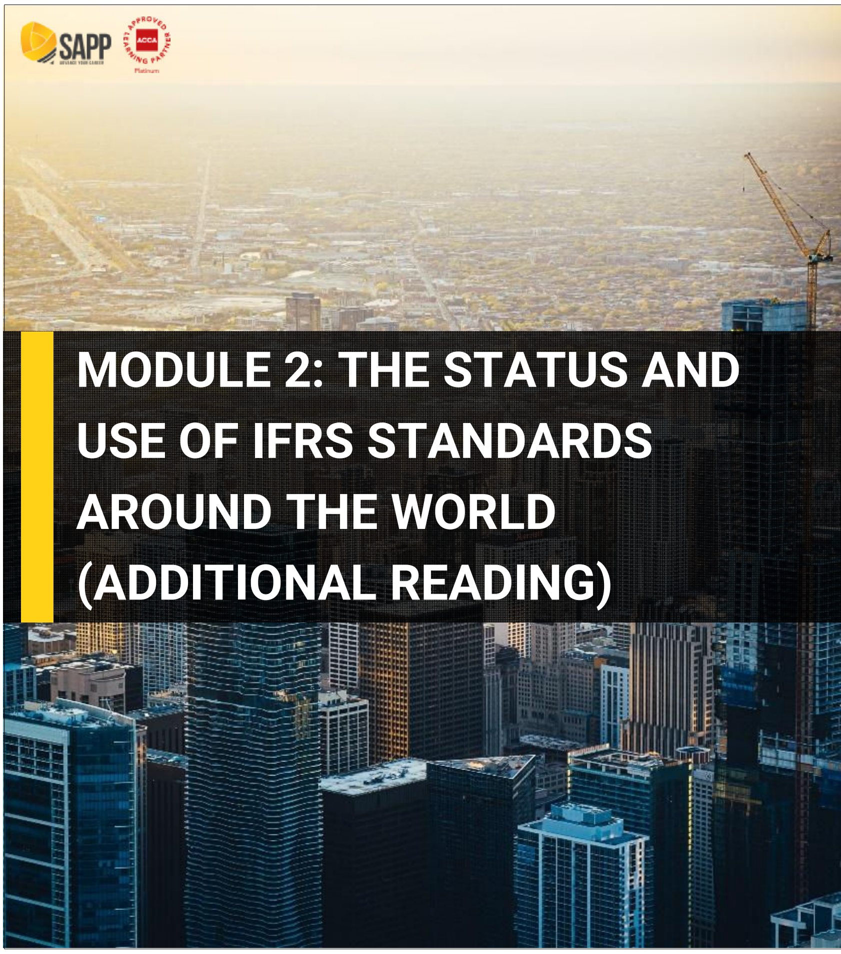
- **Control:** The entity must have control over the resource, meaning it can direct its use and obtain its benefits.
- **Future economic benefits:** The asset must be expected to provide future economic benefits to the entity.
- **Past transaction:** The asset arises from past events or transactions.

Question 4:

The correct answer is C

Legally, the entity may not own the leased asset, but for accounting purposes, if the lease transfers substantially all the risks and rewards of ownership to the lessee, the asset is treated as if the lessee owns it. This ensures that the financial statements reflect the true economic substance of the transaction, providing a faithful representation of the entity's financial position.

Your Notes



Your Notes

I. WHERE HAVE IFRS STANDARDS BEEN ADOPTED?

This module covers the adoption of IFRS Standards throughout the world, the growth of the Board and IFRS Standards and IFRS Standards for small and medium-sized entities.

Individual jurisdictions may permit or require certain companies to apply IFRS Standards:

Europe

All listed companies must apply IFRS Standards

Australasia

Listed companies in Australia and New Zealand must use national standards that are IFRS Standard equivalent

Africa

- Some countries e.g. Nigeria require listed companies to apply IFRS Standards
- Others permit use
- Some prohibit use

Asia

- Some countries e.g. Malaysia have IFRS Standard equivalent national standards
- National standards in India and China are similar to IFRS Standard
- IFRS Standards are one of 4 permissible GAAPs in Japan.

The Americas

- Canada, Brazil, Chile, Mexico, Peru, Uruguay, Chile, Ecuador and Argentina require or permit use of IFRS Standards by listed companies
- US listed companies may not apply IFRS Standards.

II. GROWTH OF THE BOARD AND IFRS STANDARDS

Adoption of IFRS Standards gathers pace worldwide

1973	1989	2001	2005	2006	2007
IASC founded	First Conceptual Framework	The Board replaces IASC	EU adopts IFRS Standards for listed companies	The Board and FASB agree roadmap to convergence	US GAAP convergence now unlikely

III. WHAT STANDARDS CAN SMALL AND MEDIUM-SIZED ENTITIES APPLY?

Non-publicly accountable entities (with some exceptions), no size limits

IFRS for SMEs Standard (simplified, reduced full IFRS Standards)

Periodic reviews to reflect changes to full IFRS Standards

Jurisdictions can adopt the IFRS for SMEs Standard whether or not they have adopted full IFRS Standards

Module 2 Quiz

Question 1:

Which of the following countries prohibits the use of IFRSs by domestic listed companies?

A. Brazil

B. Russia

C. Australia

D. China

Question 2:

Which of the following type(s) of entity is (are) eligible to use the IFRS for SMEs?

1. An unlisted bank
2. A listed company that meets size thresholds for a small entity
3. An unlisted company of any size

A. 2 only

B. 3 only

C. 1 and 3

D. 2 and 3

Your Notes

Module 2 Quiz

Question 3:

Which of the following statements is true?

A. The IFRS for SMEs may only be adopted by jurisdictions that have no national standards

B. The IFRS for SMEs was developed by the IASB based on a number of existing national standards for SMEs

C. The IFRS for SMEs may be adopted by any jurisdiction, regardless of whether it has adopted full IFRS

D. The IFRS for SMEs allows the same accounting options as full IFRSs but reduces the level of required disclosures significantly

Your Notes

Module 2 Quiz

Answer

Question 1:

The correct answer is D.

China prohibits using IFRSs by domestic listed companies because it has its own set of accounting standards, known as the Accounting Standards for Business Enterprises (ASBE), which are mandatory for all listed companies in China. Although China has been working towards convergence with IFRS, it has not yet adopted IFRS for domestic listed companies.

Question 2:

The correct answer is B.

The IFRS for SMEs is a simplified version of IFRS that is designed for small and medium-sized entities (SMEs). It is not suitable for listed companies or banks, regardless of their size.

Therefore, option 1 (an unlisted bank) and option 2 (a listed company that meets size thresholds for a small entity) are not eligible to use the IFRS for SMEs.

Your Notes

Module 2 Quiz

Answer

Question 3:

The correct answer is C.

The IFRS for SMEs is a self-contained standard that can be adopted by any jurisdiction, regardless of whether it has adopted full IFRSs. It was developed by the International Accounting Standards Board (IASB) based on full IFRS, but it is not a subset of full IFRS.

The IFRS for SMEs is designed to be easier and less costly to implement than the full IFRS, making it more suitable for small and medium-sized entities (SMEs).

Option A is not true, as the IFRS for SMEs can be adopted by jurisdictions that have their own national standards.

Option B is not true, as the IFRS for SMEs was not developed based on a number of existing national standards for SMEs.

Option D is not true, as the IFRS for SMEs does not allow the same accounting options as full IFRSs. It has a reduced set of accounting options and reduced disclosure requirements compared to full IFRSs.

Your Notes

MODULE 3: PRESENTATION, REVENUE AND PROFIT

Your Notes

CHAPTER 2: PRESENTATION AND DISCLOSURE IN FINANCIAL STATEMENTS

Your Notes

Your Notes

OVERVIEW

What will you learn?

IFRS 18 PRESENTATION AND DISCLOSURE IN FINANCIAL STATEMENTS

Preparation of financial statements for companies
- Aggregation and disaggregation
- Statement of financial position
- Statement of changes in equity (SOCIE)
- Statement of profit or loss and other comprehensive income

Introduction to Published Financial Statements

Your Notes

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

1. IFRS 18 Presentation and Disclosure in Financial Statements

IFRS 18 *Presentation and Disclosure in Financial Statements* states that a complete comprises:

1. A statement of financial position
2. Either
   - A statement of profit or loss and other comprehensive income, or
   - A statement of profit or loss plus a separate statement showing comprehensive income
3. A statement of changes in equity
4. A statement of cash flows
5. Accounting policies and explanatory notes.

IFRS 18 does **NOT** require the above titles to be used by companies. Companies may continue to use the previous terms of balance sheet rather than statement of financial position, income statement instead of statement of profit or loss, and cash flows statement rather than statement of cash flows.

Your Notes

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

2. Aggregation and Disaggregation

For presentation purposes, **assets, liabilities, equity, income and expenses** should be combines (or aggregated) where those items have shares characteristics. Where items do not share characteristics, these items should be shown separately (or disaggregated).

In some cases, it may provide clearer information to present items separately on the face of the statement of profit or loss or statement of financial position.

Examples could include:

1 Impairment of property, plant and equipment
2 Restructuring costs
3 Litigation settlements
4 Reversals of provisions
5 Lease liabilities
5 Goodwill

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

3. Statement of financial position

A recommended format is as follows:

XYZ: Statement of financial position as at 31 December 20X8		
Assets	$	$
Non-current assets:		
Property, plant and equipment		X
Investments		X
Intangible assets		X
		X
Current assets:		
Inventories	X	
Trade receivables	X	
Cash and cash equivalents	X	
		X
Total assets		**X**

Equity and liabilities	**$**	**$**
Capital and reserves:		
Share capital	X	
Retained earnings	X	
Other components of equity	X	X
Total equity		**X**
Non-current liabilities:		
Borrowings	X	
Deferred tax	X	
		X
Current liabilities:		
Trade and other payables	X	
Income taxes payable	X	
Provisions	X	
		X
Total equity and liabilities		**X**

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

3. Statement of financial position

Note that IFRS 18 requires an asset or liability to be classified as current if:

- It will be **settled within 12 months** of the reporting date, or
- It is **part of the entity's normal operating cycle**.

Within the equity section of the statement of financial position, other components of equity could include:

- Revaluation surplus
- Share premium
- Investment reserve

Your Notes

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

4. Statement of changes in equity (SOCIE)

The statement of changes in equity provides a summary of all changes in equity arising from transactions with owners in their capacity as owners.

This includes the effect of share issues and dividends.

Other non-owner changes in equity, such as comprehensive income, are disclosed in aggregate only.

XYZ Group Statement of changes in equity for the year ended 31 December 20X8

	Share capital	Share premium	Revaluation surplus	Retained earnings	Total equity
	$	$	$	$	$
Balance at 31 December 20X7	X	X	X	X	X
Prior year adjustment (IAS 8)				(X)	(X)
Restated balance	X	X	X	X	X
Dividends				(X)	(X)
Issue of share capital	X	X			X
Total comprehensive income			X	X	X
Transfer to retained earnings			(X)	X	_
Balance at 31 December 20X8	X	X	X	X	X

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

5. Statement of profit or loss and other comprehensive income

1. Total comprehensive income is the realized profit or loss for the period, **plus** other comprehensive income.

2. Other comprehensive income (OCI) is income and expenses that are **not** recognized in profit or loss (i.e. they are recorded in reserves rather than as an element of the realized profit for the period).

IFRS 18 *Presentation and Disclosure in Financial Statements* requires the preparation of either:

01 A statement of profit or loss and other comprehensive income showing total comprehensive income, or

02 A statement of profit or loss showing the realized profit or loss for the period and a separate statement showing comprehensive income.

Your Notes

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

5. Statement of profit or loss and other comprehensive income

A typical recommended format as follows:

XYZ Group – Statement of profit or loss and other comprehensive income for the year ended 31 December 20X8

	$
Revenue	X
Cost of sales	(X)
Gross profit	X
Other operating income	X
Distribution expenses	(X)
Administrative expenses	(X)
Other operating expenses	(X)
Operating profit	**X**
Share of profit of associates	X
Income from other investments	X
Profit before financing and income taxes	**X**
Interest expenses	(X)
Profit before income taxes	X
Income tax expense	(X)
Profit for the year	**X**
Other comprehensive income	
Gain/loss on revaluation	X
Gain/loss on fair value through other comprehensive income financial assets	X
Total comprehensive income for the year	**X**

Note:

Descriptions in bold are mandatory per IFRS 18. Items not in bold may be presented differently from those shown above, where this provides a more informative description.

I. PREPARATION OF FINANCIAL STATEMENTS FOR COMPANIES

5. Statement of profit or loss and other comprehensive income (additional reading)

Alternative presentation

Statement of profit or loss plus statement of comprehensive income

A recommended format for the statement of profit or loss is as follows:

XYZ Statement of profit or loss for the year ended 31 December 20X8

	$
Revenue	X
Cost of sales	(X)
Gross profit	X
Distribution expenses	(X)
Administrative expenses	(X)
Operating profit	**X**
Income from investments	X
Profit before financing and income taxes	**X**
Interest expenses	(X)
Profit before income taxes	**X**
Income tax expense	(X)
Profit for the year	**X**

A recommended format for the presentation of the statement of other comprehensive income is:

XYZ Statement of other comprehensive income for the year ended 31 December 20X8

Profit for the year	X
Other comprehensive income	
Gain/loss on revalutaion	X
Gain/loss on fair value through other comprehensive income financial assets	X
Total comprehensive income for the year	X

II. INTRODUCTION TO PUBLISHED FINANCIAL STATEMENTS

Example 1: Pau Statement of profit or loss and other comprehensive income for the year ended 31 March 20X1

	$000
Revenue	5,300
Cost of sales	(1,350)
Gross profit	3,950
Distribution expenses	(370)
Administrative expenses	(490)
Operating profit	**3,090**
Income from investments	210
Profit before financing and income taxes	**3,300**
Interest expenses	(190)
Profit before income taxes	**3,110**
Income tax expense	(470)
Profit for the year	**2,640**

Pau Statement of changes in equity for year ended 31 December 20X1

	Share capital	Share premium	Retained earnings	Total
	$000	$000	$000	$000
Balance at 1 April 20X0	1,500	800	1,163	3,463
Total comprehensive income			2,640	2,640
Dividends			(390)	(390)
Balance at 31 March 20X1	1,500	800	3,413	5,713

Note: Dividends declared after the year-end will not be adjusted for.

Your Notes

II. INTRODUCTION TO PUBLISHED FINANCIAL STATEMENTS

Example 1:

Pau Statement of financial statement for the year ended 31 March 20X1

	$000	$000
Non-current assets		
Property, plant and equipment		4,250
Current assets		
Inventories	114	
Trade receivables	418	
Prepayments	25	
Investments	2,700	
Cash and cash equivalents	12	
		3,269
Total assets		**7,519**
Equity		
Share capital		1,500
Share premium		800
Retained earnings		3,413
		5,713
Non-current liabilities		
Loans		1,200
Current liabilities		
Trade payables	136	
Income taxes payable	470	
		606
Total equity and liabilities		**7,519**

Your Notes

Chapter 2 Quiz

Question 1:

Should the going concern assumption be dropped when part of a reporting entity is suffering financial difficulty?

You should refer to the text of the standard when answering all exercises.

Your answer:

Your Notes

Chapter 2 Quiz

Answer

Question 1:

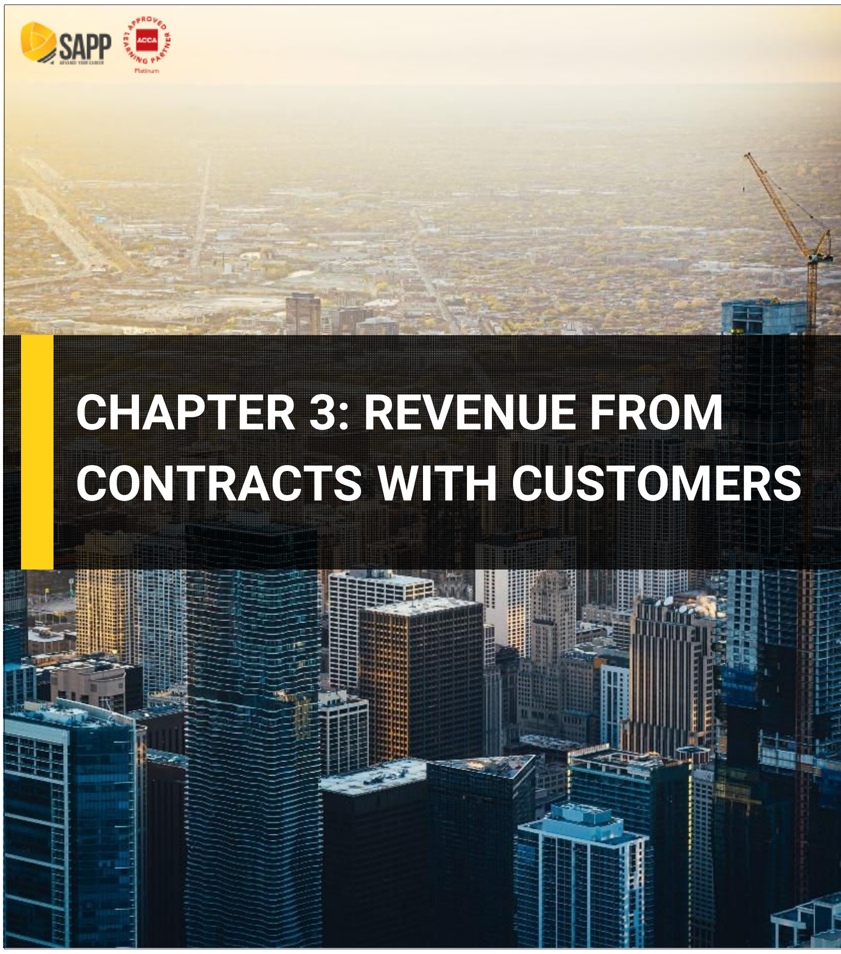
According to the text of the standard, the going concern assumption should not be dropped when part of a reporting entity is suffering financial difficulty. The going concern assumption presumes that a company will continue normal business operations into the future. When liquidation is imminent, the liquidation basis of accounting is used instead.

The standard requires management to decide whether there are conditions or events that raise substantial doubt about the company's ability to continue as a going concern within one year after the date that the financial statements are issued. Substantial doubt exists when relevant conditions and events, considered in the aggregate, indicate that it's probable that the company won't be able to meet its current obligations as they become due.

In the case of a reporting entity suffering financial difficulty, management should assess whether there are conditions or events that raise substantial doubt about the company's ability to continue as a going concern. If substantial doubt exists, management should consider whether any mitigating plans will alleviate the substantial doubt.

Therefore, the going concern assumption should **not** be dropped simply because part of a reporting entity is suffering financial difficulty. Instead, management should assess the situation and provide appropriate disclosures in the financial statements.

Your Notes



Your Notes

OVERVIEW

What will you learn?

IFRS 15 REVENUE FROM CONTRACTS WITH CUSTOMERS

Recognition and Measurement

- Criteria
- Five steps model for revenue recognition

Common types of transaction

- 6 common types of transaction

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

1. Criteria to recognize revenue

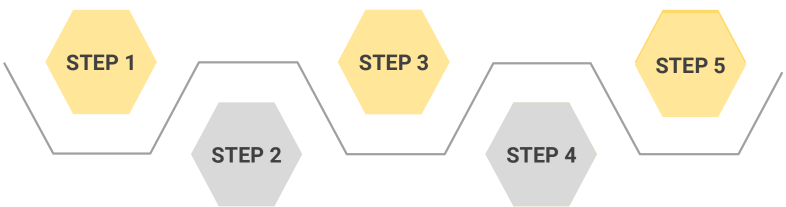
The revenue is recognized to depict the transfer of goods or services to a customer in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.
The transfer of goods and services is evidenced by the **transfer of control.**

2. Five steps model for revenue recognition

Identify the contracts with the customers

Determine the transaction price

Recognize revenue when (or as) a performance obligation is satisfied



Identify the separate performance obligations

Allocate the transaction price to the performance obligations

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.1 Identifying the contracts with the customers

The contracts with the customers must ***satisfy 5 following*** criteria:

5 criteria

- All parties have **approved the contract** and **committed to perform** their **respective obligations**
- The entity can **identify each party's rights** and **obligations** regarding the goods or **services to be transferred**
- **The payment terms** for the goods or services **can be identified**
- The contract has **commercial substance**
- It is probable to collect **consideration**

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.1 Identifying the contracts with the customers

Example 1:

Identify the contract:

Hawkeye has a fiscal year end of 31 December 20X8. On 30 September 20X8, Hawkeye signed a contract with a customer to provide them with an asset on 31 December 20X8. Control over the asset passed to the customer on 31 December 20X8. The customer will pay $10m on 30 June 20X9. By 31 December 20X8, Hawkeye did not believe that it was probable that it would collect the consideration that it was entitled to.

Required: Identify that whether this is a contract.

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.1 Identifying the contracts with the customers

Example 1: Answer

Guidance: Apply 5 criteria above to consider

- Hawkeye signed a contract with a customer → Approved by all parties.
- Hawkeye provide customer with an asset on 31 December 20X8 and Customer: Pay $10m on 30 June 20X9 → Can identify right and obligations.
- Pay $10m on 30 June 20X9 → Can identify payments term.
- This is a contract to purchase asset → Have commercial substance.
- Hawkeye did not believe that it was probable that it would collect the **consideration** → Do not satisfy criteria probable to collect consideration of a contract

⇒ This is **NOT** a contract.

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.2 Identifying the separate performance obligations

There are **two cases** that occur when identify single performance obligations:

01 **Distinct goods/services**

- **Customer can benefit** from the goods or services
- Entity's promise to transfer the good or service is **separately identifiable**

02 **Series of distinct goods or services**

- A **single method** of measuring
- A performance obligation that is **satisfied over time**

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.2 Identifying the separate performance obligations

Example 2:

Required: Identify the following cases are distinct goods/services or series of distinct goods/services:

1. Stark plc is contracted to build a resort for a customer. It will design the building, purchase materials, prepare the site, construct the property, install writing and air conditioning and finish the property.
2. Stark plc is contracted to provide office equipment as well as technical support for the customer. The customer agrees to pay more money for the technical support.

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.2 Identifying the separate performance obligations

Example 2: Answer

1. Although each element of the construction process is capable of being distinct. However, the company provides a significant service in integrating the input **processes to produce a property (performance obligation that is satisfied over time)** → Series of distinct goods/services

There is a single performance obligation, being the construction of the property.

2. Stark can receive benefit from office equipment or technical support

The customer agrees to pay office equipment and technical support separately

→ The good or service is **separately identifiable** → Distinct goods/services.

There are 2 single performance obligations in this case.

Your Notes

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.3 Determine the transaction price

When determining the transaction price of a contract, entity should consider the effects of following elements:

4 elements

Significant financing component

Different between:
- amount of promised consideration and the cash selling price.
- transfer of the goods or services & payment date

Variable consideration

An amount of consideration can vary because of discounts, rebates or other similar items

Consideration payable to customer

- Consideration payable as an exchange of goods/services
- Consideration payable NOT as an exchange of goods /services

Non-cash consideration

The value of the non-cash consideration may vary because of the form of the consideration

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.3 Determine the transaction price

Example 3:

On 1 January 2021, company A transferred goods to company B and company B accepted those goods. The contract terms includes that company A will be received a payment from company B of $10m on 1 January 2023. The relevant discount rate in this case is 6%.

Required: When should company A recognize the contract revenue and calculate the amount of revenue.

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.3 Determine the transaction price

Example 3: Answer

The goods was transferred to company B on 1 January 2021, therefore, company A should recognize the revenue on 1 January 2021.

The contract revenue = Present value of the payment

$$= \$10m \times \frac{1}{(1+6\%)^2} \approx \$8.9m$$

1/1/2021:	1/1/2023:
Dr Receivables Cr Revenue	Dr Cash Cr Receivables Cr Finance income

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.3 Determine the transaction price

Example 4:

Taplop Co supplies laptop computers to large businesses. On 1 July 20X5, Taplop Co entered into a contract with TrillCo, under which TrillCo was to purchase laptops at $500 per unit. The contract states that if TrillCo purchases more than 500 laptops in a year, the price per unit is reduced retrospectively to $450 per unit. Taplop's year end is 30 June.

a) As at 30 September 20X5, TrillCo had bought 70 laptops from Taplop. Taplop Co therefore estimated that TrillCo's purchases would not exceed 500 in the year to 30 June 20X6, and TrillCo would therefore not be entitled to the volume discount.

b) During the quarter ended 31 December 20X5, TrillCo expanded rapidly as a result of a substantial acquisition, and purchased an additional 250 laptops from Taplop Co. Taplop Co then estimated that TrillCo's purchases would exceed the threshold for the volume discount in the year to 30 June 20X6.

Required: Calculate the revenue Taplop Co would recognise in:

a) Quarter ended 30 September 20X5

b) Quarter ended 31 December 20X5

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.3 Determine the transaction price

Example 4: Answer

a) It was **highly probable that a significant reversal in the cumulative amount of revenue recognized** ($500 per laptop) would not occur when the uncertainty was resolved, that is when the total amount of purchases was known. → Taplop Co should recognize revenue of $35,000 (=70 x$500) for the first quarter ended 30 September 20X5.

b) It would be reasonable to conclude that TrillCo's purchases **would exceed the threshold for the volume discount in the year to 30 June 20X6, and therefore that it was appropriate to retrospectively reduce the price** to $450 per laptop. By contrast, revenue will be adjusted in quarter 2 (not retrospectively adjust in quarter 1)

Taplop Co should therefore recognize revenue $109,000 that come from:

- Revenue of additional 320 laptops = 320 laptops x $450 = $144,000
- Less the revenue of 70 laptops regconised in the quarter ended 30 September 20X5 = $35,000 (70 laptops x$500)

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.4 Allocation of the transaction price to the performance obligations

Transaction price must **allocate based on stand-alone price** of each performance obligation

2.5 Recognition of revenue when (or as) a performance obligation is satisfied

The entity satisfies a performance obligation by transferring control of a promised good or service to the customer (IFRS 15: para. 31).

- Customer simultaneously receives and consumes the benefits provided by entity's performance
- Entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced
- Entity's performance does **NOT** create an asset with an alternative use to the entity and the entity has an enforceable right to payment (for performance completed to date)

If **NOT** satisfied **ALL** three above criteria → Recognize at a **point in time**

If satisfied **AT LEAST ONE** of above criteria → Recognize revenue **over time**

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.5 Recognition of revenue when (or as) a performance obligation is satisfied

Example 5:

Apply 5 steps model

Wayne Co sells a cable TV system to Reus under the following terms on 1st January 20X8.

Reus has to pay a monthly fee of $160 for 12 months. Reus receives a cable TV set top box and access to all the TV channels.

The contract does not contain any other conditions and, once signed, the receipt of the consideration is unconditional.

Wayne Co sells the set top box by itself for $500 and charges monthly access to the TV service without the set top box for $130 a month.

Required: What amount of revenue should Wayne Co recognize in the year ended 31 March 20X8?

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.5 Recognition of revenue when (or as) a performance obligation is satisfied

Example 5: Answer

Step 1: Identify the contract

This is an agreement between Wayne and Reus for the provision of 12 months period.

Step 2: Identify the separate performance obligations within a contract

There are two performance obligations within the contract:

- Deliver a set top box
- Deliver cable TV access for 12 months

Step 3: Determine the transaction price

The total transaction price is $1,920 ($160 × 12 months).

Step 4: Allocate the transaction price to the performance obligations in the contract

	Standalone price	% Total	Revenue
Box	$500	24.3%	$466 ($1,920 × 24.3%)
Cable TX access	$1,560 ($130 × 12)	75.7%	$1,454 ($1,920 × 75.7%)
Total	$2,060		$1,920

Your Notes

I. RECOGNITION AND MEASUREMENT OF REVENUE

2. Five steps model for revenue recognition

2.5 Recognition of revenue when (or as) a performance obligation is satisfied

Example 5: Answer

Step 5: Recognize revenue when (or as) a performance obligation is satisfied

- Box has been passed to the Reus so the full goods revenue of $466 should be recognized on 31 March 20X8.
- Access is provided over time (12 months), so revenue from this should be recognized over time. In the year ended 31 December 20X8, revenue of $362 (3/12 x $1,454) should be recognized.

Debit Cash	$480 *($160 × 3)*	Credit Revenue	$828 *($466 + $362)*
Debit Trade receivable	$348		

IFRS 15	IAS 18
Record all amount of Box ($466) lead to amount of revenue in first year (20X8) is $828 – higher than under IAS 18	Record revenue of $480 ($1,920 x 3/12) in first year (20X8) – lower than under IFRS 15

Your Notes

II. COMMON TYPES OF TRANSACTION

Common types of transactions

- Repurchase arrangements
- Right of return
- Warranties
- Principal vs Agent
- Consignment arrangements
- Bill-and-hold agreement

Your Notes

II. COMMON TYPES OF TRANSACTION

1. Sell goods with a right of return

An entity **transfers control** of a product to a customer and also grants the customer the **right to return** the product for various reasons and receive any combination.

Apply to

- A full or partial refund of any consideration paid.
- A credit that can be applied against amounts owed to the entity.
- Another product in exchange.

NOT apply to

- Exchange by customers of one product for another of the same type, quality, condition and price.
- Return of a defective product in exchange for a functioning product (Warranties).

Your Notes

II. COMMON TYPES OF TRANSACTION

1. Sell goods with a right of return

Recognition for A full or partial refund of any consideration paid

Initially
Recognize the transfer of products with a right of return

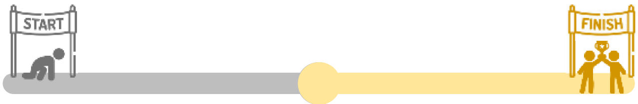
Items	Amount
Revenue	Total consideration **less** expected returns
Refund liability	Expected returns
Cost of goods sold (COGS)	Carrying amount of product sold **less** right to recover goods
Asset – right to recover goods	Carrying amount of products returned **less** expected recovery cost
Inventory	Carrying amount of products transferred

Your Notes

II. COMMON TYPES OF TRANSACTION

1. Sell goods with a right of return

Recognition for A full or partial refund of any consideration paid



Subsequently
Recognize changes in expectations about the refund measurements

Items	Amount
Refund liability	Expected revenue returns
Asset – right to recover goods	Recovery cost

Your Notes

II. COMMON TYPES OF TRANSACTION

1. Sell goods with a right of return

Example 6:

Retailer B sells 100 products at a price of $50 each. The sales contract allows the customer to return any undamaged products within 30 days and receive a full refund in cash. Each product costs $10. B estimates that three products will be returned and a subsequent change in the estimate will not result in a significant revenue reversal.

The costs of recovering the products will not be significant and the products can be resold at a profit.

Required: How to account for this transaction when:

a) Transfer of the products to the customer reflects company's expectation that three products will be returned;

b) Two products returned;

c) One product unreturned (expiry of the right of return products)

Your Notes

II. COMMON TYPES OF TRANSACTION

1. Sell goods with a right of return

Example 6: Answer

a) Initially, for the transfer of products with a right of return, an entity will recognize as follow:

Recognize revenue		**Recognize refund liability**	
Dr Cash	$4,850 (97 x $50)	Dr Cash	$150 (3 x $50)
Cr Revenue	$4,850	Cr Refund liability	$150
Recognize COGS		**Recognized Asset – right to recover goods**	
Dr COGS	$970 (97 x $10)	Dr Asset – right to recover goods	$30 (3 x $10)
Cr Inventory	$970	Cr Inventory	$30

Your Notes

II. COMMON TYPES OF TRANSACTION

1. Sell goods with a right of return

Example 6: Answer

b) Subsequently, two products returned

Adjust refund liability		Adjust asset – right to recover goods	
Decrease in cash		**Increase in inventory**	
Dr Refund liability *(2 x $50)*	$100	Dr Inventory *(2 x $10)*	$20
Cr Cash	$100	Cr Asset – right to recover goods	$20

c) Subsequently, one products unreturned

Adjust refund liability		Adjust asset – right to recover goods	
Increase in Revenue		**Increase in COGS**	
Dr Refund liability *(1 x $50)*	$50	Dr COGS *(1 x $10)*	$10
Cr Revenue	$50	Cr Asset – right to recover goods	$10

Your Notes

II. COMMON TYPES OF TRANSACTION

2. Warranties

In case of warranties, entity should determine whether the warranties is recognize as provision under IAS 37 or not.

The customer have the option to purchase the warranty **separately** from the product?

Yes	No
Accounted for in accordance with **IFRS 15** *(recognized according to 5-step model)*	Accounted for in accordance with **IAS 37** *(will be mentioned in lesson about IAS 37)*

Example 7:

Mobile Co sells hand phones to the customers with price of $400. Mobile Co has the policy of 1-year warranty, which is embedded in the purchase of hand phones.

Mobile Co also provide the users the warranty package called Extended warranty package which could be purchased separately from the hand phone at the price of $50 per year.

Required: How should Mobile Co recognize the revenue from the contract?

Your Notes

II. COMMON TYPES OF TRANSACTION

2. Warranties

Example 7: Answer

1-year warranty	Extended warranty package
It could **NOT be purchased separately** from hand phone	It could be **purchased separately** from hand phone at the price of $50 per year.
Accounted for in accordance with **IAS 37** *(will be mentioned in lesson about IAS 37)*	Accounted for in accordance with **IFRS 15** *(recognized according to 5-step model)*

Your Notes

II. COMMON TYPES OF TRANSACTION

3. Principal and Agent

There are some indicators to determine whether an entity is principal or not

- Party is primarily responsible for fulfilling the contract.
- The entity has inventory risk before or after the goods have been ordered by a customer, during shipping or on return.
- The entity has discretion in establishing prices for the other party's goods or services.
- The entity is exposed to credit risk for the amount receivable from a customer in exchange for the other party's goods or service

Treatment for repurchase agreement rely on following graph:

Principal and Agent

Principal	Agent
Revenue = Gross amount of the consideration	Revenue = Commission

Your Notes

II. COMMON TYPES OF TRANSACTION

3. Principal and Agent

Example 8:

RUS Co, a ticket agency, sells tickets to a theatre show for $100. RUS Co is entitled to a commission of 5% of the ticket price and passes the remainder to the theatre. The tickets are non-refundable and there is no sales tax.

Required: Calculate the revenue to be recognized for the current financial period.

Answer

Principal	
Dr Cash received *($100 x 95%)*	$95
Dr Selling expense	$5
Cr Revenue	$100

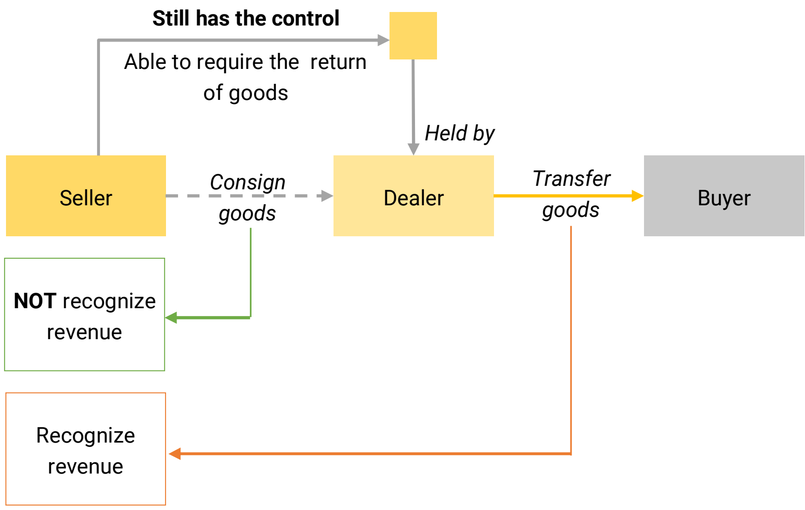
Agent	
Dr Cash received *($100 x 5%)*	$5
Cr Revenue (Commission)	$5

Your Notes

II. COMMON TYPES OF TRANSACTION

4. Consignment arrangement

Consignment arrangement occurs when an entity delivers a product to another party, the product may be held in a consignment arrangement if that other party has not obtained control of the product.



Your Notes

II. COMMON TYPES OF TRANSACTION

4. Consignment arrangement

Example 9:

A wholesaler sells goods to a retailer for $42,000 on credit on 31 August 20X1 and accounts for them as a sale revenue immediately. The wholesaler sells at a mark-up of 20% on cost.

The retailer will sell the goods to the final customer but can return any unsold goods for a refund. No goods were sold to the final customer on 30 September 20X1.

After that, 40% of the goods were sold to the final customer at 31 December 20X1.

Required: What are the adjustments needed to correct the wholesaler's financial statements for the year ended 31 December 20X1?

Your Notes

II. COMMON TYPES OF TRANSACTION

4. Consignment arrangement

Example 9: Answer

At the year ended 31 December 20X1, only 40% of the goods were sold to the final customer, so only 40% of the sale ($42,000) should be recognized as revenue.

The wholesaler accounted for $42,000 as a sale revenue immediately at 31 August 20X1 is wrong.

The wholesaler sells at a mark-up of 20% on cost:

Sale		$42,000	120%
COGS	*($42,000 x 100/120)*	$35,000	100%
Profit	*($42,000 x 20/120)*	$7,000	20%

The adjustments needed to correct the wholesaler's financial statements for the year ended 31 December 20X1 are as follow:

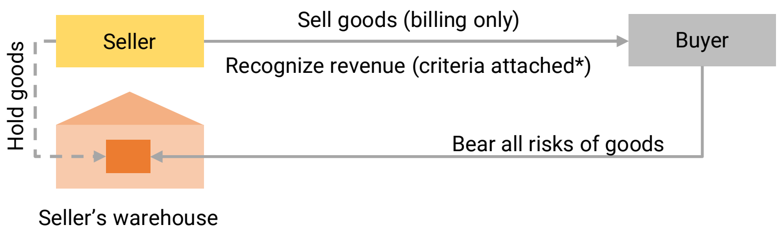
Dr Revenue	*($42,000 – $42,000 x 40%)*	$25,200
Cr Trade receivable		$25,200
Dr Inventory	*($35,000 – $35,000 x 40%)*	$21,000
Cr COGS		$21,000

Your Notes

II. COMMON TYPES OF TRANSACTION

5. Bill-and-hold arrangements

A **bill-and-hold arrangement** is a contract under which an entity bills a customer for a product but the entity retains physical possession of the product until it is transferred to the customer at a point in time in the future.



(*) For a customer to have obtained control of a product in a bill and hold arrangement, the following criteria must all be met:

- The reason for the bill-and-hold must be substantive.
- The product must be separately identified as belonging to the customer.
- The product must be ready for physical transfer to the customer.
- The entity cannot have the ability to use the product or to transfer it to another customer.

Your Notes

II. COMMON TYPES OF TRANSACTION

5. Bill-and-hold arrangements

Example 10:

An entity enters into a contract with a customer on 1 January 20X8 for the sale of a machine and spare parts. The manufacturing lead time for the machine and spare parts is two years.

On 31 December 20X9, the customer pays for the machine and spare parts, but only takes physical possession of the machine. Although the customer inspects and accepts the spare parts, the customer requests that the spare parts be stored at the entity's warehouse because of its close proximity to the customer's factory.

The customer has legal title to the spare parts and the parts can be identified as belonging to the customer. Furthermore, the entity stores the spare parts in a separate section of its warehouse and the parts are ready for immediate shipment at the customer's request. The entity expects to hold the spare parts for two to four years and the entity does not have the ability to use the spare parts or direct them to another customer.

Required: Identify whether the entity should recognize revenue for the contract on 31 December 20X9?

Your Notes

II. COMMON TYPES OF TRANSACTION

5. Bill-and-hold arrangements

Example 10: Answer

The entity can recognize revenue on 31 December 20X9 because criteria are met:

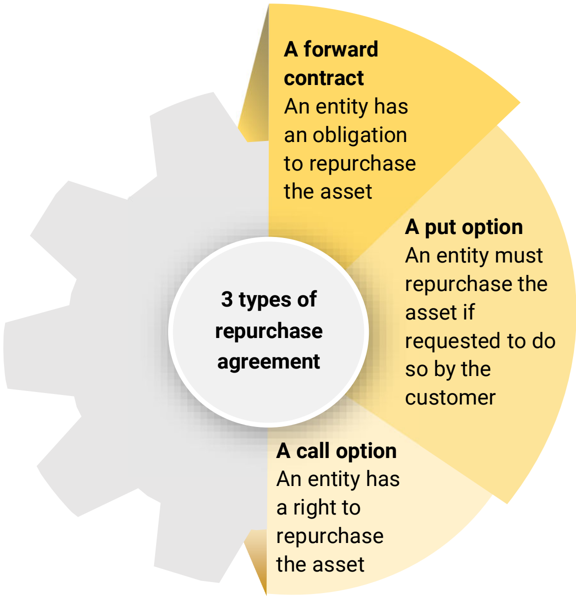
- The customer requests that the spare parts be stored at the entity's warehouse → "The reason for the bill-and-hold must be substantive" is satisfied
- The customer has legal title to the spare parts and the parts can be identified as belonging to the customer → "The product must **be separately identified** as belonging to the customer" is satisfied
- The parts are ready for immediate shipment at the customer's request → "The product must be **ready for physical transfer to the customer**" is satisfied
- The entity does not have the ability to use the spare parts or direct them to another customer → "The entity **cannot have the ability to use** the product or to **transfer it to another customer**" is satisfied

Your Notes

II. COMMON TYPES OF TRANSACTION

6. Repurchase agreement

A repurchase agreement is a contract in which an entity sells an asset and also **promises or has the option** (either in the same contract or in another contract) to **repurchase the asset**.



Your Notes

II. COMMON TYPES OF TRANSACTION

6. Repurchase agreement

Accounting treatment (Forward contract + Call option)

Repurchase price < Original selling price	Repurchase price ≥ Original selling price
Treatment as a **lease** according to IFRS 16	Treatment as a **financing arrangement** (secured loan) according to IFRS 9

Example 11: Forward contract

As at 1 January 20X1, A enters into a contract with B to sell a car for $10,000. The contract is a forward contract that makes A have an obligation to repurchase the same car at 31 December 20X1 at a repurchase price.

Required: How would A account for the forward contract, if:

a) The repurchase price is $8,500

b) The repurchase price is $12,000

Your Notes

II. COMMON TYPES OF TRANSACTION

6. Repurchase agreement

Example 11: Answer

Repurchase price ($8,500) **<** Original selling price ($10,000)	Repurchase price ($12,000) **>** Original selling price ($10,000)
Treatment as a **lease** according to **IFRS 16** *(see more in lesson about IFRS 16)*	• Treatment as a **financing arrangement** according to **IFRS 9** • The $2,000 difference is accounted as interest expense *(see more in the lesson about IFRS 9)*

Your Notes

Chapter 3 Quiz

Question 1:

Consignment inventory is an arrangement whereby inventory is held by one party but owned by another party. It it common in the motor trade.

Which TWO of the following indicate that the inventory in question is consignment inventory?

A. Manufacturer can require the dealer to return the inventory

B. Dealer has no right of return of the inventory

C. Manufacturer bears obsolescence risk

D. Dealer bears slow movement risk

Your Notes

Your Notes

Chapter 3 Quiz

Question 2:

Newmarket Co's revenue as shown in its draft statement of profit or loss for the year ended 31 December 20X9 is $27m. This includes $8m for goods sold on 31 December 20X9 on which Newmarket Co will provide ongoing support services for two years after the sale.

The supply of the goods and the provision of services are separate performance obligations under the terms of IFRS 15 Revenue from Contracts with Customers.

The cost of providing support services is estimated at $800,000 per annum. Newmarket Co applies a 30% mark-up to all service costs.

At what amount should revenue be recognized in the statement of profit or loss of Newmarket Co for the year ended 31 December 20X9? (Ignore the effects of the time value of money and enter your answer to the nearest whole $.)

$ ______

Your Notes

Chapter 3 Quiz

Answer

Question 1:

The correct answer is A and C

According to IFRS 15, when a product is delivered to a customer under a consignment arrangement, the customer (dealer) does not obtain control of the product at that point in time.

- **Statement (1) and (3)** are correct because they indicate that manufacturer retains ownership of the inventory.
- **Statement (2) and (4)** are incorrect because they indicate that the risks and rewards have been transferred to the dealer.

Chapter 3 Quiz

Answer

Question 2:

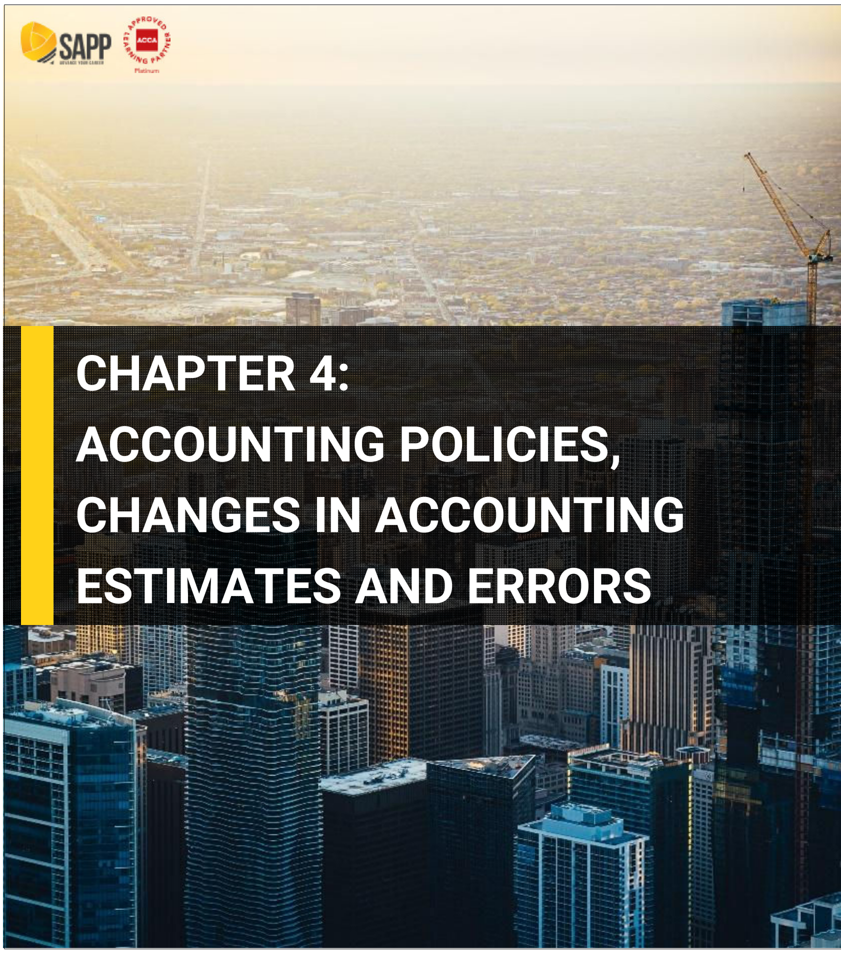
The correct answer is $24,920,000

- The cost of providing support services is estimated at $800,000 per annum with 30% mark-up, so the revenue of services per year: $800,000 x 130% = $1,040,000
- Newmarket Co will provide ongoing support services for two years after the sale. Therefore, according to IFRS 15, two-year service revenue should be deducted from revenue per draft profit or loss because it has not been performed at the end of 20X9

⇨ Revenue be recognized in the statement of profit or loss of Newmarket Co for the year ended 31 December 20X9:

$27,000,000 - $1,040,000 x 2 = **$24,920,000**

Your Notes



Your Notes

OVERVIEW

What will you learn?

IAS 8 ACCOUNTING POLICIES, CHANGES IN ACCOUNTING ESTIMATES AND ERRORS

Accounting policies	Changes in accounting estimates	Errors
Selection of accounting policies	Definition	Definition
Change in accounting policies	Principle of accounting estimates	Principle
Different between change in accounting policies and accounting estimates		Disclosure

Your Notes

I. ACCOUNTING POLICIES

Accounting policies are the specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting financial statements.

The definition of some relevant terminologies:

Retrospective
Applying a new accounting policy to transactions, other events and conditions as if that policy had always been applied

Retrospective restatement
Correcting the recognition, measurement and disclosure of amounts of elements of financial statements as if a prior period error had never occurred.

Prospective
- Applying the new accounting policy to transactions, other events and conditions occurring after the date as at which the policy is changed.
- Recognising the effect of the change in the accounting estimate in the current and future periods affected by the change.

Impracticable
Applying a requirement is impracticable when the entity cannot apply it after making every reasonable effort to do so

Practicable
Applying a requirement is practicable when the entity can apply it after making every reasonable effort to do so

Your Notes

I. ACCOUNTING POLICIES

1. Selection of accounting policy

Selection of accounting policy

Existence of relevant IFRS Standard or Interpretation	Absence of relevant IFRS Standard or Interpretation
↓	↓
Use that standard or interpretation	Use management's judgement

When management using their judgement, they should refer to

- The requirements and guidance in IFRSs dealing with similar and related issues.
- The definitions, recognition criteria and measurement concepts for assets, liabilities, incomes and expenses in the Conceptual Framework.

Your Notes

I. ACCOUNTING POLICIES

2. Change in accounting policy

Accounting policies must be consistently applied for similar transactions, categories, other events and conditions. Accounting policies **only change** if it satisfies 2 following conditions:

Conditions to change accounting policies

- Required by a new standard or interpretation
- Provide more relevant and reliable information.

We can identify whether a change is change in accounting policies or not rely on following feature:

Sign of change of accounting policy

Recognition	Presentation	Measurement basis
e.g. an expense is now recognized rather than an asset	**e.g.** depreciation is now included in cost of sales rather than administrative expenses	**e.g**. stating assets at replacement cost rather than historical cost.

Your Notes

II. ACCOUNTING ESTIMATES

Definition

Accounting estimates are judgements or assumptions used in applying an accounting policy when, because of estimation uncertainty, an item in financial statements cannot be measured with precision.

Example of accounting estimate:

- Useful-life of depreciable assets
- Provision for obsolescence of inventory

A change in accounting estimate

A change in accounting estimate is an adjustment of the carrying amount of an asset or a liability or the amount of the periodic consumption of an asset that results from the assessment of the present status of, and expected future benefits and obligations associated with, assets and liabilities

Principle of change in accounting estimate

Recognise the change prospectively in profit or loss in:

- Period of change, if it only affects that period only
- Period of change and future periods, if the change affects both

II. ACCOUNTING ESTIMATES

The following table show the different between change in accounting policy and accounting estimate:

Criteria	Change in accounting policy	Change in accounting estimate
Principle	Retrospective	Prospective
Affected period	Past, current and future period	Current and future period
Disclosure	· Nature and amount of the change for the current period and for each prior **period presented**. · The fact that effect of comparative information has been **restated**.	· Nature and amount of change that has an effect in the current period (or expected to have in future). · The fact that the effect of future periods is **NOT** disclosed because of impracticality.
Affected items	Specific principles, bases, conventions, rules and practices	Carrying amount, amount of the periodic consumption, future benefits, obligations

II. ACCOUNTING ESTIMATES

Example 1:

1. An entity has previously charged interest incurred in connection with the construction of tangible non-current assets to the statement of profit or loss. Following the revision of IAS 23 Borrowing Costs, and in accordance with the revised requirements of that standard, it now capitalises this interest.

2. An entity has previously depreciated vehicles using the reducing balance method at 40% pa. It now uses the straight-line method over a period of five years.

3. An entity has previously shown certain overheads within cost of sales. It now shows those overheads within administrative expenses.

4. An entity has previously measured inventory at weighted average cost. It now measures inventory using the first in first out (FIFO) method.

Answer

1. This is a change in recognition and presentation. Therefore this is a change in accounting policy.

2. Depreciation method is only an assumption without involvement in recognition, presentation and measurement. This is only a change in accounting estimate.

3. This is a change in presentation and therefore a change in accounting policy.

4. This is a change in measurement basis and therefore a change in accounting policy.

Your Notes

III. PRIOR PERIOD ERRORS

Prior period errors are omissions from, and misstatements in, the entity's financial statements for one or more prior periods arising from a failure to use, or misuse of, reliable information.

Principle of treatment for errors

Principle of treatment for errors

- Correct RETROSPECTIVELY as if the error had never occurred.
- Either restating the comparative amounts for the prior period(s) in which the error occurred, *or*
- When the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for that period.
- Only where it is impracticable to determine the cumulative effect of an error on prior periods can an entity correct an error prospectively.

Disclosure

Disclosure

- Nature of the prior period error
- For each prior period, to the extent practicable, the amount of the correction:
  - For each financial statement line item affected
  - If IAS 33 applies, for basic and diluted earnings per share
- The amount of the correction at the beginning of the earliest period presented
- If retrospective restatement is impracticable, an explanation and description of how the error has been corrected is required

Your Notes

III. PRIOR PERIOD ERRORS

Example 2:

The directors of the company discovered a fraud. In total, USD 1 million which had been included as receivables in the above trial balance had been stolen by an cashier. The cashier claimed that the customer paid this amount, but instead of recording a decrease in the receivable, the cashier embezzled the money and used it for his own purposes. The cashier embezzled USD600,000 in the previous period and USD400,000 in this period.

Answer:

If the cashier is not embezzled

Dr Cash	USD1 million
Cr AR	USD1 million

Because the cashier embezzled, receivable must be recognized as an expense for this period

In the previous period:

Profit decreased USD600,000 and Closing RE decreased USD600,000

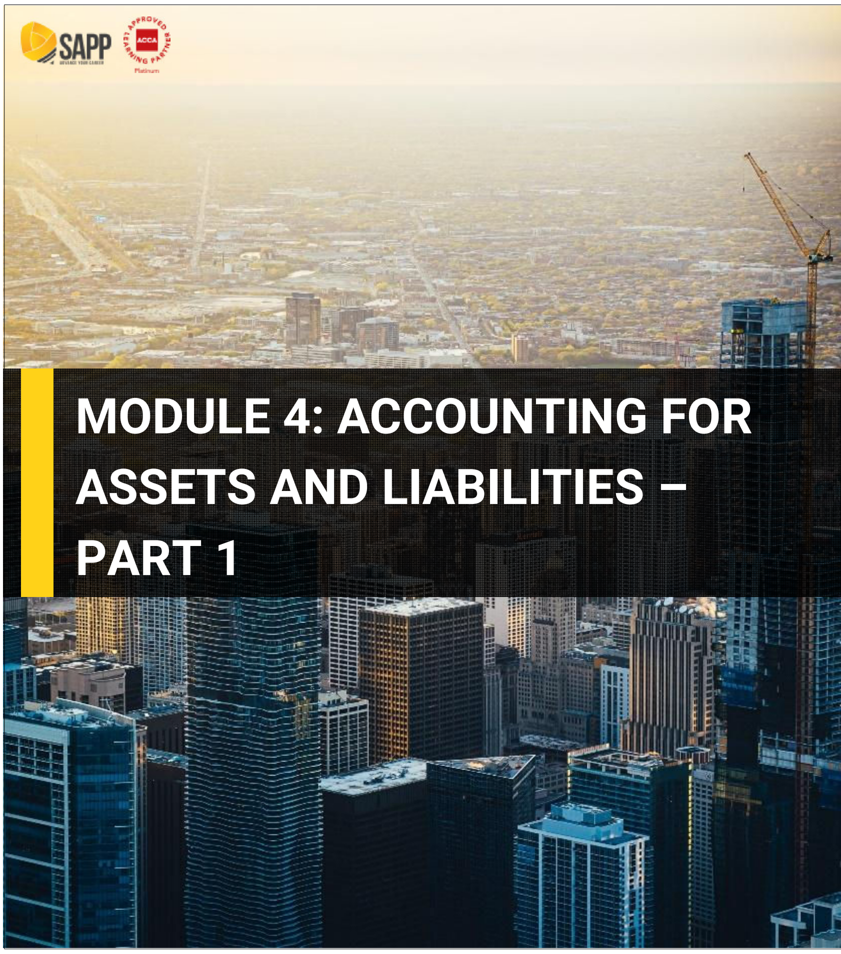
In this period:

- Opening RE decreased USD600,000
- Expense increased USD400,000
- Profit decreased USD400,000 and Closing RE decreased USD400,000
- Closing RE decreased USD 1 million

Adjustment:

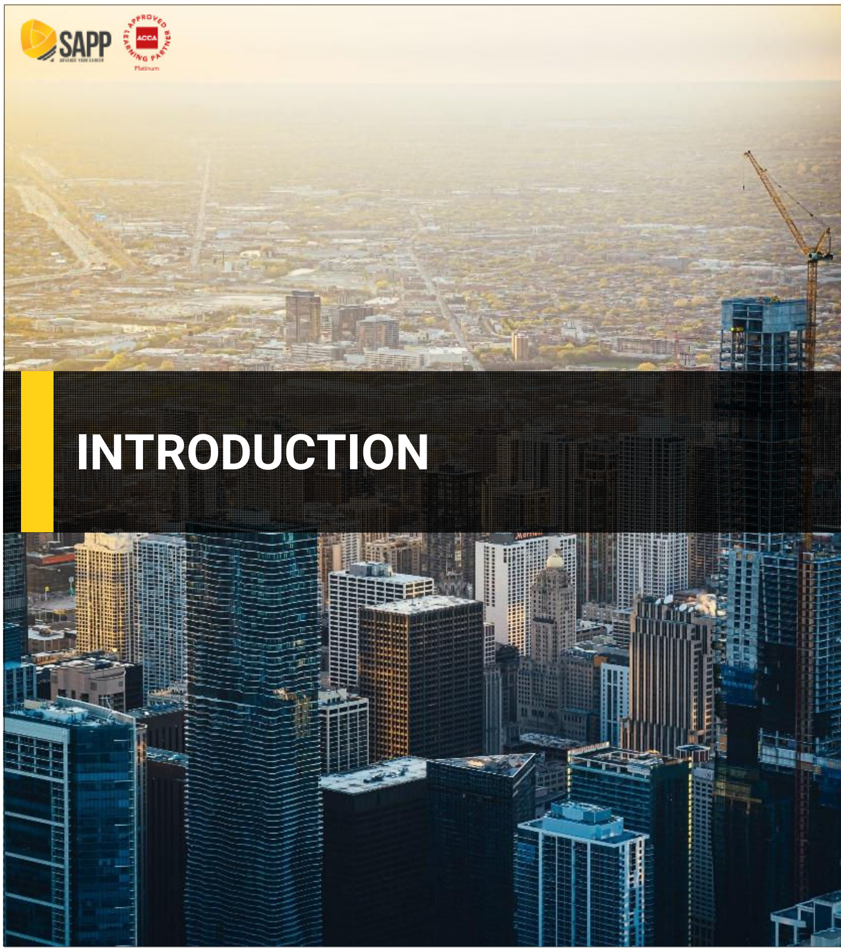
Dr Opening RE	USD600,000
Dr Expense	USD400,000
Cr AR	USD 1 million

Your Notes



MODULE 4: ACCOUNTING FOR ASSETS AND LIABILITIES – PART 1

Your Notes



Your Notes

INTRODUCTION

> "The definition of an asset is : a resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity."
>
> *Conceptual Framework*

The accounting treatment of assets involves a three-stage process:

Step 1 Determining whether an item meets the definition of an asset

Step 2 Determining whether the assets should be recognised in the statement of financial position?

Step 3 Determining how the assets should be measured

Your Notes

INTRODUCTION

It should be noted that an asset is not necessarily something which is owned but which is controlled.

For example, a company that leases an item to use may have an asset if it controls that item. Of course, for an item to be an asset at all, it must produce some future benefit to the entity.

An asset

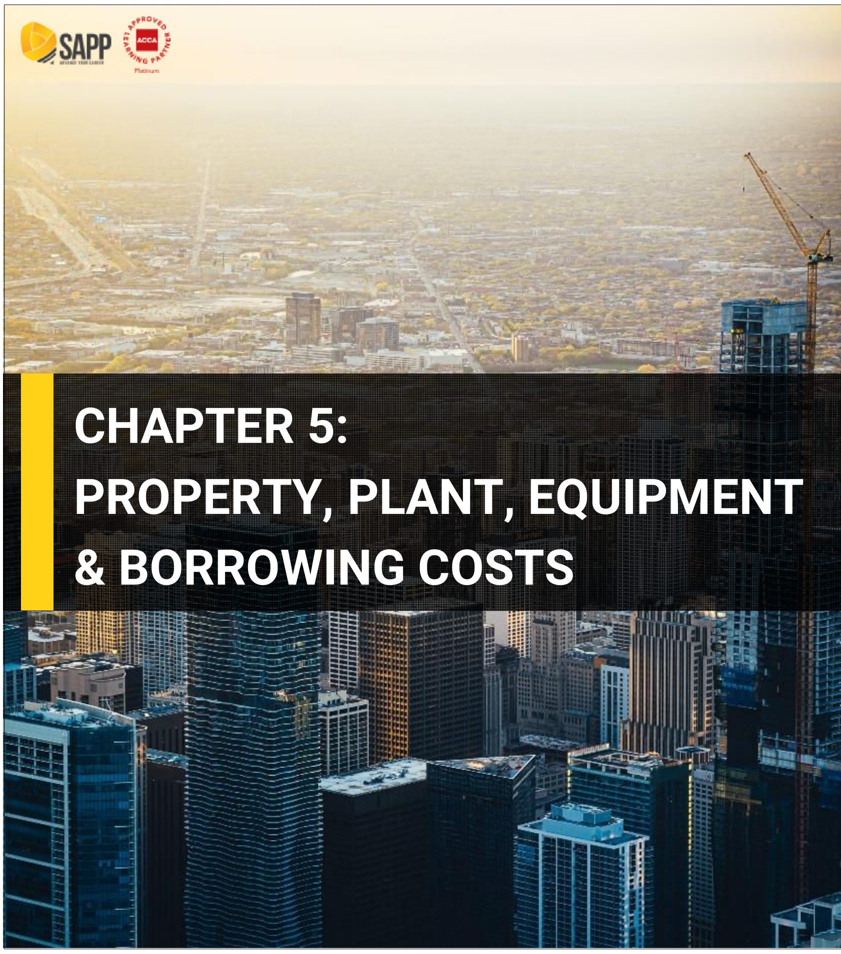
Recognition of an asset

Not all of an entity's assets should be recognised in the statement of financial position. Some of them cannot be measured with sufficient reliability to be included. It is necessary to have some measure of either cost or value

Measurement of an asset

Having decided to recognise an asset there might then be several ways in which it could be measured, such as depreciated cost or current market value

Your Notes



CHAPTER 5: PROPERTY, PLANT, EQUIPMENT & BORROWING COSTS

Your Notes

OVERVIEW

What will you learn?

PLANT, PROPERTY, EQUIPMENT & BORROWING COSTS

Definition and Terminologies	IAS 16 PPE	IAS 23 Borrowing Costs
Definition	Recognition	Scope
	Measurement	Recognition
	Revaluation	Capitalization
	Depreciation	
	De-recognition and disposal	

Your Notes

I. DEFINITION AND TERMINOLOGIES

1. Definition of PPE

Property, plant and equipment (PPE) are tangible assets that:

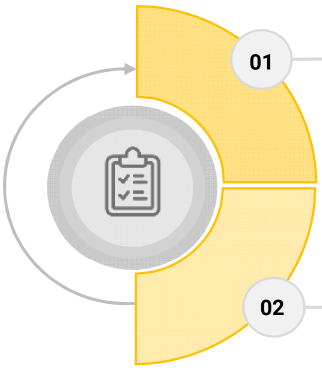
- Held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.
- Are expected to be used during more than one period.

Your Notes

II. IAS 16 - PPE

1. Recognition of PPE under IAS 16

As a kind of asset, PPE must **simultaneously** satisfy **two** (02) **criteria** of asset recognition:



01 — Probable **future economic benefits** associated with the asset will flow to the entity.

02 — The **cost** of the asset to the entity can be **measured reliably**

Example: A company buys a machine for producing tire for $200,000, and expects to use the machine for the next five years. Based on this information, machine is recognized as an asset under IAS 16 because:

- It can bring **future economic benefits** from producing tire for company (next five years)
- The cost of machine can be **measured reliably** (at $200,000)

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.1 Initial measurement

Initial cost of PPE includes:

01	**Purchase price less any trade discount or rebate (*)**
02	**Import duties, non-refundable tax**
03	**Initial estimate of dismantling (**), removing, restoring costs**
04	**Directly attributable costs**
05	**Borrowing costs** (IAS 23)

Note:

(*) Less **trade discount** instead of settlement discount because trade discount impact directly on the cost of PPE, while **settlement discount** increases the finance income but exert no effect on initial cost of PPE.

(**) **Dismantling costs – the present value (PV)** of these costs should be capitalized, with an equivalent liability set up. You may need to use the interest rate given and apply the discount fraction where:

PV = Dismantling costs x Discounted factor with:

$$\text{Discount factor} = \frac{1}{(1+r)^n}$$

r: interest rate; and

n: number of years to settlement.

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.1 Initial measurement

There are some specific cost that may be included or not included in **directly attributable cost** of PPE initial measurement:

INCLUDED

- Employee benefits arising directly from construction or acquisition of the item
- Site preparation, delivery, installation and assembly costs, costs of testing, professional fees (e.g. legal costs and architects' fees).

NOT INCLUDED

- Administration and other general overhead costs
- Start-up and similar pre-production costs
- Initial operating losses before the asset reaches planned performance
- Training employees cost

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.1 Initial measurement

PPE acquired under **deferred payment**, or in **exchange** of items requires specific measurement as the follows:

Cost of PPE

- **Deferred** payment (*): Measured as the **cash price at the time of recognition**, with **discounting (**)**
- **Exchange** of items (***): Measured at **fair value**

Note:

(*) Payment is deferred when it is beyond **normal credit terms.**

(**) This is present value (PV) with discount factor:

PV = Payment x Discounted factor with:

$$\text{Discount factor} = \frac{1}{(1+r)^n}$$

r: interest rate; and

n: number of years to settlement.

(***) When the exchange transaction lacks commercial substance and/or the fair value of neither asset exchanged can be measured reliably ⇒ Measured at **the carrying amount.**

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.1 Initial measurement

Example 1: Calculation of initial cost

Tusco bought 20 machines to producing cotton on 1 Jan 2020 with cost of \$100,000 for each and company receives a trade discount at \$1,000 for each. Furthermore, for enhancing the capacity of these machines, Tusco paid more \$400 for each machine to upgrade rotating wheel of the machines. The project related to these PPE last for 4 years. When the project ended at 31/12/2023. The dismantling cost is \$50,000 for each, discount rate 10%. Calculate the initial cost of the machines.

Answer:

Initial costs for each machine = (\$100,000 - \$1,000) + \$400 + $\frac{\$50,000}{(1+0.1)^4}$ ≈ \$133,550

Initial costs for all machine = 20 x \$133,550 ≈ \$2,671,000.

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Cost model

Carrying amount = Cost − Accumulated depreciation **(Ref 1)** − Accumulated impairment loss **(Ref 2)**

Ref 1: There are **four** following method for calculation of depreciation:

Method	Formula
Reducing balance method	From 1st ⇒ n-1 year: Depr = opening balance x depreciation rate At year n: Depreciation = opening balance - residual value
Straight line method	$\frac{\text{Cost of asset} - \text{residual value}}{\text{Expected useful life of the asset}}$
Units of production method	$\frac{\text{(Original Value – Residual Value) x Units per year}}{\text{Estimated production capability}}$
Sum of digits method	(Cost – Residual value) x $\frac{y}{d}$ y – remaining useful life d – sum of digits = $\frac{n \times (n+1)}{2}$ n – useful life

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Cost model

Ref 1: Useful life of PPE should be reviewed **at least at each financial year end.**

Three steps of calculating depreciation when there is a change in useful life, including:

Step 1 Calculate accumulated **depreciation before reviewing**

Step 2 Calculate **carrying amount** = Original cost – Accumulated depr

Step 3 Calculate **depr after reviewing** = $\frac{\text{Carrying amount}}{\text{Remaining life after review}}$

Ref 2: Impairment loss is the amount by which the carrying amount of an asset or a **cash-generating unit** exceeds its recoverable amount. We will study about impairment loss in Chapter Impairment of assets

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Example 2:

NCC Co acquired a non-current asset on 1 January 20X4 for $160,000. It had no residual value and a useful life of ten years. On 1 January 20X7 the remaining useful life was reviewed and revised to four years.

Required: What will be the depreciation charge for 20X7?

Answer:

Step 1: Calculate accumulated depreciation before reviewing

Depreciation per year = $160,000/10 = $16,000

Accumulated depreciation 20X4 – 20X6 = $16,000 * 3 = $48,000

Step 2: Calculate carrying amount = Original cost – Accumulated depreciation

Carrying amount of PPE (20X6) = $160,000 - $48,000 = $112,000

Step 3: Calculate depreciation after reviewing = $\frac{\text{Carrying amount}}{\text{Remaining life after review}}$

Depreciation (20X7) = $112,000/4 = $28,000

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Revaluation model

Asset revaluation must be conducted on a **regular basis** so that the carrying amount of an asset does not differ materially from the FV on the Balance Sheet.

When applied revaluation for measuring PPE, we must subject to following requirement:

Requirement of revaluation

1. Applied to **the whole class of assets to which it belongs** within the **revalued at the same time**
2. Should be carried out with sufficient regularity (the **more volatile** of FV, the **more frequently** revaluation varied out)
3. Revaluation amount must **represent FV**

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Revaluation model

Steps of initial revaluation:

Step 1: Identify the carrying amount of assets before revaluation → **Step 2:** Identify and recognise revaluation gain /loss

- CA > FV → **Revaluation loss** ⇒ Record in **P/L**
- CA < FV → **Revaluation gain** ⇒ Record in **OCI**

Example 3:

NCC Co bought an asset for $20,000 at the beginning of 20X7. It had a useful life of five years. On 31 December 20X8 the asset was revalued to $24,000. The expected useful life has remained unchanged (i.e three years remain).

Required: Account for the revaluation of PPE in NCC

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Example 3:

Answer:

Step 1: Identify carrying amount of assets before revaluation

At 31 December 20X8 the accumulated depreciation of the asset = (2 x $20,000/5) = $8,000

⇒ Carrying amount of asset at 31 December 20X8 = $20,000 – $8,000 = $12,000

Step 2: Identify and recognise revaluation gain/loss

Carrying amount = $12,000 < Fair value = $24,000 ⇒ Revaluation gain = $12,000

Recognition:

Debit PPE	$12,000
Credit OCI	$12,000

Your Notes

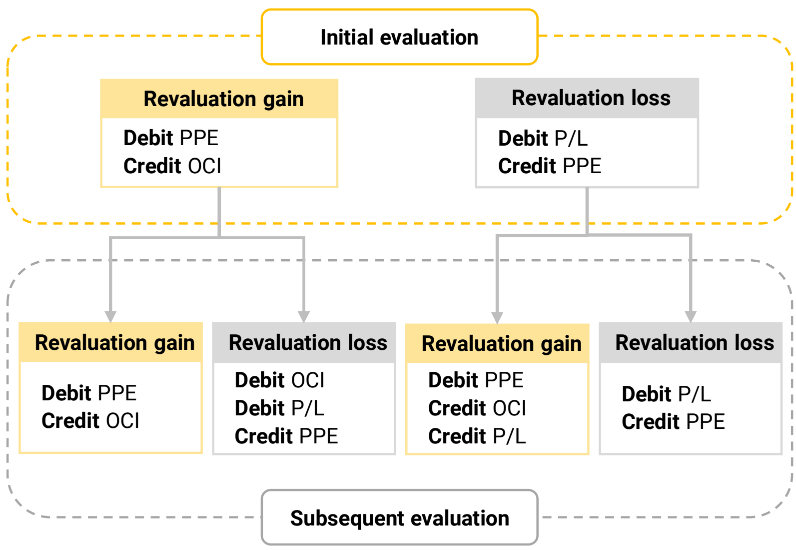
II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Revaluation model

The following diagram will set out details about revaluation entries:



Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Revaluation model

The effect of revaluation on depreciation of assets **(If new depreciation > old depreciation):**

New depreciation		Charge the whole amount to **P/L**
Old depreciation	**Change in depreciation**	Dr Revaluation surplus Cr Retained earnings

Step-by-step to account for the effect of revaluation on depreciation of assets:

Step 1 Calculate new depreciation = $\frac{\text{Revaluation amount} - \text{Residual value}}{\text{Remaining useful life of the asset}}$

Step 2 Compare with old depreciation and calculate the **change in depreciation**

Step 3 Compensate the effect of **additional depreciation:** Debit Revaluation surplus, Credit Retained earnings

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Example 4:

NCC Co bought an asset for $20,000 at the beginning of 20X7. It had a useful life of five years. On 31 December 20X8 the asset was revalued to $24,000. The expected useful life has remained unchanged (i.e three years remain).

Required: State the treatment for depreciation from 20X9 onwards.

Answer:

State the treatment for depreciation from 20X9

Step 1: Calculate new depreciation = Revaluation amount/remaining useful life

New depreciation = $24,000/3 = $8,000

Step 2: Compare new depreciation in step 1 to old depreciation and calculate the change in depreciation

The change in depreciation = $8,000 – $4,000 = $4,000

Step 3: Compensate the effect of additional depreciation by transferring from revaluation surplus to retained earnings

Debit Revaluation surplus	$4,000
Credit Retained earnings	$4,000

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Subsequent cost of PPE

Subsequent expenditure on PPE is only **recognized as an asset** when the expenditure **improves** the condition of the asset beyond the previous performance.

Improvement of PPE

- Modification of an item of plant to extend its useful life, including increased capacity
- Upgrade of machine parts to improve the quality of output
- Add a new function for the property

In terms of costs incurred subsequently to add to, replace part of, or service the item, the practical application is that:

- Repairs and maintenance expenditure should not be capitalized.
- Replacement parts should be capitalized.
- Overhaul should be capitalized and cost of overhaul would be capitalized as **a separate component**

Your Notes

II. IAS 16 - PPE

2. Measurement of PPE under IAS 16

2.2 Subsequent measurement

Example 5:

An entity purchases an aircraft that has an expected useful life of 20 years with no residual value. The aircraft requires substantial overhaul at the end of years 5, 10 and 15. The aircraft cost $20 million and $4 million of this figure is estimated to be attributable to the economic benefits that are restored by the overhauls

Required: Calculate the annual depreciation charge for the years 1–5

Answer

Year 1– 5	**$m**
Overhaul value $4m depreciated over 5 years	0.8
Balance of $20m depreciated over 20 years	1
Depreciation charge per annum	1.8

Your Notes

II. IAS 16 - PPE

3. De-recognition and disposal

When to de-recognize PPE?

- No further economic benefits expected
- On disposal

Two steps of disposing PPE

Step 1: Accounted for in the SOPL of the period in which the disposal occurs.

Step 2: Any balance on the revaluation surplus should now be transferred to retained earnings.

Disposal proceeds > Carrying amount	**Disposal proceeds < Carrying amount**
Gain from disposal	**Loss from disposal**
Debit Cash Credit Gain on disposal Credit PPE	Debit Cash Debit Loss on disposal Credit PPE

Note: *This does not affect other comprehensive income, which is only altered when the asset is actually revalued upwards or downwards.*

Your Notes

III. BORROWING COST (IAS 23)

1. Scope of IAS 23

IAS 23 looks at the treatment of borrowing costs related to **self-constructed** assets and inventory which take a substantial period of time to get ready for intended use or sale.

Borrowing cost

- **Interest expenses** under IFRS 9
- **Finance charges** on lease liabilities under IFRS 16
- **Exchange differences** arising from foreign currency borrowings

Some relevant terminologies:

IAS	Terminologies	Definition
IAS 23	**Borrowing costs**	The costs incurred by an entity in connection with the borrowing of funds in order to construct an asset.
	A qualified asset	An asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

Your Notes

III. BORROWING COST (IAS 23)

2. Capitalization

2.1 Period of capitalization

Borrowing costs must be capitalized as part of the cost of a qualifying asset.

01 COMMENCEMENT

- Event incurs expenditures for the asset
- Event incurs borrowing costs
- Event undertakes necessary activities for the readiness of assets

02 SUSPENSION

- Development is **interrupted** for any extended periods
- **Temporary delays** are **not included**

03 CESSATION

- Physical construction of the asset completed
- **Minor activities** do not form part of substantial activities

Your Notes

III. BORROWING COST (IAS 23)

2. Capitalization

2.2 Determine capitalized borrowing costs

Step-by-step to determine specific borrowings and general borrowings:

Specific borrowings

It is **actually incurred borrowing costs less any investment income** on the temporary investment of the borrowings.

01 Identify **eligible period** for borrowing costs capitalisation

02 Calculate the interest paid on the specific loans

03 Calculate any interest received on loan proceeds not used

04 Calculate capitalised costs = Step 2 – Step 3

General borrowings

Project fund taken from general borrowings; the **weighted average rate of general borrowings** is taken.

01 Identify **eligible period** for borrowing costs capitalisation

02 Weighted average rate (WAR):

$$\text{WAR} = \frac{\text{Total interests}}{\text{Total borrowings}}$$

03 Calculate interest amount applicable = WAR x Expenditure on asset

04 Calculate capitalized cost

Your Notes

III. BORROWING COST (IAS 23)

2. Capitalization

2.2 Determine capitalized borrowing costs

Example 6: (Specific Borrowings)

SKT Co buys asset for $4,000 - takes 2 years to build. Get a $4,000 10% loan. SKT Co reinvest any money not used in an 8% deposit account. In year 1, SKT Co spends 2,400.

Required: How many borrowing costs (interests) to be capitalized (added to the cost of the asset)?

Answer:

Step 1: No information on when construction start ⇒ assume it starts in line with the borrowing timing.

Step 2: Calculate the interest paid on the specific loans

Interest paid on loan: $4,000 × 10% = $400

Step 3: Calculate any interest received on loans proceeds not used

Interest received on unused loan amount = ($4,000 - $2,400) × 8% = $128

Step 4: Calculate capitalized costs = $400 - $128 = $272.

Your Notes

III. BORROWING COST (IAS 23)

2. Capitalization

2.2 Determine capitalized borrowing costs

Example 7: (General Borrowings)

SKT Co takes 3 different current sources of borrowings for its purchase of an asset of $10,000, taking 1 year to build. 5% overdraft 2,000; 8% Loan 6,000 and 10% Loan 4,000.

Required: How much interest would go to the cost of the asset?

Answer:

Step 1: No information on when construction start ⇒ assume it starts in line with the borrowing timing.

Step 2: Weighted average of costs $= \dfrac{\$2{,}000 \times 5\% + \$6{,}000 \times 8\% + \$4{,}000 \times 10\%}{\$2{,}000 + \$6{,}000 + \$4{,}000}$

$= 8.17\%$

Step 3: Calculate interest amount applicable

Total interest to be capitalized = $10,000 × 8.17% = $817

Your Notes

Your Notes

Chapter 5 Quiz

Question 1:

Foster Co has built a new factory incurring the following costs:

	$000
Land	1,200
Materials	2,400
Labour	3,000
Architect's fees	25
Surveyor's fees	15
Site overheads	300
Apportioned administrative overheads	150
Testing of fire alarms	10
Business rates for first year	12
	7,112

What will be the total amount capitalised in respect of the factory?

Your Notes

Chapter 5 Quiz

Question 2:

Wetherby Co purchased a machine on 1 July 20X7 for $500,000. It is being depreciated on a straight-line basis over its useful life of ten years. The residual value is estimated at $20,000. On 1 January 20X8, following a change in legislation, Wetherby Co fitted a safety guard to the machine. The safety guard cost $25,000 and has a useful life of five years with no residual value.

What amount will be charged to profit or loss for the year ended 31 March 20X8 in respect of depreciation on this machine? (Enter your answer to the nearest whole $).

$ ________

Chapter 5 Quiz

Question 3:

Auckland Co purchased a machine for $60,000 on 1 January 20X7 and determined that it had a useful life of 15 years with nil residual value. On 31 March 20X9 it was revalued to $64,000 with no change in useful life.

What will be the depreciation charge in relation to this machine in the financial statements of Auckland Co for the year ending 31 December 20X9? (Enter your answer to the nearest whole $).

$ ______

Your Notes

Chapter 5 Quiz

Question 4:

The following trial balance extract relates to a property which is owned by Veeton as at 1 April 2014.

	Dr $000	Cr $000
Property at cost (20 year original life)	12,000	
Accumulated depreciation as at 1 April 2014		3,600

On 1 October 2014, following a sustained increase in property prices, Veeton revalued its property to $10.8 million.

What will be the depreciation charge in Veeton's statement of profit or loss for the year ended 31 March 2015?

$ ______ ,000

Your Notes

Your Notes

Chapter 5 Quiz

Question 5:

During the current year, an entity had in place $1 million of 6% loan finance and $2 million of 9% loan finance.

It constructed a new factory which cost $600,000 and this was funded out of the existing loan finance. The factory took 8 months to complete.

To the nearest thousand, what borrowing costs should be capitalised?

$ ______ ,000

Your Notes

Chapter 5 Quiz

Question 6:

Gilbert took out a $7.5 million 10% loan on 1 January 20X6 to build a new warehouse during the year Construction of the warehouse began on 1 February 20X6 and was completed on 30 November 20X6. As not all the funds were needed immediately, Gilbert invested $2 million in 4.5% bonds from 1 January to 1 May 20X6.

What are the total borrowing costs to be capitalised in respect of the warehouse?

$ ______

Chapter 5 Quiz

Answer

Question 1:

The correct answer is $6,950,000

There are some specific costs that may be included or not included in **the directly attributable cost** of PPE initial measurement:

INCLUDED	NOT INCLUDED
- Employee benefits arising directly from the construction or acquisition of the item. - Site preparation, delivery, installation and assembly costs, costs of testing, professional fees (e.g, legal costs and architects' fees).	- Administration and other general overhead costs. - Start-up and similar pre-production costs. - Initial operating losses before the asset reaches planned performance. - Training employee's cost.

Your Notes

Chapter 5 Quiz

Answer

Detail answer

	$000
Land	1,200
Materials	2,400
Labour	3,000
Architect's fees	25
Surveyor's fees	15
Site overheads	300
Testing of fire alarms	10
	6,950

- $6,640,000 includes everything up to the surveyor's fees but omits the site overheads and the costs of testing the fire alarms.
- $7,112,000 includes all costs including administrative overheads and business rates which cannot be capitalized
- $7,100,000 wrongly includes the administrative overheads.

Your Notes

Your Notes

Chapter 5 Quiz

Answer

Question 2:

	$000
Machine ((500,000 – 20,000) / 10 x 9/12)	36,000
Safety guard ((25,000 / 5) x 3/12)	1,250
	37,250

Question 3:

The correct answer is $4,765

- The machine has been owned for 2 years 3 months, so the remaining useful life at 31 March 20X9 was 12 years 9 months
- Prior to revaluation it was being depreciated at $4,000 pa ($60,000 /15 yrs), so the charge for the first three months of 20X9 was **$1,000** ($4,000 x 3/12).
- The machine will now be depreciated over the remaining 12 years 9 months = 153 months. So the charge for the remaining 9 months of 20X9 is **$3,765** ($64,000 x 9/153)

⇨ So total depreciation for the year ended 31.12.X9 is (**$1,000** + **$3,765**) = **$4,765**

Your Notes

Chapter 5 Quiz

Answer

Question 4:

The correct answer is $700,000

- Six months' depreciation to the date of the revaluation will be **$300,000** (12,000 / 20 years x 6/12 months)
- Six months' depreciation from the date of revaluation to 31 March 20X5 would be **$400,000** ($10,800 / 13.5 years remaining life* x 6/12).

⇨ The depreciation charge in Veeton's statement of profit or loss for the year ended 31 March 20X5 is (**$300,000** + **$400,000**) = **$700,000**

* Depreciation for the period 1 April 2014 to 30 September 2014 is:

$12,000 / 20 years x 6/12 = $300 and that property has now been depreciated for 6 years 6 months, therefore, it has an estimated remaining useful life of 13.5 years

Question 5:

The correct answer is $32,000

- The weighted average cost of borrowing is (($1m x 6%) + ($2m x 9%)) / $3m = 8%
- Therefore the amount to be capitalized = 8% x $600,000 x 8/12 = $32,000

Chapter 5 Quiz

Answer

Question 6:

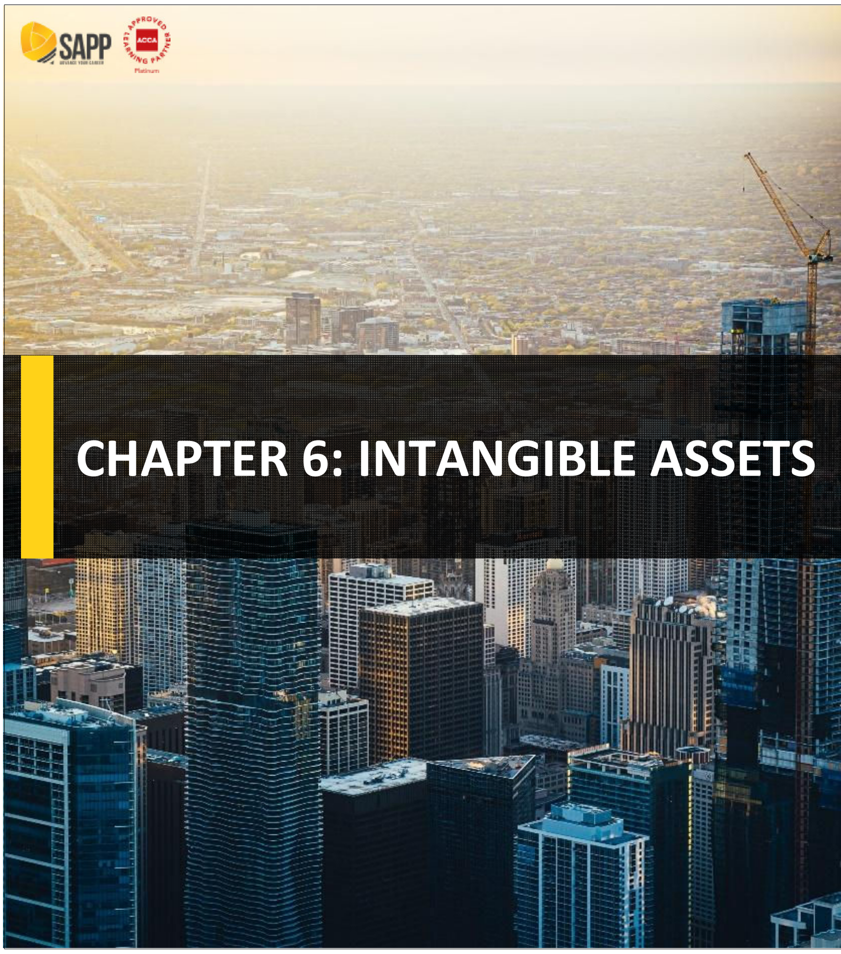
The correct answer is $602,500

- The interest can only be capitalized during the period of construction, which is from 1 February 20X6. Therefore the interest can be capitalised for 10 months, from 1 February to 30 November 20X6. This gives **$625,000** ($7.5 million x 10% x 10/12)
- Any temporary investment income earned during this period should be netted off the amount capitalized. The amount earned from 1 February to 1 May 20X6 is **$22,500** ($2 million × 4.5% × 3 /12).
- Therefore the amount to be capitalised is **$625,000** – **$22,500** = **$602,500**.

Note:

All interest incurred and earned in January 20X6 is before the construction period and therefore is recorded in the statement of profit or loss.

Your Notes



CHAPTER 6: INTANGIBLE ASSETS

Your Notes

OVERVIEW

What will you learn?

IAS 38 INTANGIBLE ASSET

Overview	Accounting treatment	Research and development
Definition and terminologies	Recognition	Introduction
Scope	Measurement	Accounting treatment
	Disposal and retirement	

Your Notes

I. OVERVIEW ABOUT INTANGIBLE ASSETS

1. Definition of intangible assets

Intangible asset (ITA) is a non-monetary asset without physical substance that is:

- Identifiable (is separable and arises from contractual or other legal rights)
- Controlled by entity as a result of past events (power to obtain benefits from the asset)
- Future economic benefits (such as revenues or reduced future costs) are expected

Your Notes

I. OVERVIEW ABOUT INTANGIBLE ASSETS

2. Some relevant terminologies

IAS	TERMINOLOGIES	DEFINITION
IAS 38	Research	Research is original and planned investigation undertaken with the prospect of **gaining new scientific knowledge and understanding.**
	Development	Development is the research of findings or other knowledge to a plan or **design for the production** of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.
	Amortization	Amortization is an accounting technique used to periodically lower the book value of intangible asset over a set period of time. Amortization is similar to depreciation.
IFRS 3	Goodwill	Goodwill is the difference between the value of a business as a whole and the aggregate of the **fair values** of its separable net assets.

Your Notes

I. OVERVIEW ABOUT INTANGIBLE ASSETS

3. Scope of IAS 38

IAS 38 should be followed when accounting for Intangible NCA unless another international accounting standard requires a **different treatment**.

IAS 38 **does NOT apply** to the following:

01	Financial assets under IAS 32
02	Exploration and evaluation assets under IFRS 6
03	Expenditure on the development and extraction of minerals, oil, natural gas, and similar resources
04	Intangible assets arising from insurance contracts issued by insurance companies
05	Intangible assets covered by another IFRS, such as intangibles held for sale, deferred tax assets, lease assets, assets arising from employee benefits

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

1. Recognition of ITA under IAS 38

As a kind of asset, ITA must **simultaneously** satisfy **two criteria** of asset recognition:

Criteria

1. It is probable that **future economic benefits** associated with the asset will flow to the entity
2. The **cost** of the asset can be **measured reliably**

Example: Company X buys a customer list for $50,000, and expects to use for the next four years to expand customer size. Customer lists is recognized as an asset under IAS 38 because:

- It can bring **future economic benefits** from expand the customer size of company (next four years).
- The cost of machine can be **measured reliably** (at $50,000).

Note: *In other cases, customer list* ***owned by company*** *should be not recognized as an intangible non-current asset because it cannot be measured reliably.*

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

2. Measurement of ITA under IAS 38

2.1 Measurement of externally-acquired ITA

Initial measurement

INITIAL MEASUREMENT

- ITA is acquired **separately** → Recognized at **cost**
  - Purchase price less any trade discount or rebate
  - Non-refundable tax
  - Directly attributable costs
- ITA is acquired as part of a **business combination** → Recognized at **fair value** at the date of the acquisition

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

2. Measurement of ITA under IAS 38

2.1 Measurement of externally-acquired ITA

Subsequent measurement

SUBSEQUENT MEASUREMENT

There is an **active market** for ITA

YES/NO → COST MODEL; YES → FAIR VALUE MODEL

COST MODEL	FAIR VALUE MODEL
More commonly used in practice	The fair value must be able to be measured reliably with reference to an **active market**
Amortization should start when the asset is **available for use** and cease at the date that the asset is classified as held for sale or is de-recognition	The **entire class** of intangible assets of that type must be revalued at the same
Amortization charge for each period should normally be recognized in **profit or loss**	Revaluations should be made **regularly** at the end of the reporting period

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

2. Measurement of ITA under IAS 38

2.1 Measurement of externally-acquired ITA

Subsequent measurement

COST MODEL

Carrying amount = Cost – Accumulated amortization – Accumulated impairment loss

- Amortization: Closely similar to depreciation of PPE.
- ITA with an indefinite useful life shall not be amortized and shall be test for impairment.

REVALUATION MODEL

- Revaluation of ITA under IAS 38 is similar to IAS 16 (Measurement by using fair value).
- Be careful, in the exam a reserves transfer is only required if the examiner indicates that it is company policy to make a transfer to realized profits in respect of excess depreciation on revalued assets. If this is not the case then a reserves transfer is not necessary.
- This movement in reserves should also be disclosed in the statement of changes in equity (SOCIE).

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

2. Measurement of ITA under IAS 38

2.2 Measurement of internally-acquired ITA

Generally, internally-generated intangible assets **cannot be capitalized**, as the costs associated with these cannot be identified separately from the costs associated with running the business.

The following internally-generated items may **never be recognized**:

- Goodwill (Internal goodwill)
- Brands
- Mastheads
- Publishing titles
- Customer lists

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

3. Disposal and Retirement

DE-RECOGNIZATION OF ITA

- **No further economic benefits expected** from its use or disposal
- **Disposal/retirement**

Step 1: Accounted for in the SOPL of the period in which the disposal occurs.

Step 2: Any balance on the revaluation surplus should now be transferred to retained earnings.

Disposal proceeds > Carrying amount	**Disposal proceeds < Carrying amount**
Gain from disposal	**Loss from disposal**
Debit Accumulated depreciation	Debit Accumulated depreciation
Debit Cash	Debit Cash
Credit Gain on disposal	Debit Loss on disposal
Credit PPE	Credit PPE

Note: Disposal or retirement of Intangible NCA is closely analogous with disposal of PPE.

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

4. Amortisation (Additional reading)

An entity must assess whether the useful life of an intangible asset is finite or indefinite.

Intangible non-current asset with

Finite useful life

must be amortized on a systematic basis over that life

Infinite useful life

should not be amortized but be subject to an annual impairment review

Your Notes

II. ACCOUNTING TREATMENT OF INTANGIBLE ASSETS

Additional reading

Finite useful life

- The cost less residual value of the intangible asset is amortised over its useful life
- The amortisation method should reflect the pattern in which the entity will consume the asset's future economic benefits
- If the pattern cannot be identified reliably, the straight line method should be used
- The amortisation charge is recognised in profit or loss unless another IFRS requires it to be included in the cost of another asset
- The amortisation period should be reviewed at least annually and any change accounted for as a change in accounting estimate
- The asset should also be assessed for impairment in accordance with IAS 36

Infinite useful life

- The asset is not amortised.
- Its useful life should be reviewed each reporting period to determine whether events and circumstances continue to support an indefinite useful life assessment for that asset.
- If they do not, the change in the useful life assessment from indefinite to finite should be accounted for as a change in an accounting estimate.
- The asset should be assessed for impairment annually

Your Notes

Your Notes

III. FUNDAMENTAL INTANGIBLE ASSETS

1. Research and development

1.1 Introduction

Research	Development
• Activities aimed at obtaining new knowledge • The search for evaluation, final selection of research findings or other knowledge; for alternatives of materials, devices, products, processes, systems or services • The formulation, design evaluation and final selection of possible alternatives for new or improved materials, devices, products, systems or services	• The design, construction and testing of pre-production, chosen alternatives for new/improved materials devices products, processes, systems or services • The design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production • The design of tools, jigs, mounds and dies involving new technology

Your Notes

III. FUNDAMENTAL INTANGIBLE ASSETS

1. Research and development

1.2 Accounting treatment

Research expenditure: write off as incurred to the **statement of profit or loss** (expense off).

Development expenditure: recognise as an **ITA** if, and only if, an entity can demonstrate all of following criteria **(PIRATE):**

- **P**robable future economic benefits
- **I**ntention to complete and use or sell the asset
- **R**esources adequate
- **A**bility to use or sell
- **T**echnical feasibility
- **E**xpenditure can be measured reliably

Note: All expenditure related to an intangible which does not meet the criteria for recognition either as an identifiable intangible asset or as goodwill arising on an acquisition should be expensed as incurred. For example:

- Start-up costs
- Training costs
- Advertising costs
- Business relocation costs

III. FUNDAMENTAL INTANGIBLE ASSETS

1. Research and development

1.2 Accounting treatment

P	**Probable future economic benefits**	The existence of a market for the output of the intangible asset or the usefulness of the intangible asset to the business.
I	**Intention**	Its intention to complete the intangible asset and use or sell it which is showed through plan, press release, …
R	**Resource**	Resources (technical, financial and other resources) are adequate and available to complete and use the asset.
A	**Ability to use or sell**	Intangible assets should be useful and serve for some purpose of entity or demand of other parties.
T	**Technical feasibility**	Technical feasibility of completing the intangible asset (so that it will be available for use or sale).
E	**Expenditure measurement**	Expenditure can be measured reliably.

Your Notes

III. FUNDAMENTAL INTANGIBLE ASSETS

1. Research and development

Example

Dempsey Co's year end is 30 September 20X5. Dempsey Co commenced a new project to produce a new pharmaceutical drug and the research stage of the project lasted from 1 October 20X4 to 31 December 20X4 and incurred $60,000 of costs. The development stage of the project was commenced on 1 January 20X5. Expenditure of $40,000 per month was incurred until the project was completed on 30 June 20X5 when the drug went into immediate production. The directors became confident of the project's success on 1 March 20X5. The drug is expected to generate benefits for five years.

Required:

What is the carrying amount of any intangible asset recognized in respect of the project and what is the total amount Dempsey Co will charge to profit or loss for the year ended 30 September 20X5?

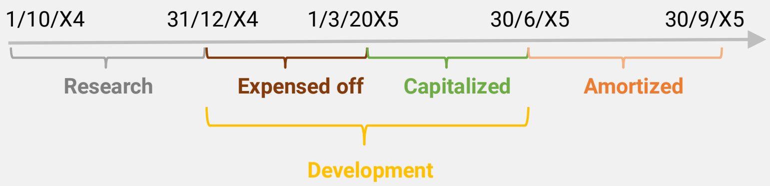
Your Notes

Your Notes

III. FUNDAMENTAL INTANGIBLE ASSETS

1. Research and development

Example 1: Answer



- Expenses for October to December 20X4 **(Research stage)** = $60,000
- Expenses for January and February 20X5 **(Expense off)** = 2 x $40,000 = $80,000
- **Capitalized** as an intangible asset from 1 March to 30 June 20X5 = $40,000 x 4 = $160,000
- **Amortization** of asset from 30 June 20X5 = $160,000/5 years x 3/12 = $8,000
- Carrying amount of the asset at 30 September 20X5 = $160,000 – $8,000 = $152,000
- Amortization expense for the period = $8,000
- Expenses taken to the statement of profit or loss = $60,000 + $80,000 + $8,000 = $148,000

Your Notes

Chapter 6 Quiz

The following scenario relates to questions 1-5

Wilrob Co has the following research projects at 31 March 20X7:

- **Project 324** – The project commenced on 1 April 20X6 and incurred total costs of $15m during the period to 31 December 20X6 on a pro-rata basis. On 30 June 20X6, the directors were confident that the project met the capitalization criteria of IAS 38 Intangible Assets. The project was completed and began to generate revenue from 1 January 20X7. It is estimated that the project will generate revenue for five years.
- **Project 325** – The project commenced on 1 September 20X6. Costs of $20,000 per month were incurred until 31 January 20X7 when the project was abandoned. The specialist equipment that had been purchased for Project 325 was transferred for use in another of Wilrob Co's research projects.
- **Project 326** – The project commenced on 1 January 20X7. Costs of $40,000 per month were incurred until 31 August 20X7 when the directors increased the spend to $60,000 to complete the project quickly as a potential buyer had been identified on 20 July 20X7. The directors had not been confident of the success of the project until this point.

Chapter 6 Quiz

Question 1:

Which TWO of the following are required by IAS 38 Intangible Assets in relation to the amortization of intangible assets (excluding goodwill)?

A. Intangible assets should be amortised over the expected useful life or not at all if the useful life is deemed to be indefinite

B. Intangible assets should not be amortised but instead reviewed for impairment losses only

C. Intangible assets should be amortised on the basis of the expected pattern of consumption of the expected future economic benefits

D. Intangible assets should not be amortised or impaired and instead simply carried forward at their original cost until sold or scrapped

Your Notes

Chapter 6 Quiz

Question 2:

Which TWO of the following statements are true in relation to IAS 38 Intangible Assets?

A. IAS 38 requires the revaluation of intangible assets where a company has chosen to revalue its tangible non-current assets

B. IAS 38 does not permit the revaluation of any intangible assets in any circumstances

C. IAS 38 permits the revaluation of intangible assets only if there is an active market for such assets

D. IAS 38 requires that the initial recognition of intangibles must be at cost

Question 3:

In accordance with IAS 38 Intangible Assets, what is charged to the statement of profit or loss for the year ended 31 March 20X7 in respect of project 324?

A. $5.5m

B. $6.5m

C. $7m

D. $10m

Your Notes

Chapter 6 Quiz

Question 4:

In accordance with IAS 38 Intangible Assets, identify whether the following are true or false in respect of the accounting treatment of projects 325 and 326.

The cost for project 325 should be expensed in the statement of profit or loss for the year ended 31 March 20X7	**TRUE**	**FALSE**
The specialist equipment that was purchased for project 325 should not be depreciated as it has only been used for abandoned or research projects	**TRUE**	**FALSE**
The costs for project 326 should be included as an asset in the statement of financial position as at 31 March 20X7	**TRUE**	**FALSE**

Your Notes

Chapter 6 Quiz

Question 5:

During the year ended 31 March 20X8, Wilrob Co incurred the following costs:

1. $400,000 in staff costs incurred in updating a computerized record of potential customers
2. $800,000 for the purchase of a domain name for the website of a company making substantial online sales
3. $4m for a patent purchased to improve the production process, with an expected useful life of three years

Which of the above costs would be capitalized as intangible assets in accordance with IAS 38 Intangible Assets?

A. 1 only

B. 3 only

C. 2 and 3 only

D. 1, 2 and 3

Your Notes

Chapter 6 Quiz

Answer

Question 1:

The correct answer is A and C

The cost model

Finite useful life

- An intangible asset with a finite useful life **must be amortised** over that life.
- The method used should be selected based on **the expected pattern of consumption of the future economic benefits.**

Indefinite useful life

- Should **not** be amortised.
- Should be **tested for impairment annually**, and more often if there is an actual indication of possible impairment.

Your Notes

Chapter 6 Quiz

Answer

Question 2:

The correct answer is C and D

Following *IAS 38 Intangible Assets*, assets must be **measured initially at the costs** and it is possible to hold intangible assets under the revaluation model where **an active market exists** for such assets.

Question 3:

The correct answer is $5.5m

- The project costs incurred between 1 April 20X6 and 31 December 20X6 cover **9 months**. In addition, the project **did not meet** the capitalization criteria until 30 June, meaning that the **first three months** of the year were **research expenditures** which were charged to the P&L is $15m x 3/9 months = **$5m**.
- The development expenditure would be capitalized: $15m x 6/9 months = $10m.
- As the project was **completed** and began to **generate revenue** from 1 January 20X7, the capitalized development expenditure should be amortised in 5 years.
- Therefore, the amortization expense for **three months** which should be charged to the P&L is $10m / 5 years x 3/12 months = **$0.5m**.

⇨ The total charge to the P&L in respect of project 324 for the year ended 31 March 20X7 is **$5m + $0.5m = $5.5m**

Your Notes

Chapter 6 Quiz

Answer

Question 4:

The correct answer is

The cost for project 325 should be expensed in the statement of profit or loss for the year ended 31 March 20X7	**TRUE**	FALSE
The specialist equipment that was purchased for project 325 should not be depreciated as it has only been used for abandoned or research projects	TRUE	**FALSE**
The costs for project 326 should be included as an asset in the statement of financial position as at 31 March 20X7	TRUE	**FALSE**

Your Notes

Chapter 6 Quiz

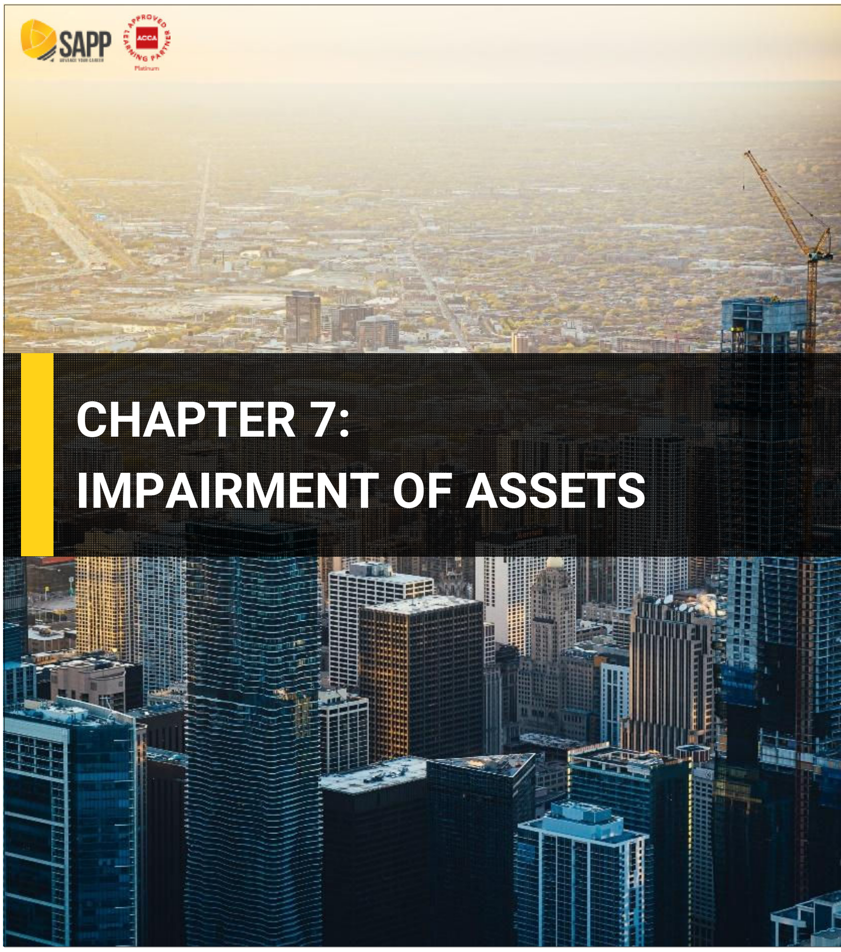
Answer

Question 5:

The correct answer is 2 and 3 only

- Both the domain name and the patent **meet the definition** of being intangible assets and the cost of each can clearly be **measured reliably**.
- Based on the information available, it appears that economic benefits will flow to the entity through revenue from online sales (domain name) and production cost savings (patent).
- Internally generated customer lists are specifically excluded by IAS 38 being recognized as intangible assets (along with other items such as internally generated brands). This is because any expenditure incurred on such items **cannot be distinguished** from the cost of developing the business as a whole.

Your Notes



CHAPTER 7: IMPAIRMENT OF ASSETS

Your Notes

OVERVIEW

What will you learn?

IAS 36 IMPAIRMENT ASSETS

Definition and Terminologies	IAS 36 Impairment of assets	Cash generating unit
Definition	Scope of IAS 36	Introduction
Some relevant terminologies	Impairment assessment	Accounting treatment
	Recognition of impairment	
	Measurement of impairment	
	Reversal of an impairment loss	

Your Notes

I. DEFINITION AND TERMINOLOGIES

1. Definition of Impairment loss

An impairment loss is the amount by which the carrying amount of an asset or a cash – generating unit exceeds its recoverable amount.

2. Some relevant terminologies

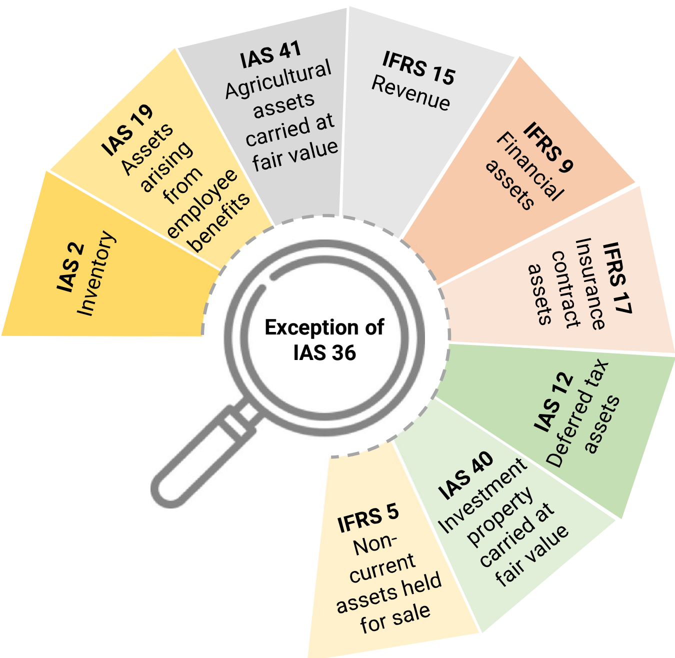
Terminologies	Definition
Carrying amount	Carrying amount is the amount at which the asset is *recognized* after deducting accumulated depreciation and any impairment losses in the statement of financial position.
Recoverable amount	Recoverable amount is the higher of an asset's fair value less costs of selling price and its value in use
Fair value	Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date
Value in use	The present value of the future cash flows expected to be derived from an asset or cash-generating unit
Cash generating unit	A cash generating unit Is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

1. Scope of IAS 36

IAS 36 applied for all assets **except** following items:



Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

2. Impairment assessment

An enterprise should assess at each reporting date

- Whether there is any indication that an asset may be impaired
- Irrespective of any indication of impairment, an entity shall also:
  - Test in case of intangible assets having indefinite life or under development
  - Test goodwill acquired in a business combination for impairment annually

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

2. Impairment assessment

IAS 36 suggests how indications of a possible impairment of assets might be recognized. The suggestions are based largely on common sense.

Indications of impairment	External sources	Decline in asset's market value
		Adverse effect in the technological market, economic or legal environment in which the enterprise operates
		Increase in market interest rates
	Internal sources	Obsolescence or physical damage
		Significant changes with an adverse effect in the extent to which, or manner in which, an asset is used or is expected to be used
		Economic performance and expected net cash flows of an asset are worse than expected

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

2. Impairment assessment

Example 1:

Company X owns a fleet of 400 articulated diesel buses. Environmentalists are pressing the government to require public transit companies to switch to hybrid buses. You expect to earn $14 million from the buses each year for next 6 years. There is a 51% chance that the new laws will be passed which will reduce your revenues from the fleet by 35%. In this case, an adverse effect in the legal environment in which the enterprise operates is occurred, this is an indicator of impairment of assets relating to diesel buses.

Note: Impairment review is compulsory for:

- Intangible assets with an indefinite useful life
- Intangible assets not yet available for use
- CGUs to which goodwill has been allocated

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

3. Recognition of impairment

An impairment loss is recognized whenever **recoverable amount is below carrying amount**.

Recoverable amount < Carrying amount

An impairment loss should be **recognized as an expense** in SOPL immediately, unless the asset is carried at revalued amount (recognized directly against any revaluation surplus. Any over and above amount as expense in SOPL).

Adjust depreciation for future periods.

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

4. Measurement of impairment

Measuring recoverable amount

Exam focus: Impairment loss

Example 2:

A company that extracts natural gas and oil has a drilling platform in the Caspian Sea. It is required by legislation of the country concerned to remove and dismantle the platform at the end of its useful life.

Accordingly, the company has included an amount in its accounts for removal and dismantling costs and is depreciating this amount over the platform's expected life.

The company is carrying out an exercise to establish whether there has been an impairment of the platform.

(a) Its carrying amount in the statement of financial position is $12m.

(b) The company has received an offer of $11.2m for the platform from another oil company. The bidder would take over the responsibility (and costs) for dismantling and removing the platform at the end of its life.

(c) The present value of the estimated cash flows from the platform's continued use is $13.2m (before adjusting for dismantling costs).

(d) The carrying amount in the statement of financial position for the provision for dismantling and removal is currently $2.4m.

Required: What should be the value of the drilling platform in the statement of financial position, and what, if anything, is the impairment loss?

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

4. Measurement of impairment

Example 2 (Answer):

Step 1: identify the carrying amount

From the given information, the carrying amount of the platform is $12m

Step 2: Determine the recoverable amount.

- Fair value less costs of disposal = $11.2m
- Value in use: PV of cash flows from use less the carrying amount of the provision /liability = $13.2m – $2.4m = $10.8m

Recoverable amount = Higher of these two amounts = $11.2m

Step 3: Compare the calculated recoverable amount with the carrying amount

Recoverable amount = $11.2m

Higher amount of

Carrying value = $12m

→ Impairment loss = recoverable amount – carrying amount

= $12m - $11.2m

= $0.8m (be recognised an expense in SOPL)

Step 4: Identify the carrying amount after impairment review:

Lower of the recoverable amount and carrying amount (before impairment review): $11.2m

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

5. Reversal of an impairment loss

In some cases, the recoverable amount of an asset that has previously been impaired could be higher than the asset's current carrying amount. Therefore, there might have been a reversal of some of the previous impairment loss.

5.1 Indicators of impairment reversal

Indications of impairment	External sources	Increases in the asset's market value
		Favorable changes in the technological, market, economic or legal environment
		Decreases in interest rates
	Internal sources	Favorable changes in the use of the asset
		Improvements in the asset's economic performance.
		Expected net cash flows of an asset are better than expected

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

5. Reversal of an impairment loss

5.2 Accounting treatment

Impaired assets should be reviewed at each reporting date to see whether there are indications that the impairment has reversed.

A reversal of an impairment loss is *recognised* immediately as **income in profit or loss**.

If the original impairment was charged against the **revaluation surplus**, it is recognised as SOCI to the revaluation reserve.

Note: Goodwill shall not be reversed in a subsequent period

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

5. Reversal of an impairment loss

5.2 Accounting treatment

Example 3:

Tusco company purchased a building on 1 January 20X4 at a cost of $60m. At that date, the asset had an estimated useful life of ten years. Tusco accounts for building on the basis of depreciated historical cost. At 31 December 20X5, the asset was subject to an impairment review and had a recoverable amount of $32m. At 31 December 20X8, the circumstances which caused the original impairment to be recognized have reversed with the result that the recoverable amount is now $80m.

Required: Describe the impact on the financial statements of the two impairment reviews.

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

5. Reversal of an impairment loss

5.2 Accounting treatment

Example 3 (Answer):

Step 1: Calculate impairment loss in the past

Impairment review at 31 December 20X5	**$mil**
Asset cost at 1 January 20X5	60
Depreciation to 31 December 20X5 ($60m × 2/10)	(12)
Carrying amount at 31 December 20X5	48

Recoverable amount = $32m => Impairment loss = $16m ($48m – $32m)

After impairment review, the asset is written down to $32m and the impairment loss of $16m is charged to **profit or loss.**

The depreciation charge per annum in future periods will be $4m ($32m × 1/8).

Step 2: Identify whether a reversal is occurred

Impairment review at 31 December 20X8	**$mil**
Asset cost at 31 December 20X5	32
Depreciation to 31 December 20X8 ($4m x 3)	(12)
Carrying amount at 31 December 20X8	20

Recoverable amount = $80m

=> There has been no impairment loss (carrying amount < recoverable amount). In fact, there has been **a reversal of the first impairment loss.**

Your Notes

II. IAS 36 – IMPAIRMENT OF ASSETS

5. Reversal of an impairment loss

5.2 Accounting treatment

Example 3 (Answer):

Step 3: Determine reversal amount

	$mil	
Asset historical cost at 1 January 20X4	60	
Historical cost depreciation to 31 December 20X8	(30)	(60×5/10)
Historical carrying amount at 31 December 20X8	30	
Impaired carrying amount **(step 2)**	(20)	
Reversal of impairment loss	10	

- The reversal of the loss is recognized by increasing the asset by $10m and recognizing a gain of $10m as an income on SOPL. The building written back to $30m.
- The remaining impairment loss ($6m) has still included in SOPL of previous year. As the carrying amount has been reduced since 1st impairment, the depreciation expenses for the year following has also been reduced.

Original depreciation expenses = 60 : 10 = $6m

Depreciation expenses since 1st impairment = 32 : 8 = $4m

Net impact reduced in expenses each year = 6 -4 = $2m

Net impact for 3 years (from 20X5 to 20X8) = 3 x 2 = $6m

Your Notes

III. CASH GENERATING UNIT

1. When do we use cash generating unit?

1 When assessing the impairment of assets, it will not always be possible to base the impairment review on individual assets.

+

2 The value-in-use calculation may be **impossible on a single asset** because the individual asset does not generate distinguishable cash flows.

=

3 Need using cash generating units (CGU)

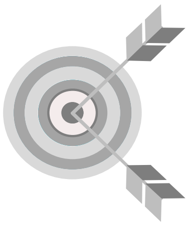
A cash generating unit Is the **smallest identifiable group of assets** that generates cash inflows that are largely **independent of the cash inflows** from other assets or groups of assets.

Your Notes

III. CASH GENERATING UNIT

2. Accounting treatment for impairment of cash generating units

Impairment calculation of total impairment calculation is done by:



Assuming the cash generating unit is one asset

Comparing the carrying amount of the CGU to the recoverable amount of the CGU

As goodwill acquired in a business combination does not generate cash flows independently of the other assets, it must be allocated to each of the acquirer's cash generating units

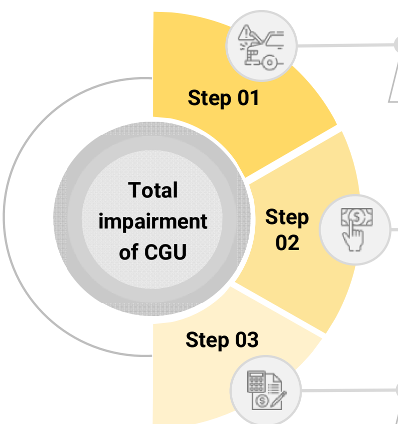
Your Notes

III. CASH GENERATING UNIT

2. Accounting treatment for impairment of cash generating units

Impairment of a CGU

The impairment loss on a CGU is allocated in the following order:



Step 01: Any asset that is impaired (e.g. if an asset was specifically damaged)

Step 02: Goodwill in the cash generating unit

Step 03: All other assets in the CGU on a pro rata basis on carrying value

Note:

- Considerations on reversal of an impairment loss for a CGU. First is asset other than goodwill on a pro-rata basis based on the carrying amount of each asset in the units.
- An impairment loss recognized for goodwill shall not be reversed in a subsequent periods

Your Notes

III. CASH GENERATING UNIT

2. Accounting treatment for impairment of cash generating units

Exam focus: Cash generating units

Example 4:

A cash-generating unit comprises the following:

	$m
Building	52
Plant and equipment	16
Goodwill	20
Current assets	18
Total	**106**

Following a recession, an impairment review has estimated the recoverable amount of the cash-generating unit to be $70 million. Besides, the fair value less cost of disposal and value in use of building are $40 and $36 million. If Carrying amount of plant = 10 and Carrying amount of equipment = 6 before impairment review, calculate the carrying amount of plant and equipment after impairment. How do we allocate the impairment loss?

Your Notes

III. CASH GENERATING UNIT

2. Accounting treatment for impairment of cash generating units

Example 4 (Answer):

Total impairment of CGU:

Recoverable amount of the cash – generating unit – Carrying amount

= $106m – $70m = $36m.

Company should allocate in the following order

Step 1: Determine any asset that is impaired (e.g. if an asset was specifically damaged) In this case, the building is identified as an impaired asset

Carrying amount: $52m

Recoverable amount (higher of Fair value less cost and value in use): $40m

=> Specific impairment of building: $12m

Step 2: Calculate impairment of goodwill in the cash generating unit

Total impairment – specific impairment = $36m – $12m = $24m

=> Goodwill is impaired by $20m and reduced to zero

Step 3: Identify impairment of other assets in unit on pro-rata basis.

Impairment remaining = $24m – $20m = $4m

Impaired value of plant and equipment = $16m – $4m = $12m

As current assets are out of scope IAS 36, no impairment should be allocated to these.

Your Notes

III. CASH GENERATING UNIT

2. Accounting treatment for impairment of cash generating units

Example 4 (Answer):

Allocation of impairment loss for plant and equipment

Items	Carrying amount ($m)	Pro – rata (%)	Impairment allocation ($m)
Plant	10	62.5 (=10/16)	2.5 (=4 x 62.5%)
Equipment	6	37.5 (=6/16)	1.5 (=4 x 37.5%)

Summary workings:

	Carrying amount ($m)	Impairment loss ($m)	Carrying amount post – impairment ($m)
Building	52	12	40
Plant	10	2.5	7.5
Equipment	6	1.5	4.5
Goodwill	20	20	0
Current assets	18	-	18
Total	**106**	**36**	**70**

Your Notes

Chapter 7 Quiz

Question 1:

Lichen Co owns a machine that has a carrying amount of $85,000 at the year end of 31 March 20X9. Its market value is $78,000 and costs of disposal are estimated at $2,500. A new machine would cost $150,000. Lichen Co expects it to produce net cash flows of $30,000 per annum for the next three years. The cost of capital of Lichen Co is 8%.

What is the impairment loss on the machine to be recognized in the financial statements at 31 March 20X9? (Enter your answer to the nearest whole $.)

$ ______

Your Notes

Your Notes

Chapter 7 Quiz

Question 2:

The following information relates to an item of plant owned by Bazaar Co:

(1) Its carrying amount in the statement of the financial position is $3 million.

(2) Bazaar Co has received an offer of $2.7 million from a company in Japan interest in buying the plant.

(3) The present value of the estimated cash flows from continued use of the plant is $2.6 million.

(4) The estimated cost of shipping the plant to Japan is $50,000.

What is the amount of the impairment loss that should be recognized in respect of the plant? (Enter your answer to the nearest whole $.)

$ ______

Your Notes

Chapter 7 Quiz

Question 3:

The net assets of Fyngle Co, a cash-generating unit (CGU), are:

	$
Property, plant and equipment	200,000
Allocated goodwill	50,000
Product patent	20,000
Net current assets (at net realizable value)	30,000
	300,000

An impairment review was carried out following adverse publicity received. The impairment review indicates that Fyngle Co has a recoverable amount of $200,000.

What would be the carrying amount of Fyngle Co's property, plant and equipment after the allocation of the impairment loss?

A. $154,545

B. $170,000

C. $160,000

D. $133,333

Your Notes

Chapter 7 Quiz

Answer

Question 1:

The correct answer is $7,687.

- Fair value less costs of disposal: (78,000– 2,500) = $75,500
- Value in use: 30,000 x 1/1.08 + 30,000 x $1/1.08^2$ + 30,000 x $1/1.08^3$ = 77,313
- Under IAS 36 Impairment of Assets, the recoverable amount of an asset is the higher of fair value less costs of disposal and value in use. Thus, recoverable amount is $77,313.
- If the recoverable amount of an asset is lower than the carrying amount, the carrying amount should be reduced by the difference (ie the impairment loss).
- The carrying amount is $85,000, which is higher than the recoverable amount, so impairment: $85,000 - $77,313 = **$7,687.**

Your Notes

Chapter 7 Quiz

Answer

Question 2:

The correct answer is $350,000.

- The value in use of the plant is $2.6 million, which is determined by the value of the offer Bazaar Co has received from a company in Japan interest in buying the plant.
- Costs of disposal is $50,000, which is the estimated cost of shipping the plant to Japan .

⇨ The fair value less costs of disposal: $2,700,000 - $50,000 = $2,650,000

- This amount is lower than the value in use of the plant ($2.6 million), so the recoverable amount is $2.65 million (is the higher of fair value less costs of disposal and value in use)
- The carrying amount of the plant given in the question is $3 million.

⇨ The impairment loss: $3,000,000 - $2,650,000 = **$350,000**

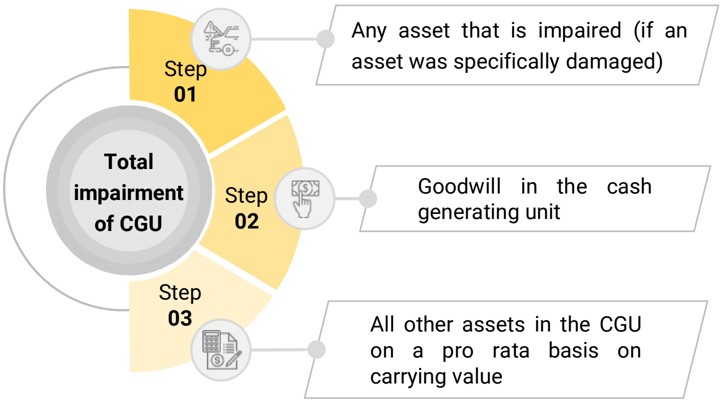
Chapter 7 Quiz

Answer

Question 3:

The correct answer is A.

Impairment loss on a CGU is allocated in the following order:



Your Notes

Chapter 7 Quiz

Answer

Detailed answer:

- The total impairment of CGU: $300,000 - $200,000 = $100,000
- **Step 1:** There is no specific impaired asset.
- **Step 2:** Goodwill is written off in full, so impairment of goodwill is $50,000. Thus, the remaining impairment of CGU: $100,000 - $50,000 = $50,000.
- **Step 3:** Except net current assets that are not impaired, the remaining impairment loss is allocated for all other assets in the CGU on a pro rata basis on carrying value.

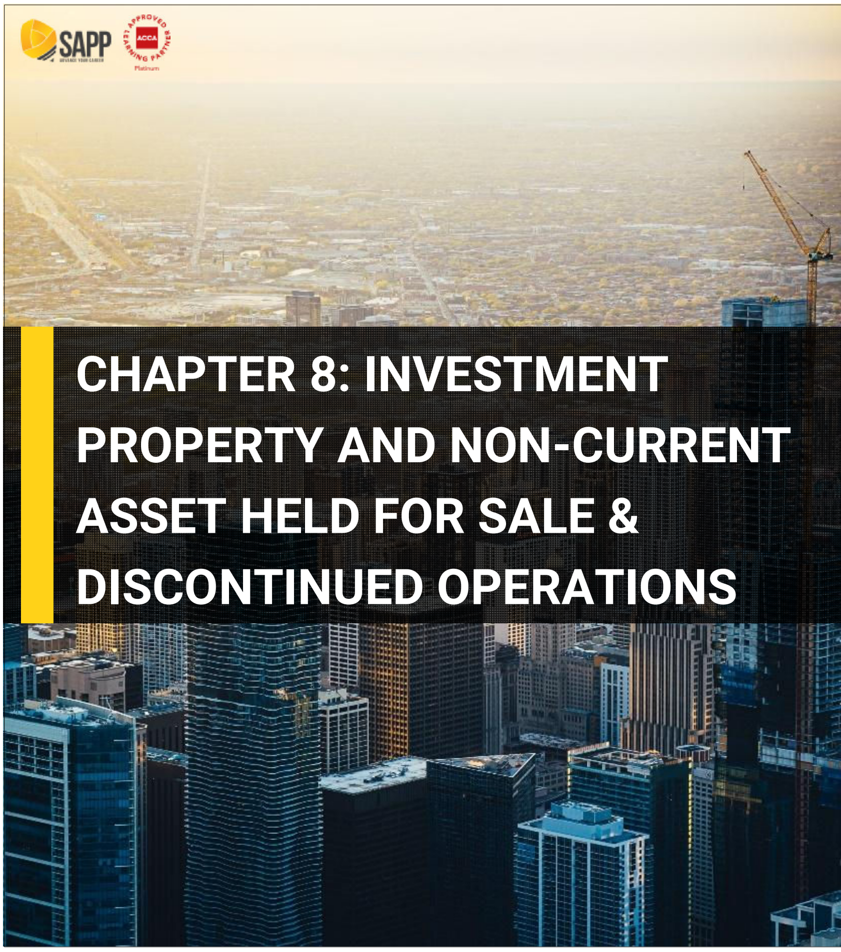
⇨ Impairment of property, plant and equipment:

$50,000 x 200,000/(200,000 + 20,000) = $45,455

⇨ The carrying amount of Fyngle Co's property, plant and equipment after the allocation of the impairment loss:

$200,000 - $45,455 = **$154,545**

Your Notes



CHAPTER 8: INVESTMENT PROPERTY AND NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

Your Notes

OVERVIEW

What will you learn?

INVESTMENT PROPERTY AND NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

IAS 40 - Investment property

- Scope
- Recognition
- Measurement
- Transfer investment property
- De-recognition

IFRS 5 - Non-current asset held for sale and discontinued operation

- Non-current assets held for sale
- Disposal group
- Discontinued operation

Your Notes

I. IAS 40 INVESTMENT PROPERTY

1. Scope of investment property

IAS 40 Investment property relates to property (land or a building) held (by the owner or by the lessee as right-of-use asset) to earn rentals or for capital appreciation or both.

Investment property

- Land held for capital appreciation;
- Land held for undecided future use;
- Buildings leased out under an operating lease;
- Vacant buildings held to be leased out under an operating lease;...

NOT Investment property

- Property held for use in the production or supply of goods or services or for administrative purposes (**IAS 16 Property, Plant and Equipment**)
- Property held for sale in the ordinary course of business or in the process of construction of development for such sale (**IAS 2 Inventories**)
- Property being constructed or developed on behalf of third parties (**IAS 11 Construction Contracts**)
- Property leased to another entity under a finance lease (**IFRS 16 Lease**)
- Owner-occupied property (**IAS 16 Property, Plant and Equipment**)

Your Notes

I. IAS 40 INVESTMENT PROPERTY

2. Recognition of investment property

Investment property should be recognized as an asset when **two conditions** are met:

Future economic benefits associated with the item **will flow** to the entity

The **cost** of the investment property can be **measured reliably**

Example: A company pays $500,000 for a building for leasing out purpose, and expects its useful life of twenty five years. Based on this information, building is recognized as an investment under IAS 40 because:

- It can bring **future economic benefits** from rental income for company
- The cost of building can be **measured reliably** (at $500,000)

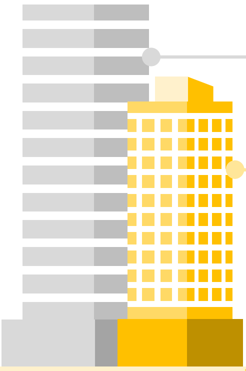
Your Notes

I. IAS 40 INVESTMENT PROPERTY

3. Measurement

3.1 Initial measurement

An investment property should be measured initially at its **cost model**



Purchase price (transaction cost)

Directly attributable costs

- Cost of hiring experts for legal services
- Property transfer tax
- Other transaction costs

Cost of investment property

Your Notes

I. IAS 40 INVESTMENT PROPERTY

3. Measurement

3.2 Subsequent measurement

There are **2 model** for subsequent measurement of investment property

Subsequent measurement	Cost model (Similar to PPE)	Historical cost − Accumulated depreciation − Accumulated impairment losses
	Fair value model	• Fair value at each reporting date with **gains/losses in P&L** • **No depreciation charged** in this model

Note:

- One model will be applied to **all investment properties**. Change is **only allowed if this results in a more consistent presentation.**
- Investment property using revaluation value model **without depreciation charged** (so this model is called **fair value model**) ⇒ This is the difference between Investment property under IAS 40 and PPE under IAS 16 using revaluation model.

Your Notes

I. IAS 40 INVESTMENT PROPERTY

3. Measurement

3.2 Subsequent measurement

Step-by-step guidance to calculate subsequent cost in 2 models:

Three steps of calculating subsequent cost in **cost model**

01 Determine initial cost of investment property

02 Calculate depreciation of building = $\frac{\text{Initial cost of building}}{\text{Useful life}}$

03 Calculate subsequent cost = Initial cost – Accumulated depreciation of investment – Accumulated impairment loss

Two steps of calculating subsequent cost in **fair value model**

01 Determine fair value of investment property

02 Calculate gain/loss from fair value model = Fair value – Previous revaluation

Your Notes

I. IAS 40 INVESTMENT PROPERTY

3. Measurement

3.2 Subsequent measurement

Example 1:

Tusco purchases a property for $4 million on 1 January 20X4 for its investment potential. The land element of the cost is believed to be $1,000,000, and the buildings element is expected to have a useful life of 40 years. At 31 December 20X8, local property indices suggest that the fair value of the property has risen to $5 million.

Required:

Show how the property would be presented in the financial statements (included depreciation charged and subsequent cost) as at 31 December 20X8 if Tusco adopts:

(a) Cost model

(b) Fair value model

Your Notes

Your Notes

I. IAS 40 INVESTMENT PROPERTY

3. Measurement

3.2 Subsequent measurement

Answer:

(a) Cost model

Step 1: Initial cost of investment property = $4,000,000

Step 2: Calculate depreciation of building

Depreciation of building = $\frac{\$3{,}000{,}000}{40}$ = $75,000 (Statement of profit or loss)

Step 3: Calculate subsequent cost of investment property

Subsequent cost = $4,000,000 – $75,000 x 5 = $3,625,000. (Statement of financial position)

(b) Fair value model

Step 1: The property will be shown at its fair value of $5 million (Statement of financial position)

Step 2: There will be a gain of $1 million representing the fair value adjustment (Statement of profit or loss)

Your Notes

I. IAS 40 INVESTMENT PROPERTY

4. Transfer investment property

Transfers to or from investment property should only be made when there is a change in use, that arising when:

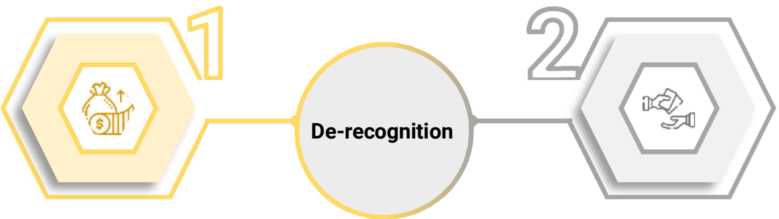
- The property satisfies / does not satisfy the **definitions of investment property**
- There is evidence of a **change in usage**.

From	To	Accounting treatment	
IP	PPE	Debit PPE – Fair value Credit IP – Fair value **Gain/loss** arising from a change in the fair value of IP shall be recognized in **P&L**	
PPE	IP	**FV > CA (gain)**	Debit IP – Fair value Credit PPE – Carrying amount Credit Revaluation surplus (OCI)
		FV < CA (loss)	Debit IP – Fair value Debit Profit or loss (P&L) Credit PPE – Carrying amount

I. IAS 40 INVESTMENT PROPERTY

5. De-recognition of investment property

Investment property should be de-recognized when on disposal or when it is permanently withdrawn from use and no future economic benefits are expected from its disposal.



Gain/loss on disposal = Net disposal process – Carrying amount

Recognized as income/expense in profit or loss

Compensation from third parties for impairment given up of IP

Recognized in profit or loss

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

1. Introduction of non-current asset held for sale

1.1 Terminologies

Terminologies	Definition
Disposal group	A group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction
Cash-generating unit	The smallest identifiable group of assets for which independent cash flows can be identified and measured
Discontinued operation	A component of an entity that has either been disposed of, or is classified as held for sale

Your Notes

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

1. Introduction of non-current asset held for sale

1.2 Scope of non-current asset held for sale

A non-current asset (or disposal group) should be classified as **held for sale** if its carrying amount will be recovered principally through a sale transaction rather than **through continuing use.**

Criteria of non-current assets held for sale		
	Available for immediate sale in its present condition	
	Highly probable for sale **(within 12 months)**	Management must be **committed** to a plan to sell the asset
		There must be an active program to **locate a buyer**
		Sale at a price that is **reasonable in relation** to its current FV
		The sale should be expected to take place **within one year** from the date of classification
		It is **unlikely** that **significant changes** to the plan will be made or that the plan will be withdrawn

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

1. Introduction of non-current asset held for sale

1.3 Measurement

Measurement			
	NCAs held for sale	Lower of	Carrying amount
			Fair value less cost of disposal
	NCAs no longer held for sale	Lower of	Recoverable amount at date of decision not to sell
			Carrying amount before being classified as held for sale, **adjusted** for depreciation that would have been charged had the asset not been held for sale

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

1. Introduction of non-current asset held for sale

1.3 Measurement

Example 2:

Tusco purchases a bus for $200,000 on 1 January 20X4 for its business, and the bus is expected to have a useful life of 10 years, with none residual value. At 31 December 20X5, Tusco has no longer business demand for the bus, and decides to sell it. The market price of the same bus at that time is $180,000, and the selling expense is $1000.

Required:

(a) Show how the bus would be presented in the financial statements at 31 December 20X5.

(b) At 30 June 20X6, due to the unexpected transportation demand of Tusco's staffs, it decides to use the bus. Tusco estimates the recoverable amount of the bus at 30 June 20X6 is $170,000. Show how the bus would be presented in the financial statements at 30 June 20X6

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

1. Introduction of non-current asset held for sale

1.3 Measurement

Answer:

(a) At 31 December 20X5

Step 1: Calculate depreciation of the bus at 31 December 20X5:

Depreciation = $\frac{\$200,000}{10}$ x 2 = $40,000

Step 2: Calculate carrying amount = $200,000 - $40,000 = $ 160,000

Step 3: Calculate fair value less cost of disposal = $180,000 - $1,000 = $179,000

Step 4: Compare the value between step 2 and 3:

The lower amount is $160,000 (Statement of financial position)

(b) At 30 June 20X6

Step 1: The depreciation at 30 June 20X6 when the bus is not classified as held for sale:

Depreciation = $\frac{\$200,000}{10}$ x 2.5 = $50,000

Step 2: Calculate carrying amount = $200,000 - $50,000 = $ 150,000

Step 3: The recoverable amount: $170,000

Step 4: Compare the value between step 2 and 3:

The lower amount is $150,000 (Statement of financial position)

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

2. Disposal groups

A group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction.

The disposal group may be a group of CGUs (cash-generating units), a single CGU, or part of a CGU

3. Discontinued operation

KEY POINT

Discontinued operation: A component of an entity that either has been disposed of or is classified as held for sale and:

(a) Represents a separate major line of business or geographical area of operations;

(b) Is part of a single coordinated plan to dispose of separate major lines of business or geographical areas of operations; or

(c) Is a subsidiary acquired exclusively with a view to resale.

Component of an entity: A part that has operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

3. Discontinued operation

3.1 Presentation and disclosure

The general requirement is that an entity shall present and disclose information that enables users of financial statements to evaluate the financial effects of discontinued operations and disposals of non-current assets and disposal groups.

The following presentation and disclosure requirements apply:

Discontinued operations

(a) On the face of the statement of profit or loss and other comprehensive income

(i) **A single amount** comprising the total of:	The **post-tax profit or loss** of discontinued operations, and
	The **post-tax profit or loss** recognized on the remeasurement to fair value less costs to sell or on the disposal of assets/disposal groups comprising the discontinued

Your Notes

II. IFRS 5 NON-CURRENT ASSET HELD FOR SALE & DISCONTINUED OPERATIONS

3. Discontinued operation

3.1 Presentation and disclosure

(b) On the face of the financial statements or in the notes

(i) The **revenue, expenses, and pre-tax profit or loss** of discontinued operations, and the related income tax expense

(ii) The **gain or loss** recognized on the measurement to fair value less costs to sell or on the disposal of assets/disposal groups comprising the discontinued operation, and the **related income tax expense**, and

(iii) The **net cash flows** attributable to the operating, investing and financing activities of discontinued operations

Chapter 8 Quiz

Question 1:

Identify whether each of the following statements is true or false in accordance with IAS 40 Investment Property?

Following initial recognition, an investment property can be measured at either cost or fair value	TRUE	FALSE
If an investment property is held at fair value, this must be applied to all of the entity's investment properties	TRUE	FALSE
An investment property is initially measured at cost, including transaction costs	TRUE	FALSE
A gain or loss arising from a change in the fair value of an investment property should be recognized in the revaluation surplus	TRUE	FALSE

Your Notes

Chapter 8 Quiz

The following scenario relates to questions 2-6

Speculate owns two properties and uses fair value accounting where possible.

Property A: An office building used by Speculate for administrative purposes. At 1 April 20X2, it had a carrying amount of $2 million and a remaining life of 20 years. On 1 October 20X2, the property was let to a third party and reclassified as an investment property. The property had a fair value of $2.3 million at 1 October 20X2, and $2.34 million at 31 March 20X3.

Property B: Another office building let on a 12-month lease to a subsidiary of Speculate. At 1 April 20X2, it had a fair value of $1.5 million which had risen to $1.65 million at 31 March 20X3.

Question 2:

What is the correct treatment when Property A is reclassified as an investment property?

A. Take $350,000 gain to other comprehensive income

B. Take $350,000 gain to the statement of profit or loss

C. Take $400,000 gain to other comprehensive income

D. Take $400,000 gain to the statement of profit or loss

Your Notes

Chapter 8 Quiz

Question 3:

Which of the following models can Speculate use to account for investment properties in its individual financial statements?

(i) Cost model

(ii) Revaluation model

(iii) Fair value model

A. (i) and (ii) only

B. (i) and (iii) only

C. (ii) and (iii) only

D. All three

Question 4:

What is the total gain for investment properties to be included in Speculate's individual statement of profit or loss for the year ended 31 March 20X3? Enter your answer to the nearest dollar ($).

$ ______

Chapter 8 Quiz

Question 5:

BN has an asset that was classified as held for sale at 31 March 20X2. The asset had a carrying amount of $900 and a fair value of $800. The cost of disposal was estimated to be $50.

According to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations, which value should be used for the asset as at 31 March 20X2?

A. $750

B. $800

C. $850

D. $900

Your Notes

Chapter 8 Quiz

Question 6:

According to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations which of the following represent criteria for an asset to be classified as held for sale?

(i) Available for immediate sale in its present condition.

(ii) Sale is highly probable.

(iii) The sale is expected to be completed within the next month.

(iv) The asset is being marketed at a reasonable price.

A. All of the above

B. (i), (ii) and (iii)

C. (i), (ii) and (iv)

D. (ii), (iii) and (iv)

Your Notes

Your Notes

Chapter 8 Quiz

Answer

Question 1:

The correct answer is:

Following initial recognition, an investment property can be measured at either cost or fair value	**TRUE**	FALSE
If an investment property is held at fair value, this must be applied to all of the entity's investment properties	**TRUE**	FALSE
An investment property is initially measured at cost, including transaction costs	**TRUE**	FALSE
A gain or loss arising from a change in the fair value of an investment property should be recognized in the revaluation surplus	TRUE	**FALSE**

The gain or loss arising from a change in the fair value of an investment property should be recognized in profit or loss not the revaluation surplus

Your Notes

Chapter 8 Quiz

Answer

Question 2:

The correct answer is A

As Speculate uses the fair value model for investment properties, the asset should be revalued to fair value before being classed as an investment property.

The gain on revaluation should be taken to other comprehensive income, as the asset is being revalued while held as property, plant and equipment.

- Depreciation for 6 months is ($2m / 20yrs) x (6/12) = $0.05m
- At 1 October, the carrying amount of the asset is ($2m - $0,05m) = $1.95m
- As the fair value at 1 October is $2.3 million, this leads to a **$350,000** gain which will be recorded in other comprehensive income.

Question 3:

The correct answer is B

Investment properties can be accounted for under the cost or fair value model but not the revaluation model, which applies to property, plant and equipment.

Chapter 8 Quiz

Answer

Question 4:

The correct answer is $190,000

Gain on investment properties:

	$000
A ($2,340 - $2,300)	40
B ($1,650 – $1,500)	150

Question 5:

The correct answer is A

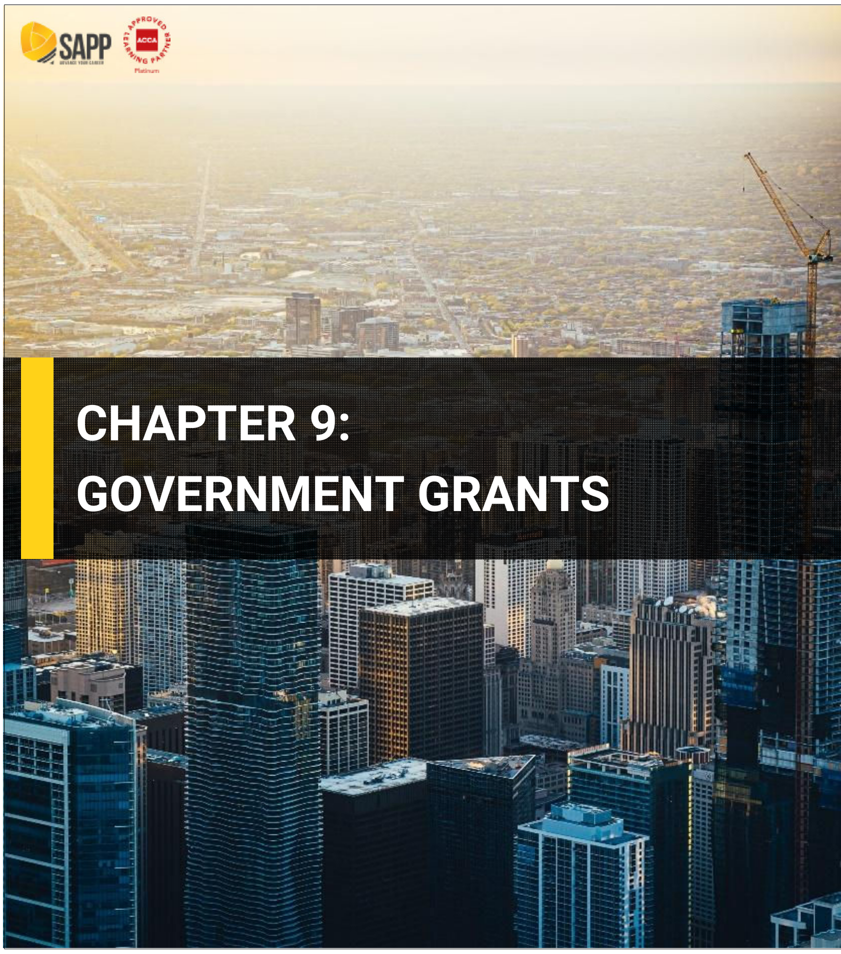
- Assets held for sale should be held at the lower of carrying value and fair value less costs to sell. Therefore the asset should be held at $750.
- Item B is just the fair value.
- Item C is the fair value plus the costs to sell, which is incorrect. Item D is the carrying value.

Question 6:

The correct answer is C

A sale has to be expected within 12 months, not one month. The others are all criteria which must be met to classify an asset as held for sale.

Your Notes



CHAPTER 9: GOVERNMENT GRANTS

Your Notes

OVERVIEW

What will you learn?

IAS 20 GOVERNMENT GRANTS

Overview
- Scope
- Principle of recognition
- Presentation
- Disclosure

Receipt of government grants
- Revenue grants
- Capital grants

Your Notes

I. OVERVIEW ABOUT GOVERNMENT GRANTS

1. Scope

IAS 20 applies for all situations **EXCEPT**:

01	Any forms of government assistance which **cannot be reasonably valued**
02	Transactions with government which **cannot be distinguished** from the entity's normal trading activities
03	Tax breaks from government
04	Government acting as part-owner of the entity
05	Grants covered by **IAS 41 Agriculture**

Your Notes

I. OVERVIEW ABOUT GOVERNMENT GRANTS

2. General principles of recognition

2 principles

01 Prudence

Grants should be recognized when:

- Receipt's conditions have been met
- Reasonable assurance that grant(s) is received

02 Accruals

- Grants matching with expenditure to which they compensate

Your Notes

I. OVERVIEW ABOUT GOVERNMENT GRANTS

4. Presentation

There are 2 kinds of grants, including:

Revenue grants

Initially, reported in full as deferred income
Subsequently, during the relevant period, allocated amount from deferred income may be reported separately:

- as 'other income' or
- deducted from the related expense

Capital grants

May be presented in one of two ways:

- as deferred income, or
- deduct the grant from the asset's carrying amount.

Your Notes

I. OVERVIEW ABOUT GOVERNMENT GRANTS

5. Disclosure

Disclosure is required for the following:

01 **Accounting policy** adopted, including method of presentation

02 **Nature and extent** of government grants recognized and other forms of assistance received

03 **Unfulfilled conditions and other contingencies** attached to recognized government assistance

Your Notes

II. RECEIPT OF GOVERNMENT GRANTS

1. Revenue grant

Revenue grants can be recognized as the following:

Recognise the grant as other income or expense as part of profit or loss

Step 1: Recognize the grant as deferred income

Dr Cash

Cr Deferred income

Step 2: ***Allocate the deferred income and record as other income/expense***

Dr Deferred income

Cr Other income/ Cr Expense

Example 1

An entity is given $800,000 on 1/1/20X0 to keep staff employed within a deprived area with conditions that there will be no redundancies for the next 04 years; otherwise, the grant will be repaid. By 31/12/20X0, no redundancies taking places and none are planned for the next year.

Required: What are the accounting treatments for this grant at the end of 20X0?

Your Notes

II. RECEIPT OF GOVERNMENT GRANTS

1. Revenue grants

Example 1: Answer

Recognize the grant as other income as part of profit or loss

Step 1: ***Recognize the grant as deferred income:***
Debit Cash $800
Credit Deferred income $800

Step 2: ***Allocate the deferred income and record as other income:***
Debit Deferred income $200 (800/4)
Credit Other income/Cr Expense $200

Statement of financial position	
Deferred income (current liabilities)	$200 *(800/4)*
Deferred income (non-current liabilities)	$400 *(800-200-200)*
Income statement	
Other income	$200
or Expenses	$200

Your Notes

II. RECEIPT OF GOVERNMENT GRANTS

2. Capital grants

Capital grants

Choose one of two methods

Method 1: Deferred income method

__Step 1:__ Initially record as deferred income:
- Debit Cash
- Credit Deferred income

__Step 2:__ Record depreciation & allocate the grant:
- Debit Depreciation expense
- Credit Accumulated depreciation
- Debit Deferred income
- Credit Other income

Method 2: Deducted from the PPE's cost

__Step 1:__ Deduct grant from PPE's cost:
- Debit Cash
- Credit PPE

__Step 2:__ Depreciate the asset from the reduced cost:
- Debit Depreciation expense
- Credit Accumulated depreciation

Your Notes

II. RECEIPT OF GOVERNMENT GRANTS

2. Capital grants

Example 2

Tusco receives a 40% grant towards the cost of a new item of machinery, which costs $1,000 at 1/1/20X0. The machinery has a useful life of four years and a nil residual value.

Required: What is the accounting treatment for this grant?

If Tusco chooses to treat it as a deferred income (deferred income method).

Answer:

Method 1: Deferred income method	Method 2: Deducted from the PPE's cost
Step 1: *Initially record as deferred income:* **Debit** Cash $400 ($1,000 x 40%) **Credit** Deferred income $400	***Step 1:*** *Deduct grant from PPE's cost:* **Debit** Cash $400 ($1,000 x 40%) **Credit** PPE $400
Step 2*: Record depreciation & allocate the grant:* **Debit** Depreciation $250 ($1,000/4) **Credit** Accumulated depr $250 **Debit** Deferred income $100 ($1,000 x 40%/4) **Credit** Other income $100	***Step 2:*** *Depreciate the asset from the reduced cost:* **Debit** Depreciation $150 [($1,000 - $400)/4] **Credit** Accumulated depr $150

Your Notes

Chapter 9 Quiz

Question 1:

Which TWO of the following statements about IAS 20 Accounting for Government Grants and Disclosure of Government Assistance are true?

A. A government grant related to the purchase of an asset must be deducted from the carrying amount of the asset in the statement of financial position.

B. A government grant related to the purchase of an asset should be recognised in profit or loss over the life of the asset.

C. Free marketing advice provided by a government department is excluded from the definition of government grants.

D. Any required repayment of a government grant received in an earlier reporting period is treated as prior period adjustment.

Your Notes

Your Notes

Chapter 9 Quiz

Question 2:

A manufacturing entity is entitled to a grant of $3 million for creating 50 jobs and maintaining them for three years. $1.5m is received when the jobs are created and the remaining $1.5m is receivable after three years, provided that the 50 jobs are still in existence. The entity creates 50 jobs at the beginning of year one and there is reasonable assurance that this level of employment will be maintained.

What is the deferred income balance at the end of the first year?

$___________

Your Notes

Chapter 9 Quiz

Answer

Question 1:

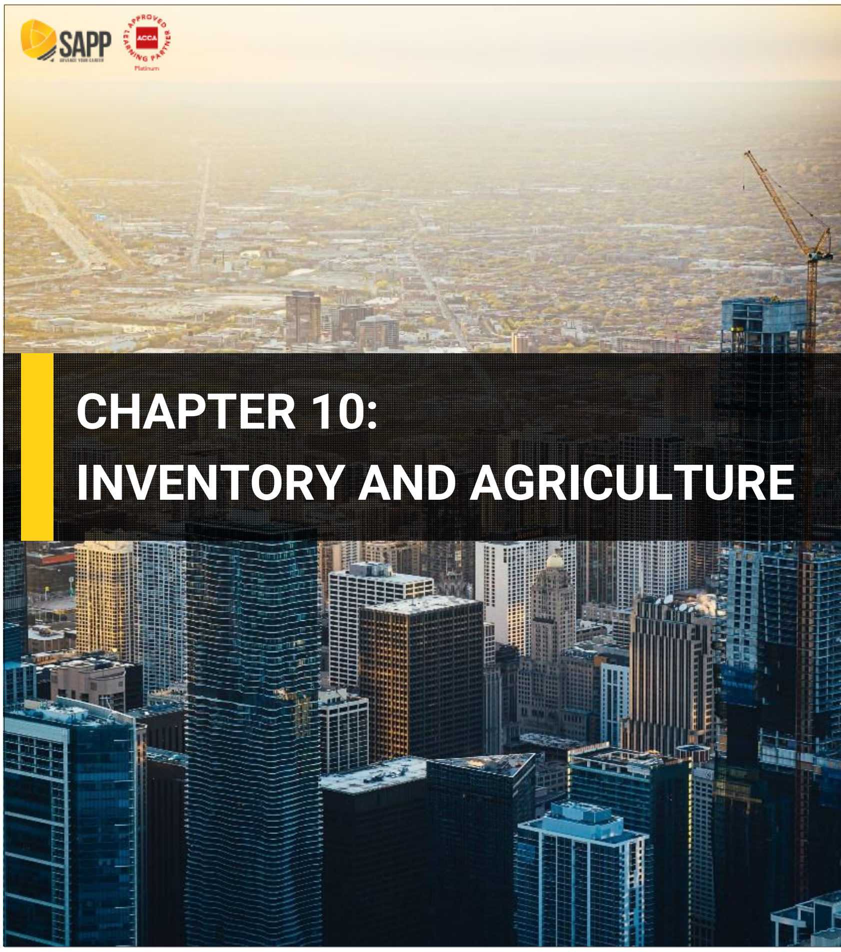
The correct answer is B and C

- Item A is incorrect as the deferred income method can be used.
- Item D is incorrect as any repayment is corrected in the current period, not retrospectively.

Question 2:

The correct answer is $500,000

The total grant income is $3m, to be recognised over a three-year period. Annual income is therefore $1m. At the end of the first year the entity has received $1.5m of which $1m has been recognised in the statement of profit or loss, leaving $500,000 deferred into future periods.



CHAPTER 10: INVENTORY AND AGRICULTURE

Your Notes

OVERVIEW

What will you learn?

INVENTORY AND AGRICULTURE

IAS 2 – Inventory
- Terminologies
- Measurement of inventory
- Disclosure of inventory

IAS 41 – Agriculture
- Terminologies
- Scope
- Recognition of biological assets
- Measurement of biological assets

Your Notes

I. IAS 2 – INVENTORY

1. Terminologies

Terminologies	Definition
Inventories	▪ Assets are held for sale in the ordinary course of business ▪ Assets are in the process of production for such sale; or ▪ Assets are in the form of materials or supplies to be consumed in the production process or in the rendering of services
Net realizable value	The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.
Fair value	The price that would be received to sell an asset or paid to transfer a liability in orderly transaction between market participants at the measurement date.
Fixed production overheads	Indirect costs of production that remain relatively constant regardless of the volume of production. *Ex: The cost of factory management and administration.*
Variable production overheads	Indirect costs of production that vary directly, or nearly directly, with the volume of production *Ex: Indirect materials and labor.*

Your Notes

I. IAS 2 – INVENTORY

2. Measurement of inventory

Measurement of inventory

Lower

Cost | Net realizable value (NRV)

Cost of inventory

Cost of purchase	=	Purchase price	+	Cost of purchase	+	Other cost directly attributable (*)	−	Trade discount

Cost of conversion	Direct cost	Costs directly related to the units of production, e.g. direct materials, direct labor.
	Overheads cost	Fixed production overheads
		Variable production overheads
Other costs	Incurred in bringing the inventories to their present location and condition.	

Your Notes

I. IAS 2 – INVENTORY

2. Measurement of inventory

(*) Other costs directly attributable: Transport, handling and any other cost directly attributable to the acquisition of finished goods, services and materials

The standard lists types of cost which would **not be included** in cost of inventories should be recognized as an expense:

- '**Abnormal amounts of wasted** materials, labor or other production costs;
- **Storage costs, unless those costs** are necessary in the production process before a further production stage;
- **Administrative overheads** that do not contribute to bringing inventories to their present location and condition; and
- **Selling costs.**'

Your Notes

I. IAS 2 – INVENTORY

2. Measurement of inventory

Net realizable value (NRV)

Net realizable value (NRV) = Estimated selling price – The estimated costs of completion and costs necessary to make the sale.

Reason for NRV < Cost

1. **An increase** in costs or **a fall** in selling price
2. **A physical deterioration** in the condition of inventory
3. **Obsolescence** of products
4. **Errors** in production or purchasing
5. A decision as part of the company's marketing **strategy** to manufacture and sell products **at a loss**

Your Notes

I. IAS 2 – INVENTORY

2. Measurement of inventory

Methods of calculation of cost of inventory:

	Principle	Feature	Application
Specific identification method	Keeping track of each specific item in inventory and assigning cost individually instead of grouping items together.	The cost can be clearly identified for each item	Applied on such inventories which are not interchangeable or individually distinguishable and of high value or for goods or services produced and segregated for specific projects make the sale
First in first out – FIFO	The first items of inventory received are assumed to be the first ones sold.	The cost of closing inventory is the cost of the most recent purchases of inventory	Applied on such inventories which are interchangeable
Weighted average cost	The cost of an item of inventory is calculated by taking the average of all inventory held	The average cost can be calculated periodically or continuously	Applied on such inventories which are interchangeable

Your Notes

I. IAS 2 – INVENTORY

3. Disclosure of inventory

IAS 02 requires disclosures:

IAS 02

01 The **accounting policies** adopted in measuring inventories, including the cost of formula used.

02 The **total carrying amount** of inventories and the **carrying amount in classifications** appropriate to the entity.

03 The **carrying amount** of any inventories carried **at NRV.**

04 Amount of **any write-down of inventories** recognized as an expense in the period.

05 Amount of **any reversal of a write-down** to NRV and the circumstances that led to such reversal.

06 **Carrying amount** of inventories **pledged as security for liabilities.**

07 **Cost of inventories** recognized as expense (COGS).

Your Notes

II. IAS 41 – AGRICULTURE

1. Terminologies

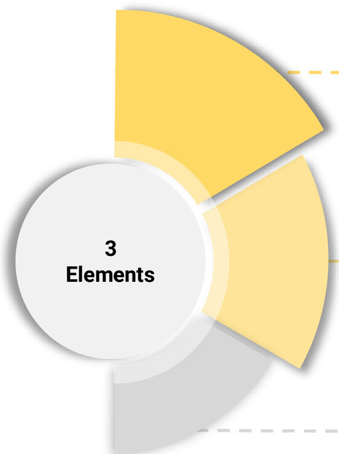
Terminologies	Definition
Agricultural activity	The management by an entity of the biological transformation of biological assets for sale, into agricultural produce or into additional biological assets
Agricultural produce	The harvested product of an entity's biological assets.
Biological assets	Living animals or plants.
Biological transformation	Compromises the processes of growth, degeneration, production and procreation that cause qualitative and quantitative changes in a biological asset
Group of biological assets	An aggregation of similar living animals or plants
Harvest	The detachment of produce from a biological asset or the cessation of a biological asset's life processes

Your Notes

II. IAS 41 – AGRICULTURE

2. Scope of IAS 41

The standard applies to the **three elements** that form part of, or result from, agricultural activity.



Biological assets, except for bearer plants
<u>**Example:**</u> Fruit tree, animal, oil palm

Agricultural produce at the point of harvest
<u>**Example:**</u> Felled tree, milk picked fruit

Government grants
Government grants related to a biological asset.

Your Notes

II. IAS 41 – AGRICULTURE

3. Recognition of IAS 41

An entity should recognize a biological asset or agricultural produce **only** when:

Conditions to recognize biological assets

- The entity controls the asset
- The asset is as a result of past events
- It is probable that future economic inflows will result
- The asset and inflows are capable of reliable measurement

Your Notes

II. IAS 41 – AGRICULTURE

4. Measurement of IAS 41

Measurement	
Initial measurement	Subsequent measurement
• Fair value – Estimated costs to sell • If there is no fair value, then the cost model should be used	Biological assets are revalued to fair value less estimated costs to sell

Note:

- Gains and losses may arise in profit or loss when a biological asset is first recognized.
- Gains and losses arising from changes in fair value are recognized in SOPL for the period in which they arise.
- Biological assets are presented separately on the face of the statement of financial position within non-current assets.

Your Notes

Your Notes

II. IAS 41 – AGRICULTURE

4. Measurement of IAS 41

Example 1:

A herd of five 4-year-old pigs was held on 1 January 20X6. On 1 July 20X6 a 4.5-year-old pig was purchased for $440. The fair values less estimated point of sale costs was:

- 4-year-old pig at 1 January 20X6 $400
- 4.5-year-old pig at 1 July 20X6 $440
- 5-year-old pig at 31 December 20X6 $500

Required: Calculate the amount that will be taken to the statement of profit or loss for the year ended 31 December 20X6

Answer:

Step 1: Calculate initial cost of pigs at the beginning of the year Initial cost of pigs = 5 × $400 = $2,000

Step 2: Calculate cost for buying pigs in the year Cost for buying pigs in the year = $440

Step 3: Calculate cost of the pigs at the end of the year

Cost of the pigs at the end of the year = 6 × $500 = $3,000

Step 4: Calculate gain/loss from the change in fair value of the pigs = **Step 3 – (Step 1+ Step 2)**

Gain/loss from the change in fair value of the pigs = $3,000 – ($2,000 + $440) = $560 (gain)

Your Notes

II. IAS 41 – AGRICULTURE

4. Measurement of IAS 41

Example 2:

Company Vinas Milk owns a dairy farm. At 1 January 20X8, Company owned 10,000 cows worth $2,000 each (rely on market price). At 31 December 20X8, Company had 11,000 cows worth $2,100 each. During 20X1 Company sold 20 million liter of milk at an average price of $2 per liter. When cows are sold at the local market, the auctioneer charges a commission of 5%.

Required: Show extract from the financial statements for 20X1 for these activities, assuming that no cows were purchased or sold during the year

- Revenue from sales of milk (W1)
- Value of the cows at the end of the year (W2)
- Gain from increase in the cows (W3)

II. IAS 41 – AGRICULTURE

4. Measurement of IAS 41

Example 2: Answer

(W1) Calculate revenue from sales of milk (SOPL)

Revenue from sales of milk = Selling price of each liter of milk × Total of milk liter

⇒ Revenue from sales of milk = $2 × 20,000,000 = $40,000,000

(W2) Calculate the value of the cows at the end of the year (SOFP)

Because the cows are classified as biological assets ⇒ Value of the cows will recorded in SOFP

Value of the cows at the end = Value of each cow × Total number of the cows × (1 – commission)

⇒ Value of the cows at the end = $2,100 × 11,000 × (1 – 5%) = $21,945,000

(W3) Calculate gain from an increase in the value of the cows (SOPL)

Gains and losses arising from changes in the fair value of biological assets are recognized in SOPL for the period in which they arise.

⇒ Gain form increase in value of the cows = Value of the cows at the end – Value of the cows at the beginning

Value of the cows at the beginning of the year = Value of each cow × Total number of the cows × (1 – commission)

⇒ Value of the cows at the begin = $2,000 × 10,000 × (1 – 5%) = $19,000,000

⇒ Gain from increase in value of the cows = $21,945,000 – $19,000,000 = $2,945,000

Your Notes

Chapter 10 Quiz

Question 1:

Caminas Co has the following products in inventory at the year end.

Product	Quantity	Cost	Selling price	Selling cost
A	1,000	$40	$55	$8
B	2,500	$15	$25	$4
C	800	$23	$27	$5

At what amount should total inventory be stated in the statement of financial position?

Select your answers from the pull-down list provided.

Pull down list

- $103,100
- $105,100
- $95,100
- $95,900

Your Notes

Chapter 10 Quiz

Question 2:

Identify whether the following statements about IAS 2 Inventories are correct or incorrect:

Production overheads should be included in the cost on the basis of a company's actual level of activity in the period	**CORRECT**	**INCORRECT**
In arriving at the net realizable value of inventories, settlement discounts must be deducted from the expected selling price	**CORRECT**	**INCORRECT**
In arriving at the cost of inventories, FIFO, LIFO and weighted average cost formulas are acceptable	**CORRECT**	**INCORRECT**
It is permitted to value finished goods inventories at materials plus labour cost only, without adding production overheads	**CORRECT**	**INCORRECT**

Your Notes

Chapter 10 Quiz

Question 3:

In preparing financial statements for the year ended 31 March 20X6, the inventory count was carried out on 4 April 20X6. The value of inventory counted was $36 million. Between 31 March and 4 April goods with a cost of $2.7 million were received into inventory and sales of $7.8 million were made at a mark-up on cost of 30%.

Using the pull-down list provided, select at what amount inventory should be stated in the statement of financial position as at 31 March 20X6?

Pull down list

- $33.3 million
- $36.0 million
- $39.3 million
- $41.1 million

Your Notes

Chapter 10 Quiz

Question 4:

At 31 March 20X7 Tentacle Co had 12,000 units of product W32 in inventory, included at cost of $6 per unit. During April and May 20X7 units of W32 were being sold at a price of $5.40 each, with sales staff receiving a 15% commission on the sales price of the products. The financial statements of Tentacle Co were approved by the Board on 14 July 20X7.

At what amount should inventory of product W32 be recognized in the financial statements of Tentacle Co as at 31 March 20X7? (Enter your answer to the nearest whole $.)

$ ______

Your Notes

Chapter 10 Quiz

Question 5:

At what amount is a biological asset measured on initial recognition in accordance with IAS 41 Agriculture?

A. Production cost

B. Fair value

C. Cost less estimated costs to sell

D. Fair value less estimated costs to sell

Question 6:

How is a gain or loss arising on a biological asset recognized in accordance with IAS 41 Agriculture?

A. Included in profit or loss for the year

B. Adjusted in retained earnings

C. Shown under ‘other comprehensive income’

D. Deferred and recognized over the life of the biological asset

Chapter 10 Quiz

Answer

Question 1:

The correct answer is: $95,100

- According to IAS 2, Inventory is measured by the lower of cost and net realizable value (NRV), which is selling price minus selling cost.
- The value of each product is calculated as follow:

Product	Quantity	Cost	NRV	Value
A	1,000	$40	$55 - $8 = $47	$40 x 1,000 = $40,000
B	2,500	$15	$25 - $4 = $21	$15 x 2,500 = $37,500
C	800	$23	$27 - $5 = $22	$22 x 800 = $17,600

⇨ Total amount of inventory stated in the statement of financial position:

$40,000 + $37,500 + $17,600 = **$95,100**

Your Notes

Chapter 10 Quiz

Answer

Question 2:

Production overheads should be included in the cost on the basis of a company's actual level of activity in the period	CORRECT	**INCORRECT**
In arriving at the net realizable value of inventories, settlement discounts must be deducted from the expected selling price	CORRECT	**INCORRECT**
In arriving at the cost of inventories, FIFO, LIFO and weighted average cost formulas are acceptable	CORRECT	**INCORRECT**
It is permitted to value finished goods inventories at materials plus labour cost only, without adding production overheads	CORRECT	**INCORRECT**

- **Statement (1)** is incorrect because production overheads are allocated on the basis of a **company's normal level of activity**
- **Statement (2)** is incorrect because settlement discounts **are not deducted** to arrive at NRV.
- **Statement (3)** is incorrect because the **LIFO formula is not allowed** under IAS 2.
- **Statement (4)** is incorrect because **production overheads should be included** in valuation of finished goods.

Your Notes

Chapter 10 Quiz

Answer

Question 3:

The correct answer is: $39.3 million

- Amount of inventory stated in the statement of financial position as at 31 March 20X6 should be calculated based on the value of inventory counted at 4 April 20X6 after deducting the value of inventory received after year end and adding the value of inventory sold after 31 March 20X6.
- The calculations are shown as follow:

	$m
Per inventory count	36.0
Received after year end	(2.7)
Sold after year end	6.0
	39.3

⇨ Value of inventory should be stated in the statement of financial position as at 31 March 20X6 is **$39.3 million.**

Your Notes

Chapter 10 Quiz

Answer

Question 4:

The correct answer is: $55,080

- Selling cost is the commission received by sales staff. Thus, net realizable value (NRV) per unit: $5.40 - $5.40 x 15% = $4.59
- The inventory at year end should be measured by the lower of cost and NRV, so the value of inventory per unit should be $4.59

⇨ The value of inventory at year end: $4,59 x 12,000 = **$55,080**

Question 5:

The correct answer is D

According to IAS 41 Agriculture, biological assets are required to be measured on initial recognition at fair value less estimated costs to sell.

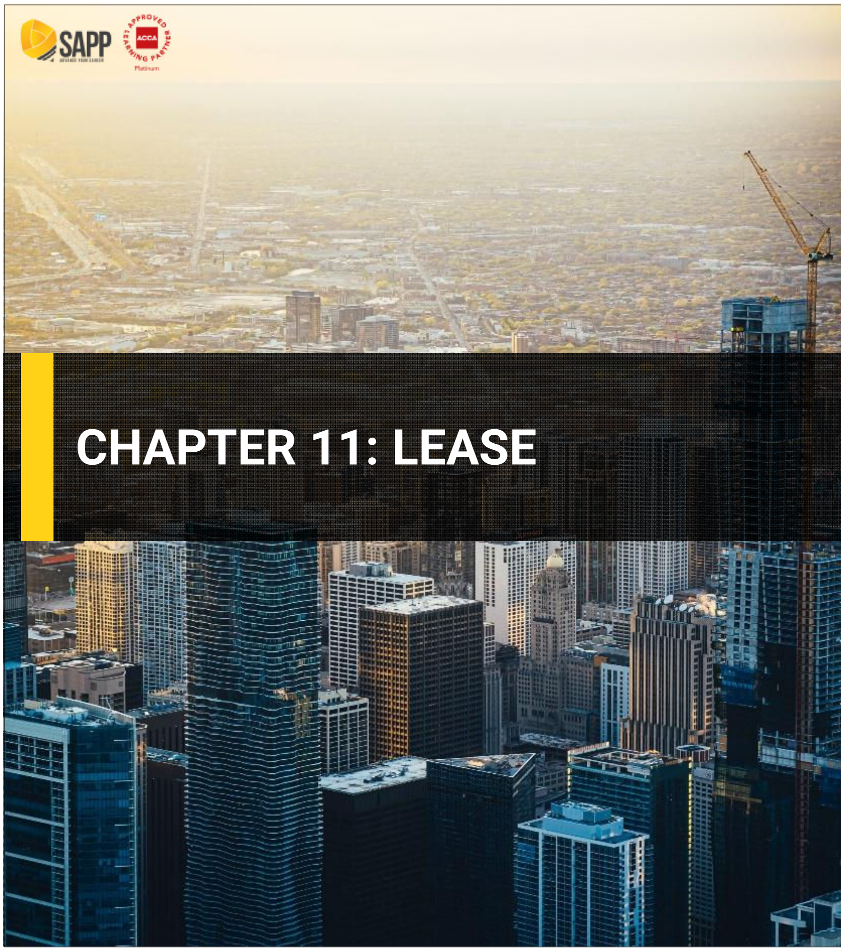
Question 6:

The correct answer is A

IAS 41 Agriculture requires **a gain or loss arising on a biological asset is included in profit or loss for the year end.**

Your Notes

CHAPTER 11: LEASE



Your Notes

OVERVIEW

What will you learn?

IFRS 16 LEASE

Identify a lease	Accounting treatment	Sale and lease back
Step to identify whether a contract is a lease or NOT	Accounting treatment for lessee	Transfer is not a sale
	Accounting treatment for lessor	Transfer is a sale

Your Notes

I. DEFINITION AND TERMINOLOGIES

1. Definition

Lease: A contract, or part of a contract, that conveys **the right to use an asset** (the underlying asset) for **a period of time in exchange for consideration**.

Lessor → Provides the right to use an underlying → **Lessee**

Lessor: Entity that **provides** the right to use an underlying asset in exchange for consideration

Lessee: Entity that **obtains** the right to use an underlying asset in exchange for consideration

Your Notes

II. IDENTIFY A LEASE

Process of identifying lease

To determine an asset is identified as a lease or not, we should rely on following graph:

Step 01: **Whether** there is an **identified asset** or not
- No → Contract does **NOT contain** a lease
- Yes ↓

Step 02: Customer have the right to obtain **substantially all the economic benefits** from the use of the asset
- No → Contract does **NOT contain** a lease
- Yes ↓

Step 03: Who has the right to **direct how and for what purpose** the asset is used throughout the period of use
- Lessee → Contract **contain** a lease
- Lessor → Contract does **NOT contain** a lease
- *No one, it's predetermined* ↓

Step 04: Customer
- Operates the asset, or
- Design the asset

Yes → Contract **contain** a lease

No → Contract **does NOT contain** a lease

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

According to IFRS 16, at lease commencement, we will recognize a lessee accounts following below:

Lessee accounting

- **Lease liability** (Liability)
- **Right of use asset** (Non-current asset)

Note: The difference between IAS 17 (old standard) and IFRS 16
Under IFRS 16, There is no longer a distinction between finance lease and operating lease, as the lessee controls the leased asset during the lease term, and is recognized an asset and a liability respectively. (recognized under the previous standard's finance lease method)

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

Instead of applying the recognition requirements of IFRS 16 described, a **lessee** may elect to **account for lease payments as an expense** (like operating lease under IAS 17) on a straight-line basis over the lease term or another systematic basis for **the following 2 types of leases:**

The short-term lease (Term ≤ 12 months)

These are leases with a lease term of twelve months or less. This election is made by class of underlying asset. A lease that contains a purchase option cannot be a short-term lease.

The underlying asset is of a low value (Value ≤ USD 5,000)

An underlying asset qualifies as **low value** only if **two conditions** apply:

- The lessee **can benefit** from using the underlying asset.
- The underlying asset is **not highly dependent** on, **or highly interrelated** with other assets.

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

Example 1:

On 1 April 20X7 Fino Co also took out a lease on another piece of equipment. The lease runs for ten months and payments of $1,000 per month are payable in advance.

Solution:

This case is short-term lease, Fino will record:

Dr Lease expense $10,000 (10 x $1,000)

Cr Cash $10,000

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

Initial measurement

Initial measurement (At the commencement date)

Lease liability	**Right of use asset**
• Measured at the present value of future lease payments, discounted at the rate implicit in the lease • If the rate cannot be determined, then the entity should use its incremental borrowing rate	Initial measurement of lease liability + Lease payments made prior to commence date − Lease incentives received + Initial direct cost + Estimated dismantling and restoration costs

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

Initial measurement

Note:
Lease term (IFRS 16, Appendix A)
To calculate the initial value of the liability and right-of-use asset, the lessee must consider the length of the lease term. The lease term comprises:

- Non-cancellable periods.
- Periods covered by an option to extend the lease if reasonably certain to be exercised.
- Periods covered by an option to terminate the lease if these are reasonably certain not to be exercised.

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

Example 2:

At the beginning of the year 20X6, Tusco signed into a three-year contract to lease a lorry. The contract contains an option to extend for one more year. Tusco believes that they will use this option. Lorries have a useful economic life of 8 years. Lease payments are $16,000 per year for the initial term and $20,000 per year for the option. All payments are due at the end of the year. To obtain the lease, Tusco paid initial payment of $4,000. Tusco's incremental rate of borrowing is 5%. **Calculate the initial carrying amount of the lease liability and the right-of use asset of Tusco for this contract.**

Guidance:
Step 1: Identify exactly lease term
Step 2: Calculate lease liability
Lease liability = Total value of annual payment (in each term of lease) × Discount rate
Discount rate = 1/(1+r)^y

- r: implicitly rate
- y: time period from year 1 to the year-end of the lease term

Step 3: Calculate right of use asset (according to above theory).
Step 4: Record lease liability and right of use asset.

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

Example 2: Answer

Step 1: Identify exact lease term
The lease term is 4 years. This is because the option to extend the lease is reasonably certain to be exercised.
Step 2: Calculate lease liability

Year	Annual payment	Discount rate	Present value
Year 1	$16,000	$1/(1+0,05)^1$	$15,238
Year 2	$16,000	$1/(1+0,05)^2$	$14,512
Year 3	$16,000	$1/(1+0,05)^3$	$13,821
Year 4 (Option)	$20,000	$1/(1+0,05)^4$	$16,454
Total			**$60,025**

Step 3: Calculate right of use asset
Right of use asset = Lease liability + Lease payments made prior to the commence date
= $60,025 + $4,000 = $64,025
Step 4: Initial measurement (At the beginning 20X6)
Debit Right of use asset $64,025
Credit Lease liability $60,025
Credit Cash $4,000

Your Notes

III. ACCOUNTING TREATMENT

1. Lessee accounting

1.1 Recognition and measurement

Subsequent measurement (After commencement date)

Lease liability
- Measured at amortized cost.
- Increase due to interest at constant rate on the outstanding obligation.
- Decrease to reflect payment made.

Right of use asset
Cost – Accumulated depreciation and impairment losses

Note 1: After initial recognition
- A right-of-use asset will **normally be measured** on the **cost model**.
- It can be measured on the **revaluation model** if that belongs to an asset group that should applies **revaluation model** under IAS 16, or it is an **investment property** under IAS 40.

Note 2: When using **cost model** to measure a right-of-use asset, we must calculate depreciation as follows:
- If ownership of the asset **transfers** to the lessee at the end of the lease term then depreciation should be charged over **the asset's useful life.**
- Otherwise, depreciation **is charged over the shorter** of the useful life and the lease term.

Your Notes

III. ACCOUNTING TREATMENT

2. Lessor accounting

Types of lease

Finance Lease

A lease that transfers substantially **all the risks and rewards** incidental to ownership of an underlying asset.

Operating lease

A lease that **does NOT** transfer substantially **all the risks and rewards** incidental to ownership of an underlying asset.

Your Notes

III. ACCOUNTING TREATMENT

2. Lessor accounting

Notes:

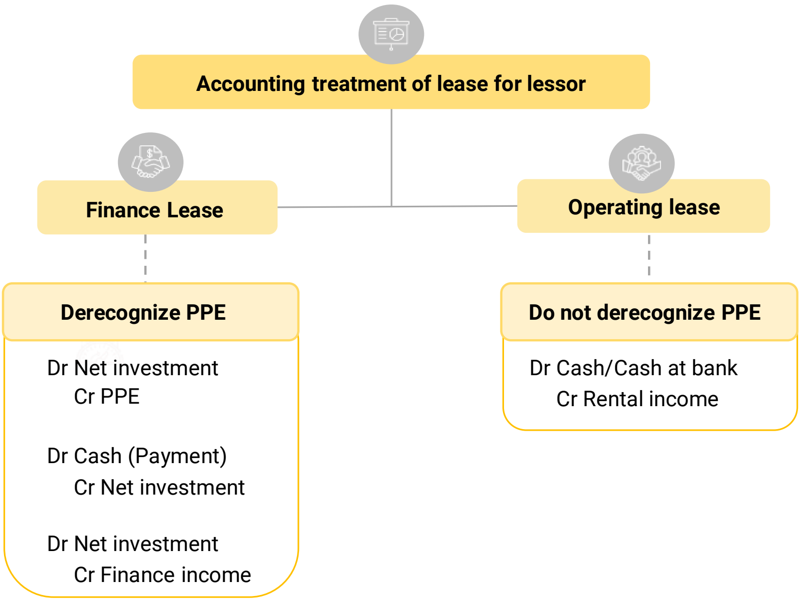
Examples of single or combined situations that often lead to leasing of property that are **classified as finance leases** are as follows:

- The lease **transfers ownership** of the asset to the lessee by the end of the lease term.
- The lessee has the **option to purchase the asset** at a price that is expected to be sufficiently **lower than the fair value** at the date of the option exercisability.
- The lease term is for the **major part of the economic life** of the asset even if the title is not transferred.
- At the inception of the lease the present value of the lease payments amounts to at least substantially **all of the fair value of the leased asset.**
- The leased assets are of such a **specialized nature** that only the lessee can use them without major modifications.

Your Notes

III. ACCOUNTING TREATMENT

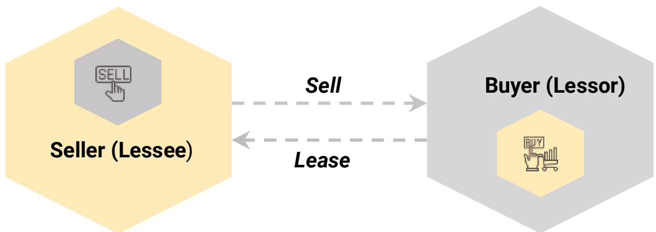
2. Lessor accounting



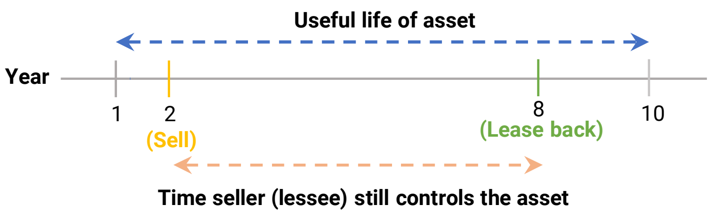
Your Notes

IV. SALE AND LEASE BACK

1. Overview



The seller-lessee must assess whether the transfer should be accounted for as a sale or not. For this purpose, the seller must apply **IFRS 15 Revenue from Contracts with Customers**. This normally occurs when the buyer obtains control of the asset (the ability to obtain substantially all of the remaining benefits).



Your Notes

IV. SALE AND LEASE BACK

2. Transfer is not a sale

01 In substance, the asset is still **under the control** of **seller (lessee),** and the money received from **buyer (lessor)** is a loan.

02 The seller continues to recognize the transferred asset on the financial statements, the income from the transfer is treated as a **financial liability,** so it is accounted for in accordance with **IFRS 9.**

Your Notes

IV. SALE AND LEASE BACK

3. Transfer is a sale

In substance, the seller (lessee) **still controls the asset** for **amount of time** when it leaseback the asset. Therefore, the seller **cannot recognize all of profit** from the selling transaction. The realized profit from selling transaction must be calculate rely on the time when buyer (lessor) actually holds the assets.

For calculating gain from purchase of asset of seller-lessee for buyer-lessor. It must be separated:

- How many percentage of **the right to use the property** have been transferred to **lessor** (right transferred).
- How many percentage of **the right to use the property** remains in the **lessee** (right retained) side.

If the **Sale of the proceed ≠ the fair value of the asset**, an entity shall make the following adjustments to measure the sale proceeds at fair value:

(a) Sale proceed **<** **FV** of assets, the difference is treated as a prepayment of lease payments

(b) Sale proceed **>** **FV** of assets the difference is treated as loan provided by the buyer-lessor to the seller-lessee

Your Notes

IV. SALE AND LEASE BACK

3. Transfer is a sale

Guidance to calculate and present gain from sell of asset:

Step 01
Calculate total gain from sell of asset:
Total gain = Fair value of assets – Carrying amount

Step 02
Calculate gain relates to right retained
Gain relates to right retained
= Total gain × Lease payment at present value/Fair value

Step 03
Calculate gain relates to right transferred
Gain relates to right transferred
= Total gain – Gain relates to right retained

Step 04
Record gain relates to right transferred:
Debit Cash (Sell price)
Debit Right of use asset
(carrying amount × discounted lease payment / fair value)
Credit PPE (Carrying amount)
Credit Lease Liability (PV of annual Lease payment)
Credit P&L (Gain relates to right transferred)

Your Notes

IV. SALE AND LEASE BACK

3. Transfer is a sale

Example 3:

On 1 April 20X8, Tusco Co bought a machine for $1,000,000. The carrying amount of the machine as at 31 March 20X9 was $900,000. On 1 April 20X9, Tusco sold it to NCC for fair value of $1,300,000 and immediately leased the machine back for 5 years. Lease payment at $280,000 per annum payable in arrears. The present value of the annual lease payments is $1,200,000 and the transaction satisfies the IFRS 15 criteria to be recognized as a sale.

Required: **What gain should Tusco recognize for the year ended 31 Mar 20Y0 as a result of the sale and leaseback?**

Your Notes

IV. SALE AND LEASE BACK

3. Transfer is a sale

Example 3: Answer

Step 1: Calculate total gain from sell of asset

Total gain = $1,300,000 – $900,000 = $400,000

Step 2: Calculate gain relates to right retained

Gain relates to right retained = $400,000 × $1,200,000/$1,300,000 = $369,231

Step 3: Calculate gain relates to right transferred

Gain relates to right transferred = $400,000 – $369,231 = $30,769

Step 4:

Debit Cash $1,300,000

Debit Right of use asset $830,769 (= $0.9m x $1.2m/$1.3m)

Credit PPE $900,000 (scenario)

Credit Lease Liability $1,200,000 (scenario)

Credit P&L $30,769 (Step 3)

Your Notes

Chapter 11 Quiz

Question 1:

On 1 October 20X3, Fresco Co acquired the right to use an item of plant under a five-year contract. The contract meets the definition of a lease under IFRS 16 Leases. The terms of the contract required an immediate deposit of $2m with five payments of $6m paid annually in arrears commencing on 30 September 20X4. The present value of the future lease payments is $22,745,000 on commencement of the lease. The rate of interest implicit in the lease is 10% per annum.

What is the carrying amount of the lease current liability in Fresco Co's statement of financial position as at 30 September 20X4?

A. $1,901,950

B. $4,098,050

C. $6,000,000

D. $2,274,500

Your Notes

Your Notes

Chapter 11 Quiz

Question 2:

The objective of IFRS 16 Leases is to prescribe the appropriate accounting treatment and required disclosures in relation to leases.

Which TWO of the following are among the criteria set out in IFRS 16 for an arrangement to be classified as a leases?

A. The lessee has the right to substantially all of the economic benefits from use of the asset

B. The lease term is for substantially all of the estimated economic life of the asset

C. The agreement concerns an identified asset which cannot be substituted

D. The lessor has the right to direct the use of the asset

Your Notes

Chapter 11 Quiz

Question 3:

A sale and leaseback transaction involves the sale of an asset and the leasing back of the same asset.

If the arrangement meets the IFRS 15 Revenue from Contracts with Customers criteria to be recognized as a sale, how should any 'profit' on the sale be treated?

A. Recognise whole amount of profit immediately in profit or loss

B. Defer profit and amortise over the lease term

C. Recognise proportion relating to right-of-use retained

D. Recognise proportion relating to right-of-use transferred

Chapter 11 Quiz

Answer

Question 1:

The correct answer is B

- Payment in arrears is means that rental made at **ending of the lease year**. The accounting for lessee is shown in following:

Balance b/f	Interest (r)	Payment	Balance c/f
a	a x r	(b)	a + a x r - b

- Apply to this question, lease liability is calculated as follows:

Year	Opening balance ($'000)	Interest ($'000)	Payment ($'000)	Closing balance ($'000)
20X3	22,745	2,274.5 (22,745 x 10%)	(6,000)	19,019.5
20X4	19,019.5	1,901.95 (19,019.5 x 10%)	(6,000)	14,921.45

- At 30 September 20X4 and 30 September 20X5, the lease liabilities are $19,019,500 and $14,921,450 respectively.

⇨Lease current liability at 30 September 20X4:

$19,019,500 - $14,921,450 = **$4,098,050**

Your Notes

Chapter 11 Quiz

Answer

Question 2:

The correct answer is A and C

- **Option A and C** are correct because according IFRS 16 in identifying a lease, entity must have the right to obtain substantially all economic benefits from the use of the asset and the lessor has no substitution rights

- **Option B** is incorrect because the lease term does not have to be for substantially all of the estimated useful life of the asset.

- **Option D** is incorrect because it is not a lease within the scope of IFRS 16.

Your Notes

Chapter 11 Quiz

Answer

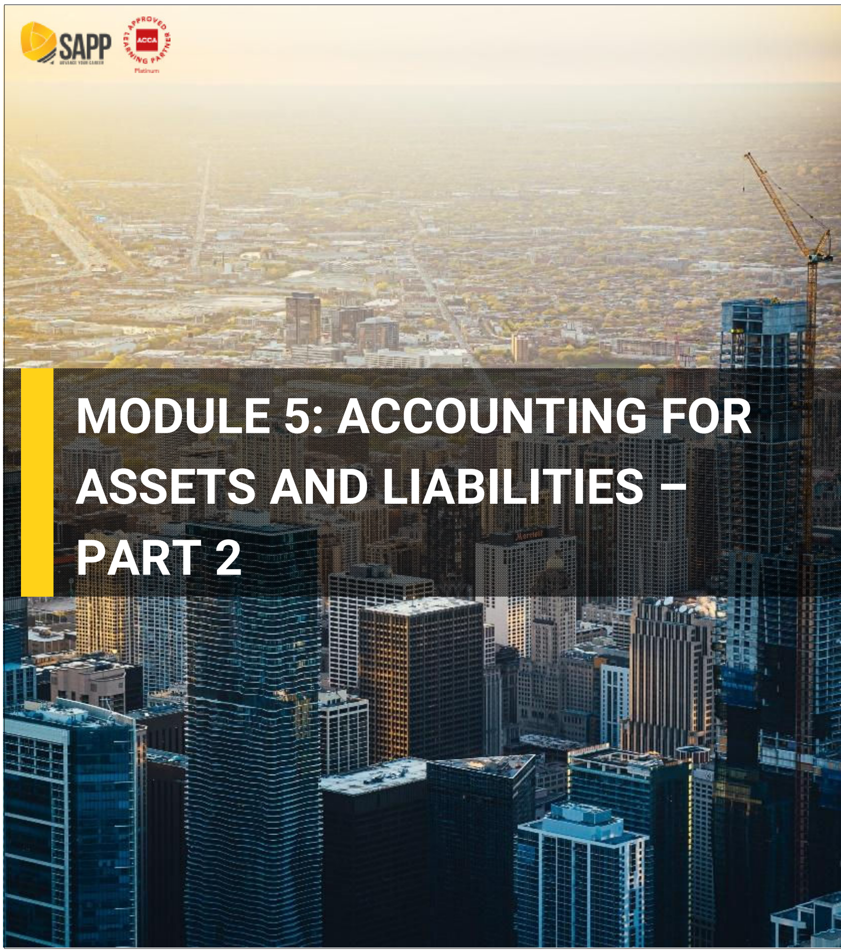
Question 3:

The correct answer is D

- **Option D** is correct because in the circumstance that transfer is a sale, the seller (lessee) still controls the asset for amount of time when it leaseback the asset.
- The seller cannot recognize all of profit from the selling transaction. The realized profit from selling transaction must be calculate rely on the time when buyer (lessor) actually holds the assets.

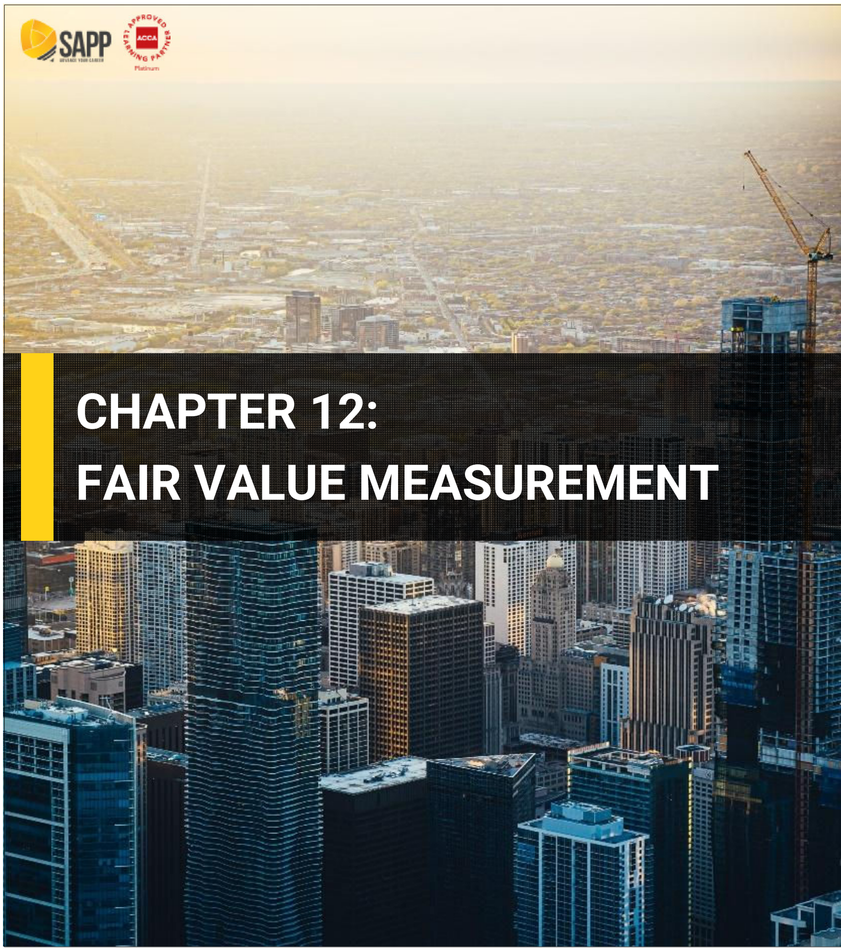
⇨Proportion relating to right-of-use transferred should be recognized as 'profit' on the sale

Your Notes



MODULE 5: ACCOUNTING FOR ASSETS AND LIABILITIES – PART 2

Your Notes



CHAPTER 12:
FAIR VALUE MEASUREMENT

Your Notes

OVERVIEW

What will you learn?

IFRS 13 FAIR VALUE MEASUREMENT

- Introduction
- Fair value
- Non-financial assets

Your Notes

I. INTRODUCTION

1. Introduction of IFRS 13

1.1 Introduction and Scope of IFRS 13

The objective of IFRS 13 is to provide a single source of guidance for fair value measurement where it is required by a reporting standard, rather than it being spread throughout several reporting standards.

Many accounting standards require or allow items to be measured at fair value. Some examples include:

IAS 16 Property, Plant and Equipment

Allows entities to measure property, plant and equipment at fair value

IFRS 3 Business Combinations

Requires the identifiable net assets of a subsidiary to be measured at fair value at the acquisition date

The scope of IFRS 13 does not apply to:

- Share-based payment transactions (IFRS 2 Share-based Payments)
- Leases (IFRS 16 Leases)
- Inventories (IAS 2) and Value in use (IAS 36 Impairment of Assets)

Your Notes

II. FAIR VALUE

1. The definition of fair value

Fair value is defined as **"the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date"**

Market participants are knowledgeable, third parties. When pricing an asset or a liability, they would take into account:

- Condition
- Location
- Restrictions in use

It should be assumed that market participants are not forced into transactions (i.e they are not suffering from cash flow shortages)

IFRS 13 notes that there are various approaches to determining the fair value of an asset or liability:

- Market approaches (valuation based on recent sales prices)
- Cost approaches (valuations based on replacement cost)
- Income approaches (valuation based on financial forecasts)

Your Notes

II. FAIR VALUE

2. The price

Fair value is a market-based measurement, not one that is entity-specific. As such, when determining the price at which an asset would be sold (or the price paid to transfer a liability), observable data from active markets should be used where possible

An **active market** is a market where transactions for the asset or liability occur frequently.

IFRS 13 classifies inputs into valuation techniques into **three levels**.

01

Level 1 inputs are quoted for identical assets in active markets

02

Level 2 inputs are observable prices that are not level 1 inputs. This may include:

- Quoted prices for similar assets in active markets
- Quotes prices for identical assets in less active markets
- Observable inputs that are not prices (such as interest rates)

03

Level 3 inputs are unobservable. This could include cash or profit forecasts using an entity's own data

A significant adjustment to a level 2 input would lead to it being categorized as a level 3 input

Your Notes

II. FAIR VALUE

2. The price

Priority is given to **level 1 inputs**. The **lowest priority** is given to **level 3 inputs**

Inputs to determine fair value

IFRS 13 gives the following examples of inputs used to determine fair value:

	Asset	Example
Level 1	Equity shares in a listed entity	Unadjusted quoted prices in an active market
Level 2	Building held and used	Price per square meter for the building from observable market data, such as observed transactions for similar buildings in similar locations
Level 3	Cash-generating unit	Profit or cash flow forecast using own data

II. FAIR VALUE

2. The price

Example 1:

Bak has an investment property that is measured at fair value. This property is rented out on short-term leases

The directors wish to fair value the property by estimating the present value of the net cash flows that the property will generate for Bak. They argue that this best reflects the way in which the building will generate economic benefits for Bak.

The building is unique, although there have been many sales of similar buildings in the local area.

Required:

Discuss whether the valuation technique suggested by the directors complies with International Reporting Standards

Your Notes

II. FAIR VALUE

2. The price

Example 1: (Answer)

The directors' estimate of the future net cash flows that the building will generate is a level 3 input (e.g. Level 3 inputs are unobservable. This could include cash or profit forecasts using an entity's own data).

IFRS 13 gives the lowest priority to level 3 inputs. These should not be used if level 1 or level 2 inputs exist.

Observable data about the recent sales prices of similar properties is a level 2 input. The fair value of the building should therefore be based on these prices, with adjustments made as necessary to reflect the specific location and condition of Baklava's building

Your Notes

II. FAIR VALUE

3. Markets

The price received when an asset is sold (or paid when a liability is transferred) may differ depending on the specific market where the transaction occurs.

Principal market

1. IFRS 13 says that fair value should be measured by reference to the **principal market**
2. The principal market is the market with the greatest activity for the asset or liability being measured
3. The entity must be able to access the principal market at the measurement date. This means that the principal market for the same asset can differ between entities

Your Notes

II. FAIR VALUE

3. Markets

Most advantageous market

If there is no principal market, then fair value is measured by reference to prices in the most advantageous market

The most advantageous market is the one that maximises the net amount received from selling an asset (or minimizes the amount paid to transfer a liability)

Transaction costs (such as legal and broker fees) will play a role in deciding which market is most advantageous. However, fair value is not adjusted for transaction costs because they are a characteristic of the market, rather than the asset

Your Notes

II. FAIR VALUE

3. Markets

Example 2:

An asset is sold in two different active markets at different prices. An entity enters into transactions in both markets and can access the price in those markets for the asset at the measurement date as follows:

	Market 1 $	Market 2 $
Price	26	25
Transaction costs	(3)	(1)
Transport costs	(2)	(2)
Net price received	21	22

Required:

What is the fair value of the asset if:

(a) Market 1 the principal market for the asset?

(b) No principal market can be determined?

Your Notes

II. FAIR VALUE

3. Markets

Example 2: (Answer)

(a) If Market 1 is the principal market then the fair value would be measured using the price that would be received in that market less transport costs. The fair value would therefore be $24 ($26 - $2). Transaction costs are ignored as they are not a characteristic of the asset

(b) If neither market is the principal market for the asset then the fair value would be measured in the most advantageous market. The most advantageous market that maximises the net amount received from the sale.

The net amount received in Market 2 ($22) is higher than the net amount received in Market 1 ($21). Market 2 is therefore the most advantageous market. This results in a fair value measurement of $23 ($25 - $2). IFRS 13 specifies that transaction costs play a role when determining which market is most advantageous but that they are not factored into the fair value measurement itself

Your Notes

III. NON-FINANCIAL ASSETS

1. Non-financial assets

Financial assets

- Contractual rights to receive cash (such as receivables)
- Investment in equity shares

Non-financial assets

- Property, plant and equipment
- Intangible assets

Your Notes

III. NON-FINANCIAL ASSETS

2. The fair value of a non-financial asset

IFRS 13 says that the fair value of a non-financial asset should be based on its **highest and best use.** The highest and best use of an asset is the use that a market participant would adopt in order to maximise its value.

The current use of a non-financial asset can be assumed to be the highest and best use unless evidence exists to the contrary.

The highest and best use should take into account uses that are:

- Physical possible
- Legally permissible
- Financially feasible

IFRS 13 says a use can be legally permissible even if it is not legally approved

Your Notes

III. NON-FINANCIAL ASSETS

2. The fair value of a non-financial asset

Example 3:

Five Quarters has purchased 100% of the ordinary shares of Three Halves and is trying to determine the fair value of the net assets at the acquisition date.

Three Halves owns land that is currently developed for industrial use. The fair value of the land if used in a manufacturing operation is $5 million.

Many nearby plots of land have been developed for residential use (as high-rise apartment buildings). The land owned by Three Halves does not have planning permission for residential use, although permission has been granted for similar plots of land. The fair value of Three Halves' land as a vacant site for residential development is $6 million. However, transformation costs of $0.3 million would need to be incurred to get the land into this condition.

Required:

How should the fair value of the land be determined?

Your Notes

III. NON-FINANCIAL ASSETS

2. The fair value of a non-financial asset

Example 3: (Answer)

Land is a non-financial asset. IFRS 13 says that the fair value of a non-financial asset should be based on its highest and best use. This is presumed to be its current use unless evidence exists to the contrary

The current use of the asset would suggest a fair value of $5 million.

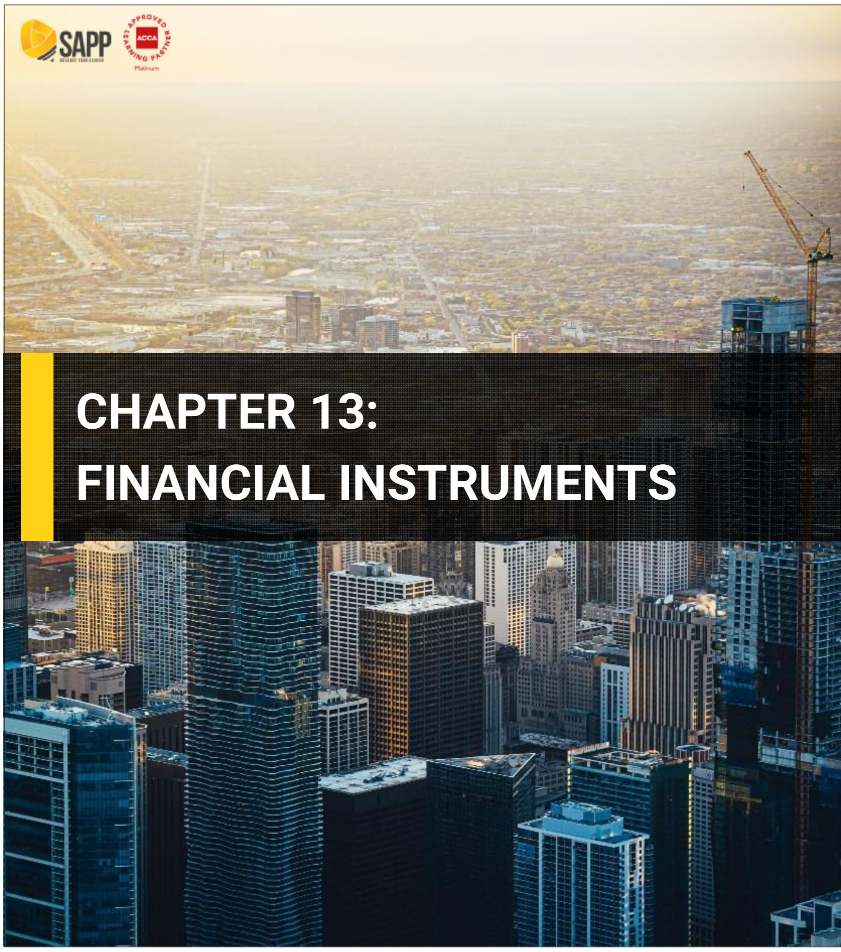
However, there is evidence that market participants would be interested in developing the land for residential use.

Residential use of the land is not legally prohibited. Similar plots of land have been granted planning permission, so it is likely that this particular plot of land will also be granted planning permission.

If used for residential purposes, the fair value of the land would be $5.7 million ($6m - $0.3m)

It would seem that the land's highest and best use is for residential development. Its fair value is therefore $5.7 million.

Your Notes



CHAPTER 13: FINANCIAL INSTRUMENTS

Your Notes

OVERVIEW

What will you learn?

FINANCIAL INSTRUMENT

- **IFRS 9 Financial instrument**
  - Financial asset
  - Financial liability
- **IFRS 7 Financial Instrument - Disclosure**
  - Requirement of disclosure financial instrument
- **IAS 32 Financial Instrument - Presentation**
  - Presentation of financial liability and equity instrument
  - Presentation of compound financial instrument
  - Presentation of interest, dividend, gain & loss

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.1 Recognition of financial asset

A financial asset or financial liability should be recognized in the statement of financial position when the reporting entity becomes a party to the contractual provisions of the instrument.

Following treatments to recognize a financial asset

Treatments of recognition

Debt instrument	Equity instrument
Fair value through other comprehensive income (FVTOCI)	Fair value through other comprehensive income (FVTOCI)
Fair value through profit or loss (FVTPL)	Fair value through profit or loss (FVTPL)
Amortized cost	

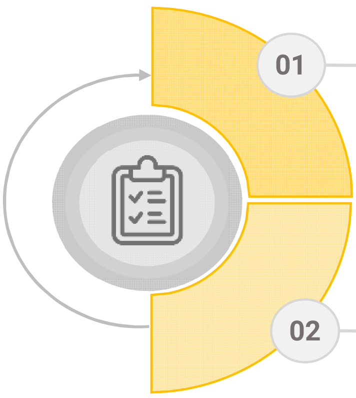
Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.1 Recognition of financial asset

The above classification is based on 2 elements:



- 01: Entity's objective of managing financial asset (**business model**)
- 02: Contractual cash flow characteristics of the financial asset

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.1 Recognition of financial asset

Treatment	Conditions
Amortized cost	• Collect contractual cash flows, **and** • The financial asset makes change in cash flow (solely due to paying principal and interest - SPPI) at one specific date.
Fair value through OCI	• Collect contractual cash flows and **for sale, and** • The financial asset makes change in cash flow (solely due to paying principal and interest) at one specific date.
Fair value through profit or loss	• Do **NOT** meet 2 above conditions • It is classified as **held for trading**. • Upon initial recognition it is designated by the entity as at fair value through profit or loss. • To avoid accounting mismatch.

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.1 Recognition of financial asset

Note:

(1) Default category

Fair value through profit or loss (FVPL) is the **default** category for equity instrument, which means that if there is no information about elements to classify it, we will determine instrument is fair value through profit or loss category.

(2) Reclassification of financial assets

Category of **debt instrument can be reclassified** when, and only when, an **entity changes its**
business model for managing financial assets:

- If an entity reclassifies a financial asset, it is required to apply the reclassification prospectively from the reclassification date, defined as the first day of the first reporting period following the change in business model that results in the entity reclassifying financial assets.
- Previously recognized gains, losses (including impairment gains or losses) or interest are not restated.

Category of **equity instrument cannot be reclassified** (FVTOCI to FVTPL and vice versa)

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.2 Measurement of financial asset

Initial measurement

Treatments of initial measurement

Amortized cost	Fair value through other comprehensive income	Fair value through profit or loss
Fair value + Transaction cost	Fair value + Transaction cost	**Only** Fair value (Transaction cost is expensed in P&L)

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.2 Measurement of financial asset

Subsequent measurement

INTEREST INCOME
The actual interest the holder receives and calculated **at effective rate**

INTEREST RECEIPT
The periodic interest calculated by issuer and calculated **at nominal rate**

Note:

- After initial recognition, all financial assets other than those held at fair value through profit or loss should be **re-measured** to either fair value or amortized cost.
- IFRS 9 allows the option to initially measure a financial asset at fair value through profit or loss where a mismatch would otherwise arise between the asset and a related liability. In this case, the asset will also be subsequently measured at fair value through profit or loss.

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.2 Measurement of financial asset

Example 1:

On 1 January 20X1 Abacus Co purchases a debt instrument for its fair value of $1,000. The debt instrument is due to mature on 31 December 20X5. The instrument has a principal amount of $1,250 and the instrument carries fixed interest at 4.72% that is paid annually. The effective rate of interest is 10%.
How should Abacus Co account for the debt instrument over its five year term?

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.2 Measurement of financial asset

Example 1: Answer

Abacus Co will receive interest of $59 (1,250 x 4.72%) each year and $1,250 when the instrument matures.
Abacus must allocate the discount of $250 and the interest receivable over the five year term at a constant rate on the carrying amount of the debt. To do this, it must apply the effective interest rate of 10%

Year	Amortized cost at beginning of year	Interest income (Profit or loss)	Interest received (cash inflow)	Amortized cost at end of year
20X1	1,000	100	(59)	1,041
20X2	1,041	104	(59)	1,086
20X3	1,086	109	(59)	1,136
20X4	1,136	113	(59)	1,190
20X5	1,190	119	(59)	1,250

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.2 Measurement of financial asset

Example 1: Answer

If Abacus was also holding this instrument for trading, the IFRS 9 business model would allow it to be carried at fair value through profit or loss.

For instance, if at 1 January 20X2 the fair value of the debt instrument was $1,080, the difference of $39 (1,080 – 1,041) would go to SOPL and the asset would be shown in the statement of financial position at $1,080.

Note:

When the asset is revalued to fair value:

- If the financial asset is classified as FVTOCI ⇒ Unrealized profit/loss from revaluation will be recognized in **other comprehensive income.**
- If the financial asset is classified as FVTPL ⇒ Unrealized profit/loss from revaluation will be recognized in **profit or loss**

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.3 De-recognition of financial asset

Financial asset should be de-recognized when:

Contractual rights to the cash flows from the financial assets expire, or

The entity transfers financial asset and risk & rewards of ownership

Accounting treatment

Debt instrument	Equity instrument
• Debt instrument are de-recognized when sold, with gains or losses on disposal **through profit or loss**. • Gains or losses previously recognized through **other comprehensive income** will be reclassified to profit or loss.	• Equity instrument are de-recognized when sold, with gains or losses on disposal **through profit or loss**. • Gains or losses previously recognized through **other comprehensive income** are transferred to **retained earnings** through the statement of changes in equity.

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

1. Financial asset

1.4 Impairment and uncollectability of financial asset

IFRS 9 is based on providing for expected losses (rather than dealing with losses after they have arisen) and applies to financial assets held at amortized cost and FVTOCI.

On initial recognition of the asset, the entity creates a credit loss allowance equal to:

12 months' expected credit losses

If credit risk increases significantly subsequent to initial recognition, the allowance is replaced by:

An allowance for lifetime expected credit losses

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

2. Financial liability

2.1 Recognition of financial liability

There are **two (2)** treatments to recognize a financial liability which is set out below

Treatment	Condition
Fair value through profit or loss	• Financial liability is classified as held for trading, or • Financial liability is designated by the entity as at fair value through profit or loss.
Amortized cost	All other financial liabilities

Note: A financial instrument is classified as held for trading if it is

- Acquired or incurred principally for the purpose of selling or repurchasing it in the near term
- Part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

2. Financial liability

2.2 Measurement of financial liability

Initial measurement

Treatments of initial measurement

Amortized cost	**Fair value through profit or loss**
Fair value − Transaction cost	**Only** Fair value (Transaction cost is expensed in P&L)

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

2. Financial liability

2.2 Measurement of financial liability

Subsequent measurement

Treatments of subsequent measurement

Amortized cost	Fair value through profit or loss
Opening balance + Interest expense − Interest paid	Re-measure to fair value at the reporting date, with gains or losses **through profit or loss**

Note:

- Interest expense: the actual interest the issuer pays to the holder and calculated **at an effective rate**
- Interest paid: the periodic interest calculated by the issuer and calculated **at a nominal rate**

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

3. Objective of Hedge Accounting

The **objective** of **hedge accounting** is to represent in the financial statements **the effect of the risk management activities** which seek to address this type of risk.

Hedge accounting is a choice; where it is applied it will eliminate some of the volatility that would otherwise be reported in profit or loss.

KEY POINT

If hedge accounting is **NOT** used, hedged items and hedging instruments are accounted for in the same manner as other financial assets and liabilities.

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

4. Terminology in Hedge Accounting

In accounting terms a hedge involves designating one (or more) hedging instruments so that the change in their fair value offsets, in whole or in part, the change in fair value or the cash flows associated with a hedged item.

Example 2: Forward Contract

On 1 March 20X9 Abacus Engine Co sold aircraft engines to a customer in South Africa, pricing the sale in Rand and providing credit terms of 60 days. In order to protect against movements in the Dollar-Rand exchange rate, Abacus entered into a forward contract to sell Rand on 29 April 20X9 at a fixed rate.

- The hedged item is the foreign currency receivable.
- The hedging instrument is the forward contract to sell Rand.

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

4. Terminology in Hedge Accounting

4.1 Hedged item

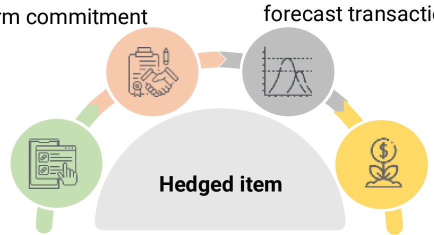
A **hedged item** is an item which is exposed to the risk of changes in fair value or changes in future cash flows and designated as being hedged.

It can be:

An unrecognized firm commitment

A highly probable forecast transaction

A recognized asset or liability



A net investment in a foreign operation

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

4. Terminology in Hedge Accounting

4.2 Hedging instrument

A hedging instrument is a designated derivative, or a non-derivative financial asset or financial liability, whose fair value or cash flows are expected to offset changes in fair value or future cash flows of the hedged item.

Qualifying instruments include:

01 Non-derivative financial assets or liabilities measured at FVTPL (with the exception of financial liabilities for which changes in fair value due to credit risk are presented in OCI)

02 For a hedge of foreign currency risk, the foreign currency risk component of a non-derivative financial asset or liability (other than an equity investment classified as FVTOCI)

03 Derivatives measured at FVTPL (with the exception of some written options)

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

4. Terminology in Hedge Accounting

4.3 Hedging relationships

There are **3 types** of hedging relationships:

Fair value hedges

A hedge of the exposure to changes in the fair value of a recognized asset or liability or an unrecognized firm commitment (or an identified portion of such an asset or liability) which:

- is attributable to a particular risk, and
- could affect reported profit or loss

Cash flow hedges

A hedge of the exposure to variability in cash flows which:

- is attributable to a particular risk associated with a recognized asset or liability or a highly probable forecast transaction, and
- could affect reported profit or loss

Hedge of a net investment in a foreign operation

The amount of the reporting entity's interest in the net assets of the foreign operation

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

4. Terminology in Hedge Accounting

4.3 Hedging relationships

Example 3: Fair Value Hedge

Heley acquired 10,000 grams of gold for use in its business for $19.2 million on 12 September 20X1. In order to hedge a potential fall in the market price of gold Heley entered a future contract on the same date to sell 10,000 gram of gold on 31 January 20X2 at a price of $1,920 per gram. This would allow Helley to sell the gold at the fixed price and repurchase it at a lower market price in the event of a fall in market prices.

This is a fair value hedge because Heley is hedging exposure to changed in the fair value of a recognized asset (inventory) which is attributable to a particular risk (changes in the value of gold).

Your Notes

I. IFRS 9 – FINANCIAL INSTRUMENTS

5. Accounting for Hedge Relationships

5.1 Qualifying criteria

A hedge relationship qualifies for hedge accounting if **all** the following criteria are met:

- The relationship consists **only** of eligible hedging instruments and hedged items.
- At inception, there is a **formal designation** and documentation of the relationship and of the entity's risk management objective. Documentation must identify:
  - The hedge item
  - The hedging instrument
  - The hedged risk
  - How the entity will assess that hedge effectiveness requirements are met
- The relationship meets **all** the hedge effectiveness requirements:
  - There is an economic relationship between the hedged item and hedging instrument (i.e. they are expected to have offsetting changes in fair value)
  - the effect of credit risk does not dominate the fair value changes that result from the economic relationship of either the hedged item or hedging instrument
  - the hedge ratio of the relationship is the same as the hedge ratio of the *actual* quantity of the hedging instrument to the *actual* quantity of the hedged item.

Your Notes

II. SELECTED DISCLOSURE (IFRS 7)

1. Assets and Liabilities

1.1 Categories of Financial Assets and Liabilities

The objective of IFRS 7 is to provide information that allows users to evaluate:

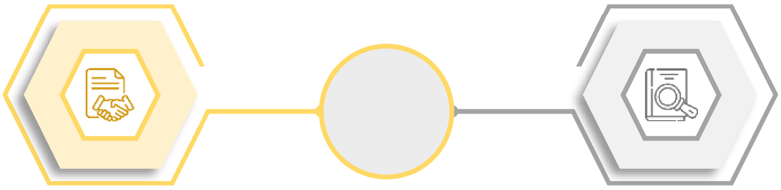
- Financial assets at fair value through profit or loss, showing separately:
  - Those designated on initial recognition
  - Those which must be measured at fair value
- Financial liabilities at fair value through profit or loss, showing separately:
  - Those designated on initial recognition
  - Those which must be definition of held for trading
- Financial assets measured at amortised cost
- Financial liabilities measured at amortised cost
- Financial assets measured at FVTOCI

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

1. Presentation of liability and equity

As mentioned in section I.2, the increase on financial asset of one entity will make a rise of **financial liability** or **equity instrument** of another. IAS 32 classified liability or equity based on:



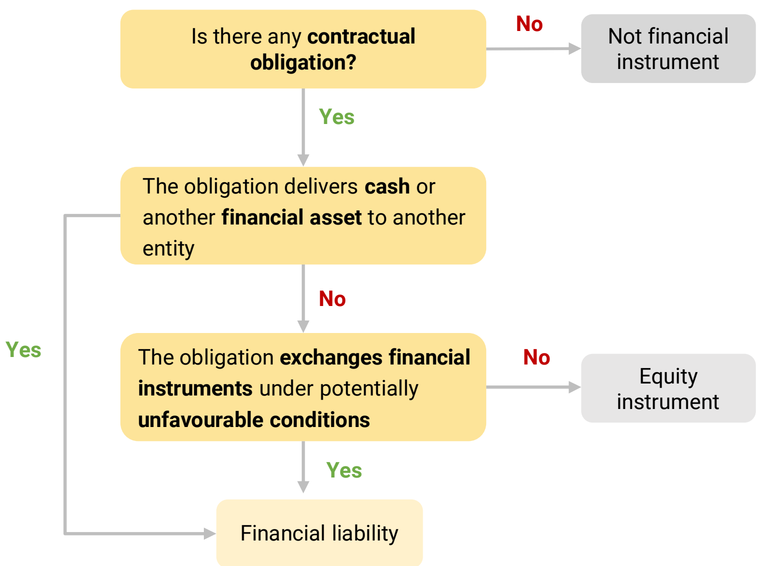
Substance of contractual agreement, not merely legal form

Definitions of financial liability and equity instrument

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

1. Presentation of liability and equity



Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

2. Presentation of preference share

Preference Shares

- Irredeemable and containing **no obligation to make any payment**, either of capital or dividend → They are **classified as equity**
- Redeemable, or have a fixed cumulative dividend → They are **classified as a financial liability.**

The key element is that where there is **an obligation**, the instrument represents a liability

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

3. Presentation of compound financial instrument

A compound instrument is a financial instrument that has characteristics of both equity and liabilities, such as a convertible loan.

It is important to separate the value of the financial liability and equity instruments to record them separately initially as well as arising thereafter:

A financial liability	=	Future cash flows are discounted back to the present by the prevailing market interest rate of similar debt	–	A conversion option
Equity instruments	=	Value of financial instruments	–	Fair value of liability instrument

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

3. Presentation of compound financial instrument

Example:

Company X issues 8,000 convertible bonds at the start of 20X9. The bonds have a four-year term, and are issued at par with a face value of $1,000 per bond. Interest is payable annually in arrears at a nominal annual interest rate of 5%. When the bonds are issued, the prevailing market interest rate for similar debt without conversion options is 8%. **What is the value of the equity component in the bond?**

Guidance:

Step 1: Calculate total proceeds

Total proceeds = Number of convertible bonds × issued price of each bond

Step 2: Calculate annual interest payable

Annual interest payable = Nominal value × Nominal annual interest rate

Step 3: Calculate present value of interest cash flow and total proceeds

Present value of annual interest payable = Discount rate × Annual interest payable

Present value of total proceeds at the end of term = Discount rate × Total proceeds

Discount rate = 1/(1+r)y – with r: market interest rate for similar debt, y: payment year

Step 4: Calculate value of financial liability and equity instrument Value of financial liability = Present value of (annual interest payable + total proceeds) Value of Equity instrument = Total proceeds – Value of financial liability

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

3. Presentation of compound financial instrument

Example: Answer

Step 1: Calculate total proceeds

Total proceeds = 8,000 × $1,000 = $8,000,000

Step 2: Calculate annual interest payable

Annual interest payable = $8,000,000 × 5% = $400,000

Step 3: Present value of annual interest cash flow and total proceeds

Time	Annual interest payable	Discount rate [1/(1+r)^y]	Present value
Year 1	$400,000	1/(1+8%)^1	$370,370
Year 2	$400,000	1/(1+8%)^2	$342,935
Year 3	$400,000	1/(1+8%)^3	$317,533
Year 4	$400,000	1/(1+8%)^4	$294,011
Total			$1,324,849

Present value of total proceeds = $8,000,000 × 1/(1+8%)^4 = $5,880,239

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

3. Presentation of compound financial instrument

Example: Answer

Step 4: Calculate value of financial liability and equity instrument

Value of financial liability = $1,324,849 + $5,880,239 = $7,205,088

Value of Equity instrument = $8,000,000 – $7,205,088 = $794,912 (Unchanged value)

Value of financial liability through 4-year period				
Time	**Opening balance (1)**	**Interest expense (2) = (1) x r**	**Interest paid (3)**	**Closing balance (4) = (1) + (2) – (3)**
Year 1	$7,205,088	576,407	$400,000	$7,381,497
Year 2	$7,381,497	590,519	$400,000	$7,572,016
Year 3	$7,572,016	605,762	$400,000	$7,777,778
Year 4	$7,777,778	622,222	$400,000	$8,000,000

Your Notes

III. IAS 32 - PRESENTATION OF FINANCIAL INSTRUMENT

4. Presentation of interest, dividend, gain & loss

Element	Treatment
Interests, dividends, losses and gains related to financial liability	Income/Expense in profit or loss
Dividends to ordinary shareholder related to equity instrument	Debit in equity by the issuer in statement of changes in equity
Transaction costs of equity transaction	Debit to share premium account

Your Notes

Your Notes

Chapter 13 Quiz

Question 1:

On 1 January 20X1, Penfold Co purchased a debt instrument at its fair value of $500,000. It had a principal amount of $550,000 and was due to mature in five years. The debt instrument carries fixed interest of 6% paid annually in arrears and has an effective interest rate 8%. It is held at amortised cost.

At what amount will the debt instrument be shown in the statement of financial position of Penfold Co as at 31 December 20X2?

A. $514,560

B. $566,000

C. $564,560

D. $520,800

Your Notes

Chapter 13 Quiz

Question 2:

Which is the following is NOT classified as a financial instrument under IAS 32 Financial Instruments: Presentation?

A. Share options

B. Intangible assets

C. Trade receivables

D. Redeemable preference shares

Question 3:

Dexon Co's draft statement of financial position as at 31 March 20X8 shows financial assets at fair value through profit or loss with a carrying amount of $12.5m as at 1 April 20X7.

These financial assets are held in a find whose value changes directly in proportion to a specified market index. At 1 April 20X7 the relevant index was 1,200 and at 31 March 20X8 it was 1,296.

What amount of gain or loss should be recognized at 31 March 20X8 in respect of these assets? (Enter your answer to the nearest whole $.)

$ ______

Your Notes

Chapter 13 Quiz

Question 4:

Zeta Co issues 6% redeemable preference shares on 31 December 20X3.

Which is the following statement is true?

A. The issue is classified as equity because shares certificates are issued

B. The dividend payable on these shares will be included in the statement of changes in equity

C. The issue will be recorded by debiting investment and crediting bank

D. The dividend payable will be included in ZX's finance cost as a period expense

Your Notes

Chapter 13 Quiz

Answer

Question 1:

The correct answer is A

- Debt instrument (financial asset) is treated under amortized cost.

⇨ The opening balance of the debt instrument is **$500,000**

- Interest received is calculated on 6% of the debt instrument's principal amount:

$550,000 x 6% = **$33,000**

- Interest income is calculated on 8% of the debt instrument's opening balance.
- Debt instrument's closing balance at the end of each period is calculated as follows

Year	Opening balance	Interest income	Interest received	Closing balance
20X1	**500,000**	40,000	**33,000**	507,000
20X2	507,000	40,560	**33,000**	514,560

⇨ The amount of the debt instrument shown in the statement of financial position of Penfold Co as at 31 December 20X2 is the closing balance of the period from 1 January 20X1 to 31 December 20X2, which is **$514,560**

Chapter 13 Quiz

Answer

Question 2:

The correct answer is B

- Financial instrument is any contract that gives rise to both a financial asset of one entity and a financial liability or equity instrument of another entity
- **Statement B** is not financial instrument because it does not give rise to a present right to receive cash or other financial assets.

Question 3:

The correct answer is $1,000,000

- Financial assets are measured under fair value through profit or loss (FVTPL), so they are re-measured at fair value at reporting date.

⇨ Financial assets' fair value at 31 March 20X8:

$12,500,000 x 1,296/1,200 = $13,500,000

⇨ Compared to their carrying amount of $12.5m, there is a gain in respect of financial assets: $13,500,000 - $12,500,000 **= $1,000,000**

Your Notes

Chapter 13 Quiz

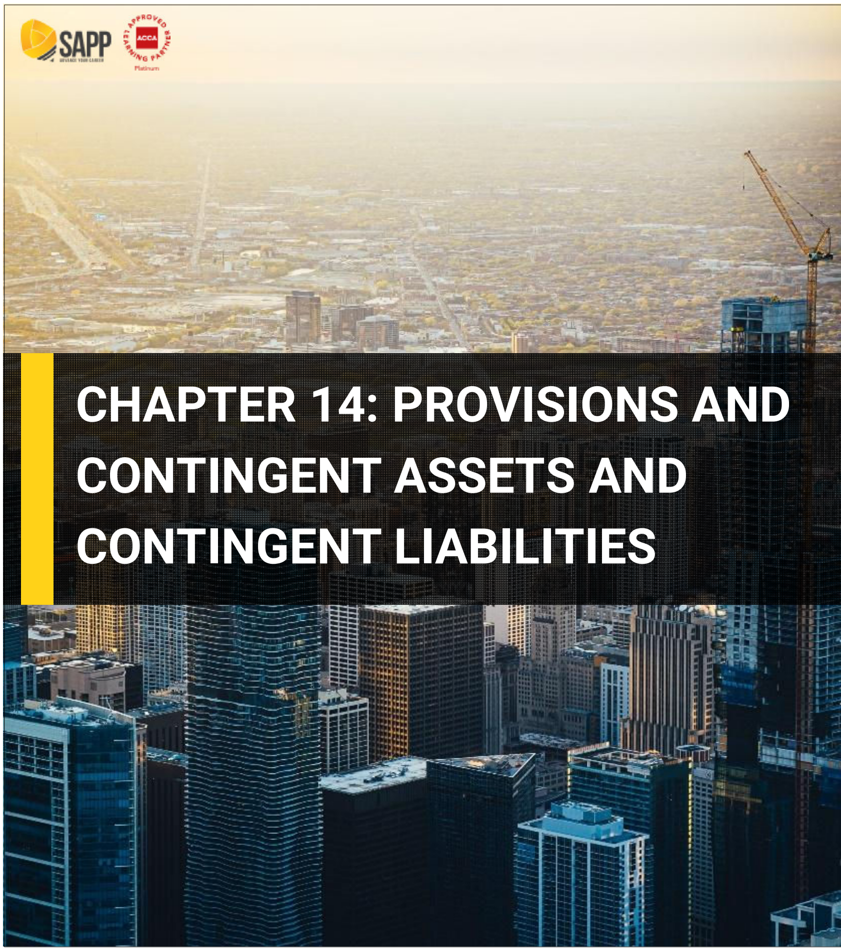
Answer

Question 4:

The correct answer is D

- **Option D** is correct because redeemable preference shares must be classified as a liability because Zeta Co has an obligation to pay cash. Thus, the dividends related to a liability will be treated as finance costs in statement of profit or loss and other comprehensive income.
- **Option A, B and C** are incorrect because they consider redeemable preference shares as an equity and the dividend or cost related to the share is treated in the same way as the share itself.

Your Notes



CHAPTER 14: PROVISIONS AND CONTINGENT ASSETS AND CONTINGENT LIABILITIES

Your Notes

OVERVIEW

What will you learn?

IAS 37 PROVISIONS AND CONTINGENT ASSETS AND CONTINGENT LIABILITIES

Provision	**Contingencies**
Definition	Contingent assets
Recognition	Contingent liabilities
Measurement	

Your Notes

I. PROVISION

1. Definition

A provision is defined as **'a liability of uncertain timing or amount'.**

For example, a company may face a legal action for a breach of health and safety law. Your lawyers estimate the probability of losing the case at 80%. The likely consequence is that it may be fined if the court judgement is made against them. The timing and potential fine of the fine is uncertain because it will be decided by a court at some future date.

Your Notes

I. PROVISION

2. Recognition

Provision should be recognised when:

Entity has a present obligation

Legal obligation	Arise from a contract, legislation, other operation of law *E.g. warranties required in sales contracts*
Constructive obligation	Arise through past behaviours and actions *E.g. business which doesn't offer warranties has a history of usually carrying out free small repairs on its products, so that customers have come to expect this benefit when they make a purchase.*

A transfer of economic benefits is probable **(> 50% likely)**

A reliable estimate can be made

Your Notes

I. PROVISION

3. Measurement

Although provision have uncertain amount but we must estimate provision.

The most likely amount payable

The best estimate of provision

An expected value

for a single obligation

for a large population of items

Your Notes

I. PROVISION

3. Measurement

Example 1: Damages provision (Single obligation)

A customer has brought a lawsuit against Stark Co and is claiming $1,000,000 in damages. Stark Co's legal advisors have assessed the probability of Stark Co losing and having to pay the damages at 60%.

Required: What should the provision in Stark Co's financial statements be?

Solution:

There is single obligation and provision is measured at the single obligation most likely outcome $1,000,000.

The provision is **NOT** measured at 60% × $1,000,000 = $600,000 because there is not a large population of items.

Your Notes

I. PROVISION

3. Measurement

Example 2: Warranty provision (A large population of items)

Stone Co sells goods with a warranty under which customers are covered for the cost of repairs of any manufacturing defect that becomes apparent within the first six months of purchase. The company's past experience and future expectations indicate the following pattern of likely repairs.

% of goods sold	Defects	Cost of repair ($m)
75	None	-
20	Minor	3
5	Major	12

Required: What should the warranty provision in Stone Co's financial statements be?

Solution:

Stone Co should provide on the basis of the expected cost of the repairs under warranty.

The expected cost is calculated as (75% × $nil) + (20% × $3m) + (5% × $12m) = $1,200,000.

Stone Co should include a provision of $1,200,000 in the financial statements.

Note:
When the effect of the time value of money is material, the provision uses an appropriate discount to reflect the present value of the expense to obligation settlement.

Your Notes

I. PROVISION

3. Measurement

Example 3: Time value of money

A company knows that when it ceases a certain operation in 5 year-time it will have to pay environmental cleanup costs of $5m. The provision to be made now will be the present value of $5m in 5 year-time. The relevant discount rate in this case is 10%.

Required: Determines the current provision for the cleanup cost after year 5?

Solution:

Applying formula about time value of money:

Value of money after year "y" = Current value of money × 1/(1 + discount rate)^y

⇨ The current provision for the cleanup cost after year 5 = $5m × 1/(1 + 10%)^5 = $3.1m

Your Notes

II. CONTINGENT ASSETS AND CONTINGENT LIABILITIES

1. Contingent liabilities

Definition

Possible obligation depending on certainty of future event occurs, **or**

Present obligation that is not probable or cannot be measured reliably

Disclosure

Disclosures in the notes to the financial statements. The required disclosures are:

- A brief description of the nature of the contingent liability
- An estimate of its financial effect
- An indication of the uncertainties that exist
- The possibility of any reimbursement

Your Notes

II. CONTINGENT ASSETS AND CONTINGENT LIABILITIES

1. Contingent liabilities

Example 4:

D Co might face a lawsuit, but D Co's lawyers estimate the probability of losing the case at 30% – in this case, it's not probable that D Co will have to incur any expenditures to settle the claim and they should not book a provision. It's typical contingent liability.

If D Co identify they have a contingent liability, they do NOT recognize it – no journal entry. D Co should only make appropriate disclosures in the notes to the financial statements.

The difference between provision and contingent liability

Provision		Contingent liability
Present obligation with the probability **of more than 50% (probable)**	**Recognition**	• Present obligation with the probability of between **5% and 50% (possible obligation), which is less likely than provision.** • Probable obligation but cannot estimate reliably amount.
Make a **provision**	**Accounting treatment**	**Disclosure if significant**, do nothing if not

Your Notes

Your Notes

II. CONTINGENT ASSETS AND CONTINGENT LIABILITIES

1. Contingent liabilities

Example 5:

After a wedding in 20X0, ten people became seriously ill, possibly as a result of food poisoning from products sold by Callow Co. Legal proceedings are started seeking damages from Callow but it disputes liability.

Up to the date of approval of the financial statements for the year to 31 December 20X0, Callow's lawyers advise that it is probable that it will not be found liable.

However, when Callow prepares the financial statements for the year to 31 December 20X1 its lawyers advise that, owing to developments in the case, it is probable that it will be found liable.

Required: What are the required accounting treatments?

(a) At 31 December 20X0

(b) At 31 December 20X1

Your Notes

II. CONTINGENT ASSETS AND CONTINGENT LIABILITIES

1. Contingent liabilities

Example 5: Answer

(a) At 31 December 20X0

On the basis of evidence available when the financial statements were approved, there is no obligation as a result of past events.

No provision is recognized. The matter is disclosed as a contingent liability unless the probability of any transfer is regarded as remote.

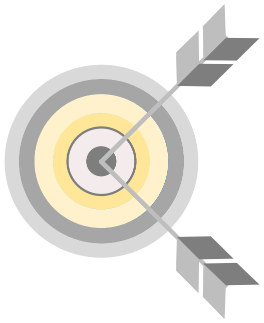
(b) At 31 December 20X1

On the basis of evidence available, there is present obligation. A transfer of economic benefits in settlement is probable.

A provision is Recognized for the best estimate of the amount needed to settle the present obligation.

II. CONTINGENT ASSETS AND CONTINGENT LIABILITIES

2. Contingent assets



Definition:

- Contingent asset is a possible asset that arises from past events; and
- whose existence depending on whether some uncertain future event occurs

Disclosure:

Disclosures in the notes to the financial statements

The required disclosures are:

- A brief description of its nature, and where practicable
- An estimate of its financial effect

Example 6:

Let's say Company ABC has filed a lawsuit against Company XYZ for infringing a patent. If there is a decent chance that Company ABC will win the case, it has a contingent asset. This potential asset will generally be disclosed in its financial statement, but not recorded as an asset until the lawsuit is settled.

II. CONTINGENT ASSETS AND CONTINGENT LIABILITIES

2. Contingent assets

The following table will show how entities deal with an obligation

	OUTFLOW	INFLOW
Virtually certain (≥ 90%)	Recognize Liability	Recognize Asset
Probable (50% ≤ X < 90%)	• Recognize provision (if can estimate reliably amount) • Recognize contingent liability (if cannot estimate reliably amount)	Disclose contingent asset
Possible (5% ≤ X < 50%)	Disclose contingent liability	Ignore
Remote (X < 5%)	Ignore	Ignore

Your Notes

Your Notes

Chapter 14 Quiz

The following scenario relates to questions 1-4

Rainbird Co decided to reorganize a manufacturing facility during November 20X1 and commissioned a consulting engineer to carry out a feasibility study. A provision for the reorganization was created at 31 December 20X1.

Staff functions will change following the reorganization, so in December 20X1 Rainbird Co contracted with a training company to provide retraining to take place in January 20X2. A provision for this expenditure was created at 31 December 20X1.

Rainbird Co hopes that reorganizing its manufacturing facility will improve quality control. It gives a one-year warranty with all products and the rate of returns under warranty is 12%. 5% of the returned items can be repaired at a cost of $5 (free charge to the customer). The other 95% are scrapped and a full refund of $30 is given. Rainbird Co sold 525,000 units during the year to 31 December 20X1.

In five years' time Rainbird Co will have to dismantle its factory and return the site to the local authority. A provision was set up for the present value of the dismantling costs when the factory was first acquired. The opening balance on the provision at 1 January 20X1 was $2.63 million. Rainbird Co has cost of capital of 8%.

Your Notes

Chapter 14 Quiz

Question 1:

Rainbird Co's accountant is preparing the financial statements for the year to 31 December 20X1 and is not too sure about the provisions set up for the reorganization of the facility and the staff training.

Which of these is a correct provision under IAS 37 Provisions, Contingent Liabilities and Contingent Assets?

A. The reorganisation

B. The staff training

C. The reorganization and the staff training

D. Neither the reorganization nor the staff training

Your Notes

Your Notes

Chapter 14 Quiz

Question 2:

Rainbird Co's finance director is checking some of the financial estimates involved. In accordance with IAS 37, if the reporting entity is presently obliged to transfer economic benefit to another party, the occurrence is probable but the amount cannot be measured with sufficient reliability.

Using the pull-down list below, select the correct option stating what this should give rise to in the financial statements.

Pull down list

- A contingent asset
- A contingent liability
- A long-term liability
- A provision

Your Notes

Chapter 14 Quiz

Question 3:

What is the amount of the provision that should be created at 31 December 20X1 for returns under warranty?

A. $1,890,000

B. $1,811,250

C. $1,795,500

D. $1,575,000

Question 4:

What is the amount of the provision that should be carried forward at 31 December 20X1 for the dismantling of the factory?

A. $2,630,000

B. $2,419,600

C. $2,435,185

D. $2,840,400

Your Notes

Chapter 14 Quiz

Answer

Question 1: The correct answer is D

According to IAS 37, a restructuring provision should include only the direct expenditures arising from the restructuring, which are those that are both necessarily entailed by the restructuring and not associated with the ongoing activities of the entity. One of the costs should not be classified within the restructuring provision including retraining or relocating continuing staff.

Question 2: The correct answer is Contingent liability

The occurrence is probable but the amount cannot be reliably measured.

Question 3: The correct answer is B

- One-year warranty has the rate of returns of 12%. Rainbird Co sold 525,000 units so the total return is: 525,000 x 12% = 63,000
- 5% of the returned items can be repaired at a cost of $5 and the other 95% are scrapped and a full refund of $30 is given. This question is provision for a large population of items, so the provision is estimated based on the expected value.

⇨ Expected cost: 63,000 x 95% x $30 + 63,000 x 5% x $5 = **$1,811,250**

Your Notes

Chapter 14 Quiz

Answer

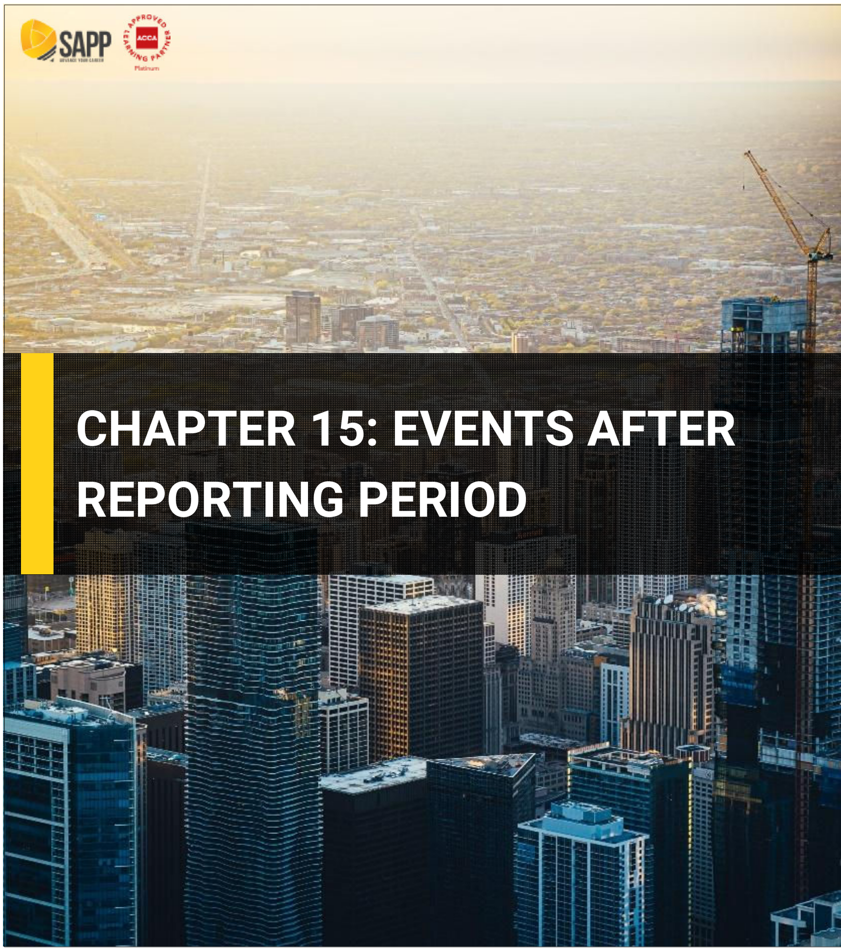
Question 4:

The correct answer is D

- The opening balance on the provision at 1 January 20X1 was $2.63 million with the cost of capital of 8%. This is the unwinding of the discount.

⇨ The amount of the provision at 31 December 20X1:

$2,630,000 x 108% = **$2,840,400**



CHAPTER 15: EVENTS AFTER REPORTING PERIOD

Your Notes

OVERVIEW

What will you learn?

IAS 10 EVENTS AFTER REPORTING PERIOD

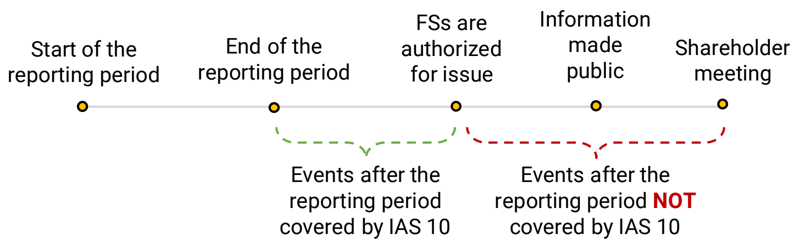
- **Definition**
- **Types of events**
  - Adjusting events
  - Non-Adjusting events
- **Dividends**
- **Going concern**

Your Notes

I. DEFINITION AND TYPES OF EVENTS

1. Definition

IAS 10 Events after the reporting period defines events after the reporting period as 'those events which could be favourable or unfavourable, that **occurs between** the **reporting period** and the **date that the financial statements are authorised for issue**.



Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Types of events

Adjusting events

- Provide the information on **conditions that existed at** the reporting date.
- **Adjust** the financial statements

Non-adjusting events

- Provide information on **conditions that arose** after the reporting date.
- **Do NOT adjust** the financial statements Disclose if material

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example of adjusting events

- Evidence of a permanent diminution in property value prior to the year end.
- Sale of inventory after the reporting period for less than its carrying value at the year end.
- Insolvency of a customer with a balance owing at the year end.
- Amounts received or paid in respect of legal or insurance claims which were in negotiation at the year end
- Determination after the year end of the sale or purchase price of assets sold or purchased before the year end
- Evidence of a permanent diminution in the value of a long-term investment prior to the year end
- Discovery of error or fraud which shows that the financial statements were incorrect

Example of non-adjusting events

- Acquisition of, or disposal of, a subsidiary after the year end
- Announcement of a plan to discontinue an operation
- Major purchases and disposals of assets
- Destruction of a production plant by fire after the reporting period
- Announcement or commencing implementation of a major restructuring
- Share transactions after the reporting period
- Litigation commenced after the reporting period
- Dividends that are declared after reporting date

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issuing financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

1. On January 15, X sold goods A with the price of $98 and selling expenses were $2. Knowing that the goods A are recognized at costs of $100 on December 31, 2022.

Solution: The goods A was sold at the price of $98 and selling expenses were $2 ⇨ NRV = $98 - $2 = $96

⇨ Sale of inventory held at the end of the reporting period for less than cost. Therefore, the inventory need writing down.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issuing financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

2. On December 31, 2022, the account receivables show that the company Y are owing an amount of $1m. On January 15, 2023, company Y announced it was going bankrupt.

Solution: The bankruptcy of a company is not in a short time, but a long process before that.

Therefore, there is evidence showing that the Company cannot collect this receivable owing by Company Y on December 31, 2022

⇨ must write down the receivable right on December 31, 2022.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issue financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

3. In 2022, the Company was sued by a customer and has accounted for a provision amounting to $1m. On January 15, 2023, the Court declared that the Company had to compensate the customers an amount of $1.2m.

Solution: There is evidence that on December 31, 2022 the Company need to provided for this contingent liability an amount of $1.2m but not $1m ⇨ an additional provisions need to be made.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issue financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

4. The company invested in building a factory and the factory was completed on October 31, 2022, but the company and the contractor have not estimated the final value of the factory. The company recorded an increase in the value of the building at a provisional price of $100m. On January 15, 2023, the two parties settled the factory's value as $90m.

Solution: There is evidence that the value of the work is $90m at the initial recognition date ⇨ write down the cost of the asset by $10m on October 31, 2022.

Similarly for the contractor, the revenue must be written down from 100m$ to 90m$.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issue financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

5. On January 15, 2023, Company purchased 60% of Company Z's shares.

Solution: Only consolidated the subsidiary from January 15, 2023, not in 2022, because on December 31, 2022, the subsidiary is not under the control of Company X.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issue financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

6. All inventory in a factory with a total value of $3m was seriously damaged by a fire on January 15, 2023. On December 31, 2022, this inventory was still in good condition.

Solution: This is a non adjusting event after the reporting date, as it affects the condition of these assets only after the reporting date.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issue financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

7. On January 15, 2023, the Company announced its restructuring plan.

Solution: According to IAS 37, only when the company has a detailed, official plan and announces it to the stakeholders, it is allowed to make provisions. Therefore, this is a subsequent event that does not need adjustment for FY 2022.

Your Notes

I. DEFINITION AND TYPES OF EVENTS

2. Types of events

Example 1:

Company X has an accounting period from January 1 to December 31, the date of issue financial statements for the fiscal year 2022 is February 28, 2023. On February 15, X's accountants listed some following subsequent events:

8. On January 15, 2023, the Company made a declaration of dividends paid out to the shareholders.

Solution: This is an event occurring after the reporting date that does not need to be adjusted, because the obligation to pay dividends is only recognized with the approval of the general meeting of shareholders and an official declaration.

Your Notes

II. EVENTS AFTER THE REPORTING PERIOD

1. Dividends

Dividends proposed or declared after the end of the reporting period must **not** be recognised as a liability. The amount of dividends proposed or declared after the end of the reporting period, but before the financial statements were authorised for issue, is disclosed in the **notes** (IAS 1).

2. Going concern

KEY POINT

If the going concern assumption is no longer appropriate IAS 1 requires that the going concern basis of accounting be changed (e.g. to a break-up basis).

An entity should **not** prepare its financial statements on a going concern basis if management determines after the end of the reporting period:

- It intends to liquidate the entity or to cease trading, or
- It has no realistic alternative but to do so

Deterioration in operating results and financial position after the end of the reporting period may indicate a need to consider whether the going concern assumption is still appropriate.

Your Notes

Your Notes

Chapter 15 Quiz

Question 1:

Which TWO of the following events which occur after the reporting date of a company but before the financial statements are authorized for issue are classified as ADJUSTING events in accordance with IAS 10 Events After the Reporting Period?

A. A change in tax rate announced after the reporting date, but affecting the current tax liability

B. The discovery of a fraud which had occurred during the year

C. The determination of the sale proceeds of an item of plant sold before the year end

D. The destruction of a factory by fire

Your Notes

Chapter 15 Quiz

Question 2:

Coleridge Co is a manufacturing company.

The financial accountant of Coleridge Co is considering whether any of the events, which took place in April 20X5, require adjustment in the financial statements for the year ended 31 March 20X5.

Which TWO of the following events require adjusting in the financial statements for the year ended 31 March 20X5, as required by IAS 10 Events After the Reporting Period?

A. Thomas Co, a customer of Coleridge Co, which owes the company $200,000 at 31 March 20X5, entered insolvency on 3 April 20X5

B. An employee has commenced legal proceedings against Coleridge Co following an industrial accident on 10 April 20X5. The company is expected to lose the case and estimates that damages of $350,000 will be paid to the employee

C. Inventory that was held at cost of $200,000 on 31 March 20X5 was sold on 21 April 20X5 for $150,000

D. The company has agreed the sale of the Wordsworth division at a board meeting on 25 March 20X5. The public announcement was made on 1 April 20X5

Your Notes

Chapter 15 Quiz

Question 3:

During January 20X2, before the financial statements of Rainbird Co for the year ended 31 December 20X1 had been finalized, a number of events took place.

Identify whether each of these events would require an adjustment to the financial statements as at 31 December 20X1 in accordance with IAS 10 Events After the Reporting Period.

Rainbird Co's board announced a plan to discontinue one of its operations and dispose of the plant. The loss on disposal is estimated at $2 million	**REQUIRES ADJUSTMENT**	**DOES NOT REQUIRE ADJUSTMENT**
The employees of the operation to be discontinued commenced a case against Rainbird Co for constructive dismissal. The total cost could be $3 million.	**REQUIRES ADJUSTMENT**	**DOES NOT REQUIRE ADJUSTMENT**
A legal case for which Rainbird Co had provided $1.7 million at 31 December 20X1 to cover possible damages was unexpectedly settled in its favour.	**REQUIRES ADJUSTMENT**	**DOES NOT REQUIRE ADJUSTMENT**
One of Rainbird Co's warehouses was destroyed by fire and half of the inventory on hand at 31 December 20X1, valued at $2.5 million, was destroyed.	**REQUIRES ADJUSTMENT**	**DOES NOT REQUIRE ADJUSTMENT**

Your Notes

Chapter 15 Quiz

Answer

Question 1: The correct answer is B and C

- According to IAS 10 Events after the reporting period, while adjusting events provide the information on conditions that existed at the reporting date, the non-adjusting events provide information on conditions that arose after the reporting date.
- **Option B and C** are correct because they provide the evidence of conditions that existed at the end of the reporting period.
- **Option A and D** are incorrect because they are indicatives of condition that arose after the reporting period.

Question 2: The correct answer is A and C

- **Option A** is correct because it gives the information about the reduction in the value of receivables that will not be recovered due to customer's insolvency.
- **Option B** is incorrect because the factory accident happened after the year end so it is non-adjusting event.
- **Option C** is correct because it is related to the value of inventory, which is required to be held at the lower of cost or net realizable value.
- **Option D** is incorrect because the sale of the division is announcement after the 31 March despite the agreement on 25 March 20X5.

Chapter 15 Quiz

Answer

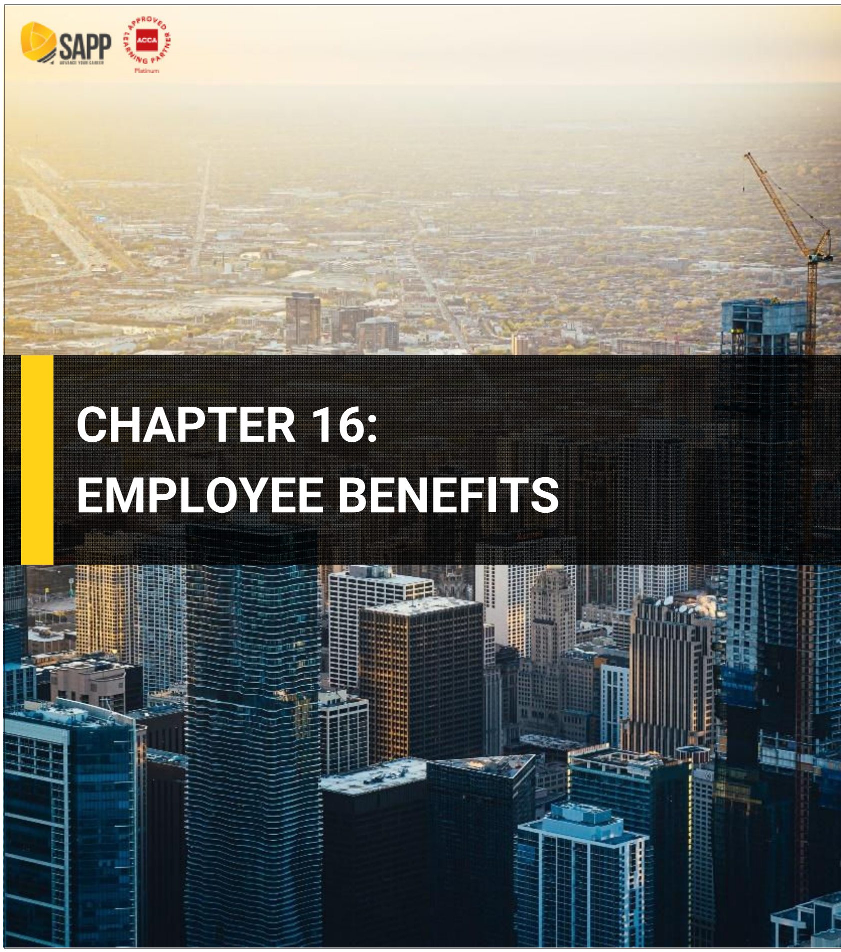
Question 3:

The correct answer is:

Rainbird Co's board announced a plan to discontinue one of its operations and dispose of the plant. The loss on disposal is estimated at $2 million	REQUIRES ADJUSTMENT	**DOES NOT REQUIRE ADJUSTMENT**
The employees of the operation to be discontinued commenced a case against Rainbird Co for constructive dismissal. The total cost could be $3 million.	REQUIRES ADJUSTMENT	**DOES NOT REQUIRE ADJUSTMENT**
A legal case for which Rainbird Co had provided $1.7 million at 31 December 20X1 to cover possible damages was unexpectedly settled in its favour.	**REQUIRES ADJUSTMENT**	DOES NOT REQUIRE ADJUSTMENT
One of Rainbird Co's warehouses was destroyed by fire and half of the inventory on hand at 31 December 20X1, valued at $2.5 million, was destroyed.	REQUIRES ADJUSTMENT	**DOES NOT REQUIRE ADJUSTMENT**

Except for statement (3) which was the legal case and gives information related to conditions at the end of the reporting period, three other statement is non-adjusting events because they take place after the reporting date.

Your Notes



CHAPTER 16: EMPLOYEE BENEFITS

Your Notes

OVERVIEW

What will you learn?

IAS 19 EMPLOYEE BENEFITS

- Short-term Employee benefits
- Long-term Employee benefits
- Termination Benefits
- Post-employment Benefits

Your Notes

I. EMPLOYEE BENEFITS

1. Introduction

Employee benefits are all forms of **consideration** given by an entity in **exchange** for **service rendered** by employees or for the termination of employment.

The objective of IAS 19 *Employee Benefits* is to prescribe the accounting and disclosure for employee benefits. An entity must recognise:

01 a liability when an employee has provided service in exchange for employee benefits to be paid in the future; and

02 an expense when the entity consumes the economic benefit arising from service provided by an employee in exchange for employee benefits.

Your Notes

I. EMPLOYEE BENEFITS

2. Short-term Employee Benefits

Short-term employee benefits are employee benefits (other than termination benefits) that are expected to be **settled wholly within 12 months** after the end of the reporting period in which the employees render the related service.

2.1 Types

- Wages, salaries and social security contributions.
- Short-term compensated absences (e.g. paid annual leave, paid sick leave, maternity leave) where the absences are expected to occur within 12 months after the end of the period in which the employees render the related employee service.
- Profit sharing and bonuses payable within 12 months after the end of the period in which the employees render the related service.
- Non-monetary benefits (e.g. medical care, housing, cars and free or subsidised goods or services) for current employees.

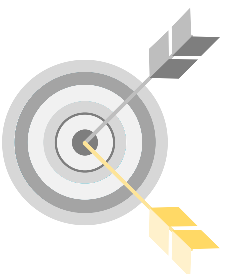
Your Notes

I. EMPLOYEE BENEFITS

2. Short-term Employee Benefits

2.2 Accounting for Short-term Benefits

When an employee has **rendered service** during an accounting period, the entity **recognises** the amount of short-term employee benefits expected to be paid in exchange for that service:



- as a liability (accrued expense), after deducting any amount already paid;
- as an expense, unless another IFRS Standard requires or permits the inclusion of the benefits in the cost of an asset (e.g. IAS 2 *Inventories*).

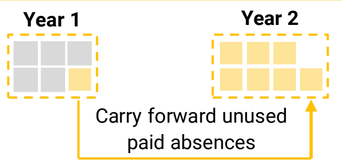
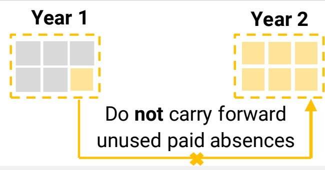
IAS 19 clarifies how this guidance is applied to paid absences and profit-sharing/bonus plans.

Your Notes

I. EMPLOYEE BENEFITS

2. Short-term Employee Benefits

2.3 Paid Absences

Accumulating paid absences	Non-accumulating paid absences
	
Carried forward to another period if the current year's entitlement is not taken in full	**Lost** if not taken
• An accumulating absence is recognised as an expense when an employee provides the service that entitles them to the leave. • A liability must be recognised at the period end for the estimated value of the unused entitlement.	A non-accumulating absence is recognised as an expense when the absence occurs.

Original available paid absences in each year

Used paid absences

Available paid absences

I. EMPLOYEE BENEFITS

2. Short-term Employee Benefits

2.4 Bonuses/Profit Shares

The **expense** related to bonus plans or profit sharing arrangements, and a related liability, are **recognised** when:

01 The entity has a **legal** or **constructive obligation** as a result of a **past event** to pay it

02 The amount can be **estimated reliably**

A **reliable estimate** can only be made where:

- There is a **profit-share** or **bonus formula**;
- The **amount payable** has been **determined before** the financial statements are authorised for issue; or
- Past practice provides **evidence** of the **obligation**.

Where a bonus is **payable only** if an employee remains in employment on a certain date the estimated amount should take the expected number of leavers into account.

I. EMPLOYEE BENEFITS

3. Long-term Employee Benefits

Other long-term employee benefits are all employee benefits other than short-term employee benefits, post-employment benefits and termination benefits.

Long-term employee benefits are those **other than post-employment benefits (pensions)** which are not expected to be settled in full before 12 months after the end of the reporting period in which the service was given by the employee.

3.1 Types

Types of long-term employee benefits:

- Long-term paid absences (e.g. long-service and sabbatical leave)
- Jubilee awards
- Long-term disability benefits
- Profit sharing and bonuses
- Deferred remuneration

Your Notes

I. EMPLOYEE BENEFITS

3. Long-term Employee Benefits

3.2 Accounting for Long-term Benefits

The principle applied in accounting for long-term benefits is **similar** to the **accounting model for post-retirement benefits** in that a net deficit or surplus is recognised in the statement of financial position. The calculation of this net amount is **the same** as for a **defined benefit plan.**

As there is **not as much uncertainty** about the measurement of other long-term employee benefits as there is with defined benefit entitlements, the standard requires a **much simpler** method of accounting for changes in the net deficit/surplus, with **no items recognised in OCI.**

Recognised in **profit or loss**

- Service cost
- Net interest on the defined benefit asset or liability
- Any remeasurements of the defined benefit asset or liability

Your Notes

I. EMPLOYEE BENEFITS

3. Long-term Employee Benefits

3.2 Accounting for Long-term Benefits

If the amount of a long-term disability benefit **depends on the length of service**

- The **obligation arises** when the **service is rendered.**
- The amount recognised should reflect the **probability of payment** and the **length of time** for which payments will be made.

If the benefit is **fixed** irrespective of the period of service

The amount is **recognised** when an **obligating event arises** (i.e. an event that causes a long-term disability).

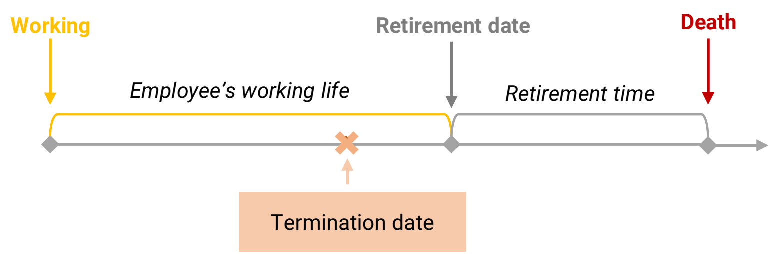
Your Notes

I. EMPLOYEE BENEFITS

4. Termination Benefits

Termination benefits are employee benefits provided in **exchange** for the termination of an employee's employment as a **result** of either:

- an entity's decision to **terminate an employee's employment before** the **normal retirement date**; or
- an employee's decision to **accept an offer** of **benefits** in **exchange** for the termination of employment.



This term does **not** cover any benefits if the employee terminates the employment other than in response to an offer of termination.

Your Notes

I. EMPLOYEE BENEFITS

4. Termination Benefits

4.1 Types

Termination benefits are usually lump sum payments but may also include:

- Enhanced post-employment benefits (e.g. pensions)
- Salary to the end of a notice period during which the employee renders no service (i.e."gardening leave")

4.2 Recognition and Measurement

A liability and expense is recognised — Earlier of:

- When the entity **cannot withdraw** the **offer** of benefits (e.g. because the employee accepted it)
- When the entity recognises any related **restructuring costs** (IAS 37)

- A **termination benefit** to be settled wholly within 12 months after the end of the reporting period is treated as a **short-term benefit**.
- Otherwise it is treated as a **long-term benefit** (i.e. with remeasurement at the end of each reporting period).

Your Notes

II. POST-EMPLOYMENT BENEFITS

1. Definitions

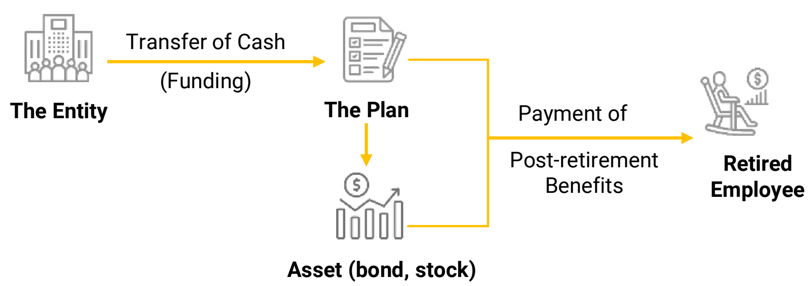
Post-employment benefits are employee benefits (other than termination benefits and short-term employee benefits) which are payable **after the completion of employment.**

Post-employment benefit plans are formal or informal arrangements under which an entity provides **post-employment benefits for one or more employees**.

2. Benefit Plans

A benefit plan will usually be a **formal arrangement** but is **not necessarily**.

An entity may, or may not, **establish a separate entity** to receive contributions and to pay benefits, although it is convenient to think of the plan as a separate entity.



Your Notes

II. POST-EMPLOYMENT BENEFITS

3. Classification

KEY POINT

Post-employment benefit plans are classified as either **defined contribution** plans or **defined benefit** plans, according to the economic substance of the plan.

Defined contribution plans are post-employment benefit plans under which an entity pays **fixed contributions** into a separate entity (a fund) and will have **no legal or constructive obligation** to pay **further contributions** if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

Defined benefit plans are post-employment benefit plans other than defined contribution plans.

Your Notes

II. POST-EMPLOYMENT BENEFITS

3. Classification

In a **defined contribution plan** the entity pays a predetermined amount annually into the plan, which is a separate entity. This contribution is usually defined as a percentage of an employee's salary. The plan invests the funds and the level of benefits paid to a retired employee depends on the performance of the plan's investments, with no guarantee of a minimum amount.

Therefore **risks** relating to the plan lie with the employee/retiree.

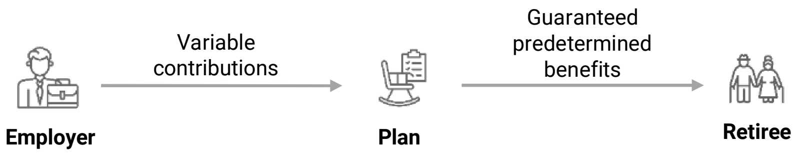
Your Notes

II. POST-EMPLOYMENT BENEFITS

3. Classification

In a **defined benefit plan** the level of benefits paid to a retired employee is guaranteed. It is usually defined as a percentage of the employee's salary, with the percentage depending on the number of years' service provided by the employee. Again the entity (and possibly the employee) pay contributions to the plan while the employee provides service; however, these contributions will vary depending on the performance of the fund. Where under-performance means that the value of the fund is less than the future amount payable, contributions must increase.

Therefore **risks** relating to the pension plan lie with the employer.



Your Notes

Chapter 16 Quiz

Question 1:

Short-term employee benefits are measured at:

A. Spot exchange rate
B. Undiscounted amount
C. Discounted amount
D. Future value
E. Present value

Question 2:

Which of the following does NOT hold on paid absences?

A. They may affect computation under defined benefit plans
B. They affect other long-term employee benefits
C. They may affect the computation of termination benefits
D. Their effect is mostly on short-term employee benefits
E. They apply only to short-term employee benefits

Your Notes

Chapter 16 Quiz

Answer

Question 1: The correct answer is B

According to IAS 19 Employee Benefits, short-term employee benefits are defined as benefits that are expected to be settled within 12 months after the end of the reporting period in which the employees render the related services.

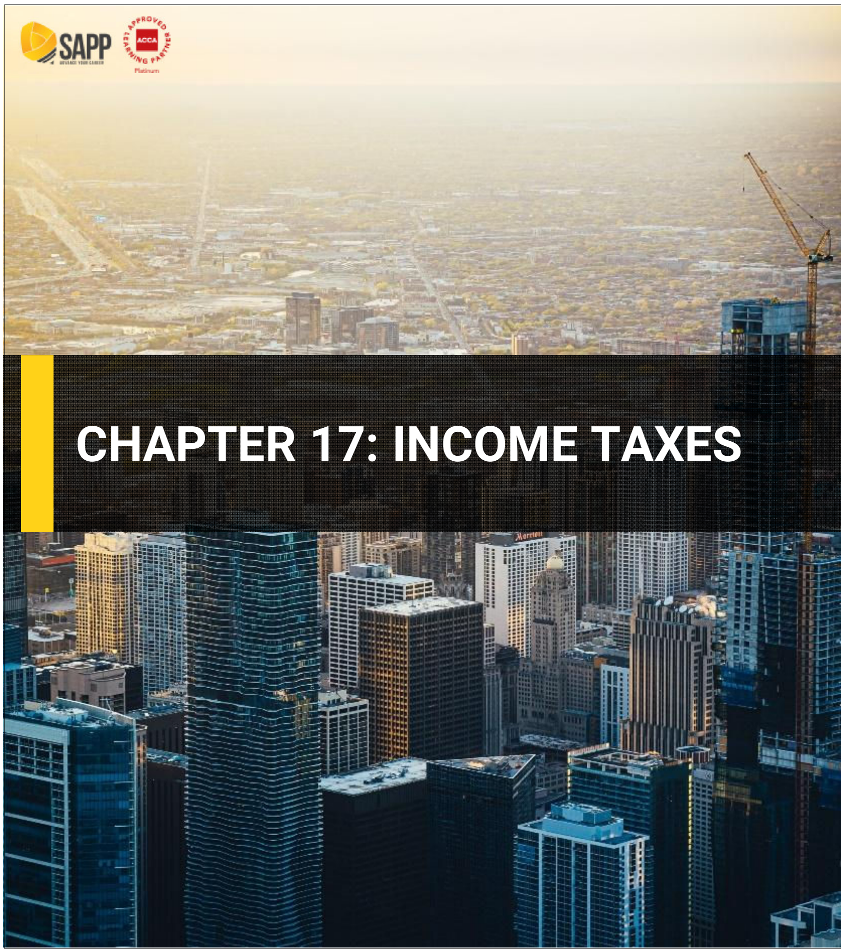
For short-term employee benefits, IAS 19 requires that they be measured at **an undiscounted amount.** This is because these benefits are typically due to being settled shortly after the reporting period, so there is no need to discount them for the time value of money, unlike long-term benefits, which may need to be discounted.

Question 2: The correct answer is E

Paid absences can impact various categories of employee benefits, not just short-term benefits. Under IAS 19 Employee Benefits:

1. Paid absences can affect **short-term employee benefits** if they are expected to be settled within a short period
2. They can also influence **other long-term employee benefits** and **defined benefit plans** if they accumulate over a longer period or are vested
3. They may even impact **termination benefits** if they are part of the conditions for an employee's termination package.

Your Notes



CHAPTER 17: INCOME TAXES

Your Notes

OVERVIEW

What will you learn?

IAS 12 INCOME TAX

I. Income taxes
- Current tax
- Deferred taxation

II. Deferred Taxation – Basics
- Tax base
- Temporary differences
- Deferred tax Asset /Liability
- Recognition of deferred tax

Your Notes

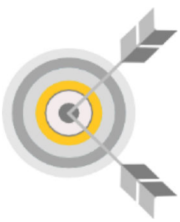
I. INCOME TAXES

1. Current tax

Current tax: the amount of income taxes payable (recoverable) in respect of the taxable profit (tax loss) for a period.

Calculation → Current tax on profits is calculated in accordance with tax legislation and charged, or credited, to profit or loss for the period.

Recognition:



- Any unpaid amounts are recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amounts due for those periods, the excess should be recognised as an asset.
- The benefit relating to a tax loss that can be carried back to recover current tax of a previous period should be recognised as an asset.

Your Notes

I. INCOME TAXES

1. Current tax

KEY POINT

The income tax charged in the statement of profit or loss is an estimate. Any over/under provisions are cleared in the following period's statement of profit or loss and do **not** give rise to a prior period adjustment.

Example

On 31 December 20X8, Company X estimates that the current tax liability for 20X8 is $400,000 and will pay for tax authority at 20 January 20X9. At 31 May 20X9, Company X finalizes with the tax authority the amount of tax liability is $500,000. At 31 December 20X9, Company X estimates current tax liability for 20X9 is $1,000,000

Answer

Company X will record the following entries:

At 31 December 20X8: Dr Current tax expense $400,000

Cr Current tax liability $400,000

At 20 January 20X9: Dr Current tax liability $400,000

Cr Cash $400,000

Your Notes

I. INCOME TAXES

1. Current tax

Answer

At 31 May 20X9: Dr Current tax expense $100,000

Cr Current tax liability $100,000

After that, company X will pay under the provision and record

Dr Current tax liability $100,000

Cr Cash $100,000

At 31 December 20X9: Dr Current tax expense $1,000,000

Cr Current tax liability $1,000,000

In the statement of financial position: Current tax liability 1,000,000 (provision for 20X9 only).

In the statement of profit or loss: Current tax expense 1,100,000 (provision for 20X9 and additional amount from under provision for 20X8).

Your Notes

I. INCOME TAXES

2. Deferred taxation

Deferred tax: an accounting measure that recognises the future tax effect of assets and liabilities currently held in the statement of financial position

Accounting profit

determined by applying the **principles of IFRS**

Taxable profit

determined by applying the tax **rules** established by the **tax authorities**

In most jurisdictions, **accounting profit** and taxable profit differ meaning that the tax charge may bear little relation to profits in a period.

Transactions which are recognised in the financial statements in a particular period may not have their tax effect recognised until a later period i.e. it is deferred.

Your Notes

II. DEFERRED TAXATION - BASICS

1. Tax base

Tax base of an asset or liability: the amount attributed to that asset or liability for tax purposes.

TAX BASE OF A LIABILITY

Its carrying amount, less any amount that will be deductible for tax purposes in respect of that liability in future periods.

TAX BASE OF AN ASSET

The amount that will be deductible for tax purposes against any taxable economic benefit that will flow as and when the carrying amount of the asset is recovered

Example 3: Tax bases

A company's financial statements include the following:

- A machine costing $10,000 that is used in the business to generate revenues. Tax allowances of $4,000 were given in the current, first year of ownership. Thereafter, allowances are available at 20% per annum.
- Trade receivables with a carrying amount of $2,000; the related revenue has already been included in taxable profit.
- A loan payable of $1 million; there are no tax consequences of repaying the loan.
- Revenue received in advance with a carrying amount of $3,000. The revenue was taxed on an accrual basis.

Required: Explain the tax base of each item.

Your Notes

II. DEFERRED TAXATION - BASICS

1. Tax base

Example 3: Answer

- The tax base of the machine is $6,000. This is the remaining amount of cost that will be deductible from taxable profits as the machine is used to generate taxable revenues.
- The tax base of the receivables is $2,000. The economic benefits that will flow from the asset are not taxable in the future and therefore tax base is equal to carrying amount.
- The tax base of the loan is $1 million, being its carrying amount, because no amount is deductible for tax purposes in future periods.
- The tax base of the revenue received in advance is $3,000, being its carrying amount, because no amount is deductible for tax purposes in future periods.

Your Notes

II. DEFERRED TAXATION - BASICS

2. Temporary differences

Temporary differences – differences between the carrying amount of an asset or liability and its tax base. Temporary differences may be either **taxable** or **deductible**.

Taxable temporary differences – temporary differences that will result in taxable amounts in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled, leading to a **deferred tax liability**

Deductible temporary differences – temporary differences that will result in amounts that are deductible in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled, leading to a **deferred tax asset**

Your Notes

II. DEFERRED TAXATION - BASICS

2. Temporary differences

Temporary differences

Taxable differences	Deductible differences
Taxable profit < Accounting profit before tax	Taxable profit > Accounting profit before tax
Tax to pay in the future **(Deferred tax liability)**	Tax savings in the future **(Deferred tax asset)**

Calculation of deferred tax liability

Income approach	**Balance sheet approach**
(Accounting profit − Taxable profit) × Tax rate	(Carrying amount − Tax base) × Tax rate

Your Notes

II. DEFERRED TAXATION - BASICS

2. Temporary differences

Balance sheet approach

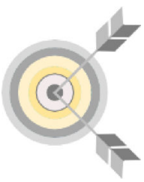
Deferred tax incurred on the asset items

Deferred tax asset/liability = (Carrying amount − Tax base) × Tax rate

Tax base = Carrying amount according to tax law

If Carrying amount > Tax base ⇨ **Deferred tax liability**

Carrying amount < Tax base ⇨ **Deferred tax asset**



Deferred tax incurred on the liability items

Deferred tax asset/liability = (Carrying amount − Tax base) × Tax rate

Tax base = Carrying amount − Future deductible expense

If Carrying amount > Tax base ⇨ **Deferred tax asset**

Carrying amount < Tax base ⇨ **Deferred tax liability**

Your Notes

Chapter 17 Quiz

Question 1:

The following information relates to an entity:

(1) At January 20X8 the carrying amount of non-current assets exceeded their tax written down value by $850,000.

(2) For the year to 31 December 20X8 the entity claimed depreciation for tax purposes of $500,000 and charged depreciation of $450,000 in the financial statements.

(3) During the year ended 31 December 20X8 the entity revalued a property. The revaluation surplus was $250,000. There are no current plans to sell the property.

(4) The tax rate was 30% throughout the year.

What is the provision for deferred tax required by IAS 12 Income Taxes at 31 December 20X8?

A. $240,000

B. $270,000

C. $315,000

D. $345,000

Your Notes

Chapter 17 Quiz

Question 2:

The statements of financial position of Nedburg Co include the following extracts:

Statements of financial position as at 30 September

	20X2	20X1
	$m	$m
Non-current liabilities		
Deferred tax	310	140
Current liabilities		
Taxation	130	160

The tax charge in the statement of profit or loss for the year ended 30 September 20X2 is $270 million.

What amount of tax was paid during the year to 30 September 20X2?

$ ____________

Your Notes

Your Notes

Chapter 17 Quiz

Question 3:

The trial balance of Highwood Co at 31 March 20X6 showed credit balances of $800,000 on current tax and $2.6 million on deferred tax. A property was revalued during the year giving rise to deferred tax of $3.75 million. This has been included in the deferred tax provision of $6.75 million at 31 March 20X6.

The income tax liability for the year ended 31 March 20X6 is estimated at $19.4 million.

What is the amount of the income tax charge in the statement of profit or loss of Highwood at 31 March 20X6?

$ ______

Your Notes

Chapter 17 Quiz

Answer

Question 1:

The correct answer is D

We have a formula to calculate Deferred tax assets and Deferred tax liability as follows:

Deferred tax asset/liability = Temporary difference × Tax rate
Temporary difference (=Profit before tax - Taxable profit) > 0
=> Deferred tax liability
Temporary difference (=Profit before tax - Taxable profit) < 0
=> Deferred tax asset

- The carrying amount of non-current assets exceeded their tax written-down value by $850,000. Thus, temporary difference related to the carrying amount of non-current asset: DTL = $850,000 x 30% = $255,000
- The entity claimed depreciation for tax purposes of $500,000 and charged depreciation of $450,000 in the financial statements. Thus, temporary difference related to depreciation: DTL = ($500,000 - $450,000) x 30% = $15,000
- The revaluation surplus was $250,000. Therefore, the temporary difference related to the revaluation surplus: DTL = $250,000 x 30% = $75,000
- We can calculate the provision for deferred tax:

$255,000 + $75,000 + $15,000 **= $345,000**

Chapter 17 Quiz

Answer

Question 2:

The correct answer is $130 million

We have a formula to calculate the tax paid as follows:

Tax paid = Total tax expense + Opening tax balance - Closing tax balance

In which:

- Opening tax balance = opening current tax liability + opening deferred tax liability
- Closing tax balance = closing current tax liability + closing deferred tax liability

⇨ Apply to this question, tax paid is:

$270m + ($140m + $160m) - ($310m + $130m) = **$130m**

Your Notes

Chapter 17 Quiz

Answer

Question 3:

The correct answer is $19 million

- The trial balance showed credit balances of $800,000 on current tax showing the prior year over provision is $800,000
- The income tax liability for there is estimated at $19.4 million so the provision for income tax is $19.4 million
- Deferred tax on the trial balance is $2.6 million, a revalued property gives rise to deferred tax of $3.75 million which is included in the deferred tax provision of $6.75 million at 31 March 20X6.

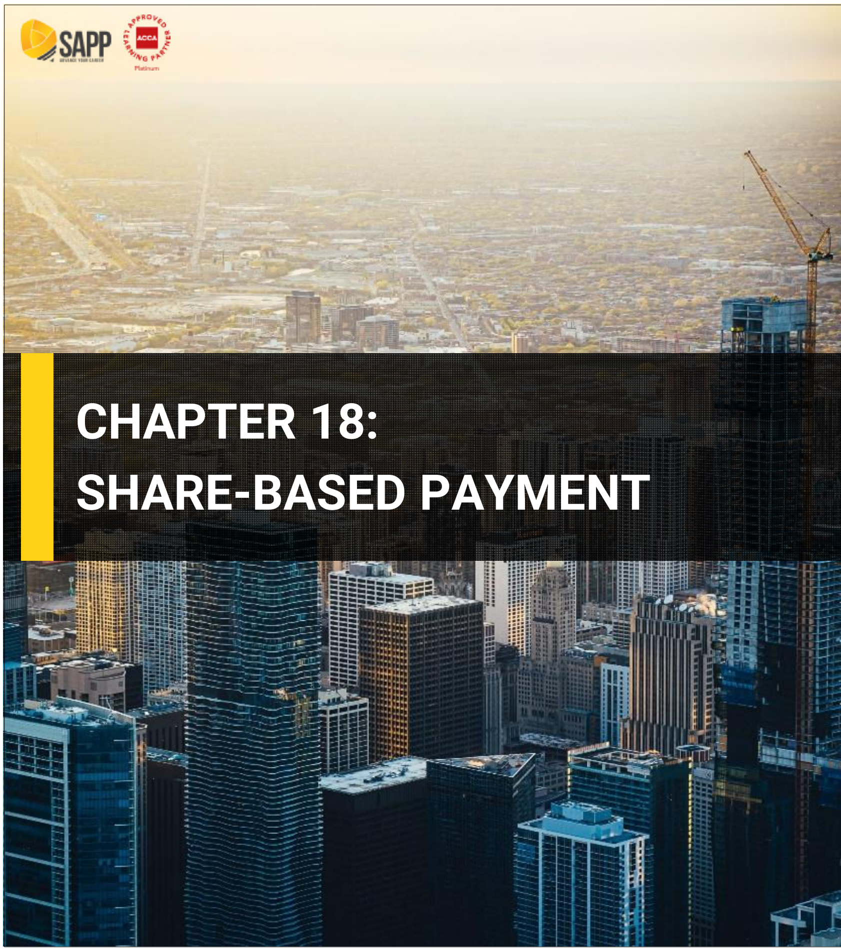
⇨Deferred tax expense:

$6.75m - $3.75m - $2.6m = $0.4m

⇨Income tax expense is:

$19.4m - $0.8m + $0.4m = **$19m**

Your Notes



CHAPTER 18: SHARE-BASED PAYMENT

Your Notes

OVERVIEW

What will you learn?

IFRS 2 SHARE-BASED PAYMENT

Share-based payments	Transactions
Definition	Equity-settled
Types of transaction	Cash-settled
Recognition Principle	Choice of settlement

Your Notes

I. OVERVIEW

Key issues

Two key issues

Measurement

How to measure the share-based transaction.

Recognition

Recognition of the charge for share-based payments must reflect accrual accounting in keeping with the Framework.

Objective of IFRS 2

> The objective of IFRS 2 is to specify the financial reporting of share-based payment transactions and, in particular, to show the effects of such transactions (including associated expenses) on profit or loss and financial position.

KEY POINT

In summary, IFRS 2 requires the recognition of **all** share-based payment transactions measured at **fair value**.

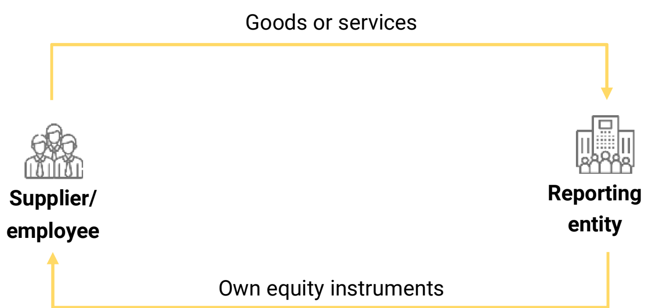
Your Notes

II. SHARE-BASED PAYMENT

1. Definition

Share-based payment transaction: a transaction in a share-based payment arrangement in which the entity:

- receives goods or services from a supplier (including an employee); or
- incurs an obligation (to the supplier) when another group entity receives those goods or services.



Payment in cash or other assets based on price (or Value) of own equity instrument

Your Notes

II. SHARE-BASED PAYMENT

2. Types of Transactions

Cash-settled

- The entity promises to pay a cash amount based on the price (or value) of its equity instruments (or those of another group entity) in return for the receipt of goods or services.

Equity-settled

- **Share option** – a contract that gives the holder the right, but not the obligation, to subscribe to the entity's shares at a fixed (or determinable) price for a specified period of time.
- The entity receives goods or services from a supplier or employee and in return it provides consideration in the form of its own **equity instruments**, (e.g. shares or share options).

Cash alternatives

- In some arrangements either the counterparty or the entity may have a choice whether to settle a share-based payment in equity instruments or cash.

Your Notes

II. SHARE-BASED PAYMENT

3. Recognition Principles

The basic principle is that an entity should recognise goods or services received **when it obtains the goods or when the services are provided:**

Equity-settled

Debit Expense/Asset	X
Credit Equity	X

Cash-settled

Debit Expense/Asset	X
Credit Trade payable	X

The key issues are how to measure each type of transaction and when to recognise it.

Your Notes

III. EQUITY-SETTLED TRANSACTIONS

1. Measurement

KEY POINT

A share-based payment transaction is measured at the **fair value** of goods/services received. Fair value differs depending on whether counterparty is an employee or not.

1.1 Counterparty is Not an Employee

The fair value of goods /services received can be measured reliably.	**Direct method**
The fair value of goods /services received cannot be measured reliably.	**Indirect method**
Transactions usually vest immediately.	The transaction is **recognised immediately.**

Your Notes

III. EQUITY-SETTLED TRANSACTIONS

1. Measurement

1.1 Counterparty is Not an Employee

Equity-settled Transaction with Supplier

Beamsley buys a new processing machine for use in its business from a supplier on 18 August 20X8. In return it issues the supplier with 7,500 equity share in Beamsley. The machine has a cash price of $125,000.

The transaction is recognised by Beamsley on 18 August 20X8 by:

Dr	Property, plant and equipment	$125,000
Cr	Share capital/share premium	$125,000

Your Notes

Your Notes

III. EQUITY-SETTLED TRANSACTIONS

1. Measurement

1.2 Transactions with Employees

Grant date: the date when the parties to the arrangement have a shared understanding of its terms and conditions.

The fair value of services received cannot be measured reliably.

The transaction is measured at the fair value of equity instruments issued as at the grant date (the **indirect method**).

The fair value of equity instruments issued, based on:

- **Market prices**, if available; or
- **A valuation technique** (an option-pricing model): usually required because employee share options have different terms and conditions from which market prices can be determined.

The grant date:

- The right to cash, other assets or equity instruments is conferred (provided any **vesting conditions** are met).
- If an agreement is subject to approval (e.g. by shareholders), the grant date is when that approval is obtained.

Your Notes

III. EQUITY-SETTLED TRANSACTIONS

Example (additional reading)

Example

A company grants three directors 200 share options on 1 January 20X6, and these vest (ie the director becomes entitled to them) after two years, providing that the director still works for the company. This is expected to be the case. Each option has a fair value of $3 at the grant date.

The total expense to be recognised is $1,800 (3 directors x 200 options x $3). This is spread over the two year vesting period giving an expense of $900 in each year.

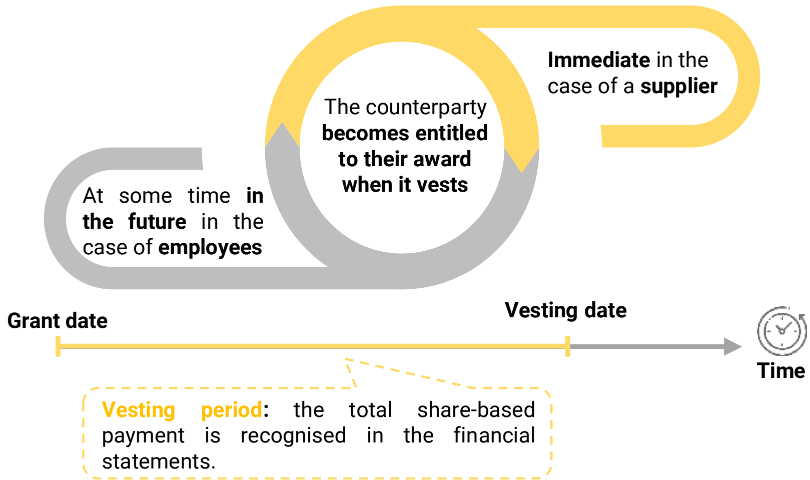
At the end of year 1 the balance in equity is $900; at the end of year two it is $1,800. Assuming that the options are exercised, the equity balance is transferred to the share capital account.

III. EQUITY-SETTLED TRANSACTIONS

2. Vesting Conditions and Recognition of Transactions

2.1 Definition

- **Vest**: to become an entitlement. A party's right to shares of an entity may be free or at a prearranged exercise price.
- **Vesting conditions**: the conditions that must be satisfied for a person to become entitled to receive cash, other assets or equity instruments under a share-based payment arrangement.



Your Notes

IV. CASH-SETTLED TRANSACTIONS

1. Definition

Cash-settled share-based payment transaction: one in which the entity acquires goods or services by incurring a liability to transfer cash or other assets to the supplier of those goods or services for amounts that are based on the price (or value) of equity instruments (including shares or share options) of the entity or another group entity.

Common example of a cash-settled share-based payment transaction

- **Share appreciation rights (SARs):** These are granted to employees and give the employee an entitlement to a future cash payment based on the increase in the entity's share price from a determined level and for a specific period of time.

2. Measurement and Recognition

KEY POINT

For cash-settled share-based payment transactions, the goods or services acquired and the liability incurred are **measured at the fair value of the liability** (i.e. the amount that an entity expects to pay).

Your Notes

IV. CASH-SETTLED TRANSACTIONS

Example (additional reading)

Example

On 1 January 20X4 a company grants a director share appreciation rights whereby she is entitled to cash equivalent to 1,000 shares on 31 December 20X5, assuming she remains in employment.

The share price is $3.40 on 31 December 20X4 and $4.05 on 31 December 20X5.

At 31 December 20X4 a liability and expense are recognised of $1,700 (1,000 x $3.40 x 1/2years). At 31 December the total liability is $4,050 (1,000 x $4.05). Therefore the year 2 expense is $2,350 ($4,050 - $1,700).

Your Notes

V. TRANSACTIONS WITH A CHOICE OF SETTLEMENT

1. Entity has Choice

KEY POINT

The accounting treatment depends on which party has the choice of settlement.

Treatment of transactions with choice of settlement in cash or equity instruments

↓

Is there a present obligation to settle in cash?

↓

Entity is not allowed to issue shares **OR** Entity has a stated policy or past practice of issuing cash rather than shares.

Yes → Cash-settled

No → Equity-settled

Your Notes

V. TRANSACTIONS WITH A CHOICE OF SETTLEMENT

2. Counterparty has Choice

The transaction is deemed to **result in the issue of a compound instrument**

Liability component

It is accounted for in the same way as a **cash-settled share-based payment**

Equity component

It is accounted for in the same way as a **equity-settled share-based payment**

Example 5: Choice of settlement

On 1 July 20X1 Smeaton grants an employee a right that allows them to choose to receive either 20,000 shares on 30 June 20X4 or cash to the value (on that date) of 18,000 shares. The employee must remain employed by Smeaton on 30 June 20X4.

The market price of Smeaton's shares is $5 at 1 July 20X1, $5.35 at 30 June 20X2, $5.80 at 30 June 20X3 and $6.10 at 30 June 20X4. The fair value of the share route is estimated to be $4.90.

The employee chooses to take the shares at the vesting date.

Required:

Explain the accounting treatment applicable to the awards.

Your Notes

V. TRANSACTIONS WITH A CHOICE OF SETTLEMENT

2. Counterparty has Choice

Example 5: Answer

This is an arrangement in which the counterparty has the choice of settlement. At the grant date:

- The fair value of the cash route is 18,000 × $5 = **$90,000**
- The fair value of the share route is 20,000 × $4.90 = **$98,000**
- The fair value of the equity component is therefore $8,000 (**$98,000** – **$90,000**)

The share based payment is therefore recognised as:

		Liability ($)	Equity ($)	Expense ($)	
30 June 20X2	$18{,}000 \times 5.35 \times \frac{1}{3}$	32,100		32,100	
	$8000 \times \frac{1}{3}$		2,667	2,667	
30 June 20X3	$18{,}000 \times 5.80 \times \frac{2}{3}$	69,600		37,500	69,600 – 32,100
	$8000 \times \frac{2}{3}$		5,333	2,667	5,333 – 2,667
30 June 20X4	$18{,}000 \times 6.10 \times \frac{3}{3}$	109,800		40,200	109,800 – 69,600
	$8000 \times \frac{3}{3}$		8,000	2,667	8,000 – 5,333

The employee elects to receive shares rather than cash and therefore the balance on the liability account is transferred to equity at the vesting date.

Your Notes

Chapter 18 Quiz

Question 1:

What are the different types of share-based payment transactions?

Your answer:

Question 2:

How should an entity account for cash-settled share-based payment transactions?

Your answer:

Your Notes

Chapter 18 Quiz

Answer

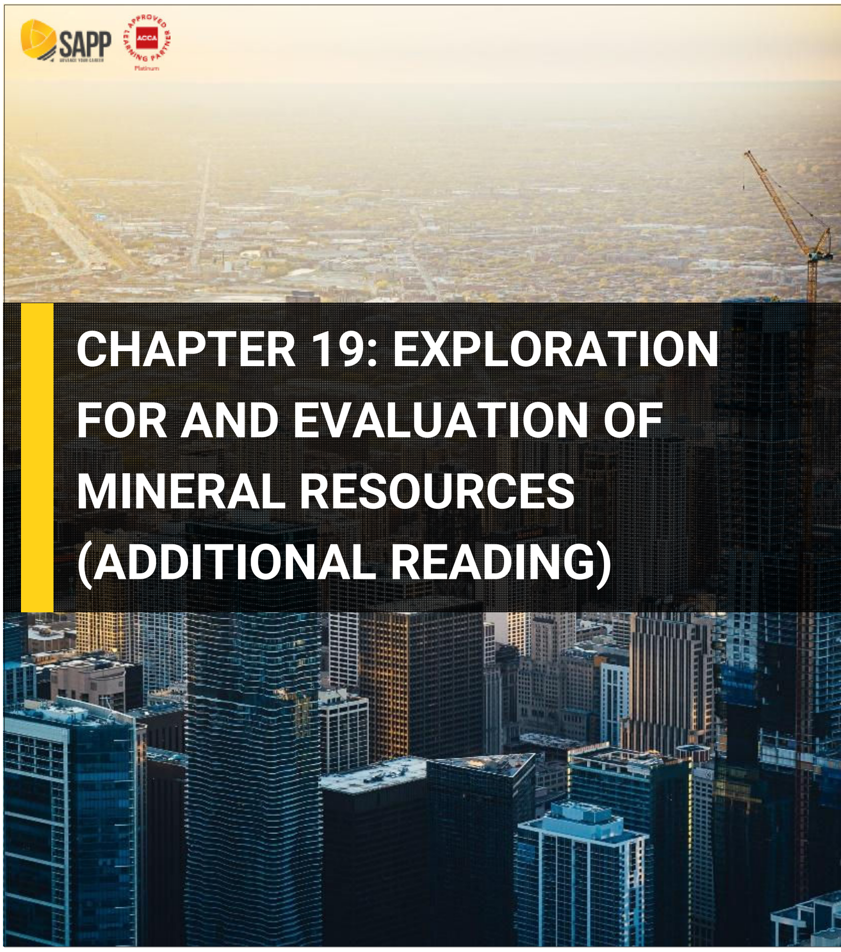
Question 1:

The two main types of share-based payment transactions are:

- Equity-settled share-based payment transactions, where the entity receives goods or services as consideration for equity instruments of the entity.
- Cash-settled share-based payment transactions, where the entity receives goods or services as consideration for amounts of cash or other assets of the entity that are based on the price of those equity instruments.

Question 2:

An entity should recognise the goods or services received as an expense, with a corresponding increase in liabilities. The expense should be measured at the fair value of the cash or other assets that will be paid, which is typically the fair value of the equity instruments that the cash or other assets are based on.



CHAPTER 19: EXPLORATION FOR AND EVALUATION OF MINERAL RESOURCES (ADDITIONAL READING)

Your Notes

IFRS 6 imposes few requirements on companies that are engaged in the exploration for and evaluation of mineral resources

IFRS 5 requires entities to develop a policy for the extent to which such expenditure should be capitalised and to disclose that policy clearly in the financial statements. It does not, however, specify the capitalisation policy.

(IFRS 6 paragraph 6, 7)

The standard also requires entities recognising exploration and evaluation assets to perform an impairment test on those assets when facts and circumstances suggest that the carrying amount of the assets may exceed their recoverable amount.

(IFRS 6 paragraph 18)

IFRS 6 requires disclosure of information that identifies and explains the amounts recognised in its financial statements arising from the exploration for and evaluation of mineral resources, including:

- Its accounting policies for exploration and evaluation expenditures including the recognition of exploration and evaluation assets
- The amounts of assets, liabilities, income and expense and operating and investing cash flows arising from those assets

(IFRS 6 paragraph 23, 24)

For further useful information please scan this ***QR code***

Chapter 19 Quiz

Question 1:

How should an entity account for exploration and evaluation expenditures, including the recognition and measurement of assets and liabilities?

Your answer:

Your Notes

Chapter 19 Quiz

Question 2:

How should an entity account for the impairment of exploration and evaluation assets?

Your answer:

Your Notes

Chapter 19 Quiz

Answer

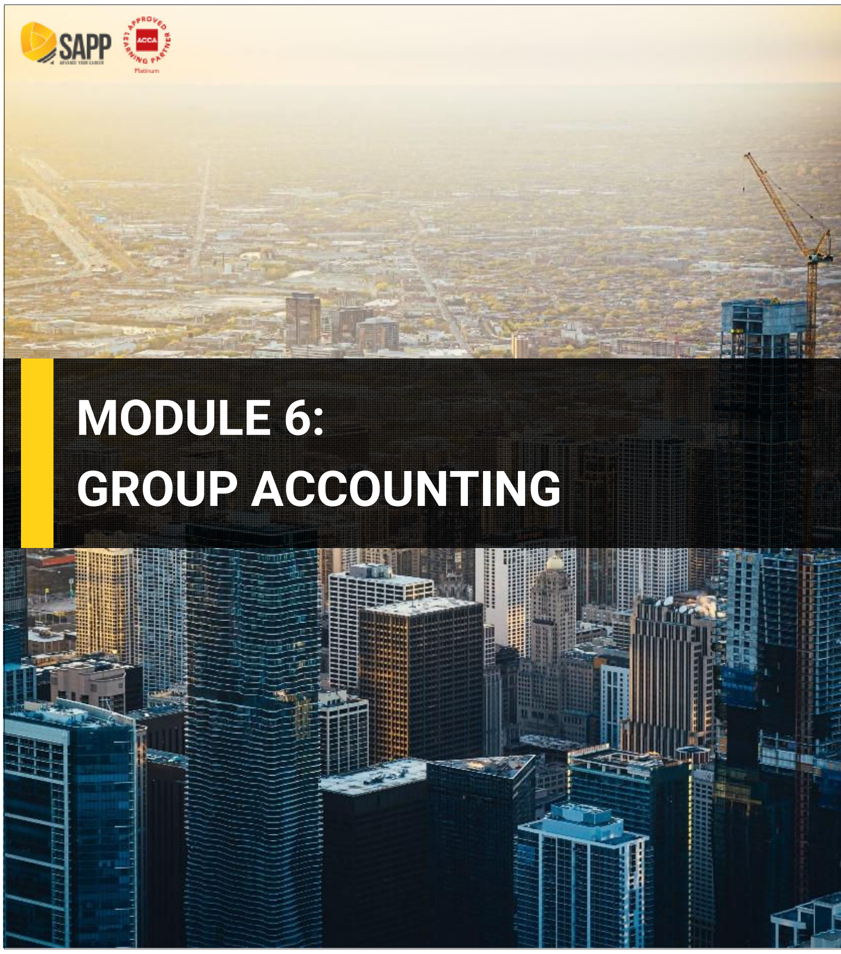
Question 1:

An entity should recognize exploration and evaluation expenditures as an asset when it is probable that future economic benefits will flow to the entity and the expenditures can be measured reliably. The asset should be measured at cost, and subsequently, the entity should test the asset for impairment.

Question 2:

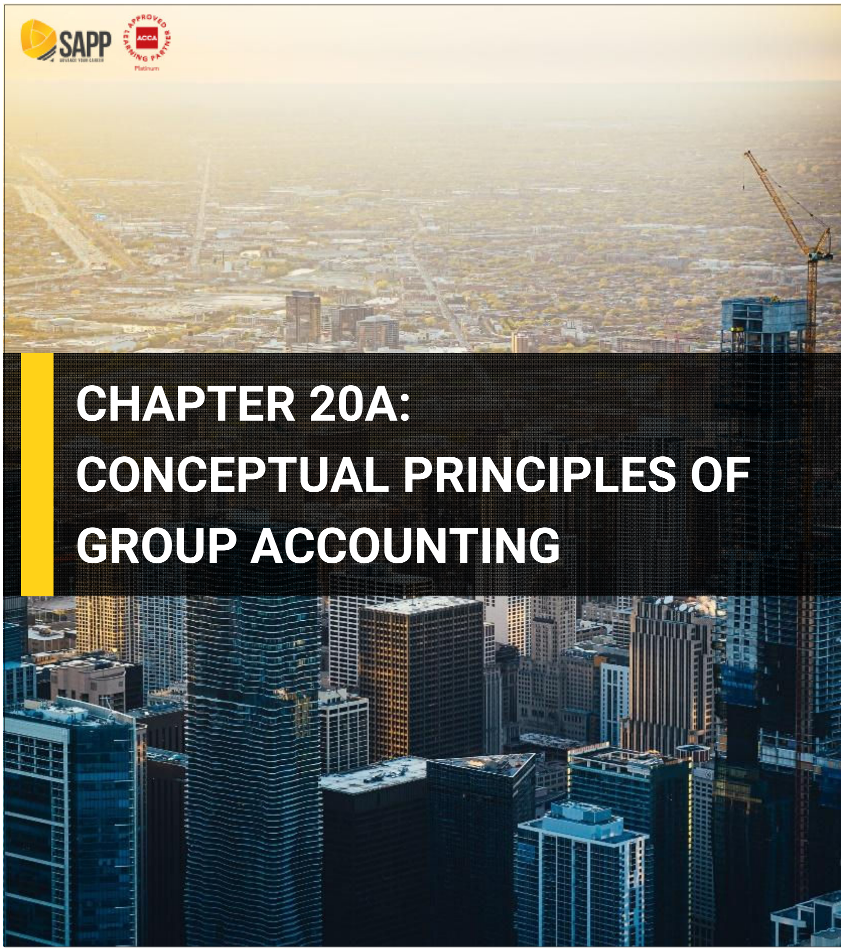
An entity should test exploration and evaluation assets for impairment when there are indicators of impairment. If the asset is impaired, the entity should recognize an impairment loss.

Your Notes



MODULE 6: GROUP ACCOUNTING

Your Notes



CHAPTER 20A: CONCEPTUAL PRINCIPLES OF GROUP ACCOUNTING

Your Notes

OVERVIEW

What will you learn?

CONCEPTUAL PRINCIPLES OF GROUP ACCOUNTING

- **Business Combination**
  - Control
- **IFRS 10 Consolidated Financial Statements**
  - Consolidation procedure

Your Notes

Your Notes

I. INTRODUCTION

1. Business Combinations and IFRS Accounting Standards

The parent must recognise the acquisition of a subsidiary in its **separate financial statements** and is also required to prepare **consolidated financial statements** that represent all group companies (i.e. the parent and all subsidiaries) as a **single entity**.

Three IFRS Standards are relevant:

- **IAS 27 *Separate Financial Statements*** applies when preparing the financial statements of the parent;
- **IFRS 3 *Business Combinations*** is applied to determine whether a business combination has taken place and it provides the accounting requirements for the acquisition;
- **IFRS 10 *Consolidated Financial Statements*** is applied with IFRS 3 to determine whether a business combination has taken place and it provides the accounting requirements for the period after the acquisition when consolidated financial statements are prepared for subsequent reporting dates.

Your Notes

I. INTRODUCTION

2. IAS 27 Separate Financial Statements

In the separate financial statements of the investor (parent) an investment in a subsidiary (or associate or joint venture) is accounted for:

- At **cost**
- Using **equity method** of IAS 28 *Investments in Associates and Joint Ventures*
- In accordance with IFRS 9 *Financial Instruments*

KEY POINT

The same method of accounting should be applied consistently to each category of investment.

When an investment becomes classified as **held for sale**:

- If it was carried at **cost** or using the **equity method** – IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* is applied
- If it was carried at **fair value** – IFRS 9 continues to apply.

I. INTRODUCTION

2. IAS 27 Separate Financial Statements

Any dividends received from the investment will be recognised when the investor's right to receive the dividend is established. If an investment is measured:

- **At cost** or in accordance with IFRS 9, dividends are **recognised in profit or loss**.
- Using **equity accounting**, the dividend is **deducted** from the carrying amount of the investment.

Your Notes

II. BUSINESS COMBINATION

1. Control

Control exists when the investor is **exposed**, or has **rights**, to variable returns from its involvement with the investee and has the **ability** to **affect** those returns through its power over the investee.

There are three elements to **control** arising from the definition:

- **Power** over the investee
- **Exposure/rights** to variable returns
- The **ability to affect** those returns through the power held

Your Notes

II. BUSINESS COMBINATION

1. Control

1.1 Power

KEY POINT

The investor has power over the investee if the investor has rights giving it the current ability to direct relevant activities (activities that significantly affect returns from the investee).

Relevant activities include selling and purchasing goods or services, managing financial assets, selecting, acquiring or disposing of assets, researching and developing new products or processes and determining a funding structure and obtaining funding.

In many straightforward situations, power is gained by **holding more than 50%** of the voting rights in the investee (subsidiary).

The assessment of voting rights should take into account any potential voting rights that the investor holds in the investee (e.g. share options or convertible instruments). In order to contribute to control these must be **exercisable** or **convertible** at the current time. If this is **not** the case they are **ignored.**

Your Notes

II. BUSINESS COMBINATION

1. Control

1.1 Power

"An assessment of voting rights should also consider the **size** of the investor's **voting rights** relative to other vote holders and the **number** of other **parties** that would have to act to outvote the investor."

Power may be achieved where **less** than a **majority** of votes is held.

This is a subjective area but the **larger** the **size** of an investor's (minority) **voting rights** is compared to that of other investors and the **higher** the **number** of other investors that would have to act together to outvote the investor, the **more likely** it is that the investor has **control**.

Example 1 (Question): Voting rights

Mojave has acquired 45% of the voting rights in Sahara. The remaining 55% of shares are owned by hundreds of other unrelated investors, all of whom own a maximum of 1% of shares. There are no arrangements for shareholders to consult one another or act together. Past experience indicates that few other investors vote at all.

Required: Discuss whether Mojave has power over Sahara.

Your Notes

Your Notes

II. BUSINESS COMBINATION

1. Control

1.1 Power

Example 1 (Answer): Voting rights

Although Mojave does not hold a majority of voting rights, it is the largest shareholder. The other investors all hold 1% or less of shares, there are no arrangements for them to vote together and many of them do not vote. Mojave therefore has the practical ability to have power over Sahara.

Power can also result from one or more **contractual arrangements**, without holding a majority of voting rights. For example, the right:

1. to **appoint** or **remove** key management personnel or another entity that can direct relevant activities;
2. to **direct** the investee to enter into (or veto) transactions for the benefit of the investor.

Your Notes

II. BUSINESS COMBINATION

1. Control

1.1 Power

Only substantive rights are considered when assessing control.

A right is **substantive** if the investor has the **practical ability** to exercise the right when decisions about relevant activities need to be made.

Factors that may **stop** a right being **substantive** are **financial penalties** or **legal obstacles**. Equally a right may not be substantive if the party that holds the right would not benefit from exercising them.

An investor can have power over an investee even if other entities have rights allowing them to participate in the activities of the investee (e.g. if another investor has *significant influence*).

Example 2 (Question): Control

Entity A holds 40% of the voting right in entity B. It also holds share options which, if it were to exercise them, would take its share-holding in entity B to 80%. The share options can be exercised at any time and are in the money because the exercise price is less than the fair value of a share.

Required: Discuss whether Entity A controls Entity B.

Your Notes

II. BUSINESS COMBINATION

1. Control

1.1 Power

Example 2 (Answer): Control

The share options are in the money and therefore entity A would benefit economically from exercising them. Ignoring any other issues, entity A's share option rights therefore appear substantive and it is probable that Entity A has control over entity B through both its current share-holding and its potential future shares. Entity B should be recognised as a subsidiary of entity A.

In this situation, recognising entity B as a subsidiary means that the non-controlling interest would be based on a 60% holding (i.e. the actual percentage).

1.2 Returns

An investor is **exposed** to **variable returns** if those returns have the potential to vary as a result of performance from the investee.

Returns may include dividends, fees or returns as a result of achieving synergies/economies of scale.

KEY POINT

There is no fixed right to a specific return.

Your Notes

II. BUSINESS COMBINATION

1. Control

1.3 Link between power and returns

KEY POINT

To have control over the investee, the investor will have power and exposure to variable returns but must also have the ability to use that power to affect the returns from the investee.

An investor with decision-making rights determines if it is acting as either a **principal** or an **agent**.

Principal

The investor will **only control** its investee if it is acting as a principal.

Agent

An agent would need **powers delegated** to it by its controlling body.

III. IFRS 10 CONSOLIDATED FINANCIAL STATEMENTS

Additional reading

Subsidiary is defined as an entity controlled by another entity (the parent).

Non-controlling interests are the equity in a subsidiary not attributable, directly or indirectly, to a parent. For example, if a parent owns 60% of a subsidiary, then the non-controlling interest percentage is 40%

Note: An entity could have power over the investee without holding a majority of the voting rights. Returns could be either positive or negative and could include dividends, change in the value of the investment, management or service fees etc.

Your Notes

III. IFRS 10 CONSOLIDATED FINANCIAL STATEMENTS

Additional Reading - Principles of consolidation

A parent prepares consolidated financial statements applying uniform accounting policies throughout .

A parent should start to consolidate from the date control is obtained and cease when control is lost. There is just one exemption available to this under IFRS 5. Consolidation is not required where temporary control is acquired because the subsidiary is held exclusively with a view to its subsequent disposal in the near future.

A partial disposal of an interest in a subsidiary in which the parent retains control, does not result in a gain or loss but an increase or decrease in equity. Purchase of some or all of the non-controlling interest is treated as a treasury share-type transaction and accounted for in equity.

Your Notes

III. IFRS 10 CONSOLIDATED FINANCIAL STATEMENTS

Additional Reading - Principles of consolidation

Once an investment ceases to fall within the definition of a subsidiary, the parent company should derecognise the assets and liabilities of the subsidiary, derecognise the carrying amount of any non controlling interest and recognise the consideration received. Any investment retained in the subsidiary should be recognised at fair value, and treated as an associate under IAS 28, as a joint arrangement under IFRS 11 or as an investment under IFRS 9 as appropriate

A parent is exempted from the preparation of consolidated accounts if it is itself a wholly or partially owned subsidiary and the ultimate or any intermediate parent company produces consolidated financial statements that comply with IFRS

Any difference between the reporting date of the parent and the reporting date of a subsidiary should not exceed three months.

Your Notes

III. IFRS 10 CONSOLIDATED FINANCIAL STATEMENTS

1. Consolidation Procedure

After IFRS 3 is applied to account for the acquisition of a business, IFRS 10 is applied in the preparation of the consolidated financial statements.

The **process of consolidation** involves:

1. **Combining** the assets, liabilities, income and expenses of the parent and its subsidiaries on a **line-by-line basis**.
2. **Eliminating** the carrying amount of the subsidiaries in the parent's separate financial statements against the subsidiaries' equity.
3. **Eliminating** in full intra-group balances and transactions and resulting unrealised profits.
4. **Recognising** an **NCI** in respect of that part of subsidiaries that is not owned by the parent.

Your Notes

Your Notes

Chapter 20A Quiz

Question 1:

What are the key differences between consolidated financial statements and separate financial statements?

Your answer:

Question 2:

How does an entity account for changes in ownership interest in a subsidiary, such as a change in control or a disposal?

Your answer:

Your Notes

Chapter 20A Quiz

Answer

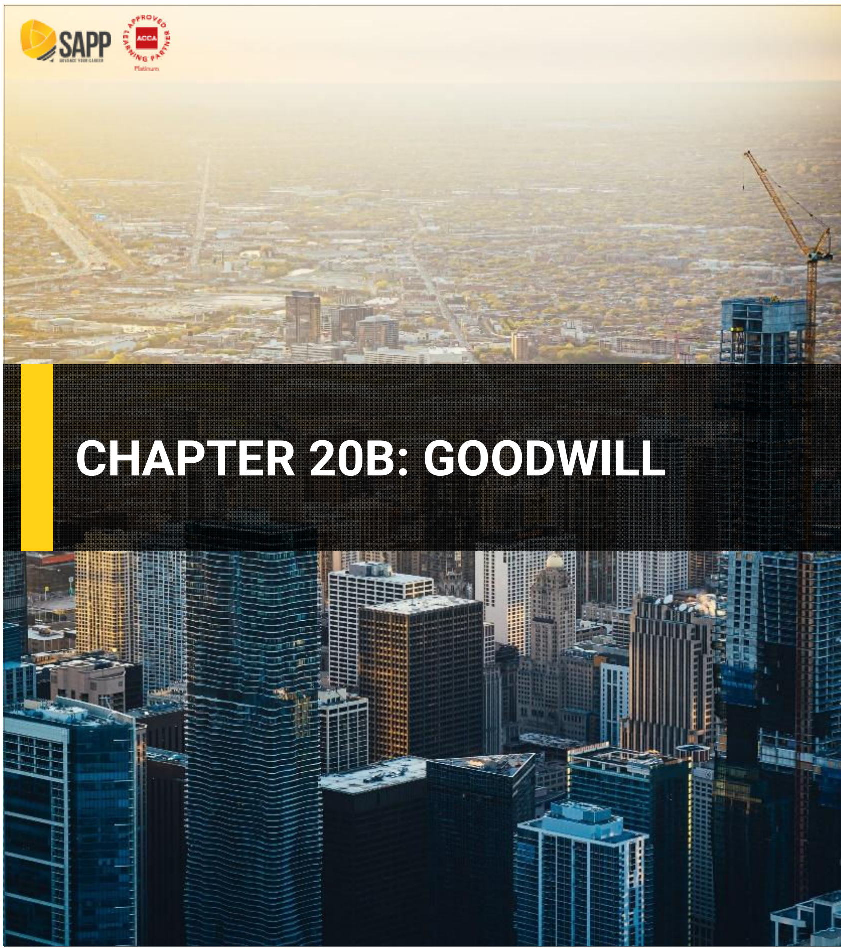
Question 1:

Consolidation: Consolidated financial statements combine the financial information of the parent and its subsidiaries, while separate financial statements present the financial information of an individual entity.

Control: Consolidated financial statements require control over subsidiaries, while separate financial statements do not require control over investments.

Question 2:

An entity should account for changes in ownership interest in a subsidiary based on the nature of the change. For example, a change in control would trigger the loss of control and the disposal of the subsidiary, while partial disposal would result in the parent retaining control but adjusting the carrying amount of the investment.



CHAPTER 20B: GOODWILL

Your Notes

OVERVIEW

What will you learn?

GOODWILL

I. IFRS 3 Business combinations
- Definition
- Acquisition Method
- Goodwill

II. Consideration Transferred
- Basis Principle
- Deferred Consideration
- Transaction Costs

III. Identifiable Assets and Liabilities
- Recognition
- Measurement

IV. Accounting for Goodwill
- Positive Goodwill
- Bargain Purchase

Your Notes

Your Notes

I. BUSINESS COMBINATION

1. Definition of a Business

A business combination arises when an acquirer obtains **control of a business**. A business is an acquired set of activities and assets that includes, as a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs

2. Acquisition Method

KEY POINT

A combination that is an acquisition should be accounted for using the acquisition method

IFRS 3 requires that the acquisition method is applied to a business combination. As at the date of the acquisition the acquirer should:

- Identify the acquirer. One entity must be the acquirer
- Determine the acquisition date (i.e the date on which control is obtained)
- Recognise and measure the identifiable assets acquired liabilities assumed and non-controlling interest in the acquiree
- Recognise and measure goodwill or a gain on a bargain purchase

Your Notes

I. BUSINESS COMBINATION

3. Goodwill

Goodwill – an asset representing the future economic benefits arising from other assets acquired in a business combination that are individually identified and separately recognised

3.1 Calculation

Goodwill is calculated as **the difference** between the cost of the acquisition (consideration transferred) **plus** any non-controlling interest and the fair value of the acquire's identifiable assets and liabilities at the date of the exchange transaction:

	$
Acquisition date fair value of consideration transferred	X
Non-controlling interest in the entity acquired	X
Less: Acquisition date fair value of identifiable assets acquired and liabilities assumed (IFRS 3)	(X)
Goodwill/(bargain purchase)	X/(X)

I. BUSINESS COMBINATION

3. Goodwill

3.2 Non-controlling Interest (NCI)

IFRS 3 permits a choice of measurement for the NCI. It may be measured, on an acquisition-by-acquisition basis, at:

- Fair value at the acquisition date

OR

- As a proportion of the fair value of identifiable net assets of the acquiree

At the acquisition date, the amount of NCI included in the goodwill calculation is recognized in the consolidated financial statements within equity.

The NCI is subsequently allocated its share of the subsidiary's post-acquisition total comprehensive income and this is added to the initial measurement of the NCI in the equity.

EXAM ADVICE

Non-controlling interests should be measured using the method specified in an exam question and the information provided

Your Notes

I. BUSINESS COMBINATION

3. Goodwill

3.2 Non-controlling Interest (NCI) – Additional Reading

As the non-controlling interest (NCI) can be measured in one of two ways, it follows that the resulting goodwill is one of two possible values:

NCI is measured at fair value → Goodwill is 'full goodwill' → The goodwill of the acquiree attributable to parent and NCI

NCI is measured as a proportion of net assets → Goodwill is 'partial goodwill' → The goodwill of the acquiree attributable to the parent only

Your Notes

II. CONSIDERATION TRANSFERRED

1. Basic Principle

IFRS 3 requires that purchase consideration is measured at its **fair value**. This is:

1. The amount of cash or cash equivalents paid; and
2. The fair value of any other purchase consideration given

2. Deferred Consideration

KEY POINT

Any deferred consideration is measured at its present value taking into account any premium or discount likely to be incurred in settlement (and not the nominal value of the payable)

If cash is to be paid sometime in the future, the amount will need to be discounted to present value and that amount included as the fair value in the cost calculation

The increase in present value, through the passage of time, will be a finance cost charged to profit or loss

Your Notes

II. CONSIDERATION TRANSFERRED

3. Transaction Costs

KEY POINT

IFRS 3 requires that transaction costs (e.g. legal fees, advisory costs or valuation fees) incurred on the acquisition of a subsidiary are expensed in the period they are incurred.

Acquisition costs do **not** form part of the fair value of consideration transferred and are **not** included in the goodwill calculation:

- Costs related to the issue of shares or debt are treated in accordance with IAS 32 *Financial Instruments: Presentation* or IFRS 9 *Financial Instruments*.

This will generally mean that they are recognised within equity.

Your Notes

III. IDENTIFIABLE ASSETS AND LIABILITIES

1. Recognition

1.1 Intangible Assets of the Acquiree

KEY POINT

Intangible assets should be recognised separately from goodwill if they meet the **definition** of asset and are **identifiable**.

An intangible asset is identifiable if:

- It is separable (i.e. it could be separated and sold, transferred or exchanged either individually or with a related contract, asset or liability)

OR

- It arises from contractual or other legal rights

Intangible assets that may be recognised on consolidation therefore include:

- Customer lists (separable)
- Internet domain names, order backlog, trade secrets (contractual)

Your Notes

III. IDENTIFIABLE ASSETS AND LIABILITIES

1. Recognition

1.2 Contingent Liabilities of the Acquiree

IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* do not allow contingent liabilities to be recognised in the financial statements of a single entity.

However, if a contingent liability of the subsidiary has arisen due to a present obligation that has not been recognised (because an outflow of economic benefits is not probable), IFRS 3 requires this present obligation to be recognised as a provision as long as fair value can be measured reliably.

KEY POINT

The provision is recognised on the business combination only and therefore appears **only** in the **consolidated** statement of financial position.

Your Notes

III. IDENTIFIABLE ASSETS AND LIABILITIES

2. Measurement

KEY POINT

All assets and liabilities of the subsidiary which are recognised in the consolidated statement of financial position are measured at their acquisition date fair values, with limited exceptions.

IFRS 3 requires certain assets and liabilities to be measured in accordance with the relevant standards (deferred tax, employee benefits, share-based payment transactions and non-current assets held for sale).

Your Notes

IV. ACCOUNTING FOR GOODWILL

1. "Positive" Goodwill

1.1 Measurement

Goodwill reflects the future economic benefits arising from assets that cannot be identified individually or recognized separately

- Initially, it is measured at cost and recognized as an asset
- Subsequently, it is not amortised but tested for impairment annually

1.2 Consolidation adjustment to recognise goodwill

Consolidation involves adding together the assets, liabilities, income and expenses of a parent and subsidiary on a line-by-line basis and then posting consolidation adjustments (i.e. consolidation journals).

The consolidation adjustment to recognise goodwill also ensures that:

- The non-controlling interest and any fair value adjustments are recognised
- The cost of the investment in the subsidiary and the subsidiary's equity and reserves at the acquisition date are eliminated

Your Notes

IV. ACCOUNTING FOR GOODWILL

2. A Gain on a Bargain Purchase ("Negative" Goodwill)

If on initial measurement the fair value of the acquiree's net assets exceeds the cost of acquisition plus non-controlling interest (an "excess"), the acquirer reassesses:

- The fair value of net assets acquired
- All relevant assets and liabilities have been identified
- Access to an exchange to buy goods or services

Any excess remaining after the reassessment is recognized immediately in profit or loss and attributed entirely to the parent. IFRS 3 refers to this as a gain on a bargain purchase. This excess (gain) could have arisen due to:

1. Future costs that have not been reflected in the acquisition process
2. Measurement of items not at fair value, if required by another standard (e.g. deferred tax liabilities cannot be discounted)
3. A forced sale at a low price

Your Notes

Chapter 20B Quiz

Question 1:

Netley Co purchased the whole of the share capital of Orell Co for $2,500,000 cash. Shareholders' funds of the two companies at the date of the purchase were as follows:

	Netley Orell $	Orell $
Share capital	5,000,000	2,000,000
Retained earnings	600,000	250,000

The fair value of Orell Co's tangible assets exceeded their carrying amount by $150,000.

What balance should appear in the consolidated statement of financial position of Netley Co for goodwill at acquisition?

A. $400,000
B. $100,000
C. $250,000
D. $500,000

Your Notes

Your Notes

Chapter 20B Quiz

Question 2:

Company A purchased 60% shares from Company B at 1 Jan 2009 for $350,000. After calculating the fair value of its assets and liabilities, it was found that the fair value of its net assets was $500,000.

Required: What goodwill arises on the acquisition:

(i) if the NCI is valued using the proportion of net assets method?

(ii) if the NCI is valued using the fair value method and the fair value of the NCI on the acquisition date is $300,000?

Question 3:

When should negative goodwill (referred to in IFRS 3 as a bargain purchase) be recognised as income?

You should refer to the text of the standard when answering exercises

Your Notes

Chapter 20B Quiz

Answer

Question 1:

The correct answer is B

	$
Consideration transferred	2,500,000
Less: Fair value of identifiable net assets acquired (2,000,000 + 250,000 + 150,000)	(2,400,000)
	100,000

Question 2:

(i) Goodwill = Consideration transferred + NCI – Fair value of net assets
= $350,000 + (40% x $500,000) – $500,000 = $50,000

(ii) Goodwill = Consideration transferred + NCI – Fair value of net assets

= $350,000 + $300,000 – $500,000 = $150,000

Chapter 20B Quiz

Answer

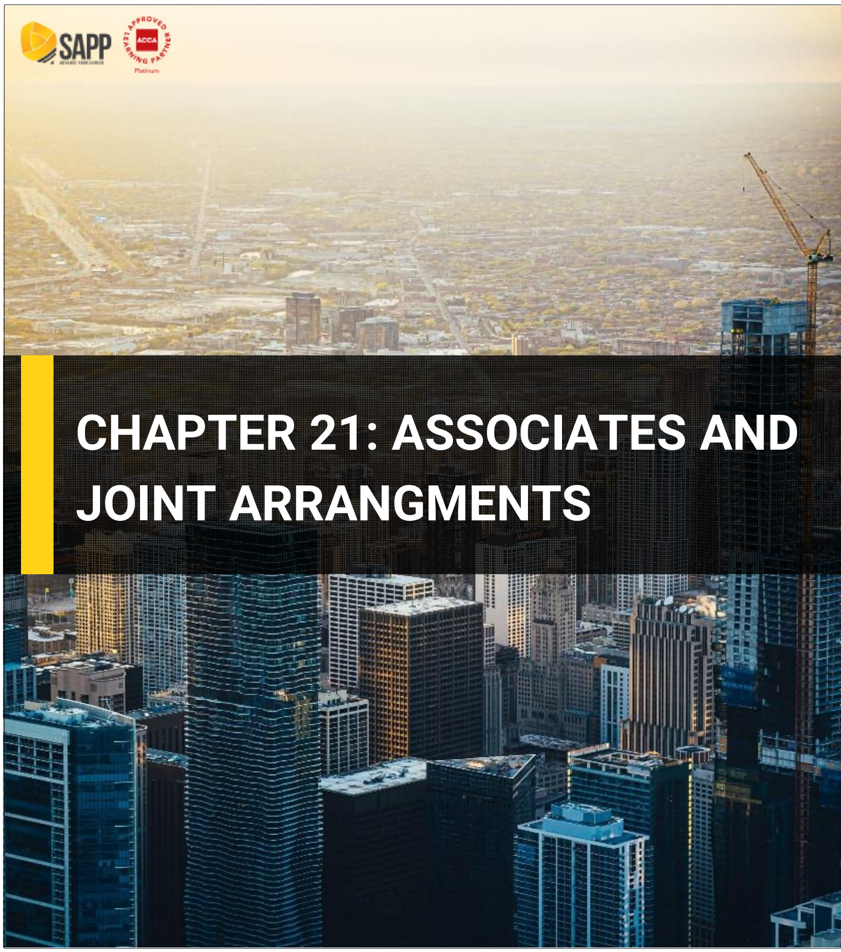
Question 3:

Negative goodwill, also known as a bargain purchase, arises when the purchase price of an acquired company is **less** than the net fair value of the identifiable assets and liabilities acquired. In other words, the acquiring company obtains a "bargain" in the acquisition.

Under IFRS 3, negative goodwill should be recognized as income immediately in profit or loss in the period in which the acquisition occurs. This is because negative goodwill represents an excess of the fair value of the net assets acquired over the cost of the acquisition, which results in an immediate gain for the acquiring company.

It is important to note that negative goodwill can only be recognized as income if the acquiring company can identify all of the assets and liabilities of the acquired company at fair value and can demonstrate that the purchase price is less than the net fair value of those assets and liabilities. If there are any unidentifiable assets or liabilities, the acquiring company must adjust the negative goodwill until the total fair value of the net assets acquired equals the purchase price.

Your Notes



CHAPTER 21: ASSOCIATES AND JOINT ARRANGMENTS

Your Notes

OVERVIEW

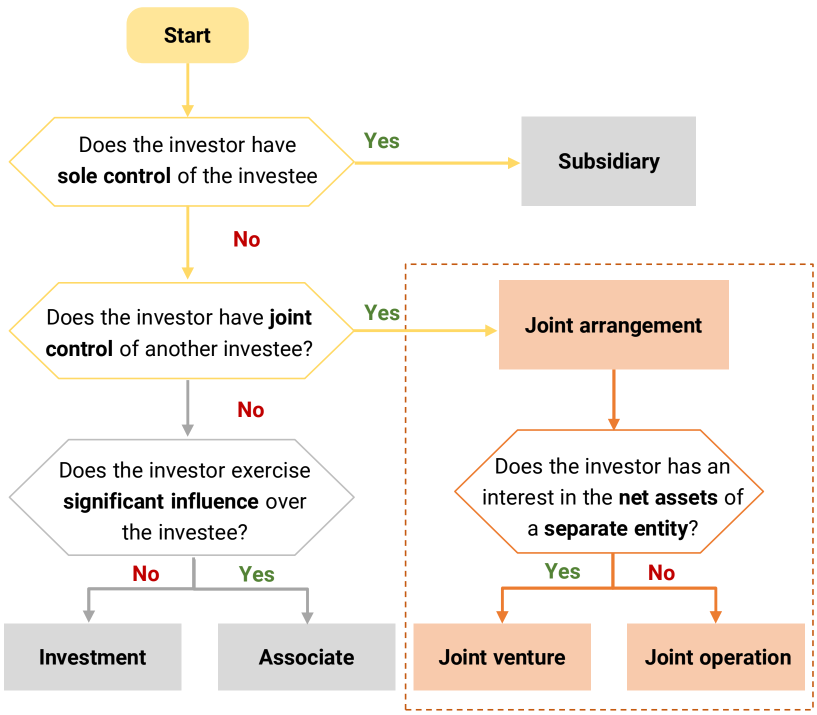
What will you learn?

ASSOCIATES AND JOINT ARRANGEMENTS

I. Introduction	II. Significant Influence and Joint Control	III. Equity Accounting	IV. IFRS 12 Disclosure of Interest in Other Entities
Types of Investee	Significant Influence	Inter-company Trading	Nature, Extent and Financial Effects
Overview of Accounting Treatment	Joint Control	The Equity Method	Associated Risks
Relevant Standards	Types of Joint Arrangement	Impairment	

I. INTRODUCTION

Overview of interest in other entities



Your Notes

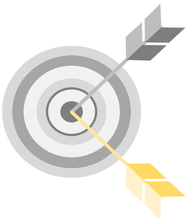
I. INTRODUCTION

1. Types of Investee

Associate – an entity over which the investor has significant influence

Joint Arrangement – an arrangement in which two or more parties have joint control

An investor may not have outright control over an investee, but may still have a degree of influence:



Where an investor has **significant influence**, the investee is an **associate**

Where an investor has **joint control** (i.e. it shares control), the investee is a **joint arrangement** (either a joint operation or a joint venture)

Your Notes

I. INTRODUCTION

2. Overview of Accounting Treatment

KEY POINT

Equity accounting may therefore be applied in both the separate and consolidated financial statements of an investor in an associate or joint venture.

3. Relevant Standards

The IFRS Standards relevant to associates and joint arrangements are:

1. *IAS 28 Investments in Associates and Joint Ventures* – defines significant influence and provides guidance on equity accounting procedures
2. *IFRS 11 Joint Arrangements* – defines joint control, provides guidance on determining whether a joint arrangement is a joint venture or a joint operation and explains how to account for a joint operation; and
3. *IFRS 12 Disclosure of Interests in Other Entities* is also relevant

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

1. Significant Influence and Joint Control

Significant influence – the power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies

An associate is an entity over which the investor has significant influence

Significant influence means that an investor has the power to participate in the financial and operating policy decisions of the investee.

The existence of significant influence by an investor is usually evidenced by one or more of the following:

- Representation on the board of directors or equivalent governing body
- Participation in policymaking
- Material transactions between the investor and the investee
- Interchange of managerial personnel
- Provision of essential technical information

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

1. Significant Influence and Joint Control

KEY POINT

A holding of 20% or more of the voting rights of the investee indicates significant influence, unless it can be demonstrated otherwise

Conversely, a holding of less than 20% presumes that the holder does not have significant influence, unless such influence can be clearly demonstrated (e.g. through representation on the board).

The existence and effect of potential voting rights that are currently exercisable or convertible by the investor should be considered

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

2. Joint Control

Joint control – the contractually agreed sharing of control of an arrangement, which exists only when the decisions about the relevant activities require the unanimous consent of the parties sharing control.

An entity that is subject to joint control by more than one party is a joint arrangement. In order for **joint control** to exist:

01 The sharing of control must be agreed in a **contract**, and

02 Decisions about relevant activities must require the **unanimous consent** of the parties sharing control

KEY POINT

If either of these features does not exist there is **no** joint control

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

2. Joint Control

Example 1: Unanimous Consent

James Co is owned by A (50%), B (25%) and C (25%). The contractual agreement between the investors states that decisions about relevant activities of James Co require 75% support by investors

Required:

Discuss whether joint control exists over James Co

Answer

In order for a decision about the relevant activities of James Co to be made, as a minimum either:

- A and B have to vote for the decision; or
- A and C have to vote for the decision

Therefore there is no unanimous consent because all three parties to the contractual arrangement do not need to agree the decision. In that case A and B would joint control James Co. C would be a participant but not have joint control.

If the ownership proportions were A (50%), B (30%) and C (20%), James Co would be a joint arrangement and A and B would have joint control (because they must agree to any decision in order to reach the 75% threshold)

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

3. Types of Joint Arrangement

Joint venture – a joint arrangement whereby the parties have rights to the **net assets** of the arrangement

01

02

Joint operation – a joint arrangement whereby the parties have rights to the **assets** and obligations for the **liabilities** relating to the arrangement

A joint arrangement is:

A joint **operation** if the parties have rights to the **assets** and obligations for the **liabilities**

A joint **venture** if the parties have rights to the **net assets**

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

3. Types of Joint Arrangement

Example 2: Joint Operation

A and B decide to enter into a joint operation to produce a new product. A undertakes one manufacturing process and B undertakes the other.

A and B have agreed that decisions regarding the joint operation will be made unanimously and that each will bear their own expenses and take an agreed share of the sales revenue from the product.

Your Notes

II. SIGNIFICANT INFLUENCE AND JOINT CONTROL

3. Types of Joint Arrangement

Example 3: Joint Venture

A and B decide to set up a separate entity, C, to enter into a joint venture. A will own 55% of the equity capital of C, with B owning the remaining 45%. A and B have agreed that decision-making regarding the joint venture will be unanimous.

Neither party will have direct right to the assets, or direct obligation for the liabilities of the joint venture; instead, they will have an interest in the net assets of entity C set up for the joint venture.

Your Notes

III. EQUITY ACCOUTING

1. Inter-company Trading

1.1 Transactions and Balances

A group may sell to an associate/joint venture or purchase goods and services from them. This trading will result in the recognition of receivables and payables in the individual company accounts.

1. Such inter-company balances and transactions are **not** eliminated in the consolidated financial statements.

2. In the consolidated statement of financial position, balances with an associate/joint venture are reported separately from other receivables and payables.

> An associate/joint venture is **not** part of the group. It is, therefore, appropriate to report amounts owed to the group by the investee as assets and amounts owed to the investee by the group as liabilities.

Your Notes

III. EQUITY ACCOUTING

1. Inter-company Trading

1.2 Unrealised Profit

KEY POINT

Unrealised profits are eliminated to the extent of the investor's interest in the associate

A sale of goods from an associate/joint venture to a parent is an "upstream" transaction. If the goods have not been sold to a third party at the year-end, the group's share of unrealized profit (in the parent's inventories) must be eliminated by:

Dr Share of profit associate/JV	$X
Cr Group inventories	$X

A sale of goods from a parent to an associate/joint venture is a "downstream" transaction. The group share of the unrealized profit (in the associate/JV's inventories) must be eliminated by:

Dr Cost of sales	$X
Cr Investment in associate	$X

Your Notes

III. EQUITY ACCOUTING

1. Inter-company Trading

1.2 Unrealised Profit

"However, unrealized losses are not eliminated if the transaction provides evidence of an impairment in the value of the asset which has been transferred"

Example 4: Eliminate Unrealised Profit

The parent has a 40% associate. The parent sells the goods to the associate for $150, the goods originally cost the parent $100. The goods are still in the associate's inventory at year-end

Required

State how the unrealized profit will be dealt with in the consolidated accounts

Answer

The unrealized profit is $20 (40% x $50)

This increases the cost of sales in the consolidated statement of profit or loss which, in turn, reduces consolidated retained earnings

The amount is also deducted from the investment in associate in the statement of financial position

Your Notes

III. EQUITY ACCOUTING

2. The Equity method

Equity method – the investment is initially recognized at cost and adjusted thereafter for the post-acquisition change in the investor's share of the investee's net assets. The investor's profit or loss/OCI includes its share of the investee's profit or loss/OCI

2.1 Consolidated Statement of Financial Position

KEY POINT

- The investment in an associate/joint venture is initially recognized at cost
- The carrying amount is increased or decreased to recognize the investor's share of the profit or loss and OCI of the investee after the date of acquisition
- The carrying amount is decreased by the amount of:
  - Any dividends received
  - Any impairment loss

Your Notes

III. EQUITY ACCOUTING

2. The Equity method

2.2 Consolidated Statement of Profit or Loss and OCI

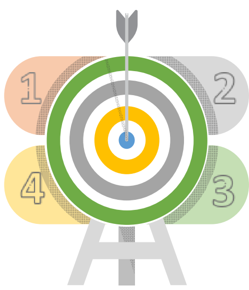
The required accounting treatment is consistent with that applied in the consolidated statement of financial position:

1. The investor's share of the associate/joint venture's profit or loss is included in profit or loss as a separate line item

2. Where an interest is acquired mid-year, results should be time apportioned

3. Any fair value adjustments increase or decrease the share of profit or loss of the associate/joint venture

4. The investor's share of the associate/joint venture's OCI is included in OCI (split between amounts that may be reclassified to profit or loss and amounts that will not be)



Your Notes

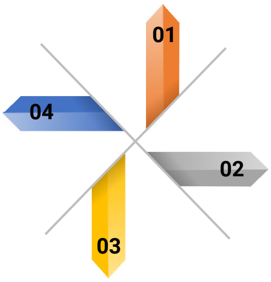
III. EQUITY ACCOUTING

3. Impairment

KEY POINT

The entire carrying amount of an investment in associate/joint venture is tested for impairment by comparing it with its recoverable amount

After application of the equity method, including recognising losses, the investor should determine whether there is objective evidence that the investment is impaired. The following loss events provide objective evidence of an impairment:



Significant financial difficulty

A breach of contract

Bankruptcy or financial reorganisation are probable

the disappearance of an active market for the net investment because of financial difficulties.

Your Notes

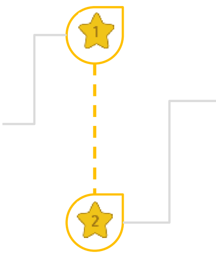
IV. IFRS 12 DISCLOSURE OF INTERESTS IN OTHER ENTITIES

1. Overview

KEY POINT

Interests in other entities include investments in subsidiaries, associates and joint arrangements

IFRS 12 requires the disclosure of information that users need to evaluate:



The **nature, extent and financial effects** of interests in joint arrangements and associates

The nature of, changes in **risks** associated with interests in joint ventures and associates

Your Notes

IV. IFRS 12 DISCLOSURE OF INTERESTS IN OTHER ENTITIES

2. Nature, Extent and Financial Effects

For each **material** associate/joint **arrangement**, an entity must disclose:

01 The name of the associate/JV

02 The nature of the entity's relationship with them

03 The principal place of business

04 The proportion of ownership interest held

For each material associate/JV, an entity must disclose:

- Whether the investment is measured using the equity method or at fair value
- Summarised financial information
- Where the equity method is applied, the fair value of the investment if there is a quoted market price.

Your Notes

IV. IFRS 12 DISCLOSURE OF INTERESTS IN OTHER ENTITIES

2. Nature, Extent and Financial Effects

For investments that are not individually material, financial information should be disclosed.

In addition an entity should disclose:

01 The nature and extent of any significant restrictions on the ability of associates/JVs to transfer cash dividends to the entity or to repay loans or advances.

02 The reporting date of the associate/JV where it is different from the reporting entity and the reason for using a different date.

03 Any unrecognised share of losses of an associate/JV.

Your Notes

Chapter 21 Quiz

Question 1:

Ulysses Co owns 25% of Grant Co, which it purchased on 1 May 20X8 for $5 million. At that date Grant Co had retained earnings of $7.4 million. At the year-end date of 31 October 20X8 Grant Co had retained earnings of $8.5 million after paying out a dividend of $1 million. On 30 September 20X8, Grant Co sold $600,000 of goods to Ulysses Co, on which it made 30% profit. Ulysses Co had not resold these goods by 31 October.

At what amount will Ulysses Co report its investment in Grant Co in its consolidated statement of financial position at 13 October 20X8?

A. $5,000,000

B. $5,275,000

C. $5,230,000

D. $4,855,000

Your Notes

Chapter 21 Quiz

Question 2:

On 1 February 20X3, Pinot Co acquired 30% of the equity shares of Nori Co, its only associate, for $10 million in cash. The profit for the year of Noir Co for the year to 30 September 20X3 was $6 million. Profits accrued evenly throughout the year. Nori Co made a dividend payment of 1$ million on 1 September 20X3. At 30 September 20X3 Pinot Co decided that an impairment loss of $700,000 should be recognised on its investment in Nori Co.

What amount will be shown as 'investment in associate' in the statement of financial position of Pinot Co as at 30 September 20X3?

$ __________

Your Notes

Your Notes

Chapter 21 Quiz

Question 3:

Identify TWO associate companies of Zuckal Co (identify one from each group).

Associate 1	Associate 2
(1)	(2)

Pull down list 1

- Acquisition of 10% of Artles Co. Zuckal Co has no representation on the board or Artles Co. All decisions are made at board level.
- Acquisition of 40% of Bandoka Co. Due to an agreement with other shareholders, Zuckal Co effectively holds 52% of the voting rights.
- Acquisition of 50% of Castur Co. Zuckal Co has appointed two of the five board members.

Pull down list 2

- Acquisition of 15% of Furnitt Co. Zuckal Co can appoint one of Furnitt Co's five board members. No party can appoint more than two.
- Acquisition of 21% of Dunnatonn Co. The other 79% of Dunnatonn Co is owned by Yentee Co, a company with no links to Zuckal Co.
- Acquisition of 70% of Eahnn Co. Zuckal Co has been able to direct the operating activities of Eahnn Co for many years, and has exercised that right.

Your Notes

Chapter 21 Quiz

Question 4:

One third of the shares, and also voting rights, in Snow White Co are held by each of Sneezy Co, Sleepy Co and Dopey Co.

Which of the following statements is true?

A. If an agreement has been drawn up specifying that decision making requires at least 60% of the voting rights, Sneezy Co would therefore have joint control.

B. If an agreement has been drawn up specifying that, as a minimum, decision making requires unanimous agreement by Sleepy Co and Dopey Co, Sneezy Co would have joint control due to the equal share in voting rights.

C. If an agreement has been drawn up specifying that decision making requires unanimous consent of Sneezy Co, Sleepy Co and Dopey Co, Sneezy Co would have joint control.

D. None of the above

Your Notes

Chapter 21 Quiz

Answer

Question 1:

The correct answer is C

Investment in associate is calculated as follows:

	$'000
Cost of investment	5,000
P's % of associate post-acquisition profit (8,500 – 7,400 +1,000) x 25%	525
Dividend paid (1,000 x 25%)	(250)
P's % of URP (600 x 30% x 25%)	(45)
	5,230

Question 2:

The correct answer is $10,200,000

Investment in associate is calculated as follows:

	$'000
Cost of investment	10,000
P's % of associate post-acquisition profit ((6,000 x 8/12) – 1,000) x 30%	900
P's impairment of investment in associate	(700)
	10,200

Your Notes

Chapter 21 Quiz

Answer

Question 3: The correct answer is

Associate 1: Acquisition of 50% of Castur Co. Zuckal Co has appointed two of the five board members.

Associate 2: Acquisition of 15% of Furnitt Co. Zuckal Co can appoint one of Furnitt Co's five board members. No party can appoint more than two.

According to IAS 28, An investor has significant influence over the investee when it holds around 20% - 50% of the investee with the following features:

- Hold 20% - 50% of the investee: A holding of 20% or more of the voting power. If the holding is less than 20%, the investor will be presumed not to have significant influence unless such influence can be clearly demonstrated.
- Existence of significant influence: Representation on the board of directors or equivalent governing body of the investee; Participation in the policy-making process; Material transactions between the investor and the investee ; Interchange of managerial personnel and Provision of essential technical information.

Apply in this question, we have:

- **In pull down list 1, statement (3)** is correct because owning 50% of Castur Co gives Zuckal significant influence.
- **In pull down list 2, statement (2)** is correct because 15% of Furnitt Co with the right to appoint one of Furnitt Co's five board members will also give significant influence.

Chapter 21 Quiz

Answer

Question 4: The correct answer is C

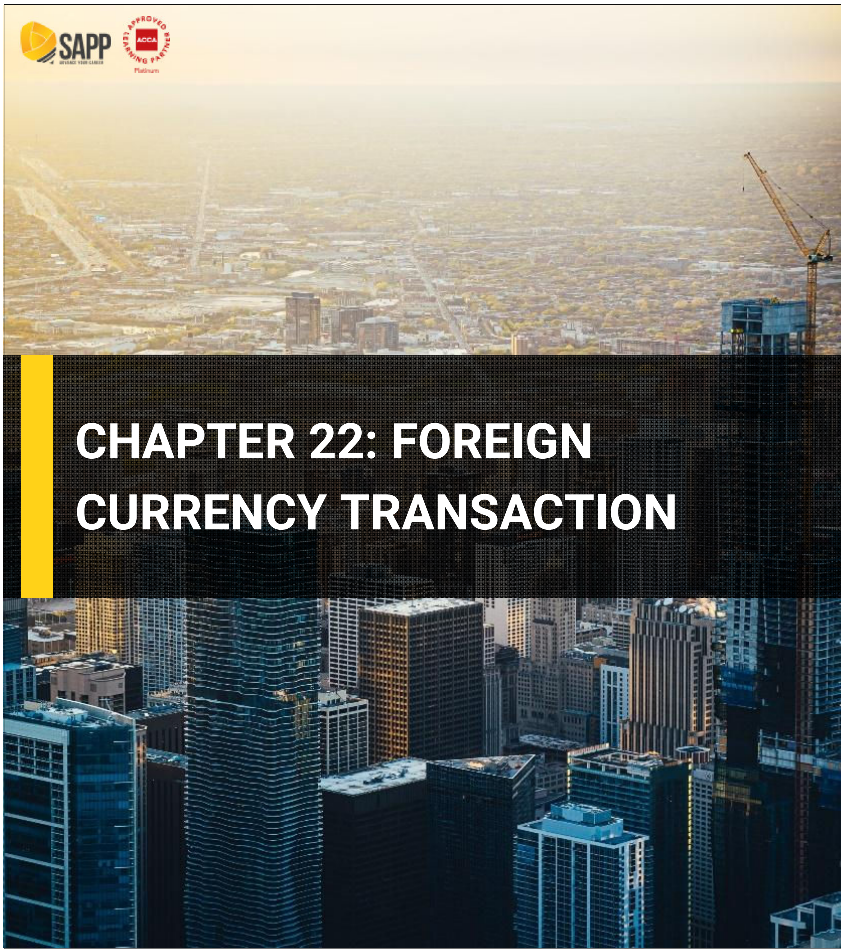
- Each of Sneezy Co, Sleepy Co, and Dopey Co holds one-third of the shares and voting rights in Snow White Co, which means that no single company has control.
- However, if an agreement is in place that requires unanimous consent of all three companies for decision-making, then each company has the power to veto decisions, which means they have joint control.
- In this scenario, Sneezy Co, Sleepy Co, and Dopey Co are collectively responsible for making decisions, and no single company can make decisions without the consent of the others.

The other options are incorrect because:

A. If an agreement requires at least 60% of the voting rights, Sneezy Co would not have joint control because it only holds one-third of the voting rights.

B. If an agreement requires unanimous agreement by Sleepy Co and Dopey Co, Sneezy Co would not have joint control because it is not a party to that agreement.

Your Notes



CHAPTER 22: FOREIGN CURRENCY TRANSACTION

Your Notes

OVERVIEW

What will you learn?

FOREIGN CURRENCY TRANSACTION

INTRODUCTION	INDIVIDUAL COMPANY TRANSACTIONS	FOREIGN OPERATIONS & CONSOLIDATED FINANCIAL STATEMENTS	DISPOSAL OF FOREIGN OPERATION	MONETARY ITEMS IN A NET INVESTMENT
Key issues	Exchange Rates	Definition	Cumulative Exchange Differences	Introduction
Scope	Initial Recognition	Translation to Presentation Currency	Partial Disposal	Separate financial statements
Foreign Currency	Settlement Before the Reporting Date			Consolidated financial statements
Functional Currency	Remeasurement at Reporting Date			
	Exchange Differences			

I. INTRODUCTION

1. Key issues

A company may engage in foreign currency operations in two ways:

- Entering directly into transactions which are denominated in foreign currencies.
- Conducting foreign operations through a foreign entity (subsidiary or associate).

Resultant transactions and balances **must be translated** into the **presentation currency** of the entity for inclusion in financial statements.

The key issues

- What exchange rate should be used to translate foreign currency amounts?
- How are exchange differences resulting from the movement in exchange rates recognised?

Your Notes

I. INTRODUCTION

2. Scope

IAS 21 *The Effects of Changes in Foreign Exchange Rates* is applied:

- To account for transactions in foreign currencies.
- To translate the financial statements of foreign operations that are included in the financial statements of the entity by consolidation or by the equity method.
- To translate financial statements into a different presentation currency.

> This standard does not deal with hedge accounting for foreign currency.

Your Notes

I. INTRODUCTION

3. Foreign Currency

- **Foreign currency:** a currency other than the functional currency of the entity.
- **Functional currency:** the currency of the primary economic environment in which the entity operates.
- **Presentation currency:** the currency in which the financial statements are presented.

IAS 21 identifies two types of foreign currency: functional currency and presentation currency.

An entity can select any currency to be its presentation currency

However, its functional currency must be determined by applying the guidance provided in IAS 21.

KEY POINT

You must be able to discuss the requirements of IAS 21 and apply them to a given scenario in order to identify the functional currency of an entity.

Your Notes

Your Notes

I. INTRODUCTION

4. Functional Currency

KEY POINT

The functional currency is dictated by the primary economic environment in which the entity operates (i.e. the currency in which it spends and receives cash).

Primary factors in determining the functional currency:

01 The currency that mainly influences the selling price of goods or services and the currency of the country whose regulations mainly determine the selling price of goods and services.

02 The currency that affects labour, material and other costs of providing goods and services.

Secondary factors if primary factors are inconclusive:

01 The currency in which funds from financing activities are generated

02 The currency in which monies from operating activities are kept.

Your Notes

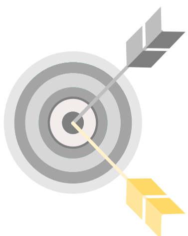
II. INDIVIDUAL COMPANY TRANSACTIONS

1. Exchange Rates

Spot exchange rate: the exchange rate for immediate delivery.

Closing rate: the spot exchange rate at the end of the reporting period.

2. Initial Recognition



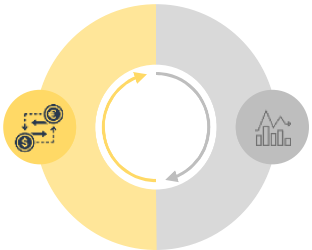
A **foreign currency** transaction (e.g. a purchase or sale of goods) is initially recorded at the **spot exchange rate** (of the functional currency) on the date of the transaction.

An average rate for the period may be used as a practical expedient providing that rates do not fluctuate significantly.

II. INDIVIDUAL COMPANY TRANSACTIONS

3. Settlement Before the Reporting Date

Settlement of an outstanding foreign currency amount (e.g. a receivable or payable) is **translated at the spot exchange rate** on the settlement date.



As exchange rates fluctuate, this rate will likely differ from the exchange rate used for initial recognition, **giving rise to an exchange gain or loss.**

4. Remeasurement at Reporting Date

Monetary items: money held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

Your Notes

II. INDIVIDUAL COMPANY TRANSACTIONS

4. Remeasurement at Reporting Date

When a foreign currency amount is not settled at the reporting end it may require remeasurement using up-to-date exchange rates for presentation in the financial statements. IAS 21 requires that foreign currency amounts are classified as monetary or non-monetary and that classification drives their treatment:

Monetary Items
- **Cash** and amounts that will be settled in cash
- **Remeasure** at reporting date using closing rate

Non-monetary Items
- Balances that do not involve a transfer of cash (e.g. inventories and property, plant, and equipment)
  - Measured using a **cost model** → Do **not** remeasure at reporting date
  - Measured using a **fair value model** → Translate at spot exchange rate at remeasurement date

Exchange difference arises

Your Notes

II. INDIVIDUAL COMPANY TRANSACTIONS

5. Exchange Differences

Exchange differences arising on **settlement** and the retranslation of **monetary** items are recognised in profit or loss as they arise:

- Amounts relating to trading items are usually recognised in operating costs;
- Amounts relating to financing items are usually recognised within finance costs.

Exchange differences arising on the retranslation of **non-monetary** items are recognised in the same way as the gain or loss on the remeasurement to fair value of the underlying item (e.g. in profit or loss for investment properties and in OCI for owner-occupied properties).

Example 1: Remeasurement at Reporting Date

York, whose functional and presentation currency is the dollar ($) acquired a financial asset at a cost of €10 million on 6 May 20X5 and classified it as measured at fair value through other comprehensive income in accordance with IFRS 9 at that date. The fair value of the financial asset at the year end of 31 December 20X5 was €12 million.

Relevant exchange rates are as follows:

6 May 20X5	$1: €1.20	31 December 20X5	$1: €1.25

Required: Calculate the amounts to be recognised in York's financial statements for the year ended 31 December 20X5.

II. INDIVIDUAL COMPANY TRANSACTIONS

5. Exchange Differences

Example 1: Answer

At 6 May 20X5 the financial asset is recognised at $8,333,333 ($\frac{€10m}{1.20}$).

At 31 December 20X5 the financial asset is remeasured to fair value and so must be retranslated using the year end exchange rate of $1 : €1.25.

		$	
Initial recognised asset	$\frac{€10m}{1.20}$	8,333,333	
Asset at year end	$\frac{€12m}{1.25}$	9,600,000	
Total gain		1,266,667	

The total gain includes two elements:

Exchange loss	$\frac{€10m}{1.25}$ – $8,333,333	(333,333)	Profit or loss
Fair value gain	$\frac{€12m}{1.25} - \frac{€10m}{1.25}$	1,600,000	
		1,266,667	

II. INDIVIDUAL COMPANY TRANSACTIONS

5. Exchange Differences

Example 1: Answer

The asset is a monetary item and therefore the exchange loss is recognised in profit or loss (IAS 21). The fair value gain is recognised in OCI (IFRS 9).

Note, however:

- If the asset had been a financial asset classified as FVTPL, both exchange loss and fair value gain would have been recognised in profit or loss.
- If the asset had been owner-occupied property (a non-monetary item) under the revaluation model, both exchange loss and the fair value gain would have been recognised in OCI.
- If the asset had been investment property (a non-monetary item), both exchange loss and the fair value gain would have been recognised in profit or loss.

Your Notes

III. FOREIGN OPERATIONS AND CONSOLIDATED FINANCIAL STATEMENTS

1. Definition

Foreign operation: a subsidiary, associate, joint arrangement or branch of the reporting entity, the activities of which are based or conducted in a country or currency other than the country of the reporting entity.

2. Translation to Presentation Currency

The financial statements of a foreign operation are translated into the **presentation currency** of the parent (in order to prepare the consolidated financial statements).

Translation gives rise to an exchange difference which is:

- Accumulated in a foreign exchange reserve in its statement of financial position.
- Reported as OCI of the foreign subsidiary.

Your Notes

III. FOREIGN OPERATIONS AND CONSOLIDATED FINANCIAL STATEMENTS

2. Translation to Presentation Currency

Items are translated as follows:

Statement of financial position	**Assets and liabilities**	Closing rate (exchange rate at reporting date).
	Share capital, Pre-acquisition RE	Spot rate at date of acquisition (i.e. historical).
	Post-acquisition retained earnings/other reserves	Each year's profits/OCI in the post-acquisition period translated at the average rate for that year.
	Foreign exchange reserve	Arises only in the translated financial statements. The balance is the cumulative exchange difference on translation.
Statement of profit or loss and OCI	**Income and expenses**	Spot rate on date of transaction (or average rate for the year as a practical expedient).
	Exchange difference for the year	Arises only in the translated financial statements. The exchange difference is reported in OCI.

Your Notes

IV. DISPOSAL OF FOREIGN OPERATION

1. Cumulative Exchange Differences

"On the disposal of a foreign operation, the cumulative amount of the exchange differences which have been recognised as OCI and allocated to the parent such that they are accumulated in a foreign exchange reserve are **reclassified** to profit or loss to form part of the profit or loss on disposal."

2. Partial Disposal

In the case of **a partial disposal**, only the **proportionate share** of the related accumulated exchange differences is included in the gain or loss.

Your Notes

V. MONETARY ITEMS IN A NET INVESTMENT

1. Introduction

Net investment in a foreign entity: the amount of the reporting entity's interest in the net assets of that operation.

A parent (or another member of its group) may have a **monetary item** that is receivable from (or payable to) a foreign subsidiary (or other foreign operation), such as a long-term loan.

Where these items are long term in nature and settlement is neither planned nor likely to occur in the foreseeable future, they are, in substance, part of the "net investment in the operation".

Trade receivables or payables are **not** part of the net investment in a foreign operation (i.e. they are excluded from the accounting treatment described below).

Your Notes

V. MONETARY ITEMS IN A NET INVESTMENT

2. Separate financial statements

In the separate financial statements of the parties to the transaction, exchange differences on the monetary item that is **part of the net investment in the foreign operation** are included in profit or loss:

- If the transaction is denominated in the **functional currency of the parent**, an exchange difference arises in the foreign subsidiary's separate financial statements;
- If the transaction is denominated in the **functional currency of the foreign subsidiary**, an exchange difference arises in the parent's separate financial statements;
- If the transaction is denominated in a currency that is **not the functional current of either party to the transaction**, exchange differences are reported in both companies' financial statements.

Your Notes

V. MONETARY ITEMS IN A NET INVESTMENT

3. Consolidated financial statements

In the consolidated financial statements, exchange differences arising on the monetary item that is part of the net investment in the foreign operation are **recognised in other comprehensive income** and **reclassified through profit or loss on disposal of the investment.**

Your Notes

Chapter 22 Quiz

Question 1:

Steeplechase Co sold a machine to a Greek company which it agreed to invoice in €. The sale was made on 1 October 20X6 for €250,000. €125,000 was received on 1 November 20X6 and the balance is due on 1 January 20X7.

The exchange rate moved as follows:

1 October 20X6 - €0.91 to $1

1 November 20X6 - €0.95 to $1

31 December 20X6 - €0.85 to $1

At what amount will the receivable be shown in the financial statements at 31 December 20X6? (Enter your answer to the nearest whole $.)

$ ______

Your Notes

Chapter 22 Quiz

Question 2:

IAS 21 The Effects of Changes in Foreign Exchange Rates sets out how entities that carry out transactions in a foreign currency should measure the results of these transactions at the year end.

Using the pull-down list options provided, select which exchange rate should non-monetary items carried at historical cost be measured?

Pull down list

- Average rate
- Closing rate
- Rate at beginning of the year
- Rate at date of transaction

Your Notes

Chapter 22 Quiz

Answer

Question 1:

The correct answer is $147,059

- The sale was made on 1 October 20X6 for €250,000. €125,000 was received on 1 November 20X6 and the balance is due on 1 January 20X7. Thus, the other. €125,000 which is monetary item should be retranslated at the closing date.

⇨ The amount of the receivable be shown in the financial statements at 31 December 20X6: €125,000/0.85 = **$147,059**

Question 2:

The correct answer is Rate of date of transaction

According to IAS 21 The Effects of Changes in Foreign Exchange Rates, the non-monetary items remain at a historic rate.

Your Notes

CHAPTER 23: FINANCIAL REPORTING IN HYPERINFLATIONARY ECONOMIES (ADDITIONAL READING)

Your Notes

OVERVIEW

What will you learn?

IAS 29 FINANCIAL REPORTING IN HYPERINFLATIONARY ECONOMIES

Scope	Accounting for Hyperinflation	Restatement

Your Notes

I. OVERVIEW

1. Scope

IAS 29 *Financial Reporting in Hyperinflationary Economies* should be applied by any entity that reports in the currency of a hyperinflationary economy.

2. Accounting for Hyperinflation

Hyperinflation is not specifically defined, but an indication would be where there is a cumulative inflation rate of one hundred percent over three years

For most countries this would not apply at present.

Groups might have a subsidiary in such a country, which is why this standard has been included here in this module on group accounting.

Your Notes

II. RESTATEMENT

Accounting treatment

01 **IAS 29 requires the financial statements of a hyperinflationary enterprise to be restated into current measuring units.**

02 **If the entity is using historical cost financial statements, this suggests that the application of a general price index to non-monetary items is required.** Even those entities using current cost accounting would need to re-express certain numbers using a measuring unit current at the reporting date.

03 **A gain or loss on the net monetary position should be included in profit or loss and disclosed separately**

For further useful information please scan this ***QR code***

Your Notes

Your Notes

Chapter 23 Quiz

Question 1:

In what circumstances should IAS 29 be applied to the financial statements, including consolidated financial statements, of an entity?

A. Whose functional currency is the currency of a hyperinflationary economy

B. Which is located in a country of a hyperinflationary economy

C. Which operates in a country of a hyperinflationary economy

D. Any of the above

Question 2:

How should the reporting of operating results and financial position in the local currency be handled in a hyperinflationary economy without restatement?

A. Preferable

B. Not useful

C. Prohibited, unless preparation of restated financial statements is impracticable

D. Permitted, unless an entity prepares consolidated financial statements

Your Notes

Chapter 23 Quiz

Question 3:

In a period of inflation, an entity holding an excess of monetary assets over monetary liabilities loses purchasing power and an entity with an excess of monetary liabilities over monetary assets gains purchasing power to the extent the assets and liabilities are not linked to a price level.

Is the statement above true or false?

A. True

B. False

Question 4:

How is the gain or loss on the net monetary position recognized?

A. Capitalised as part of the cost of the asset

B. Capitalised as part of the cost of the liability

C. Included in profit or loss

D. Included in other comprehensive income

E. A and B

Chapter 23 Quiz

Answer

Question 1: The correct answer is A

This Standard shall be applied to the financial statements, including the consolidated financial statements, of any entity whose functional currency is the currency of a hyperinflationary economy.

Question 2: The correct answer is B

In a hyperinflationary economy, reporting of operating results and financial position in the local currency without restatement is not useful. Money loses purchasing power at such a rate that comparison of amounts from transactions and other events that have occurred at different times, even within the same accounting period, is misleading

Question 3: The correct answer is A

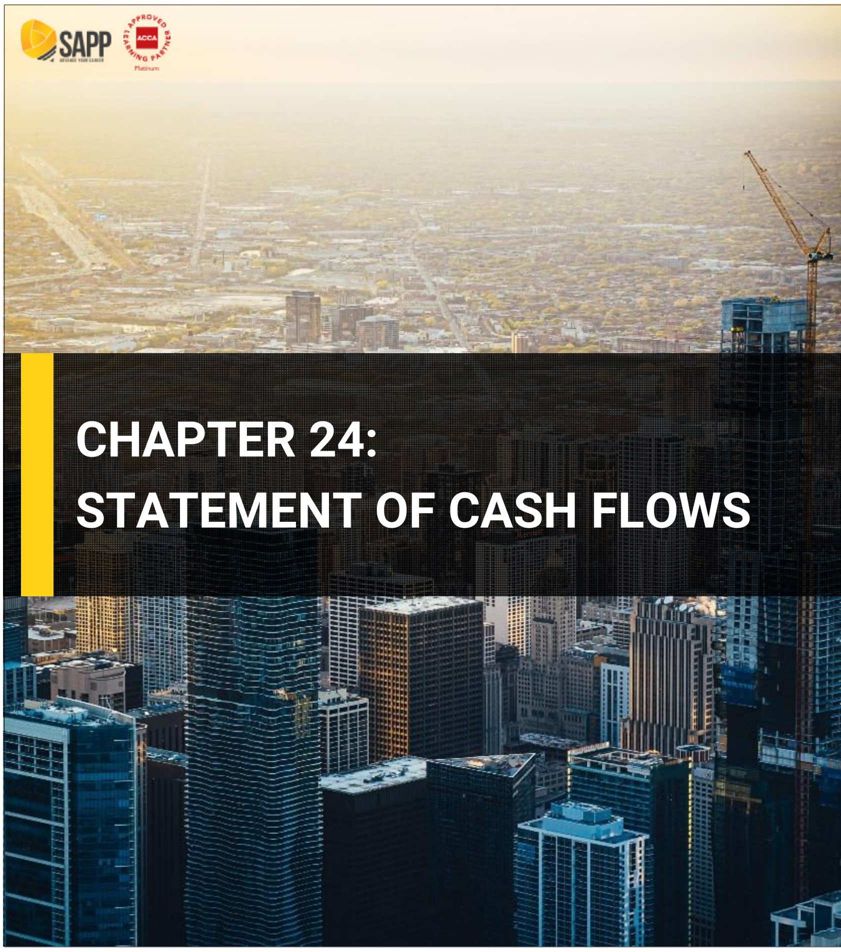
In a period of inflation, an entity holding an excess of monetary assets over monetary liabilities loses purchasing power and an entity with an excess of monetary liabilities over monetary assets gains purchasing power to the extent the assets and liabilities are not linked to a price level.

Question 4: The correct answer is C

The gain or loss on the net monetary position is included in profit or loss.

Your Notes

Your Notes



CHAPTER 24: STATEMENT OF CASH FLOWS

Your Notes

OVERVIEW

What will you learn?

IAS 7 STATEMENT OF CASH FLOWS

- **Overview of IAS 7**
  - Definition
  - Objective
  - Scope
  - The importance of SOCF
  - Advantages & Disadvantages
- **Presentation and Disclosure**
  - Classification of activities
  - Disclosure of some main items
- **Preparation of SOCF (indirect method)**
  - Indirect method
  - Format of SOCF using indirect method
- **Interpretation of SOCF**

Your Notes

I. OVERVIEW OF IAS 7 STATEMENT OF CASH FLOWS

1. Definition

Statement of cash flows (SOCF)	A useful addition to financial statements: • Concentrates on **the sources** and **uses of cash;** • A useful indicator of a company's **liquidity and solvency.**
Operating activities	**The principal revenue-producing activities** of the entity and other activities that are not investing or financing activities.
Investing activities	**The acquisition and disposal** of long-term assets and other investments not included in cash equivalents.
Financing activities	Activities that **result in changes in the size and composition of the contributed equity capital and borrowings** of the entity.
Cash flows	Inflows and outflows of cash and cash equivalents.
Cash equivalents	**Short-term, highly liquid investments** that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.
Cash	Comprises **cash on hand** and **demand deposits**.

Your Notes

I. OVERVIEW OF IAS 7 STATEMENT OF CASH FLOWS

2. Objectives

Provide users of financial statements with a basis to assess **the ability of the entity to generate cash and cash equivalents** and **the needs of the entity to utilize those cash flows.**

The economic decisions that are taken by users require an evaluation of the ability of an entity to generate cash and cash equivalents and the timing and certainty of their generation.

3. Scope

An entity shall prepare a statement of cash flows and shall **present it as an integral part of its financial statements for each period** for which financial statements are presented. All entities are required by the standard to produce a statement of cash flows.

Your Notes

I. OVERVIEW OF IAS 7 STATEMENT OF CASH FLOWS

4. The importance of SOCF

It has been argued that 'profit' does not always give a useful or meaningful picture of a company's operations. For example:

- It is probable that a **profitable business has insufficient cash to pay its suppliers and shareholders.** Because profit is not the same as cash flow, it includes both cash and non-cash sale and expense items.
- Employees might believe that if a company makes profits, it can afford to pay higher wages next year. This opinion may not be correct: **the ability to pay wages depends on the availability of cash, not profit.**

It seems that a company's performance and prospects depend not so much on the 'profits' earned in a period, but more realistically on liquidity or cash flows.

Your Notes

I. OVERVIEW OF IAS 7 STATEMENT OF CASH FLOWS

5. Advantages & Disadvantages

Advantages

- Survival in business depends on the ability to **generate cash**. Cash flow accounting **directs attention** toward this **critical issue.**
- Cash flow is **more comprehensive** than 'profit'.
- Cash flow reporting provides a **better means of comparing the results** of different companies than traditional profit reporting.
- Cash flow reporting **satisfies the needs of all users better.**
- Cash flow forecasts are **easier to prepare**, as well as more useful.
- In some respects, be **audited more easily** than accounts based on the accruals concept.
- Cash flows are **more easily understood.**
- **Better basis for decision making.**

Disadvantages

The disadvantages of cash flow accounting are basically the opposite of the advantages of accruals accounting.

- Accrual accounting generally makes the relationships between revenue and expenses clearer, providing better insight into profitability.
  Since cash flow accounting shows only cash position, it **does not reflex the accurate performance** of the entity.
- Accrual accounting is done in real-time, while cash accounting is an "after the fact" accounting style.
  When looking at the statement of cash flows, you are essentially looking at information from past business operations. So, it **does not take into consideration any future growth.**

Your Notes

II. PRESENTATION AND DISCLOSURE

1. Classification of activities

STATEMENT OF CASH FLOWS

Operating activities

The main revenue–producing activities of the entity and other activities that are not investing or financing activities.

Example:
- Cash receipts from the sale of goods and the rendering of services.
- Cash receipts from royalties, fees, commissions, and other revenue.
- Cash payments to suppliers for goods and services.
- Cash payments to and on behalf of employees.

Investing activities

The acquisition and disposal of long-term assets and other investments not included in cash equivalents.

Example:
- Cash payments to acquire non-current assets.
- Cash receipts from sales of non-current assets.
- Cash payments to acquire shares or loan notes of other entities.
- Cash receipts from sales of shares or loan notes of other entities.
- Cash advances and loans made to other parties.
- Cash receipts from the repayment of advances and loans made to other parties.

Financing activities

Activities that result in changes in the size and composition of contributed equity capital and borrowings of the entity

Example:
- Cash proceeds from issuing shares.
- Cash payments to owners to acquire or redeem the entity's shares.
- Cash proceeds from short- or long-term borrowings.
- Cash repayments of amounts borrowed.
- Cash payments to reduce a lease obligation.

Your Notes

II. PRESENTATION AND DISCLOSURE

2. Disclosure of some main items

Interest and dividends

Cash flows from interest and dividends received and paid should each be disclosed separately. Each should be classified in a consistent manner from period to period.

- Interest paid should be classified as an operating cash flow; or a financing cash flow.
- Interest received and dividends received should be classified as an operating cash flow; or an investing cash flow.
- Dividends paid by the entity: may be classified as a financing cash flow; or an operating cash flow.

Tax on income

Classified as the item **in financing and investing activities if specially identified;**

Otherwise, **separately disclosed** and classified as cash flows from **operating activities.**

Your Notes

III. PREPARATION OF STATEMENT OF CASH FLOWS

1. Indirect method

Cash generated/used from operating activities

Adjust for working changes

e.g. changes during the period in inventories, operating receivables, and payables, etc.

Operating profit before working changes

Adjust for non-cash items

e.g. depreciation/amortization, provisions/ allowance, gain or loss on disposal assets; investment income, interest expense, etc.

Profit before tax (PBT)

Your Notes

III. PREPARATION OF STATEMENT OF CASH FLOWS

2. Format of SOCF using indirect method

The format of the statement of cash flows using the indirect method is as follows:

	$000	$000
Cash flows from operating activities		
Net profit before taxation	X	
Adjustment for:		
Depreciation	X	
Investment income	(X)	
Interest expense	X	
Operating profit before working changes	**X**	
Increase/Decrease in inventories	(X)/X	
Increase/Decrease in trade and other receivables	(X)/X	
Increase/Decrease in trade payables	X/(X)	
Cash generated from operations	**X**	
Income tax paid	(X)	
Net cash from operating activities		**X**

Adjust for non-cash items

Present separately as required by IAS 7

Your Notes

III. PREPARATION OF STATEMENT OF CASH FLOWS

2. Format of SOCF using indirect method

	$000	$000
Cash flows from investing activities		
Purchase of PPE	(X)	
Proceeds from sale of equipment	X	
Interest received	X	
Dividends received	X	
Net cash from investing activities		**X**
Cash flow from financing activities		
Proceeds from issue of share capital	X	
Proceeds from long-term borrowings	X	
Payment of lease liabilities	(X)	
Dividends paid	(X)	
Net cash from financing activities		**X**
Net increase in cash and cash equivalents		**X**
Cash and cash equivalents at beginning of year		**X**
Cash and cash equivalents at end of year		**X**

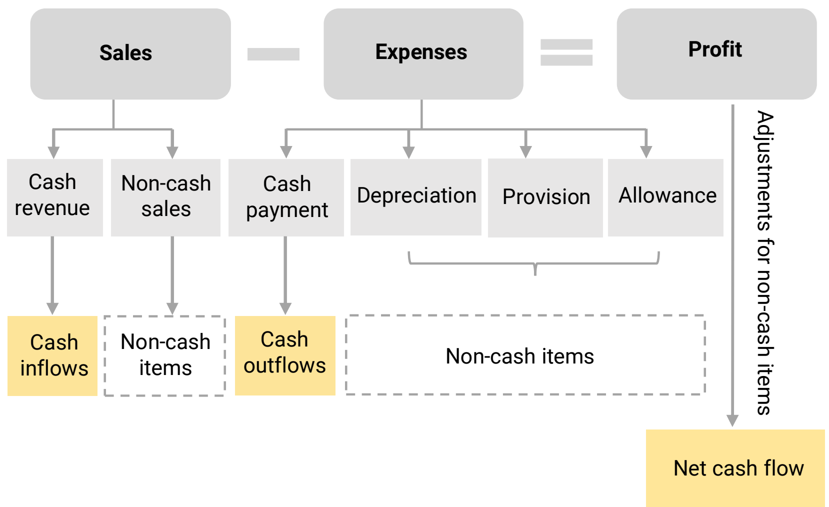
Present separately as required by IAS 7

Your Notes

III. PREPARATION OF STATEMENT OF CASH FLOWS

2. Format of SOCF using indirect method

2.1 Adjustments for non-cash items, financing and investing items



Your Notes

III. PREPARATION OF STATEMENT OF CASH FLOWS

2. Format of SOCF using indirect method

2.1 Adjustments for non-cash items, financing and investing items

Non – cash items		Adjustment
Proceeds	**A loss on a disposal** of a non-current asset (arising through under-provision of depreciation) needs to be added back and a profit deducted.	Add
	A gain on a disposal of a non-current asset needs to be subtracted back by the same logic.	Subtract
Expenses	**Depreciation** is not a cash expense but is deducted in arriving at a profit. It makes sense, therefore, to eliminate it by adding it back.	Add

Your Notes

III. PREPARATION OF STATEMENT OF CASH FLOWS

2. Format of SOCF using indirect method

2.2 Adjustments for working changes

It is very important to understand why certain items are added and others subtracted.

Items	Increases	Decreases
Current Assets		
Accounts Receivable (money from customers) Reason: • A decrease in receivables is added to profit before tax as it represents a cash inflow as more cash has been collected from receivables. • An increase in trade receivables is therefore subtracted from profit before tax.	Subtract	Add
Inventory (purchase or payment for inventory) Reason: • A decrease in inventory is added to profit before tax as it represents a cash inflow from disposing of inventory. • An increase in inventory is subtracted from profit before tax as it represents a cash outflow to pay for the additional inventory.	Subtract	Add
Current Liabilities		
Accounts Payable (pay your bills) Reason: • A decrease in trade payables is subtracted from profit before tax as it represents a cash outflow as more payables have been paid off. • An increase in trade payables is added to profit before tax as company is holding money from customers.	Add	Subtract

Your Notes

IV. INTERPRETATION OF STATEMENT OF CASH FLOWS

Useful information from SOCF

In general, a good analysis will examine the SOCF in detail and look for reasons behind the movement or implications of the numbers.

Each of the three sections in SOCF will provide useful information about an entity's performance.

There are a number of considerations that should be noted as follow:

Operating activities

Profit vs Liquidity

Comparison between cash generated from operations and profit from operation

- ➢ The closer, the better.
- ➢ Higher ability to turn profit into cash.

Changes in working capital

- Receivables: Any problems associated with a large increase in receivables? High risk of bad debts?
- Have large customers taken with increased payment terms?
- Payables: Significant increase in payables, then the company delayed payments to customers? Any risks associated?

Investing activities

Weak financial position indicators:

- Sell off premises and lease/rent back
- Sale of assets used to finance operating side/ pay dividends

- ➢ Poor cash management.
- ➢ Less likely to obtain long-term loans due to low level of securing assets.

Financing activities

Sources of finance

Long-term loans: Sensible for long-term assets but have potential consequences, therefore higher level of gearing Higher interest charges due to increased risk.

Loan providers reluctant to provide more debts

Share issue: Higher total dividend payments.

Your Notes

Chapter 24 Quiz

Question 1:

The following balances were extracted from N's statement of financial position as at 31 December:

	20X9	20X8
	$000	$000
Deferred taxation	38	27
Current tax payable	119	106

Extract from statement of profit or loss for the year ended 31 December 20X9

	$000
Income tax expense	122

The amount of tax paid that should be included in N's statement of cash flows for the year ended 31 December 20X9 is:

$ ____________,000

Your Notes

Your Notes

Chapter 24 Quiz

Question 2:

The statement of financial position of Pinto Co at 31 March 20X7 showed property, plant and equipment with a carrying amount of $1,860,000. At 31 March 20X8 it had increased to $2,880,000.

During the year to 31 March 20X8, plant with a carrying amount of $240,000 was sold at a loss $90,000, depreciation of $280,000 was charged and $100,000 was added to the revaluation surplus in respect of property, plant and equipment.

What amount should be presented in 'investing activities' in the statement of cash flows of Pinto Co for the year ended 31 March 20X8 as cash paid to acquire property, plant and equipment?

A. $1,640,000

B. $1,440,000

C. $1,260,000

D. $1,350,000

Your Notes

Chapter 24 Quiz

Question 3:

The following information is available for the property, plant and equipment of Fry Co as at 30 September:

	20X4	20X3
	$'000	$'000
Carrying amounts	23,400	14,400

The following items were recorded during the year ended 30 September 20X4:

(1) Depreciation charge of $2.5 million

(2) An item of plant with a carrying amount of $3 million was sold for $1.8 million

(3) A property was revalued upwards by $2 million

(4) Environmental provisions of $4 million relating to property, plant and equipment were capitalized during the year

What amount would be shown in Fry Co's statement of cash flows for purchase of property, plant and equipment for the year ended 30 September 20X4?

A. $8.5 million

B. $12.5 million

C. $7.3 million

D. $10.5 million

Chapter 24 Quiz

Question 4:

The carrying amount of property, plant and equipment was $410 million at 31 March 20X1 and $680 million at 31 March 20X2. Right of use assets are included within property, plant and equipment.

During the year, property with a carrying amount of $210 million was revalued to $290 million. The company entered into lease arrangements during the year. The lease liability was initially measured as $12 million. Direct costs of $1 million were paid to arrange the lease and a deposit of $5 million was paid to secure the lease. The total depreciation charge for the year was $115 million. There were no disposals.

What amount will appear in the statement of cash flows for the year ended 31 March 20X2 in respect of purchases of property, plant and equipment?

$

Your Notes

Chapter 24 Quiz

Question 5:

Extracts from Deltoid Co's statements of financial position are as follows:

Statements of financial position as at 31 March

	20X1	20X0
	$'000	**$'000**
Non-current assets		
Property, plant and equipment		
Right-of-use asset	6,500	2,500
Non-current liabilities		
Lease liability	4,800	2,000
Current liabilities		
Lease liability	1,700	800

Right-of-use assets are initially measured equal to the initial amount of the lease liability, other than to correctly account for direct costs of $50,000 which were incurred on the arrangement of new lease contracts. During the year to 13 March 20X1 depreciation charged on right-of-use assets was $1,800,000.

What amount will be shown in the statement of cash flows of Deltoid Co for the year ended 13 March 20X1 in respect of payments made under leases?

$

Your Notes

Your Notes

Chapter 24 Quiz

Answer

Question 1:

The correct answer is $98,000

Tax liabilities

		b/f (27 + 106)	133
Paid (balance)	**98**	Statement of profit/loss	122
c/f (38 + 119)	157		
	255		255

Your Notes

Chapter 24 Quiz

Answer

Question 2:

The correct answer is B

- The movement in balance of property, plant and equipment is calculated as follows:

	$'000
Opening balance	1,860
Revaluation	100
Disposal of a plant	(240)
Depreciation	(280)
Addition	**1,440**
Ending balance	2,880

⇨ The addition in property, plant and equipment is cash outflow from investing activities, which **is $1,440,000**

Chapter 24 Quiz

Answer

Question 3:

The correct answer is A

- The movement in balance of property, plant and equipment is calculated as follows:

	$'000
Opening balance	14,400
Depreciation	(2,500)
Disposal of a plant	(3,000)
Revaluation	2,000
Environmental provision	4,000
Addition (purchase)	**8,500**
Ending balance	23,400

⇨ The amount would be shown in Fry Co's statement of cash flows for purchase of property, plant and equipment: **$8.5 million**

Your Notes

Chapter 24 Quiz

Answer

Question 4:

The correct answer is $293 million

- The movement in balance of property, plant and equipment is calculated as follows:

	$m
Opening balance	410
Revaluation (290 – 210)	80
Lease agreement (12 + 1 + 5)	18
Depreciation	(115)
Addition (purchase)	**287**
Ending balance	680

⇨ The cash flow related to purchases of property, plant and equipment includes cash purchase of PPE, direct cost of arranging the lease and the deposit:

$287m + $1m + $6m = **$293m**

Your Notes

Chapter 24 Quiz

Answer

Question 5:

The correct answer is $2,100,000

- Right-of-use assets are initially measured equal to the initial amount of the lease liability, other than to correctly account for direct costs of $50,000 which were incurred on the arrangement of new lease contracts. Depreciation charged on right-of-use assets was $1,800,000, so the addition in right-of-use asset is:

  $6,500,000 – ($2,500,000 - $1,800,000 + $50,000) = $5,750,000

⇨ The movement in balance of lease liability is calculated as follows:

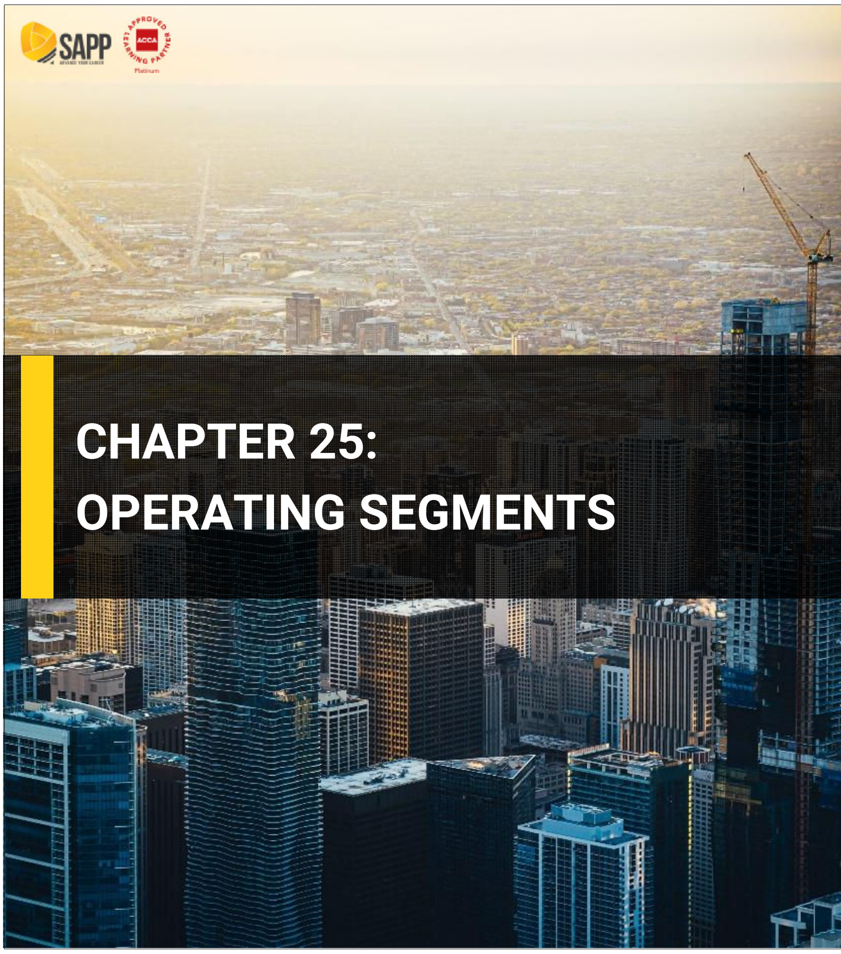
	$'000
Opening balance (2,000 + 800)	2,800
Additions	5,750
Payment made	(2,050)
Ending balance (4,800 + 1,700)	6,500

- Right-of-use assets are initially measured equal to the initial amount of the lease liability, other than to correctly account for direct costs of $50,000 which were incurred on the arrangement of new lease contracts.

⇨ Cash flows in respect of payments made under leases include lease payment and direct cost on the arrangement of new lease contract:

$2,050,000 + $50,000 = **$2,100,000**

Your Notes



CHAPTER 25: OPERATING SEGMENTS

Your Notes

Your Notes

OVERVIEW

What will you learn?

IFRS 8 OPERATING SEGMENTS

Overview of IFRS 8	Reportable Segments	Disclosure
Scope	Aggregation criteria	General information
Criteria		Profit or loss, assets and liabilities
		Reconciliations
		Entity-wide Disclosures

Your Notes

I. OVERVIEW OF IFRS 8

1. Scope

KEY POINT

IFRS 8 Operating Segments applies to the separate financial statements of entities whose debt or equity instruments are publicly traded (or are in the process of being issued in a public market)

01 IFRS 8 also applies to the consolidated financial statements of a group whose parent is required to apply IFRS 8 to its separate financial statements

02 Where an entity is not required to apply IFRS 8, but chooses to do so, it must not describe information about segments as "segment information" unless it complies with IFRS 8

03 Where a parent's separate financial statements are presented with consolidated financial statements, segment information is required only in the consolidated financial statements

I. OVERVIEW OF IFRS 8

2. Criteria

An **operating segment** is component that meets the following three criteria:

01 It engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses arising from transactions with other components of the same entity)

02 It operating results are regularly reviewed by the entity's "chief operating decision-maker" to make decisions (about resources to be allocated) and to assess its performance

03 Discrete financial information is available. A component, by definition, should meet this criterion (IFRS 5)

Chief operating decision-maker (CODM) – describes the function which allocates resources to and assesses the performance of operating segments (e.g. a CEO or board of directors)

Your Notes

II. REPORTABLE SEGMENTS

1. Aggregation Criteria

KEY POINT

Separate information must be reported for each operating segment that:

- Meets the definition criteria or *aggregation criteria* for two or more segments; and
- Exceeds the *quantitative thresholds*

Two or more operating segments may be **aggregated** into a single operating segment if:

01 Aggregation is consistent with the cope principle of this IFRS

02 The segments have similar economic characteristics

03 The segments are similar (e.g. in respect of products and services, distribution methods or regulatory environment)

Your Notes

Your Notes

II. REPORTABLE SEGMENTS

1. Aggregation Criteria

KEY POINT

IFRS 8 is the only IFRS Accounting Standard with a “materiality rule”

1. At least 75% of revenue must be included in reportable segments. Therefore, operating segments that fall below the quantitative thresholds may need to be identified as reportable
2. Information about other business activities and operating segments that are not reportable are combined and disclosed in an “all other segments” category
3. The standard suggests 10 as a practical limit to the number of reportable segments separately disclosed, as segment information may otherwise become too detailed

Your Notes

II. REPORTABLE SEGMENTS

1. Aggregation Criteria

Example 1: Reportable Segments

Fireball group has:

- three significant business lines which make up about 70% of combined revenue, split equally between them; and
- five small business lines, each of them contributing about 6% to the combined revenue.

Required:

Explain how many segments the Fireball group should report

II. REPORTABLE SEGMENTS

1. Aggregation Criteria

Example 1: Answer

The issue is whether or not it is acceptable to report the three major business lines separately and to include the rest for reconciliation purposes as "all other segments".

Since the reported revenues attributable to the three business lines that meet the separate reporting criteria constitute less than 75% of the combined revenue, additional segments must be identified as reportable, even though they are below the 10% threshold, until at least 75% of the combined revenue is included in reportable segments.

If at least one of the small segments meets the aggregation criteria to be aggregated with one of the three reportable segments, there will be four reportable segments (including "all other segments").

Alternatively, two or more of the smaller segments may be aggregated, if they meet the aggregation criteria. In this case, there will be five reportable segments.

If none of the small segments meets the criteria to be aggregated with any of the other business lines, one of them must be identified as reportable, though it does not meet the 10% threshold. In this case, there will be five reportable segments also.

Your Notes

III. DISCLOSURE

1. General Information

The factors used to identify reportable segments must be disclosed, including:

1. the basis of organisation (e.g. around products and services, geographical areas, regulatory environments, or a combination of factors and whether segments have been aggregated)

Basis of Organisation
The reportable segments of Eparts are strategic business units that offer different products and services. They are managed separately because each business requires different technology and marketing strategies. Most of the businesses were acquired as individual units and the management at the time of the acquisition was retained

2. Judgements made by management in applying the aggregation criteria

Your Notes

III. DISCLOSURE

1. General Information

The factors used to identify reportable segments must be disclosed, including:

3 Types of products and services from which each reportable segment derives its revenues

Types of Products and Services
Eparts has five reportable segments: machine parts, laser, prototyping, water jet and finance. The machine parts segment produces parts for sale to aviation equipment manufacturers. The laser segment produces laser cutters to serve the petrochemical industry. The prototyping segment produces plastics for sale to the pharmaceutical industry. The water jet segment produces cutting equipment for sale to car manufacturers and jewelers. The finance segment is responsible for certain aspects of financial operations, including financing customer purchases of products from other segments and car leasing operations.

Your Notes

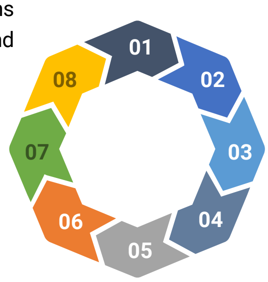
III. DISCLOSURE

2. Profit or Loss, Assets and Liabilities

The following must be reported for each reportable segment:

1. A measure of profit or loss
2. A measure of total assets and liabilities if such information is regularly reported to the chief operating decision maker (CODM)

The following must also be disclosed if regularly provided to the CODM (even if not included in the measure of segment profit or loss):



01 Revenues from external customers

02 Intersegment revenues

03 Interest revenue and interest expense (may be reported net)

04 Interest expense

05 Share of profit or loss of associates/JVs that are equity accounted for

06 Depreciation and amortisation

07 Income tax expense or income

08 Material non-cash items other than depreciation and amortisation

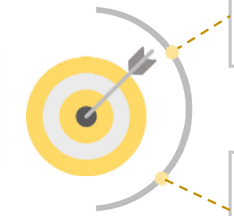
Your Notes

III. DISCLOSURE

2. Profit or Loss, Assets and Liabilities

> Segment cash flow information is voluntary (IAS 7) and therefore unlikely to be produced, as it would provide information to an acquirer to value and target for a takeover bid.

The following must also be disclosed if the specific amounts are regularly provided to the chief operating decision maker (CODM) (even if not included in the measure of segment assets):



- The investment in associates/JVs accounted for by the equity method; and
- Additions to non-current assets (other than financial instruments, deferred tax assets and post-employment benefit assets).

Your Notes

III. DISCLOSURE

3. Reconciliations

The reporting entity should provide reconciliations of the total of the following amounts for reportable segments with the corresponding total for the entity as a whole, reported in the financial statements:

- Revenue
- Profit or loss (before tax and discontinued operations)
- Assets
- Liabilities (if applicable)
- Every other material item

All material reconciling items must be separately identified and described (e.g. arising from different accounting policies)

Your Notes

III. DISCLOSURE

3. Reconciliations

Exhibit 1 Reconciliation of Profit or Loss

The following illustrates the reconciliation of total segment profit or loss to reported profit in statement or profit or loss:

	$
Total profit or loss for reportable segments	9,528
Other profit or loss	240
Elimination of intersegment profits	(1,200)
Unallocated amounts:	
Litigation settlement received	1,200
Other corporate expense	(1,800)
Adjustment to pension expense in consolidation	(600)
Income before income tax expense	7,368

Your Notes

III. DISCLOSURE

3. Reconciliations

Exhibit 2 Reconciliation of Other Material Items

The following illustrates the reconciliation of total segment other material items to entity totals:

Other material items	Reportable segment totals $	Adjustments $	Entity totals $
Interest revenue	9,000	180	9,180
Interest expense	6,600	(120)	6,480
Net interest revenue (finance segment only)	2,400	-	2,400
Expenditures for assets	6,960	2,400	9,360
Depreciation and amortization	7,080	-	7,080
Impairment of assets	480	-	480

The reconciling item is the amount incurred for the company head office building which is not included in segment information.

Your Notes

III. DISCLOSURE

4. Entity-wide Disclosures

All entities subject to this IFRS are required to disclose information about the following, if it is not provided as part of the required reportable segment information:

Products and services

01

Revenues from external customers for each product and service (or each group of similar products and service) based on the financial information used to produce the entity's financial statements.

Geographical areas

02

Revenues from external customers attributed to:

- the entity's country of domicile;
- all foreign countries in total; and
- individual foreign countries, if material.

Your Notes

III. DISCLOSURE

4. Entity-wide Disclosures

Exhibit 3 Geographical Information

Geographical information	Revenues (a) $	Non-current assets $
United States	45,600	26,400
Canada	10,080	-
China	8,160	15,600
Japan	6,960	8,400
Other countries	14,400	7,200
Total	85,200	57,600

(a) Revenues are attributed to countries on the basis of the customer's location.

Your Notes

III. DISCLOSURE

4. Entity-wide Disclosures

Major customers

03

For this purpose, a group of entities known to be under common control (including control of a government) is a single customer.

An entity discloses the extent of its reliance on major customers by stating:

- if revenues from a single external customer amount to 10% or more of the total;
- the total revenues from each such customer; and
- the segment(s) reporting the revenues.

An entity need not disclose the identity of a major customer or the amount of revenues that each segment reports from that customer.

Your Notes

Chapter 25 Quiz

Question 1:

In accordance with IFRS 8 Operating segments which of the following must be disclosed for a reportable segment?

1. Revenue – external
2. Segment profit or loss
3. Total assets
4. Total liabilities

A. 1 and 3

B. 2 only

C. 1, 3 and 4

D. 2, 3 and 4

Your Notes

Your Notes

Chapter 25 Quiz

Question 2:

In accordance with IFRS 8 Operating segments which of the following must be disclosed for geographical area?

1. Revenue – external
2. Segment result
3. Total assets
4. Non-current assets

A. All of the above
B. 1, 2 and 3
C. 1 and 4
D. 2, 3 and 4

Your Notes

Chapter 25 Quiz

Question 3:

A segment should be treated as reportable under IFRS 8 if it is reported internal and external revenue is what percentage of the combined revenue (internal and external)?

A. 5% or more
B. 10% or more
C. 15% or more
D. 20% or more

Your Notes

Chapter 25 Quiz

Answer

Question 1:

The correct answer is B

Revenue – external is disclosed if it is included in profit or loss of the segment as reviewed by the chief operating decision maker.

Total assets and liabilities are disclosed only when they are regularly reviewed by chief operating decision maker.

Question 2:

The correct answer is C

Revenue – external is disclosed as follows:

- Amount allocated to the entity's country of domicile
- Allocations to all foreign countries that generate revenue

Non-current assets are disclosed including:

- Amount located in the entity's country of domicile
- Assets located in all foreign countries in which the entity has assets

Your Notes

Chapter 25 Quiz

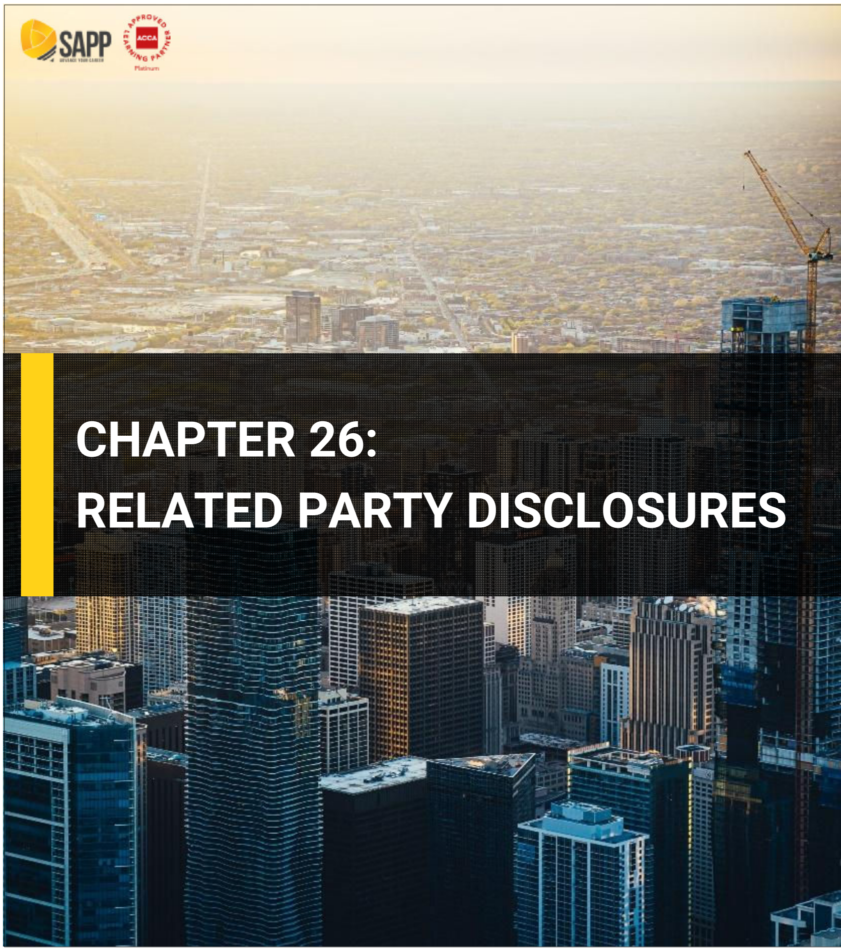
Answer

Question 3:

The correct answer is B

A segment can report if it meets the 10% threshold for any of:

- Total revenue
- Profit or loss (whichever is greater in proportion to the total result of all profitable segments or all loss-making segments)
- Assets



CHAPTER 26:
RELATED PARTY DISCLOSURES

Your Notes

OVERVIEW

What will you learn?

IAS 24 Related Party Disclosures

- **Examples of Related Party Relationship**
  - Individual Investor
  - Key Management Personnel
  - Close Family Members
- **Disclosures**
  - Disclosures Required
- **Government-related Entities**

Your Notes

Your Notes

I. TERMINOLOGY

1. Terminology

Related party: A person or entity that is related to the entity that is preparing its financial statements.

a. A person (or a close family member), is related to a reporting entity if that person

i. Has control or joint control of the reporting entity

ii. Is a member of the key management personnel or of a parent of the reporting entity

iii. Has significant influence over the reporting entity

Close member of family: a family member who may be expected to influence, or be influenced by, that person in their dealings with the entity and include:

- that person's children and spouse/domestic partner
- children of that person's spouse/domestic partner
- dependents of that person or their spouse/domestic partner

Your Notes

I. TERMINOLOGY

1. Terminology

b. An entity is a related party to a reporting entity if the following conditions applies

i. The entity and the reporting entity are members of the **same group** (which means that each parent, subsidiary and fellow subsidiary is related to the others)

ii. One entity is an **associate or joint venture** of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member)

iii. Is a member of the **key management personnel** or of a **parent** of the reporting entity

iv. One entity is a joint venture of a third party and the other entity is an associate of the third entity.

v. The entity is a post-employment benefit plan for the employees of either the reporting entity or an entity related to the reporting entity.

vi. The entity is controlled or jointly controlled by **a person identified in (a)**

vii. A person having **control or joint control** of the reporting entity has **significant influence** over the entity or is a member of the **key management personnel** of the entity (or parent of the entity).

viii. The entity, or any member of a group of which it is a part, provides **key management personnel services** to the reporting entity or its parent.

Your Notes

I. TERMINOLOGY

1. Terminology

KEY POINT

The substance of a relationship, not merely its legal form, should be considered. One party has the ability to control the other party or exercise **significant** influence over the other party in making financial and operating decisions.

Other related definitions:

Related party transactions
A transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.

Government
Government, government agencies and similar bodies whether local, national or international.

Government-related entity
An entity that is controlled, jointly controlled or significantly influenced by a government.

Your Notes

I. TERMINOLOGY

1. Terminology

1.1 Parties NOT Related

01 Two entities, simply because they have a director or other member of key management personnel in common, or because a member of key management personnel of one entity has significant influence over the other entity.

02 Providers of finance, trade unions, public utilities, government departments and agencies, simply by virtue of their normal dealings with an entity (even though they may affect the freedom of action of an entity or participate in its decision-making process).

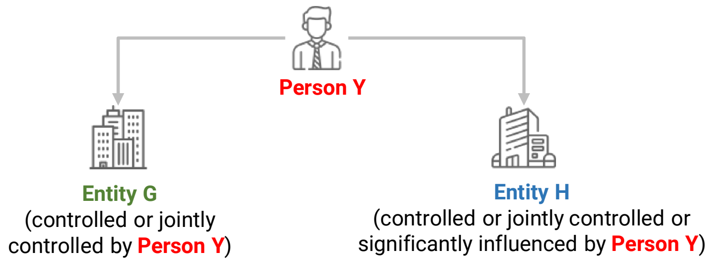
03 A customer, supplier, franchisor, distributor or general agent with whom a significant volume of business is transacted, simply by virtue of the resulting economic dependence.

04 Two joint venturers, simply because they share joint control over a joint venture.

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

1. Individual Investor

Illustration 1 Individual



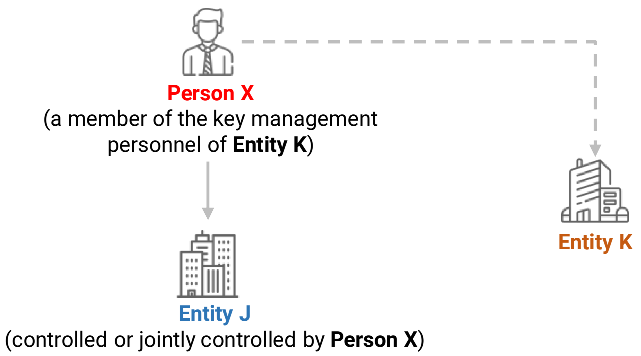
- **Y** controls or has joint control over Entity G and has control, joint control or significant influence over Entity H. Therefore *Y is a related party of both entities* by virtue of **(i)** or **(iii) a** of the related party definition.
- In Entity G's financial statements, ***entity H*** *is a related party* by virtue of **(vi) or (vii) b** of the definition.
- In Entity H's financial statements, ***Entity G*** *is a related party* by virtue of **(vii) b** of the definition.
- If **Y only had** significant influence over both entities, the entities **would not be** related to one another.

Your Notes

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

2. Key Management Personnel

Illustration 2 Key Personnel and Related Parties



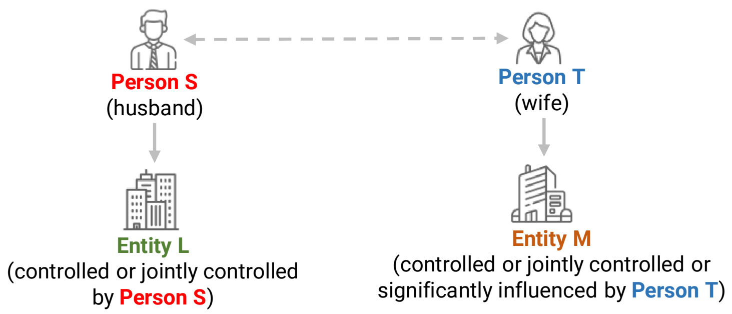
- **X** is related to entity J by virtue of **(i) a** of the definition.
- **X** is related to entity K according to **(ii) a** of the definition.
- In Entity J's financial statements, Entity K is related by virtue of **(vii).**
- In Entity K's financial statements, Entity J is related by virtue of **(vi).**

Your Notes

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

3. Close Family Members

Illustration 3 Close Family Members



- S is related to Entity L because he controls or jointly controls it. **(i) a**
- T is related to Entity L because she is a close family member of S. **(i) a**
- T is related to Entity M. **(i)** or **(iii) a**
- S is related to Entity M because he is a close family member of T. **(i)** or **(iii) a**
- In Entity L's financial statements, Entity M is related by virtue of **(vi)** or **(vii) b.**
- In Entity M's financial statements, Entity L is related according to **(vi) b.**
- If S and T only have significant influence over entity L and M respectively, Entity L and M would not be related to one another.

Your Notes

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

Examples

Example 1: Identification of Related Parties

Sefton is a joint venture of Jolie and Trench. Mr Philip is the managing director of the Jolie Group, which also includes a subsidiary, Green, and an Associate, Brown. Mrs Chan controls Trench and is also Finance Director of Hill.

Required: Identify the related parties of Sefton.

Your Notes

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

Examples

Example 1: Answer

In Sefton's financial statements:

- Sefton is a joint venture of both Jolie and Trench and is therefore related to both companies.
- Sefton is a joint venture of the group that Green is a member of and therefore Sefton and Green are related.
- Sefton is a joint venture and Brown is an associate of Jolie and so Sefton and Brown are related.
- Mr Philip is key management personnel of Jolie which has joint control over Sefton. As this does not meet the definition of a related party, again the substance of the relationship should be examined in order to conclude.

In Jolie's financial statements:

- Jolie and Trench are joint venturers; however, this does not automatically mean that Trench is related to Jolie; the substance of the relationship should be examined to conclude.
- Jolie is related to Green by virtue of being members of the same group.

Your Notes

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

Examples

Example 1: Answer

- Brown is an associate of Jolie and so Brown and Jolie are related.
- Sefton is a joint venture of Jolie and so Sefton and Jolie are related.
- Mr Philip is key management personnel of Jolie and is therefore related to Jolie

In Trench's financial statements:

- As above, Trench may be related to Jolie by virtue of them both being joint venturers in Sefton; however, the substance of the relationship should be examined to conclude.
- Sefton is a joint venture of Trench and so Sefton and Trench are related.

In Green's financial statements:

- Green is related to Jolie because they are in the same group.
- Green is a member of the group of which Sefton is a joint venture so Green and Sefton are related.
- Green is a member of the group of which Brown is an associate so Green and Brown are related.

Your Notes

II. EXAMPLES OF RELATED PARTY RELATIONSHIPS

Examples

Example 1: Answer

- Mr Philip is key management personnel of Jolie, the parent of Green and is therefore related to Green.

In Brown's financial statements:

- Brown is an associate of Jolie so Brown and Jolie are related.
- Brown is an associate of the group that Green belongs to so Brown and Green are related.
- Brown is an associate of Jolie and Sefton is a joint venture of Jolie so Brown and Sefton are related.
- Mr Philip is key management personnel of Jolie which has significant influence over Brown. As this does not meet the definition of a related party, again the substance of the relationship should be examined in order to conclude.

Your Notes

III. DISCLOSURES

1. Disclosure Required

KEY POINT

Relationships between a parent and its subsidiaries are disclosed even if there have been **no transactions** between them.

The name of the entity's parent must be disclosed and the ultimate controlling party, if different.

Related party relationships where control exists (irrespective of whether there have been transactions between them) must be disclosed so a reader can form a view about the effects of related party relationships.

Compensation to key management personnel **must also be disclosed**, in total and for each of the following headings:
- Short-term employee benefits
- Post-employment benefits
- Other long-term benefits
- Termination benefits
- Share-based payment.

Your Notes

III. DISCLOSURES

1. Disclosure Required

KEY POINT

Disclosure of transactions between related parties is required, along with any *outstanding balances* and *commitments*.

As a minimum, disclosures will include:

01 The amount of the transaction (or aggregate of similar items unless separate disclosure is necessary to understand their effects)

02 Any expense recognised in the period in respect of irrecoverable or doubtful debts due from related parties

03 Any allowances for doubtful debts

04 The amount of any outstanding balances and relevant information (e.g. whether they are secured)

Your Notes

III. DISCLOSURES

1. Disclosure Required

Disclosures are made separately for each of the following classifications of related parties:

- Parent
- Subsidiaries
- Associates
- Joint ventures
- Significant influence
- Key management personnel
- Other

An entity can only disclose that related party transactions were made on market terms if that fact can be substantiated.

Your Notes

IV. GOVERNMENT-RELATED ENTITIES

1. Government-related entities

The requirements of IAS 24 are quite onerous for many **government-related** entities.

In some countries, many thousands of government entities would be related to each other, so IAS 24 has **relaxed the disclosures** for some related parties.

A reporting entity is **exempt** from disclosure requirements in relation to related party transactions and outstanding balances with:

A government
which has control, joint control or significant influence over the reporting entity

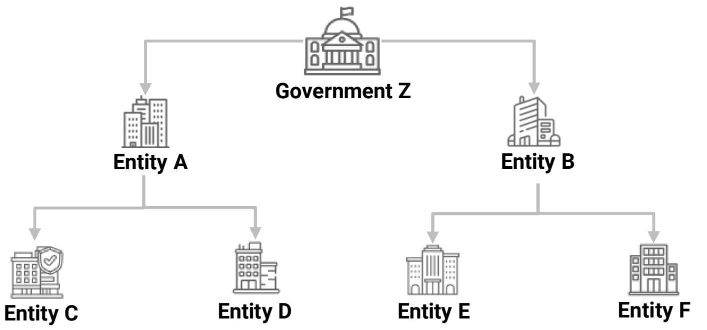
Another entity
which is a related party because the same government has control, joint control or significant influence over both the reporting entity and the other entity.

Your Notes

IV. GOVERNMENT-RELATED ENTITIES

1. Government-related entities

Illustration 4 Government



- Government body Z has control, either directly or indirectly, over entities A to F.
- Entity C would be able to claim the disclosure exemptions available under IAS 24 in respect of transactions with Government Z and entities A, B, D, E and F.
- If entity C entered into a transaction with a person who was key management personnel of entity A, the exemption would not apply.

Your Notes

Chapter 26 Quiz

Question 1:

Which of the following are related parties of Moor Co?

1. The purchasing director, Adam Webster
2. Lucy Webster, Adam's wife
3. Cake Design Co, a company in which Lucy Webster holds 100% of the shares
4. Boris Davies, who holds a controlling shareholding in Moor Co

A. 1 and 4
B. 1, 2 and 4
C. 4 only
D. All of them

Question 2:

What does IAS 24 require a reporting entity to do with transactions involving its related parties?

A. Present separately
B. Derecognise
C. Disclose
D. Eliminate

Your Notes

Chapter 26 Quiz

Question 3:

What relationships does IAS 24 require a reporting entity to disclose irrespective of whether there have been transactions between them?

A. With its suppliers and customers
B. Between parents and subsidiaries
C. With Government
D. Between associates of one group

Question 4:

How are intragroup related party transactions and outstanding balances treated in the preparation of consolidated financial statements of the group, except for those between an investment entity and its subsidiaries measured at fair value through profit or loss?

A. Derecognise
B. Eliminated
C. Presented separately
D. Disclosed

Your Notes

Chapter 26 Quiz

Question 5:

A related party transaction is a transfer of resources, services or obligations between a reporting entity and a related party, _________.

A. Unless the market price is charged

B. When no price is charged

C. Regardless of whether a price is charged

D. At a price that is lower than the current market price

Your Notes

Chapter 26 Quiz

Answer

Question 1:

The correct answer is D. All of them

All four parties are related to Moor Co:

- Adam Webster is relevant by the fact that he is a key management personnel
- Lucy Webster, his wife, is relevant because she is a family member of the key management personnel
- Cake Design Co is relevant because it is controlled by Lucy Webster, who is relevant
- Boris Davies is relevant because he controls Moor Co

Question 2:

The correct answer is C. Disclose

The objective of this Standard is to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances, including commitments, with such parties.

Your Notes

Chapter 26 Quiz

Answer

Question 3:

The correct answer is B. Between parents and subsidiaries

Relationships between a parent and its subsidiaries shall be disclosed irrespective of whether there have been transactions between them.

Question 4:

The correct answer is B. Eliminated

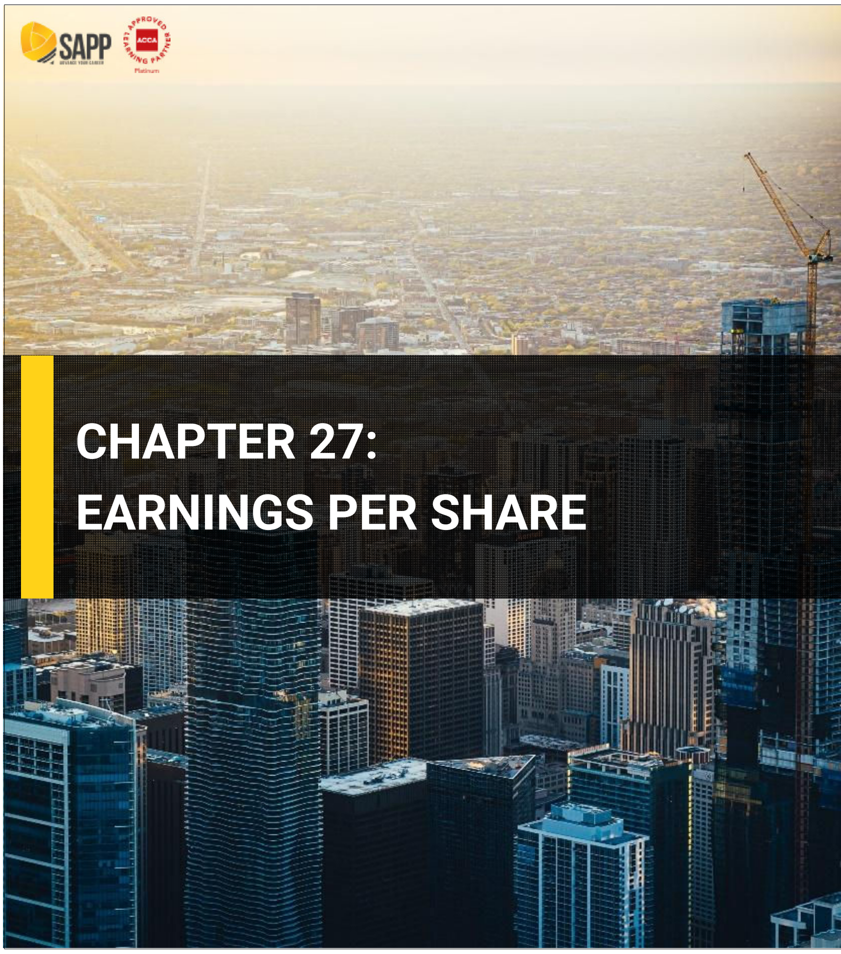
Intragroup related party transactions and outstanding balances are eliminated, except for those between an investment entity and its subsidiaries measured at fair value through profit or loss, in the preparation of consolidated financial statements of the group.

Question 5:

The correct answer is C. Regardless of whether a price is charged

A related party transaction is a transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.

Your Notes



CHAPTER 27: EARNINGS PER SHARE

Your Notes

OVERVIEW

What will you learn?

IAS 33 EARNINGS PER SHARE

- **Basic EPS**
  - Calculation of basic EPS
  - Effect on EPS by changes in capital structure
    - New issue
    - Bonus issue
    - Right issue
- **Diluted EPS**
  - Dilution of share and its effect
  - Calculation of diluted EPS
    - Convertible instruments
    - Option & Warrants

Your Notes

I. OVERVIEW OF IAS 33 EARNING PER SHARE

1. Definition

Earnings per share (EPS) is a measure of profits earned by a company for each ordinary share.

2. Some relevant terminologies

Financial instrument
Any contract that gives rise to both a financial asset of one entity and a financial liability or equity instrument of another entity.

Equity instrument
Any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Ordinary shares
An equity instrument that is subordinate to all other classes of equity instruments.

Potential ordinary shares
A financial instrument or other contract that may entitle its holder to ordinary shares

Dividends
Distributions of profits to holders of equity instruments in proportion to their holdings of a particular class of capital.

Your Notes

I. OVERVIEW OF IAS 33 EARNING PER SHARE

2. Some relevant terminologies

Preference shares
Company shares which entitle the holder to a fixed rate of dividend and priority of repayment ahead of ordinary shareholders.

Preference dividends
Distributions of profit to holders of equity instruments in proportion to their holdings of preference shares.

Options, warrants and their equivalents
Financial instruments that give the holder the right to purchase ordinary shares.

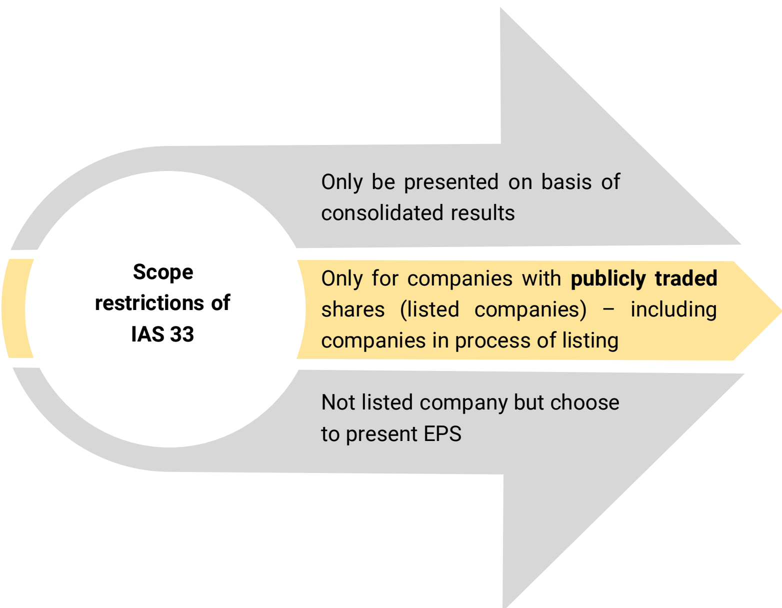
Convertible loan stock / Convertible preferred shares
Stock/preferred shares that include an option for shareholder to convert the shares into a fixed number of ordinary shares after predetermined date.

Exercise Price / Subscription price
The price at which the holder is capable of purchasing the underlying ordinary shares.

Your Notes

I. OVERVIEW OF IAS 33 EARNING PER SHARE

3. Scope of IAS 33



Your Notes

I. OVERVIEW OF IAS 33 EARNING PER SHARE

4. Type of earnings per share

There are two (02) different types of EPS: **basic EPS** and **diluted EPS**.

5. Presentation of EPS on financial statements

IAS 33 requires companies' **statements of profit or loss** to present both **basic EPS** and **diluted EPS** with outstanding levels such as together.

6. The importance of EPS

EPS shows the number of earnings available to each ordinary shareholder so that it indicates the potential return on individual investments.

Your Notes

II. BASIC EPS

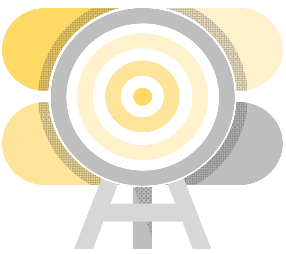
1. Calculation of basic EPS

$$\textbf{Basic EPS} = \frac{\text{Net profit (loss) attributable to ordinary shareholders}}{\text{Weighted average number of ordinary shares outstanding during the period}}$$

1.1 Net profit/(loss) attributable to ordinary shareholders

Net profit / (loss) attributed to ordinary shareholders

Profit after tax deducts non-controlling interest and preference dividends



Profit after tax deducts non-controlling interest

Profit after tax

Net profit/(loss) attributed to ordinary shareholders = Profit after tax − Non-controlling interest − Preference dividends

$$\textbf{Basic EPS} = \frac{\textbf{Profit after tax − Non-controlling interest − Preference dividends}}{\textbf{Weighted average number of ordinary shares outstanding during the period}}$$

Your Notes

II. BASIC EPS

1. Calculation of basic EPS

1.2 Weighted average number of ordinary shares

Weighted average number of ordinary shares = Number of outstanding ordinary shares × Time–weighting factors

Time weighting factors = $\frac{\textbf{The number of units of time (*) the shares were outstanding}}{\textbf{The total number of units of time (*) in period}}$

(*) unit in day(s), month(s) etc.

Example 1:

Ceasar Co, a listed company, has the following share transactions during 20Y0.

Date	Details	Shares issued
1 January 20Y0	Balance at beginning of year	320,000
31 May 20Y0	Issue of new shares for cash	160,000
31 December 20Y0	Balance at year end	480,000

Require: Calculate the weighted average number of shares outstanding for 20Y0.

Your Notes

II. BASIC EPS

1. Calculation of basic EPS

1.2 Weighted average number of ordinary shares

Example 1 (Guidance):

Step 1: Calculate number of outstanding ordinary shares in each period.

From 1 January 20Y0 – 31 May 20Y0:

Number of ordinary shares = 320,000

From 1 June – 31 December 20Y0:

Number of ordinary shares = 320,000 + 160,000 =480,000

Step 2: Calculate time-weighting factors for each period (corresponding timing-weighted factors of outstanding ordinary shares)

From 1 January 20Y0 – 31 May 20Y0: Time weighting = 5/12

From 1 June – 31 December 20Y0: Time weighting = 7/12

Step 3: Calculate weighted average number of ordinary shares

Weighted average number of ordinary shares = 320,000 × 5/12 + 480,000 × 7/12 = 413,333 shares

Your Notes

II. BASIC EPS

1. Calculation of basic EPS

1.2 Weighted average number of ordinary shares

Example 2:

Chelsea Co is a start-up company with a called-up and paid-up capital of 400,000 ordinary shares of $2 each and 80,000 8% redeemable preference shares of $2 each as at 1 January 20X1. The gross profit from trading activities was $1,000,000 and trading expenses were $100,000. The tax charge for the year was estimated at $180,000. Calculate basic EPS for the year ended 31 December 20X1

Guidance:

Step 1: Calculate preference dividends

Preference dividends = Number of preference shares × Par value of each share × Rate

=> Preference dividends = 80,000 ×$2 × 8% = $12,800

Step 2: Calculate net profit after tax:

Net profit after tax = Gross profit – trading expenses – tax charge

⇒ Net profit after tax = $1,000,000 – $100,000 – $180,000 = $720,000

Step 3: Calculate Net profit attributable to ordinary shareholders

Net profit attribute = Profit after tax – Non-controlling interest – Preference dividends

⇒ Net profit attribute = $720,000 – 0 – $12,800 = $707,200

Step 4: Calculate basic EPS

=> Basis EPS = $707,200 / 400,000 = $1.768

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

A company can change its number of shares of itself by issuing new shares, bonus shares, and right shares. In this section, we will examine the effect of changing the number of shares on EPS in all three (03) cases.

Case	Capital structure	Change in resources
New issue (first time issuing)	Increase in equity	Increase
Bonus issue	No change in equity but share capital in equity increase (transfer from share premium or other reserves)	No change
Right issue (Issuing new shares to the existing shareholders in priority)	Increase in equity	Increase

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.1 New issue with market value

New issue: A particular number of shares become available for the first time.

Example 3:

Company X has 4 million $1 ordinary shares. After that, the company decided to issue 1 million shares with market price $2 per share. The consequence after that event will be set out below:

Journal entry for issuing shares

Debit	Cash	$2,000,000
Credit	Share capital	$1,000,000
Credit	Share premium	$1,000,000

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.1 New issue with market value

Example 4:

An entity, with a year-end of 31 December 20Y0, issued 400,000 shares at the full market price of $3 on 1 July 20Y0. Calculate the EPS for each of the years. Relevant information

	20Y0	20X9
Profit attributable to the ordinary shareholders for the year ending 31 December	$1,100,000	$920,000
Number of ordinary shares in issue at 31 December	2,000,000	1,600,000

Answer:

Step 1: Calculate the number of ordinary shares at the end of each year

Number of ordinary shares on 31 December 20Y0 = 2,000,000

Number of ordinary shares on 31 December 20X9 = 1,600,000

Step 2: Calculate time-weighting factors for each period (corresponding timing-weighted factors of outstanding ordinary shares)

From 1 July 20Y0 – 31 December 20Y0: Time weighting = 6/12

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.1 New issue with market value

Example 4:

Step 3: Calculate the weighted average number of ordinary shares

The weighted average number of ordinary shares on 31 December 20Y0

= 1,600,000 × 6/12 + 2,000,000 × 6/12 = 1,800,000

The weighted average number of ordinary shares on 31 December 20X9

= Number of ordinary shares on 31 December 20X9

= 1,600,000

Step 4: Calculate basic EPS

Basic EPS (20Y0) = $1,100,000/1,800,000 = 0.61

Basic EPS (20X9) = $920,000/1,600,000 = 0.575

Basic EPS (20Y0) > Basic EPS (20X9)

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.2 Bonus issue

Bonus issue is an offer of free additional shares to existing shareholders

Bonus issue, regardless of whether it arises at any time in the period, must be calculated on the **first day of the reporting year**.

Example 5:

Company X has 4 million $1 ordinary shares on 1 January. On 30 June it made a bonus issue of 1 for 4 ordinary shares with a market price of $2. The consequence after the event will be set out below:

Number of share issue = 4,000,000 x 1/4 = 1,000,000 shares

Journal entry for issuing share

Debit	Retained earnings	$2,000,000
Credit	Share capital	$1,000,000
Credit	Share premium	$1,000,000

We assume the number of shares issued from 1 January, but not 30 June

=> Weighted average number of share issue = 4,000,000 + 1,000,000 = 5,000,000 shares

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.2 Bonus issue

Example 5 (Guidance):

Step 1: Calculate total number of ordinary outstanding during current year

Total number of ordinary shares during current year = Total number of ordinary shares during prior year + Bonus issue shares

Step 2: Calculate EPS of current year by using basic EPS formula

$$\text{Basic EPS} = \frac{\text{Net profit (loss) attributable to ordinary shareholders}}{\text{Total number of outstanding ordinary shares during the period}}$$

Step 3: Adjust EPS of prior year (restated EPS)

Note:

We must calculate restated EPS to ensure the comparative between two years. Bonus issue makes number of ordinary share increase (denominator) while there is no change in total capital so profit generated capacity should be the same (nominator) => we should adjust EPS (restated EPS) to make comparison between 2 EPSs fair by the following:

$$\text{Restated EPS} = \text{EPS of prior year} \times \frac{\text{Total number of ordinary shares in prior year}}{\text{Total number of ordinary shares in current year}}$$

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.2 Bonus issue

Example 6:

Avengers Co had 2,000,000 shares in issue, until on 30 September 20X9 it made a bonus issue of 1 for 5 ordinary shares. Calculate the EPS for 20X9 and the corresponding figure for 20X8 if total earnings were $300,000 in 20X9 and EPS for 20X8 was $0.135. The company's accounting year runs from 1 January to 31 December.

Guidance:

Step 1: Calculate total number of ordinary shares outstanding at 20X9

Total number of ordinary shares at 20X9 = 2,000,000 + 2,000,000 x 1/5

= 2,000,000 + 400,000 = 2,400,000

Step 2: Calculate EPS of 20X9

Basic EPS (20X9) = $300,000 / 2,400,000 = $0.125

Step 3: Calculate restated EPS 20X8

Restated EPS (20X8) = $0.135 x (2,000,000 / 2,400,000) = $0.1125

EPS in 20X8 is not as good as EPS in 20X9 due to restated EPS 20X8 < basic EPS 20X9

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.3 Right issue

The right issue is the right provided by the company for the existing shareholder to purchase shares at prices lower than current market prices.

Example: Company X has 8 million $1 ordinary shares. After that, the company decided to make a right issue 1 for 4 ordinary share with a price of $0.5, market price of $2. The change after that event will be set out below:

Criteria	Before issue	After issue
Number of shares	8 million	10 million (8m + 8m /4)
Change in equity	Increase by $1 million	

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.3 Right issue

Guidance **to calculate EPS in case of rights issue**

Step 1: Calculate the weighted average value per share (theoretical ex-rights price TERP)

$$\text{TERP} = \frac{\text{Number of current shares x Pre-issue market price + Number of new shares x Rights price}}{\text{Total number of shares after rights shares}}$$

Note:
A company usually makes the right issue at a price that is lower than the current market price
=> TERP is taken into account of the above effect => Ensures comparability.

Step 2: Calculate the right issue fraction

$$\text{Right issue fraction} = \frac{\text{Pre-issue market price}}{\text{TERP}}$$

Note:
We must calculate right issue fraction to compare pre-issue share value and post-issue share value at the same basis (because pre-issue market price > TERP)
=> **Ensures Comparability.**

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.3 Right issue

Step 3: Calculate the weighted average number of Ordinary shares

Weighted number of Ordinary shares during year = Weighted number of Pre-Issue Ordinary Shares + Weighted number of Post-Issue Ordinary Shares

Weighted number of Pre-Issue Ordinary shares = Total number of pre-issue ordinary shares × Right issue Fraction × Time Weighting Factors

Weighted number of Post-Issue Ordinary shares = Total number of pre- & newly-issue ordinary shares × Time Weighting Factors

Step 4: Calculate EPS/ Restated EPS

$$\textbf{Current year EPS} = \frac{\textbf{Net profit (loss) attributable to ordinary shareholders}}{\textbf{Weighted average number of ordinary shares outstanding during the period}}$$

$$\textbf{Restated EPS of the prior year (for comparability)} = \textbf{EPS of the prior year} \times \frac{\textbf{TERP}}{\textbf{Pre-issue market price}}$$

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.3 Right issue

Example 7:

An entity, with a year-end of 31 December 20Y0, issued 1 new share for every 4 existing shares held by way of a rights issue at $2.50 per share on 1 July 20Y0. The pre-issue market price was $4 per share. Calculate the EPS for each of the years.

	20Y0	20X9
Profit attributable to the ordinary shareholders for the year ending 31 December	$1,100,000	$920,000
Number of ordinary shares in issue at 31 December	2,000,000	1,600,000

Guidance:

Step 1: Calculate theoretical ex-rights price (TERP)

$$\text{TERP} = \frac{\text{Number of current shares x Pre-issue market price + Number of new shares x Rights price}}{\text{Total number of shares after rights shares}}$$

$$= \frac{1 \times \$2.5 + 4 \times \$4}{1 + 4} = \$3.7$$

Your Notes

II. BASIC EPS

2. Effect on EPS of changes in the number of shares

2.3 Right issue

Example 7:

Step 2: Calculate the bonus fraction

$$\text{Right issue fraction} = \frac{\text{Pre-issue market price}}{\text{TERP}} = \frac{\$4}{\$3.7} = 1.08$$

Step 3: Calculate the weighted average number of ordinary shares

Weighted number of pre-issue ordinary shares = 1,600,000 x 1.08 x 6/12 = 864,000

Weighted number of post-issue ordinary shares = 2,000,000 x 6/12 = 1,000,000

=> Weighted number of ordinary shares at 20Y0 = 864,000 + 1,000,000 = 1,864,000

Step 4: Calculate EPS/ Restated EPS

EPS at 20Y0 = $1,100,000 / 1,864,000 = 0.59

EPS at 20X9 = $920,000 / 1,600,000 = 0.575

Restated EPS at 20X9 = 0.575 x $3.7 / $4 = **0.532**

=> Comparison will be performed between EPS at 20Y0 and restated EPS at 20X9

Your Notes

III. DILUTION EPS

1. Dilution of share and its effect

Equity share capital may increase in the future due to the fact that the company may have a number of securities that do not currently have **the right to claim** dividends like ordinary shares but will **convert** into ordinary shares in the future.

The table below shows the effect of convertible instruments and options/warrants on the company after converting ordinary shares:

Effect	Convertible instruments	Options/Warrants
Number of shares	Increase	Increase
Value of share capital	Increase	Increase
Change in resource structure	Decrease in debt	Increase in equity

Note:
Although, both issue shares and convertible financial instruments or options/warrants lead to the dilution of shares. But the dilution of shares caused by convertible financial instruments and options/warrants are likely unexpected due to potential impacts (*). Therefore, EPS must be altered by diluted EPS figure attempts to provide more correctly potential impact of these additional shares.

Your Notes

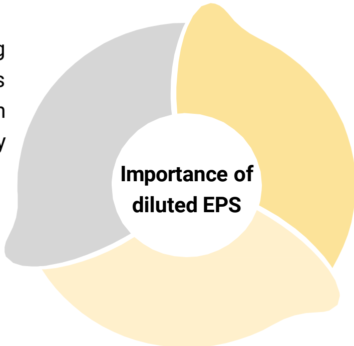
III. DILUTION EPS

1. Dilution of share and its effect

(*) Example of potential impacts:

- The conversion terms for convertible bonds/convertible loans etc.
- The exercise price for options and the subscription price for warrants.

It serves as a warning to equity shareholders that the return on their investment may fall in future periods



It shows what the current year's EPS would be if all the dilutive potential ordinary shares in issue had been converted

It can be used to assess trends in past performance

Your Notes

III. DILUTION EPS

2. Calculation of diluted EPS

$$\textbf{Diluted EPS} = \frac{\textbf{Adjusted net profit (loss) attributable to ordinary shareholders}}{\textbf{Weighted average number of ordinary shares + Number of potential shares}}$$

Adjustment for net profit (loss) includes:

Number of potential share	
Convertible instrument	**Options & Warrants**
Number of convertible instrument	**Number of free shares** (issued for no consideration like bonus shares) = Number of options x (Fair value – Exercise price) / Fair value

Note:
Potential ordinary shares shall be treated as dilutive when, and only when, their conversion to ordinary shares would decrease earnings per share or increase loss per share from continuing operations.

IAS 33: para 41

Your Notes

III. DILUTION EPS

2. Calculation of diluted EPS

Calculation of weighted average number of ordinary shares after dilution

Weighted average number of ordinary shares after dilution = Weighted average number of ordinary shares before dilution + Number of potential shares

Calculation of Adjusted net profit (loss) attribute to ordinary shareholders

Adjusted net profit (loss) attribute to ordinary shareholders = Current net profit (loss) attribute to ordinary shareholders + Adjustments from interest recognized in the period for dilutive potential ordinary shares (due to transfer from loan to equity)

Your Notes

III. DILUTION EPS

2. Calculation of diluted EPS

Example 8: Diluted EPS

In 20X9, Company X has a basic EPS of $1.35 based on earnings of $270,000 and 200,000 ordinary $1 shares. It also had in issue $80,000 10% convertible loan note which is convertible in two years' time at the rate of 2 ordinary share for every $4 of loan note. The rate of tax is 20%. Calculate the diluted EPS.

Guidance:

Step 1: Calculate the weighted average number of ordinary shares after dilution

Weighted average number of ordinary shares after dilution = Weighted average number of ordinary shares before dilution + Number of potential shares

= 200,000 + 40,000 *($80,000 x 2/4)* = 240,000

Step 2: Calculate the adjusted net profit (loss) attributed to ordinary shareholders

Adjustment = Interest recognized in the period for dilutive potential ordinary shares

= $80,000 x **10% x (1-20%) = $6,400 (Interest based on profit after tax)**

Current net profit (loss) attributed to ordinary shareholders = $270,000

Adjusted net profit (loss) attribute to ordinary shareholders

= $270,000 + **$6,400** = **$276,400**

Step 3: Calculate Diluted EPS

Diluted EPS = **$276,400** / **240,000** = $1.15

Because Basic EPS $1.35 > Diluted EPS $1.15 → Present basic & diluted EPS with above amount.

Your Notes

III. DILUTION EPS

2. Calculation of diluted EPS

Example 9:

On 1 October 20X4, Hoy Co had $2.5 million of equity share capital (shares of 50 cents each) in issue.

No new shares were issued during the year ended 30 September 20X5, but on that date there were outstanding share options which had a dilutive effect equivalent to issuing 1.2 million shares for no consideration.

Hoy's profit after tax for the year ended 30 September 20X5 was $1,550,000.

In accordance with IAS 33 Earnings Per Share, what is Hoy's diluted earnings per share for the year ended 30 September 20X5?

A. $0.25 C. $0.31

B. $0.41 D. $0.42

Answer:

Step 1: Calculate weighted average number of ordinary shares after dilution

Weighted average number of ordinary shares after dilution = 2,500,000/0.5 +1,200,000 = 6.2m

Step 2: Calculate adjusted net profit (loss) attribute to ordinary shareholders

Adjusted net profit (loss) attribute to ordinary shareholders = $1.55m

Step 3: Calculate Diluted EPS

Diluted EPS = $1.55m/6.2m = 0.25

The correct answer is A

Your Notes

III. DILUTION EPS

2. Calculation of diluted EPS

Example 10:

Farrah Co has the following results for the year ended 31 December 20X3.

Net profit for the year	$2,000,000
Weighted average number of ordinary shares outstanding during the year	540,000
Average fair value of one ordinary share during the year	$3
Weighted average no. of shares under option issued for employee during the year	100,000
Exercise price for shares under option during the year	$2

Required: Calculate diluted earnings per share.

Answer:

Step 1: Calculate number of shares that would have been issued

When an employee has no option, cash must pay to have 100,000 shares = 100,000 x 3 = $300,000

In fact, they only pay 100,000 x $2 = $200,000 to exercise 2$/shares

Farrah Co would sell $200,000 with a price of **$3** per share (full price), remaining share which employees obtain => Company would sell free

The number of shares would be sold with full price = 200,000/3 = 66,667 shares

Number of share would be sold free = 100,000 – 66,667 = 33,333 shares

Step 2: Calculate the weighted average number of ordinary shares after dilution

Weighted average number of ordinary shares = 540,000 + 33,333 = 573,333

Step 3: Calculate Diluted EPS

Diluted EPS = $2,000,000/573,333 = $3,49

Your Notes

Chapter 27 Quiz

Question 1:

Barwell Co had 10 million ordinary shares in issue throughout the year ended 30 June 20X3. On 1 July 20X2, it had issued $2 million of 6% convertible loan stock, each $5 of loan stock convertible into 4 ordinary shares on 1 July 20X6 at the option of the holder.

Barwell Co had profit for the year ended 30 June 20X3 of $1,850,000. It pays tax on profits at 30%.

What was diluted earnings per share for the year?

A. $0.167

B. $0.185

C. $0.161

D. $0.17

Your Notes

Chapter 27 Quiz

Question 2:

At 30 September 20X2 the trial balance of Cavern Co includes the following balances:

	$'000
Equity shares of 20c each	50,000
Share premium	15,000

Cavern Co has accounted for a fully subscribed rights issue of equity shares made on 1 April 20X2 of one new share for every four in issue at 42 cents each. This was the only share issue made during the year.

Using the drag and drop options below, show the balances on the share capital and share premium accounts at 30 September 20X1.

$'000		Balances
4,000		Share capital
11,250		Share premium
37,500		
40,000		

Your Notes

Your Notes

Chapter 27 Quiz

Question 3:

Aqua Co has correctly calculated its basic earnings per share (EPS) for the current year.

Which TWO of the following items need to be additionally considered when calculating the diluted EPS of Aqua Co for the year?

A. A 1 for 5 rights issue of equity shares during the year at $1.20 when the market price of the equity shares was $2.00

B. The issue during the year of a convertible (to equity shares) loan note

C. The granting during the year of directors' share options exercisable in three years' time

D. Equity shares issued during the year as the purchase consideration for the acquisition of a new subsidiary company

Your Notes

Chapter 27 Quiz

Question 4:

Many commentators believe that the trend of earnings per share (EPS) is a more reliable indicator of underlying performance than the trend of net profit for the year.

Which of the following statements supports this view?

A. Net profit can be manipulated by the choice of accounting policies, but EPS cannot be manipulated in this way

B. EPS takes into account the additional resources made available to earn profit when new shares are issued for cash, whereas net profit does not

C. The disclosure of a diluted EPS figure is a forecast of the future trend of profit

D. The comparative EPS is restated where a change of accounting policy affects the previous year's profits

Your Notes

Chapter 27 Quiz

Question 5:

At 1 January 20X8 Artichoke Co had 5 million $1 equity shares in issue. On 1 June 20X8, it made a 1 for 5 rights issue at a price of $1.50. The market price of the shares on the last day of quotation with rights was $1.80.

Total earnings for the year ended 13 December 20X8 was $7.6 million.

What was the earnings per share for the year?

A. $1.35

B. $1.36

C. $1.27

D. $1.06

Your Notes

Chapter 27 Quiz

Answer

Question 1:

The correct answer is $0.167

- **Formula to calculate diluted EPS:**

$$\text{Diluted EPS} = \frac{\text{Adjusted net profit (loss) attributable to ordinary shareholders}}{\text{Weighted average number of ordinary shares + Number of potential shares}}$$

- **Calculation of weighted average number of ordinary shares after dilution:**

Weighted average number of ordinary shares after dilution = Weighted average number of ordinary shares before dilution + Number of potential shares

- **Calculation of Adjusted net profit (loss) attribute to ordinary shareholders**

Adjusted net profit (loss) attribute to ordinary shareholders = Current net profit (loss) attribute to ordinary shareholders + Adjustments from interest recognized in the period for dilutive potential ordinary shares (due to transfer from loan to equity)

Your Notes

Chapter 27 Quiz

Answer

Detailed answer:

- Weighted average number of ordinary shares after dilution:

  10m + 2m x 4/5 = 11.6m

- Adjusted net profit (loss) attribute to ordinary shareholders:

  $1,850,000 + $2,000,000 x 6% x (1 - 30%) = $1,934,000

⇨ Diluted EPS = $1,934,000/11,600,000 = **$0.167**

Your Notes

Chapter 27 Quiz

Answer

Question 2:

The correct answer is:

$'000	Balance
40,000	Share capital
4,000	Share premium

- Number of share on 30 September 20X2:

  $50m/$0.2 = 250m

- A rights issue of equity shares was made on 1 April 20X2 of one new share for every four in issue at 42 cents each, so number of right issue:

  250m/5 = 50m

⇨ The share capital on 30 September 20X1:

(250m – 50m) x $0.2 = **$40m**

⇨ The share premium on 30 September 20X1:

$15m – 50m x ($0.42 – $0.2) = **$4m**

Your Notes

Chapter 27 Quiz

Answer

Question 3:

The correct answer is B and C

Option B and C are correct because the convertible loan note and the share options will create number of potential share, which should be taken into account when calculating diluted EPS.

Question 4:

The correct answer is B

- **Option A** is incorrect because EPS is calculated based on net profit, so manipulation in net profit will affect EPS
- **Option B** is correct because EPS accounts for additional resources from equity issuance, making it a more viable comparison metric than net profit.
- **Option C** is incorrect because basic EPS, calculated presently, offers a more comparative view on net profit than diluted EPS, which is useful for future forecasting.
- **Option D** is incorrect because restatement of EPS in case of any changes takes into account the changes in incomes and expenses, but any additional resources are not considered for computing restated EPS.

Your Notes

Chapter 27 Quiz

Answer

Question 5:

The correct answer is A

Guidance to calculate EPS in case of rights issue

- ***Step 1: Calculate the weighted average value per share (theoretical ex-rights price TERP)***

$$\text{TERP} = \frac{\text{Number of current shares x Pre-issue market price} + \text{Number of new shares x Rights price}}{\text{Total number of shares after rights shares}}$$

- ***Step 2: Calculate the right issue fraction***

$$\text{Right issue fraction} = \frac{\text{Pre-issue market price}}{\text{TERP}}$$

Chapter 27 Quiz

Answer

Question 5:

The correct answer is A

Guidance **to calculate EPS in case of rights issue**

- ***Step 3: Calculate the weighted average number of Ordinary shares***

Weighted number of Ordinary shares during year	=	Weighted number of Pre-Issue Ordinary Shares	+	Weighted number of Post-Issue Ordinary Shares		
Weighted number of Pre-Issue Ordinary shares	=	Total number of pre-issue ordinary shares	×	Right issue Fraction	×	Time Weighting Factors
Weighted number of Post-Issue Ordinary shares	=	Total number of pre-issue ordinary shares	×	Time Weighting Factors		

- ***Step 4: Calculate EPS/ Restated EPS***

$$\textbf{Current year EPS} = \frac{\textbf{Net profit (loss) attributable to ordinary shareholders}}{\textbf{Weighted average number of ordinary shares outstanding during the period}}$$

$$\textbf{Restated EPS of the prior year (for comparability)} = \textbf{EPS of the prior year} \times \frac{\textbf{TERP}}{\textbf{Pre-issue market price}}$$

Your Notes

Chapter 27 Quiz

Answer

Detailed answer:

- ***Step 1: Calculate the weighted average value per share***

  TERP = (5 x \$1.8 + 1 x \$1.5)/6 = \$1.75

- ***Step 2: Calculate the right issue fraction***

  Right issue fraction = \$1.8/\$1.75 = 1.03

- ***Step 3: Calculate the weighted average number of Ordinary shares***

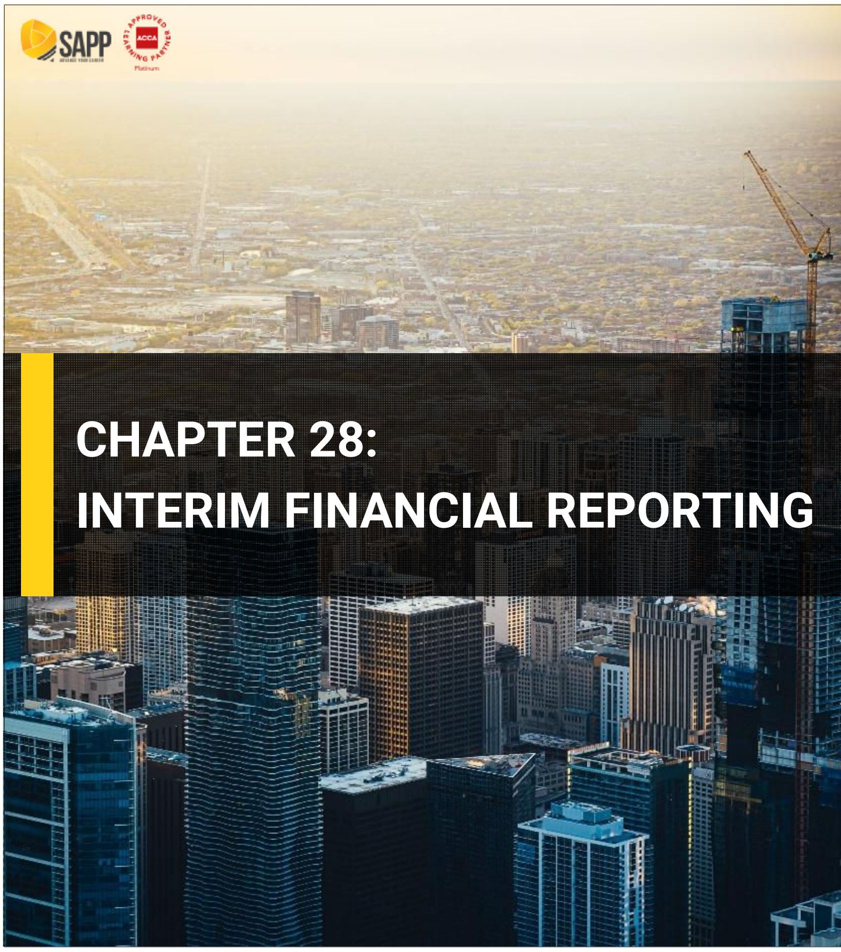
  Number of shares

	000
Weighted number of Pre-Issue Ordinary shares (5,000 x 5/12 x 1.03)	2,143
Weighted number of Post-Issue Ordinary shares (6,000 x 7/12)	3,500
	5,643

- ***Step 4: Calculate EPS***

  EPS = 7,600/5,643 = **\$1.35**

Your Notes



CHAPTER 28: INTERIM FINANCIAL REPORTING

Your Notes

OVERVIEW

What will you learn?

IAS 34 INTERIM FINANCIAL REPORTING

Scope	Content of an interim report	Recognition and measurement	Disclosure

Your Notes

IAS 34 INTERIM FINANCIAL REPORTING

1. Scope

"IAS 34 does not mandate the preparation of interim financial reports, but it does prescribe minimum content and recognition and measurement principles for those entities that do prepare them"

Publicly traded entities are encouraged to:

- provide interim reports at least at the end of the first half of each financial year, and
- make these reports available not more than 60 days after the end of the interim period.

Your Notes

IAS 34 INTERIM FINANCIAL REPORTING

2. Content of an interim report

IAS 34 requires that:

01. an interim report contains, as a minimum, condensed versions of all four primary statements, selected explanatory notes and earnings per share.

02. An entity may alternatively choose to prepare full financial statements in accordance with IAS 1 as its interim report.

03. Comparative figures for previous interim periods and previous full years are required.

Your Notes

IAS 34 INTERIM FINANCIAL REPORTING

3. Recognition and measurement

01

The same accounting policies are required in the interim reporting as for annual reporting, although changes in accounting policy might be made at the interim stage rather than waiting for a year end. The frequency with which interim reporting is carried out must not be allowed to affect the annual result.

02

For interim reporting, the use of year end practices with respect to whether items should be anticipated or deferred is required. That is, interim reports should largely be seen as periods in their own right.

4. Disclosure

Notes to the financial statements must include disclosure of significant events and transactions since the end of the last full period.

*For further useful information please scan this **QR code***

Your Notes

Chapter 28 Quiz

Question 1:

Which of the following is not an objective of IAS 34?

A. To prescribe the minimum content of an interim financial report

B. To prescribe which entities are required to publish interim financial reports, how frequent and how soon after the end of the reporting period

C. To prescribe the principles for recognition and measurement in complete or condensed financial statements for an interim period

D. None of the above

Your Notes

Chapter 28 Quiz

Question 2:

What does the International Accounting Standards Committee encourage publicly traded entities to do?

A. To provide interim financial reports at least as of the end of the first quarter of their financial year

B. To make their interim financial reports available not later than 60 days after the end of the interim period

C. To apply the same accounting policies in its interim financial report as are applied in its annual financial statements, including accounting policy changes made after the date of the most recent annual financial statements that are to be reflected in the next annual financial statements

D. All of the above

Your Notes

Chapter 28 Quiz

Question 3:

What does an interim financial report contain for an interim period?

A. A complete set of financial statements

B. An adjusted set of financial statements

C. A set of condensed financial statements

D. A or B

E. A or C

Question 4:

Which of the following is true regards to the disclosure of compliance with IFRSs provided in IAS 34?

A. If an entity's interim financial report is not in compliance with IAS 34, that fact shall be disclosed

B. An interim financial report shall not be described as complying with IFRSs unless it complies with all the requirements of IAS 34

C. An interim financial report shall not be described as complying with IFRSs unless it complies with all the requirements of IFRSs

D. A and B

Your Notes

Your Notes

Chapter 28 Quiz

Answer

Question 1:

The correct answer is B. To prescribe which entities are required to publish interim financial reports, how frequently and how soon after the end of the reporting period.

The objective of this Standard is to prescribe the minimum content of an interim financial report and to prescribe the principles for recognition and measurement in complete or condensed financial statements for an interim period. Timely and reliable interim financial reporting improves the ability of investors, creditors, and others to understand an entity's capacity to generate earnings and cash flows and its financial condition and liquidity.

Question 2:

The correct answer is B. To make their interim financial reports available not later than 60 days after the end of the interim period

The International Accounting Standards Committee encourages publicly traded entities to provide interim financial reports that conform to the recognition, measurement, and disclosure principles set out in this Standard. Specifically, publicly traded entities are encouraged:

(a) to provide interim financial reports at least as of the end of the first half of their financial year; and

(b) to make their interim financial reports available not later than 60 days after the end of the interim period.

Your Notes

Chapter 28 Quiz

Answer

Question 3:

The correct answer is E. A or C

Interim financial report means a financial report containing either a complete set of financial statements (as described in IAS 1 Presentation of Financial Statements) or a set of condensed financial statements (as described in this Standard) for an interim period.

Question 4:

The correct answer is C. An interim financial report shall not be described as complying with IFRSs unless it complies with all the requirements of IFRSs

An interim financial report shall not be described as complying with IFRSs unless it complies with all of the requirements of IFRSs.

CHAPTER 29: IFRS 1 FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS (ADDITIONAL READING)

Your Notes

OVERVIEW

What will you learn?

FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS

- Opening statement of financial position
- Recognition
- Measurement
- Presentation
- Disclosure
- Exceptions and exemptions

Your Notes

FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS

1. Opening statement of financial position

KEY POINT

IFRS 1 sets out the procedures that must be followed when a company applies IFRSs for the first time.

An IFRS statement of financial position should be prepared at the date of transition to IFRSs.

The date of transition is the beginning of the earliest period for which full comparative information is prepared. Therefore if IFRSs are first adopted in the financial statements for the year ended 31 December 20X5, the date of transition is 1 January 20X4.

The same accounting policies should apply in the opening IFRS statement of financial position and throughout all periods presented in the first IFRS financial statements. They should comply with IFRSs effective at the end of the first IFRS period.

Your Notes

FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS

2. Recognition

The reporting entity should eliminate previous GAAP assets and liabilities from the opening statement of financial position if they do not qualify for recognition under IFRSs.

For example, if the company's previous GAAP had allowed accrual of liabilities for "general reserves", restructurings, future operating losses, or major overhauls that do not meet the conditions for recognition as a provision under IAS 37, these should be eliminated in the opening IFRS statement of financial position.

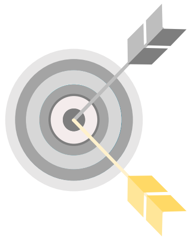
The company should recognise all assets and liabilities that are required to be recognised by IFRS even if they were not recognized under previous GAAP.

For example, IAS 37 requires recognition of provisions as liabilities including a company's obligations for restructurings, onerous contracts, decommissioning, etc.

Your Notes

FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS

3. Measurement



The company should apply IFRS in measuring all recognised assets and liabilities. Any adjustments should be recognised directly in retained earnings or equity at the date of transition to IFRSs.

In preparing IFRS estimates retrospectively, the company must use the transactions and assumptions that had been used to determine previous GAAP estimates in periods before the date of transition to IFRS, provided that those transactions and assumptions are consistent with IFRS.

Your Notes

FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS

4. Presentation

The company should reclassify previous GAAP opening statement of financial position items into the appropriate IFRS classification.

For example, IAS 10 does not permit classifying dividends declared or proposed after the reporting date as a liability at that date. If a company had done so in its opening statement of financial position, then the dividends would need to be reclassified as retained earnings.

5. Disclosure

A first-time adopter should make an explicit and unreserved statement that its general purpose financial statements comply with IFRSs for the first time.

Your Notes

FIRST TIME ADOPTION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS

6. Exceptions and exemptions

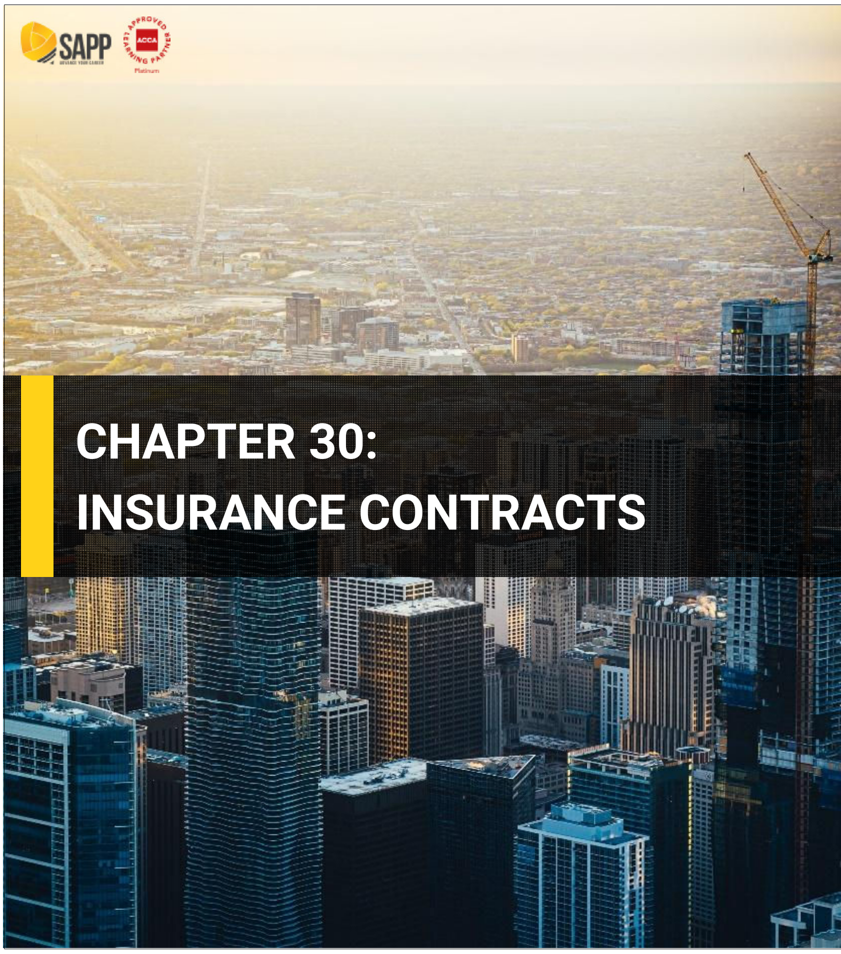
The following items must not be adjusted retrospectively on adoption of IFRSs:

- Derecognition of financial instruments
- Hedge accounting
- Non-controlling interests
- Classification and measurement of financial Embedded derivatives
- Government loans

> Other optional exemptions are available in respect of several areas of accounting, including business combinations, share-based payment transactions, leases, foreign exchange differences, borrowing costs and compound financial instruments.

*For further useful information please scan this **QR code***

Your Notes



CHAPTER 30:
INSURANCE CONTRACTS

Your Notes

OVERVIEW

What will you learn?

IFRS 17 INSURANCE CONTRACTS		
Scope	Definition	Accounting treatment

Your Notes

IFRS 17 INSURANCE CONTRACTS

1. Scope

IFRS 17 applies to all insurance contracts, including reinsurance contracts issued and held, as well as investment contracts with discretionary participation features, provided the entity issues such contracts.

2. Definition

- **An insurance contract** is defined as a contract under which one party (the insurer) accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder.
- Significant insurance risk means that the probability and magnitude of the potential variability in outcomes are substantial.

Your Notes

IFRS 17 INSURANCE CONTRACTS

3. Accounting treatment

Measurement Model: IFRS 17 uses the General Measurement Model (GMM) as the default, also known as the Building Block Approach (BBA). It comprises:

Fulfillment Cash Flows (FCF): Expected future cash inflows and outflows, adjusted for timing and uncertainty

Discount Rate: Reflects the characteristics of the cash flows

Risk Adjustment for Non-financial Risk: Compensation required for bearing the uncertainty of cash flows.

Contractual Service Margin (CSM): Represents the unearned profit from the contract, which is recognized as revenue over the service period.

For further useful information please scan this ***QR code***

Your Notes

Chapter 30 Quiz

Question 1:

IFRS 17 shall not be applied to which of the following?

A. Insurance contracts that the entity issues

B. Insurance contracts that the entity holds

C. Reinsurance contracts that the entity issues

D. Reinsurance contracts that the entity holds

E. None of the above

Question 2:

If the assessment indicates that the carrying value of its insurance liabilities is not sufficient considering the estimated future cash flows, what should be done?

A. The entire deficiency shall be reclassified to deferred liability

B. The entire deficiency shall be tested for impairment

C. The entire deficiency shall be recognised in profit or loss

D. The entire deficiency shall be recognised in other comprehensive income

Your Notes

Your Notes

Chapter 30 Quiz

Question 3:

Which of the following statements does not agree with IFRS 17?

A. An insurer shall not recognise as a liability any provisions for possible future claims, if those claims arise under insurance contracts that are not in existence at the end of the reporting period

B. An insurer shall remove an insurance liability from its statement of financial position when, and only when the obligation specified in the contract is discharged or cancelled or expires

C. An insurer shall offset reinsurance assets against the related insurance liabilities

D. An insurer shall not offset income or expense from reinsurance contracts against the expense or income from the related insurance contracts

Your Notes

Chapter 30 Quiz

Answer

Question 1:

The correct answer is B

IFRS 4 does not apply to insurance contracts that an entity holds because the standard specifically addresses the accounting treatment of contracts that an entity issues, where it acts as the insurer. Contracts that an entity holds (i.e., contracts purchased to cover its own risks) are outside the scope of IFRS 4 because they do not involve the entity's issuance of insurance contracts to others.

Question 2:

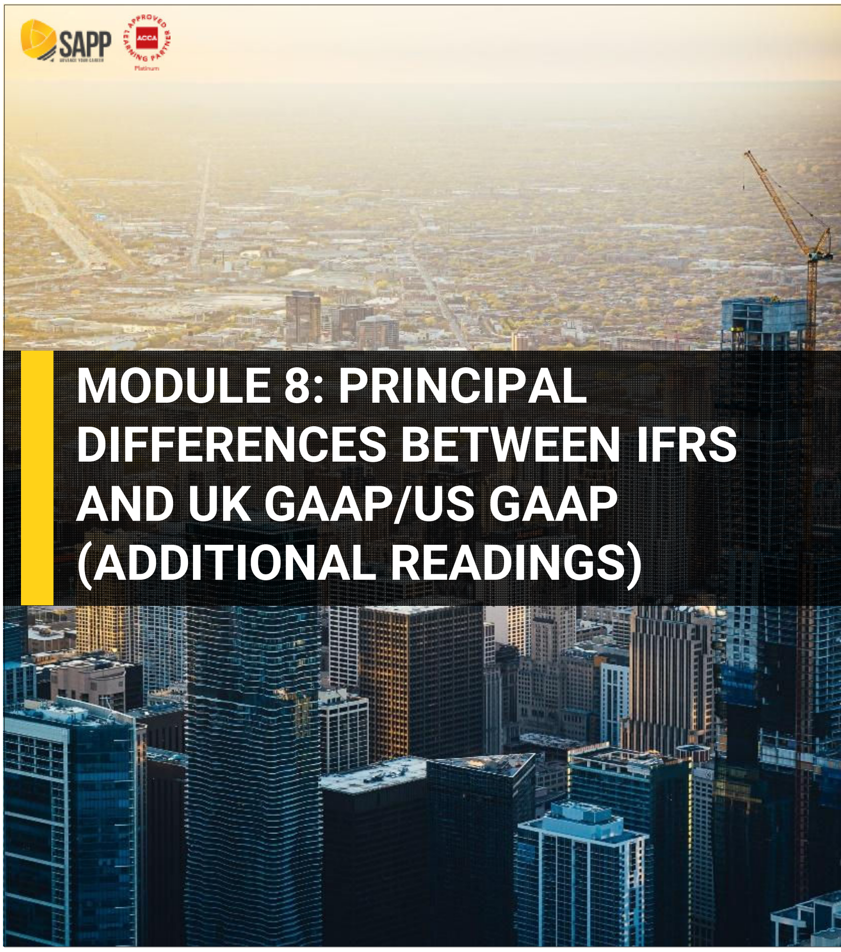
The correct answer is C

If that assessment shows that the carrying amount of its insurance liabilities (less related deferred acquisition costs and related intangible assets) is inadequate in the light of the estimated future cash flows, the entire deficiency shall be recognised in profit or loss.

Question 3:

The correct answer is C

An insurer shall not offset reinsurance assets against the related insurance liabilities.



MODULE 8: PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP/US GAAP (ADDITIONAL READINGS)

Your Notes

OVERVIEW

What will you learn?

PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP/US GAAP

Principal differences between IFRS and UK GAAP

- UK GAAP and FRS 102
- Principal differences between IFRS and UK GAAP

Principal differences between IFRS and US GAAP

- Principal differences between IFRS and US GAAP

Your Notes

I. PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP

1. UK GAAP AND FRS 102

Financial Reporting Standard 102 *The Financial Reporting Standard Applicable in the UK and the Republic of Ireland* (FRS 102) replaced the individual standards of UK GAAP on 1 January 2015 (more details regarding the introduction of FRS 102 are provided in Module 9).

2. Principal differences between IFRS and UK GAAP

The following table highlights the main differences between IFRS and FRS 102:

Topic	Main differences between IFRS and FRS 102
Financial statements presentation	IAS 1 formats for the financial statements differ from the UK Companies Act formats used in FRS 102.
Cash flow statements	No noticeable differences.
Financial instruments	FRS 102 requires that basic financial instruments are measured at amortised cost. IFRS 9 requires initial recognition at fair value and applies more complex rules for subsequent measurement.

Your Notes

I. PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP

2. Principal differences between IFRS and UK GAAP

The following table highlights the main differences between IFRS and FRS 102:

Topic	Main differences between IFRS and FRS 102
Government grants	FRS 102 allows either the accruals or performance method of recognising the grant in the statement of profit or loss. IAS 20 only permits the accruals method.
Capitalisation of borrowing costs	FRS 102 allows capitalisation or expensing of borrowing costs whereas IAS 23 requires their capitalisation.
Retirement benefits	No noticeable differences.
Foreign currency	No noticeable differences.
Share based payment transactions	Option pricing models are not always applied under FRS 102 whereas the IFRS 2 treatment differs.
Deferred tax	FRS 102 has a 'timing differences plus' approach whereas IAS 12 uses an approach based on "temporary differences".

Your Notes

I. PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP

2. Principal differences between IFRS and UK GAAP

Topic	Main differences between IFRS and FRS 102
Intangible assets other than goodwill	FRS 102 does not permit assets to have indefinite lives and they are all subject to amortisation. IAS 38 does permit intangible assets to have indefinite useful lives but these must be subject to an annual impairment review.
Property, plant and equipment	No noticeable differences.
Investment property	Under FRS 102, investment property is measured at fair value. The cost model applied to PPE can be applied to investment property rented to another group entity. IAS 40 offers a choice between both these methods.
Impairment of non-financial assets	No noticeable differences.
Leases	FRS 102 is based on the old Leases Standard, IAS 17, and requires lessees to classify leases as either finance leases or operating leases. IFRS 16 applies a different model, whereby lessees do not classify leases as either type.

Your Notes

I. PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP

2. Principal differences between IFRS and UK GAAP

Topic	Main differences between IFRS and FRS 102
Inventories	No noticeable differences.
Provisions and contingencies	No noticeable differences.
Events after the reporting period	No noticeable differences.
Consolidation	There is no remeasurement of pre-existing or retained stakes under FRS 102.
Business combinations (including goodwill)	Goodwill is not amortised under IFRS but it is under FRS 102. FRS 102 allows intangible rights that are inseparable and arise from contractual or legal rights to be recognised separately or to be included with goodwill.
Discontinued operations & assets held for sale	FRS 102 does not deal with assets held for sale.
Investment in associates	No noticeable differences.

Your Notes

I. PRINCIPAL DIFFERENCES BETWEEN IFRS AND UK GAAP

2. Principal differences between IFRS and UK GAAP

Topic	Main differences between IFRS and FRS 102
Investment in joint ventures	No noticeable differences.
Related party transactions	No noticeable differences.
Specialised activities (agriculture)	There is a choice of measurement at cost or fair value available under FRS 102 whereas IAS 40 requires measurement at fair value.
Service concession arrangements	FRS 102 addresses accounting by grantors whereas IFRS includes a model for operators.

Your Notes

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

1. Principal differences between IFRS and US GAAP

	IFRS	US GAAP
IAS 1 Presentation of Financial Statements	Specific line items and one year comparative financial information required by IAS 1.	US GAAP financial statements are usually prepared on a going concern basis unless liquidation is imminent. No comparative information required for private companies under US GAAP (though in practice a single year is often presented).
Extraordinary items	Extraordinary items are prohibited by IAS 1.	Extraordinary items are permitted, but are restricted to items that are both infrequent in occurrence and unusual in nature (thus rare in practice). Negative goodwill is an extraordinary item under US GAAP.
IAS 2 Inventories	IAS 2 requires that inventories are measured at the lower of cost and net realisable value. The LIFO (last in first out) assumption is prohibited by IAS 2.	US GAAP requires that inventories are measured at the lower of cost and market value, being current replacement cost, if using the LIFO or retail method. Otherwise, inventories are measured at the lower of cost and net realisable value. The LIFO (last in first out) assumption is permitted (and commonly used) by US GAAP.

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

1. Principal differences between IFRS and US GAAP

		IFRS	US GAAP
IAS 7 Statement of Cash Flows	**Classification of interest received**	Operating, investing or financing activity	Operating activity
	Classification of dividends paid	Operating or financing activities	Financing activities
	Classification of transaction	Can be separated and classified as operating, financing or investing activities	Generally classified
	Bank overdrafts	Included in cash if they form an integral part of an entity's cash management	Excluded from cash and instead treated as short-term financing
IAS 12 Income Taxes	**Initial recognition exemption**	Deferred tax not recognised for taxable temporary differences that arise from the initial recognition of certain assets and liabilities	No similar exemption
	Measurement	Use enacted or "substantively enacted" tax rate	Use enacted tax rate
IAS 16 Property, Plant and Equipment	**Revaluation**	IAS 16 offers choice between revaluation and historical cost model.	Revaluation is not permitted.
	Residual values and useful lives	Residual values and useful lives must be reviewed annually per IAS 16.	Residual values and useful lives are reviewed when events or changes in circumstances indicate they are no longer appropriate.

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

1. Principal differences between IFRS and US GAAP

	IFRS	US GAAP
IAS 19 Employee Benefits	Actuarial gains and losses: Recognised immediately in other comprehensive income.	Actuarial gains and losses: Choose: • Recognised gains or losses immediately • Deferred and allocated to gains or losses
IAS 20 Government Grants		There is no specific US GAAP guidance on accounting for grants awarded by a government and its bodies.
IAS 32 Financial Instruments: Presentation	Financial instruments always split into equity and liability; liabilities are measured at fair value with the equity component representing the residual.	Financial instruments split only if certain requirements are met.
IAS 33 Earnings Per Share	Basic and diluted income from continuing operations per share and net profit or loss per share is disclosed.	Basic and diluted income from continuing operations, discontinued operations, extraordinary items, cumulative effect of a change in accounting policy, and net profit or loss per share is disclosed.

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

1. Principal differences between IFRS and US GAAP

		IFRS	US GAAP
IAS 36 Impairment of Assets	**Determining impairment**	Impairment testing performed if indicators exist under IAS 36	If it is determined that the asset is not recoverable, impairment testing must be performed
	Measurement if impairment loss	Difference between carrying amount and recoverable amount	Difference between carrying amount and fair value
	Allocation of goodwill	Goodwill is allocated to a Cash generating unit (CGU) or group of CGUs	Goodwill is allocated to a reporting unit
	Impairment reversal	Subsequent reversal of an impairment loss is required for all assets, other than goodwill, if certain criteria are met	Impairment reversal is prohibited for all assets to be held and used
IAS 37 Provisions, Contingent Liabilities and Contingent Assets	**Recognition criteria**	Probable = 'more likely than not' (which refers to a probability of over 50%)	Probable = 'likely' (which is widely interpreted as a probability of more than 70%)
	Measurement of provisions	At the best estimate of the obligation: • Typically an expected value where a large population of items is being measured • The most likely outcome where a single obligation is measured	At the most likely outcome; where there is no single most likely outcome, the minimum amount in the range of outcomes forms the measurement

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

1. Principal differences between IFRS and US GAAP

		IFRS	US GAAP
IAS 38 Intangible Assets	**Development costs**	Capitalised if certain criteria are met	Expensed (except for certain website development costs and certain costs associated with developing internal use software)
	Revaluation	Permitted only if the intangible asset trades in an active market	Revaluation prohibited
IAS 40 Investment Property		Measurement basis for investment property: there is an option to use either the historical cost model or the fair value model.	Measurement basis for investment property: Investment property is not separately defined under US GAAP and so is accounted for as property, plant and equipment unless it meets the criteria to be held for sale.
IAS 41 Agriculture		Measurement basis of agriculture crops, livestock, orchards, forests is at fair value less costs to sell with changes recognised in profit or loss	Measurement basis of agriculture crops, livestock, orchards, forests is generally at historical cost. However, fair value less costs to sell is used for harvested crops and livestock held for sale.
IFRS 1 First Time Adoption of IFRS		General principle is retrospective application of IFRSs in force at the time of adoption.	No specific standard under US GAAP.
IFRS 2 Share-based Payments		The fair value of a transaction should be based on the value of the goods or services received and only on the fair value of the equity instruments if the fair value of the goods and services cannot be reliably determined.	Either the fair value of the goods or services received, or the equity instruments is used to value the transaction, whichever is more reliable.

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

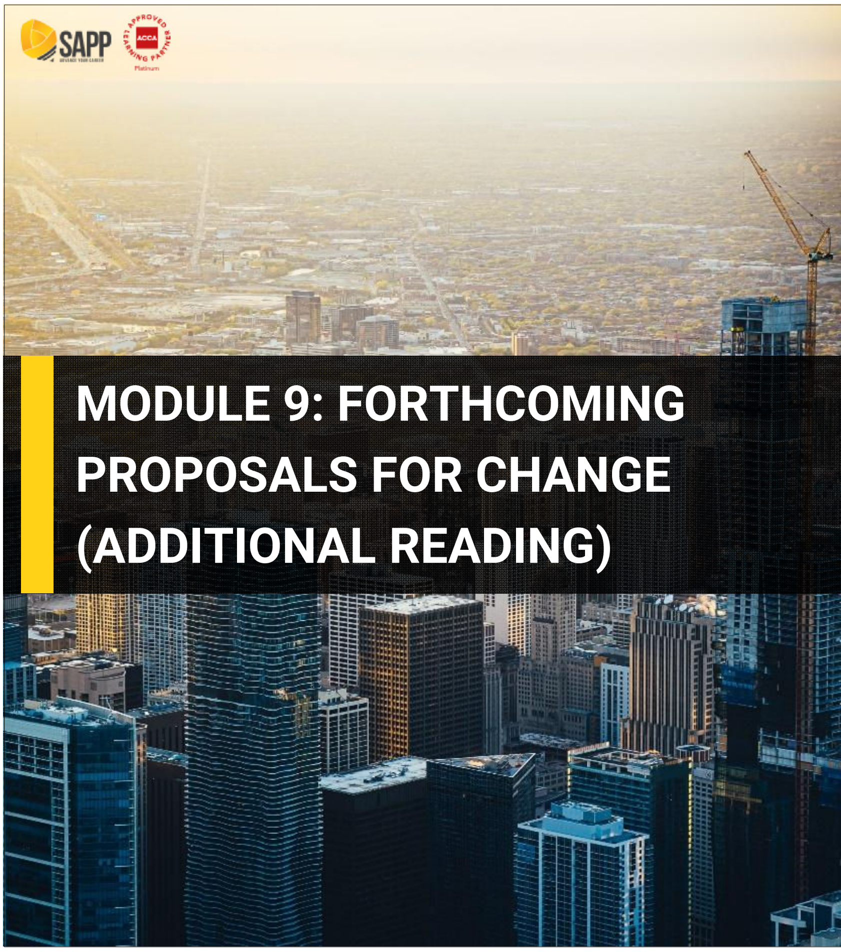
1. Principal differences between IFRS and US GAAP

		IFRS	US GAAP
IFRS 3 Business Combinations	**Contingent liabilities and contingent assets**	Recognise a contingent liability if present obligation exists and fair value can be determined reliably. Contingent assets are not recognised.	Recognise at fair value if it can be determined. Otherwise, recognise only if at acquisition date an asset or liability exists and the amount can be reasonably estimated.
	Non-controlling interest	Choose to measure at fair value or as a percentage of the fair value of the acquiree's identifiable net assets at the acquisition date	Must be measured at fair value
IFRS 10 Consolidated Financial Statements	**The basis for consolidation is different**	Control is key under IFRS 10	US GAAP's approach depends on the type of entity. Regarding voting rights, entities often consider major voting rights.
	Different accounting policies of parent company and subsidiary	Must comply with policies in IFRS Standards	No specific requirements for compliance with US GAAP policies, but there are some exceptions where the subsidiary follows industry-specific accounting principles.

II. PRINCIPAL DIFFERENCES BETWEEN IFRS AND US GAAP

1. Principal differences between IFRS and US GAAP

	IFRS	US GAAP
IFRS 11 Joint Arrangements	IFRS define a joint arrangement as an arrangement over which two or more parties have joint control. Joint arrangements may be 'joint operations' or 'joint ventures'.	US GAAP does not define the 'joint arrangement' or 'joint operation'. The definition of a joint venture refers to a jointly controlled activity conducted with the use of a legal entity. In line with IFRS, US GAAP requires that joint ventures are generally accounted for using the equity method.
IFRS 15 Revenue from Contracts with Customers	Only minor differences exist relating to: • Collectability thresholds • Interim disclosure requirements • Early application and effective dates • Impairment loss reversal • Non-public entity requirements	
IFRS 16 Leases	All leases, except leases with low value assets and lease terms of less than 12 months, result in the lessee recognising an asset and liability in the financial statement.	US GAAP requires lessees to classify leases as operating leases or finance leases. US GAAP does not specifically exclude low value assets from this treatment.



MODULE 9: FORTHCOMING PROPOSALS FOR CHANGE (ADDITIONAL READING)

Your Notes

OVERVIEW

What will you learn?

FORTHCOMING PROPOSALS FOR CHANGE	
The FASB and the Future for US Financial Reporting	The FRC and the Future for UK Financial Reporting
New UK GAAP	Council and Accounting Standards Updating

Your Notes

I. THE FASB AND THE FUTURE FOR US FINANCIAL REPORTING

1. Overview

> The convergence of IFRS Standards and US GAAP has been discussed for many years.
> Despite the promulgation of a number of common standards in recent years, convergence now appears to be difficult to achieve. Instead, US GAAP Standards and IFRS Standards will continue to coexist.

2. Process

01 **Pre-2011:** FASB and IASB aimed to fully converge on IFRS by June 2011, formalized in the 2002 Norwalk Agreement and a 2006 memorandum. The G20 endorsed these efforts in 2009.

02 **2012:** The SEC's report provided no clear recommendation on adopting IFRS for US companies, though it suggested a possible future move.

03 **2015 and beyond:** The US confirmed US GAAP's dominance, with the SEC Chair and Chief Accountant emphasizing this while acknowledging ongoing interest in IFRS. The SEC committed to participating in the development of high-quality international standards.

Your Notes

II. THE FRC AND THE FUTURE FOR UK FINANCIAL REPORTING

1. The UK Financial Reporting Council (FRC)

The current financial reporting model in the UK is that listed companies (in accordance with EU regulations) prepare accounts under IFRS, whilst other companies choose to apply either UK GAAP or IFRS.

The UK Financial Reporting Council (FRC) is committed to eliminating differences between UK accounting standards and IFRS.

In August 2009, it announced a draft policy for implementation of the IFRS for SMEs in place of the existing UK GAAP.

In response to public consultation the FRC modified its approach and in late 2012/early 2013 the **FRS for Small Entities (FRSSE)** was updated and three new standards were published:

- **FRS 100** Application of Financial Reporting Requirements
- **FRS 101** Reduced Disclosure Framework
- **FRS 102** The Financial Reporting Standard applicable in the UK and Republic of Ireland

These new standards took effect for accounting periods beginning on or after 1 January 2015.

Your Notes

II. THE FRC AND THE FUTURE FOR UK FINANCIAL REPORTING

1. The UK Financial Reporting Council (FRC)

The UK Financial Reporting Council (FRC) is committed to eliminating differences between UK accounting standards and IFRS.

The FRC issued three further standards which form part of new UK GAAP in 2014/2015:

- **FRS 103** Insurance Contracts
- **FRS 104** Interim Financial Reporting
- **FRS 105** The FRS applicable to the Micro-entities Regime

FRS 103 and 104 are effective for accounting periods beginning on or after 1 January 2015 and FRS 105 for accounting periods beginning on or after 1 January 2016.

Your Notes

II. THE FRC AND THE FUTURE FOR UK FINANCIAL REPORTING

2. FRS 100

FRS 100 outlines the new financial reporting framework and sets out which of the new standard(s) should be applied by which companies.

Although all companies may apply IFRS, it is anticipated that most companies will apply standards as follows:

Listed companies	IFRS (mandatory)
Unlisted companies that are members of a group	FRS 101
Small companies	FRSSE
Micro-entities	FRS 105
Other companies	FRS 102 (and FRS 103)

Your Notes

III. NEW UK GAAP

1. FRS 101

FRS 101 Reduced Disclosure Framework may be applied to the separate financial statements of entities that are included in publicly available consolidated financial statements

The standard cannot be applied to consolidated financial statements

FRS 101 requires that EU adopted IFRS are applied however with:

- Certain amendments to the requirements of IFRS in order to comply with the Companies Act, and
- Exemptions from a number of disclosures required by IFRS

The purpose of this standard is to enable companies that are members of listed groups (and therefore have to prepare consolidation packages using IFRS Standards) to apply the recognition and measurement requirements of IFRS standards in their own statutory financial reports, but without the complex disclosure requirements.

Your Notes

III. NEW UK GAAP

2. FRS 102

FRS 102 The Financial Reporting Standard is based upon the IFRS for SMEs but with some significant modifications to ensure compliance with UK company law and also allow inclusion of certain accounting treatments permitted by full IFRSs but not by the IFRS for SMEs.
FRS 102 is split into 36 sections and uses IFRS terminology such as receivables and inventory instead of old UK terminology such as debtors and stock

When issued, the FRC announced its intention to review this standard every three years ("triennial review") to make necessary improvements as well as to reflect certain changes with IFRS Standards and IFRS Standards for SMEs.
The first three-year review was completed in December 2017 with amendments taking effect from 2019, and the FRC has announced that amendments made as a result of the second review will take effect by 2024.

Your Notes

Your Notes

III. NEW UK GAAP

2. FRS 102

Amendments published since this standard was first issued include:

- Part 1A was added in 2015. This section applies only to small entities. It requires those entities to apply the full recognition and measurement requirements of FRS 102, but significantly reduces the required disclosure.
- The revisions are a result of the first three-year review. Most of these are of an editorial nature and they do not reflect amendments to the IFRS Standards as the FRC considers it important that FRS 102 is finalized before substantive changes are made.

The next review is likely to amend FRS 102 to reflect the new and relevant IFRS Standards.

Your Notes

III. NEW UK GAAP

3. Other FRS

FRS 103 Insurance Contracts provides specific accounting requirements for entities that have insurance contracts and are applying FRS 102.

FRS 104 Interim financial reporting is based on IAS 34 and provides guidance for entities that choose to prepare interim financial reports.

FRS 105 FRS applies to micro entities used by companies identified as micro entities under UK law.

"Until the UK leaves the EU, the IFRS applied in the UK will be the IFRS endorsed by the EU. The European Union's endorsement process requires that new IFRS Standards and amendments issued by the Council be reviewed to ensure compliance with EU law before being endorsed for use. At the time of leaving the EU, the UK adopted EU-endorsed IFRS as UK-endorsed IFRS. In future, the UK certification body will endorse the IFRS Standards and amendments for use in the UK."

IV. COUNCIL AND UPDATING ACCOUNTING STANDARDS

1. Overview

1 The Board and other bodies of the IFRS Organization are engaged in projects to issue new IFRS Standards as well as improve existing IAS Standards and IFRS Standards on an ongoing basis.

2 Some of these projects arise as a result of requests from organizations and others are the result of post-implementation reviews of IFRS Standards.

3 Minor amendments to existing IFRS Standards may be included in the Annual Improvement program if certain criteria are met:

- **Post-implementation reviews** will take place approximately two years after an IFRS Standard becomes mandatory
- **Annual improvement program:** To qualify for this program, the revision needs to clarify or amend existing guidance; Should not handle a change in principle.

Your Notes

IV. COUNCIL AND UPDATING ACCOUNTING STANDARDS

2. Implementation process

When amending existing IFRS Standards or promulgating new or amended IFRS Standards, the Board will follow an appropriate procedure:

01 **Consulting on working program**

Every five years, the Council will undertake a comprehensive program of review and consultation to identify its priorities and develop its workplan.

02 **Research programs**

The Council will explore the issues, identify possible solutions decide whether benchmarking is needed and may issue a discussion paper to seek public views

03 **The program sets the standard**

Research and feedback on any discussion documents are considered and a new Standard or amendments will be proposed and published in a draft

04 **Maintenance program**

The Board will consult on the implementation of a new or revised Standard to identify issues.

Your Notes

IV. COUNCIL AND UPDATING ACCOUNTING STANDARDS

2. Implementation process

Publishing a discussion paper is an optional step in the process, however it is typically released on any important new topic to explain the issue and solicit comments from members

Publishing the draft for comments is a mandatory step in the process: A consultation draft in form of proposed amendments or a proposed IFRS Standard will be the Board's primary means of consulting the public on the proposed change.

Your Notes

IV. COUNCIL AND UPDATING ACCOUNTING STANDARDS

3. Activity plan of the Council on November 21, 2019

Projects set the standard

Comment drafts or discussion documents have been released in relation to the following projects, or will be available in the near future: Evaluate regulated activities, Report of the executive board, etc

Maintenance projects related to IFRS Standards

Comprehensive 2019 Review of IFRS Standards for SMEs, Accounting Policies and Accounting Estimates (Revised to IAS 8), etc

Research projects

Business combination under common control, Dynamic risk management, Equity method, etc

Your Notes

Module 9 Quiz

Question 1:

Which of the following statements is true?

A. US public companies may apply IFRS

B. UK public companies may apply IFRS

C. US public companies will all be required to apply IFRS in the future on a date to be determined by the SEC

D. UK private companies may apply IFRS

Question 2:

Which UK entities should apply FRS 103?

A. Entities that have insurance contracts and apply FRS 101

B. Entities that have insurance contracts and apply FRS 102

C. Entities that prepare interim reports and apply FRS 101

D. Entities that prepare interim reports and apply FRS 102

Your Notes

Module 9 Quiz

Question 3:

Under what circumstances is a UK entity eligible to use FRS 101 Reduced Disclosure Framework?

A. If the entity is an unlisted member of a group and is preparing publicly available consolidated financial statements for that group.

B. If the entity is a listed member of a group for which consolidated financial statements are publicly available and is preparing its separate financial statements.

C. If the entity is an unlisted member of a group for which consolidated financial statements are publicly available and is preparing its separate financial statements.

D. If the entity is listed and preparing publicly available consolidated financial statements for that group.

Your Notes

Your Notes

Module 9 Quiz

Answer

Question 1:

The correct answer is D

US companies may not apply the IFRS Standards and UK public companies MUST apply the IFRS Standards.

Question 2:

The correct answer is B

FRS 103 applies to entities with insurance contracts using FRS 102 (general accounting standard). FRS 101 deals with presenting financial statements, not specific to insurance contracts. Interim reports (FRS 101/102) are not the deciding factor.

Question 3:

The correct answer is C

Option C is ideal for FRS 101 Reduced Disclosure Framework: unlisted subsidiary of a publicly-available consolidated group. They can potentially reduce disclosures in their separate financials, unlike publicly listed entities or those preparing consolidated statements.

Your Notes

Lecturing Slide

IS REPUBLISHED ON

5/05/2025

Knowledge Base

SAPP knowledge base provides learners with a free study resource for each ACCA exam in Vietnamese. Study chapters help to increase your understanding and practice questions help you prepare for your exams.